RHI Magnesita (RHIM)

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Call: Jun 2023

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Date: 5 June 2023

To,

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001, India
BSE Scrip Code: 534076 National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (East)
Mumbai – 400 051, India
NSE Symbol: RHIM

Dear Sir/ Madam,

Sub: Transcript of Conference Call - fourth quarter and year ended 31 March 2023

Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements), Regulations, 2015, and further to our earlier intimation dated 24 May 2023 and 30 May 2023, the transcript of the conference call held on 31 May 2023, for discussing the earning performance of the quarter and year ended 31 March 2023, is annexed herewith.

The same has also been uploaded on the Company's website at the below link:

https://www.rhimagnesitaindia.com/investors/investor-meet

Kindly take the same on record.

Thanking you,

Yours faithfully

For RHI Magnesita India Limited

Sanjay Kumar
Company Secretary
(ICSI Membership No. -17021)

"RHI Magnesita India Limited
Q4 FY'23 Earnings Conference Call "

MANAGEMENT : MR. PARMOD SAGAR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – RHI MAGNESITA INDIA
LIMITED
MS. VIJAYA GUPTA – CHIEF FINANCIAL OFFICER –
RHI MAGNESITA INDIA LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Q4 FY 2023 Earnings Conference Call of RHI Magn esita India Limited, hosted by HSBC. As a reminder, all participant lines w ill be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone . Please note that this conference is being recorded. From the management team, we have with us today Mr. Parmod Sagar, MD and CEO, and Ms. Vijaya Gupta, CFO. We will start the call with brief opening remarks, and then open the call for Q&A.

I will now han d over the call to Mr. Parmod Sagar for opening remarks. T hank you, and over to you, sir.

Parmod Sagar: Thank you very much. Good e vening, and welcome to RHI Magne sita India's quarterly update call. Dear investors, I can understand the sentiments from morn ing till now. So, I can assure you that everything is in line, and we are going through a presentation. Vijaya will take you through the presentation. And after presentation, if you still have any doubt about the performance, about the basic fundamentals of the company, I will be more than happy to answer your questions. So, Vijaya, can you please let u s go through this presentation?

Vijaya Gupta : Thank you. In fact, the presentation has been mailed. So, what I just want to first mention about the note number eight on the impairment loss on account of goodwill, because a lot of news has come on that. So here we can say that in accordance with accounting practice, the purchase price consideration was paid at INR632. But on the date of transactio n or the acquisition date, the market price was INR877.2. So, this difference of INR245 per share as per accounting standards, we had to create accounting goodwill, and which we impaire d on 31st March.

So this is one -off non -cash transaction, one -time accounting adjustment, which has been adjusted in our earnings. So, we should consider all the numbers before this one -time adjustment. Plus, there has been also one -time expense of 640 million, which we had said we will incur as we are integrating the two companies, of which INR30 crore s was in provision for stamp duty we have made, which we will need for transfer of asse ts from DBRL to DOCL, and from erstwhile Hi -Tech in the name of RHIM.

And this one -time i s at 2.3% of revenue, and for the quarter, it is 7%. So these are the two big adjustments which we need to do, wherein we have adjusted to arrive at adjusted EBITDA numbers. So, if we see the financials, then at the adjusted EBITDA levels, we are quite comfortable. The adjusted number for the full year is 4 ,388, or 16.1%. And in this adjusted numbers, we have DOCL revenue from 5th Jan till 31st March. The numbers, revenue numbers are 2 ,378 million, and the adjusted EBITDA here is 239 million, or 10.1%.

And in case of Hitech, which we now call Jamshedpur, because it is now integrated with RHIM, there the revenue number is 321 million, and adjusted EBITDA number is 55 million at the rate of 17% EBITDA margin. Standalone financials also, the number is 24 ,562 mi llion, and adjusted

PUBLIC EBITDA of 4 ,069, that is 16.6%. And for quarter 4, the revenue number is 6 ,082 million, and adjusted EBITDA is 877 m illion, that is 14.4%.
Parmod Sagar: So, I can only say these numbers are in line with my statements in the previous wee ks and months about consolidation. And it is still a very initial stage. We have just taken over this company. So we will improve and improvise in comi ng weeks and months.
Vijaya Gupta: Okay. So, if we look growth from 22 to 23, in terms of volume, there h as been a 54% increase from 214,000 tons to 329,000 tons. And

standalone also, we have grown at 34%, so from
214,000 tons to 287,000 tons. So next is about the, although this year, last year, because of exceptional circumstances, as you all know, we got on e time price increases. And this year, there has been softening of raw material cost, and which has also softened the selling price. But then here, if we see, we have, if we adjust one-time adjustments, then for the year as a whole, we get EBITDA of 16.1% on consolidated basis.
Now we complement product footprint in South and West India. And we offer product segments across all segments and industries. So, the consolidated revenue number is up 37% at INR2,726 crores. Adjusted EBITDA is up by 11.5% ove r last year at INR438 crores. Adjusted EBITDA margin is 16.1%. We have a healthy cash position up to INR326 crores . And we have declared dividend at the rate of INR2.5 per share, subject to approval from shareholders.
And earning per share has c ome down to INR14.5 per share. This is because of the shares we had issued for merger. So, our capacity has grown from 1,45,000 tons to 5,25,000 tons now with the merger of two entities. And revenue is from INR2,000 crores to INR2,700 crores. EBITDA margin we have discussed. Earning per share market capitalization has gone up from 101 billion to 118 billion.
So, if we look at the revenue numbers, so here again, for the sake of repetition, we got the good from volume. So, our revenue last year was INR2,000 c rores. And from volume, higher volume, we got INR676 crores. Price increased because of lower prices. It was lowered by INR167 crores. And one time price adjustment, which we've increased, which we got last year from our customers. If we adjust for that, mainly our revenue has increased because of higher volumes. And in addition, we got INR235 crores additional revenue from Dalmia and 32 crores from Jamshedpur . If we look at the movement of EBITDA, from INR393 crores last year, volume added to INR33 crores. Price reduction was INR172 crores. And one-time adjustment, which we got last year, was INR48 crores. So R HIM, adjusted EBITDA, is INR407 crores. And if we add Dalmia, as we can see, we are already in double digit EBITDA percentage here at INR24 crores and Jamshedpur at INR5.5 crores. And the others are intercompany transactions and intermetal. So, with this, we come to INR438 crores.
And one time merge are, as I had mentioned earlier, stamp duty of INR30 crores. Integration costs of INR14 crores. A nd there was one -off write -offs, which we had mentioned earlier, INR12 crores, plus other one -time expenses of INR8 crores. So there have been big acquisitions. So how did we fund that? So, if we see that, we are in a comfortable debt position. As of today , including working capital lines, the total debt is INR500 crores. So, we had borrowed INR1,100

PUBLIC crores for acquisitions. We got INR225 crores from ECB, from the group. And we needed extra working capital of INR178 crores for DOCL. We prepaid INR700 crores , mainly from... Sorry, INR70 crores we prepaid before March. And INR750 crore s we prepaid from QIP proceeds. And INR238 crores from internal accruals to land up in, comfortable cash position, debt position after QIP also. We were able to majority pay our debt.
Cash flow position, our cash position was INR78 crores in the year beginning. And we borrowed INR1,324 crores, all total, from for high -tech DOCL and external commercial borrowings. And we paid off INR1,124 crores. And now we are in a comfortable cas h position because of comfortable EBITDA generation and internal accruals. There was a capex of INR42 crores here.
So, on working capital, we are focusing on reducing our working capital cycle. And this is a very strong initiative to generate cash from ope rations. There's a huge focus on improving inventory and receivables and reducing payable days. So, our c

ash conversion cycle has come
down, you know, from 87 days to 76. And our focus and attention will continue to be in this area.
Now coming to merger an d acquisition on Dalmia OCL, as you know, the total enterprise value of the transaction was INR2,852 crores. Actual, as you know, last we said was INR2,200 crores. This difference is purely accounting goodwill, arising due to difference in issue price and the market price on the date of transaction when the control was transferred. So, this difference of

INR50 crores we have impaired. And the numbers we had shipped, we had sold 37,000 tons. Revenue was IRN235 crores, EBITDA 10%. And outstanding debt as of 3 1st March, INR836 crores, which subsequently has come down post -QIP.
Similarly, in case of Hi -Tech, the purchase concentration is INR879 crores. This has gone up because of addition of INR181 crores of working capital. This PPA adjustment, which it was subject to that, so basis business value and working capital, it is now at 879. And the assets acquired was INR512 crores. This resulted in goodwill of INR367 crores. So total goodwill in the books today is INR841 crores for the DOCL and INR367 crores for Hi -Tech.
So that's all, you know, to clarify the questions you might have. Some of the questions I've tried to address, and now we can open the floor for Q&A.
Moderator: Thank you very much. The first question is from the line of Bhalchandra Vasant Shinde fro m Kotak Life. Please go ahead.
B V Shinde: Yes, actually I didn't got the PPT, so if you can share it, it will be useful. So, I'll not go to the numbers. It might be there in the PPT. But regarding the volume front, as you said, that volume growth was there.
Management: Yes, so I'll go to the numbers. Yes. Actually, we sent the PPT for uploading on the website and I got from Amb arji also the message that it is not visible. So, we are checking on that and we will also share this PPT after this call also with all of you. So, what about this volume? Yes, volume growth was there.

 B V Shinde: Okay. So, in the growth wise I understood, but I didn't understand the realization part, why the realization decline was there, means like why we had to take such steep cut in the sales realization?
Management: You know, from last maybe two years, we keep on saying that sustainable EBITDA is 14%, 15% and about this integration, we are spending, it is not one time, maybe next quarter also a little bit will come, because integration is a cost. You know, you have to create teams, you have to travel, you have to bring experts from parent company, so th at we can bring the synergies. So now we are investing, we are spending the money on integration, and after successful integration we will have a dividend, we will get the synergies also. So, this is what we have to take with a pinch of salt, that is in a way investment, to really properly integrate the companies into our system.
B V Shinde: Okay. So largely the cost was because of the synergy effects, but as you mentioned in initial remarks also, our volume growth was higher, but revenue growth was not up to the mark. So, the selling price has declined. Is it in line with the commodity cost, input cost, or what?
Management: The thing is this, the raw material prices are softening, and we have tremendous pressure from our customers to reduce the prices. I be lieve we are still doing a fantastic job; we are still holding our prices to the maximum level. We are just giving some notional price reductions or discounts. So, but yes, the situation is this, raw material prices are going down, so the selling prices ha ve also been corrected accordingly, but margins I don't see have a dent proportionately to the prices that have come down. So we are in a better position, and we are trying to hold it back. We have concluded five or six contracts which every year w

e are re newing, with 1% or 2% discounts and all those things. So, I see it as a very stable, sustainable growth in the coming months also.
B V Shinde: Got it. And the fourth quarter results wise, if we adjust that INR64 crores, we get margins of around 13%. So, from year onward, for the next one year, how we see the profitability on the consolidated basis, if we merge DOCL and Hi -Tech, how we see the gro wth, both in volume and value terms, including realization impact, if anything, is there?
Management: You know, we earlier also said that the consolidated EBITDA should be in the range of 14% to 15%. And the Jamshedpur plant will give us a better realizati on, it will be 20% to 22%, and DOCL this year we are targeting, if we could manage to get, from single -digit to double -digit and land up around 12%, and our RHI Magnesita 15%, 16% so it will be 14% to 15% percent on a consolidated basis.
B V Shinde: Okay. And post QIP raise and everything, how the next year balance sheet will look? I mean, like how will be the borrowing for us, and how overall, what will be the, now we have taken impairment of the goodwill, so there will be impact on, I think, on the reserv es also, right? So how overall debt level we see?
Management: You know, we are at about INR500 crores of debt, and I believe INR200 crores will also come as preference, and we believe we will be having more than INR400 crores of EBITDA gain. So, I think on e to two years' time we will again be a debt -free company.

PUBLIC B V Shinde: Thank you. And in long -term prospects, as Global CEO also said that our long -term targets are around EUR600 million over. So, will we maintain that in India, and how the export mix will be over the next one years to two years?
Management: Yes, what Stefan said, the philosophy, the strategy is the same as of now, and even from last one day, yesterday, today, and tomorrow, we are reviewing our business, 360 degree review, and what we are l ooking at, what the presentation has happened, we believe that, the Indian steel market and Indian cement market is still going to grow, steel at about 6%, cement at about 11% -12%, so I don't see, why we will not be growing.
And we are looking India as a g lobal hub for production as well. So, we will be increasing our export from Indian plants, particularly from Jamshedpur and Rajgarh Guna plants, apart from what we are doing from Bibwewadi and Vizag.
B V Shinde: So approximately how can we assume around tw o times of what steel and cement on an average will grow? Can we assume that, in a long -term average growth?
Management: We are assuming we should be growing better than market growth; it is around 8%, what we are assuming, we will be growing.
B V Shinde: Okay, on the consolidation basis, you are saying, on the current numbers, which is around, after consolidating, on that business, you are saying that much growth will be there, right?
Management: Absolutely.
B V Shinde: Okay, I will come back for further questions.
Management: You are welcome.
Moderator: Thank you. The next question is from the line of Srivathsan from Avendus Spark. Please go ahead.
Srivathsan: Hi sir, just a couple of slightly more broader long -term questions. So, I was checking, you did mention about 1% -2% discount to hear from clients. I wanted to understand, how do we operate with our existing customers? Is it a market share by customer or are we solo suppliers? If that is the case, what will be the next or the second player in terms of pricing? I just wanted to understand more philosophically, how should we look at pricing, if there is one more boat of inflation that happens. Is there enough capacity and ability to pass price to our customers? I just want to understand how both you and the parent look at it from a philosophy of pricing?
Management: First of all, globally, we are

leader. In India also, we are leading the refractory industry and we have to behave like a responsible leader. As I said, the off -duty prices are softening. So, all our customers are also have accessibility to the pricing pattern and all. So, they are coming back to us. But to be very precise, almost 50% RH I Magnesita standalone business is through management contracts. And we are sole suppliers, 100% suppliers. But the relationship is so strong over the years.

PUBLIC When we went back to them for price increases a year back or so, they supported us. So, now when they are asking, okay, return back those pri ce increases. Though we are holding it back because we wanted to maintain our margins, still, we have to be very pragmatic, we have to be practical, and we have to be very responsive also to their demands. So, it is a 1% -2% discount. It will not actually, in terms of profitability, it will not have a bigger dent on our profitability. The war material price synergies or savings will be better than, what we are giving the discount to the customer.
Srivathsan: Sure, sir. The second question was on cement. You did allude that, utilizations are on the lower side. Just wanted to get a sense, this would be more new logo addition, you look to ramp up demand or what would the strategy be, given cement is not as frequent replacement as steel. Just wanted to get your t houghts on that?
Management: Cement, yes, cement is two -part. One is for rac business and the other is maintenance business. So, the situation is temporarily gone a little slow. Why? A year back, the delivery time from all refractory companies was 24 weeks to 30 weeks. And now, all the companies are delivering time 6 weeks to 8 weeks. So, the cement industry, our customers are having inventory, so they are holding it back, they are thinking further raw material will be soften and we can get a better price. So, it is a temporary thing of 2 months -3 months, they will dilute their inventory level and again, it will be open market for everything.
And normally, in India, this monsoon time, July, August, September, fo r cement industry, is a little low volume business. And October, November, December is again going back to the better than normal level. So, it is normally a cyclic thing and pricewise , I would say, the numbers for this quarter even, the volumes are low, b ut the profit margin is better than last quarter of last year.

Srivathsan: One last question, apologies if I had answered this. In this quarter's number, how many weeks or months of both Dalmia and Hi -tech were included?
Management: We took control of Dalm ia on 5th of Jan. So, it is 25 days of January and then Feb -March. And from Hi -tech, it was 1st of Feb, so two months of Hi -tech.
Srivathsan: Sure, thanks. I will come back to that.
Moderator: Thank you. The next question is from the line of Parag Chavan from UTI Mutual Fund. Please go ahead.
Parag Chavan: Hi sir, thank you for the opportunity. Sir, trying to understand on the gross margin, as you are saying, the raw material is going up, there is some pressure on the realizations as well from our customers. But when I look at historically, so say, before last two quarters, from FY ‘19 onwards, our gross margin average is about 39.5% -40%, in that range. Whereas for last two quarters, our gross margin is 34% -34.5% in that range. So, why exactly the gr oss margin reduction has happened and going ahead, how do you see the trajectory for the gross margins to pan out? This is on standalone I am looking at it, not this or the other two entities, which we have acquired and all that. Just standalone numbers, w hen I look at, this is how I…?

 Management: As in the beginning, Vijaya was saying that, there were some price increases happened before these two qu

arters, when we were having a better gross margin. And these are still over to third quarter as well because we are asking for retroactive price increases and order amendments, approvals and all those things. And all of a sudden, in one quarter we got the realization, the old adjustments of price increases. So, it gives us 19% I think if I am remembering correct ly. 19.7% EBITDA. So, this was abrasion. I on the board said many times that it is abrasion, this is not sustainable. Sustainable was 14% -15%, we were housing around 16% also.
But when you have a bigger volume, you grow. Smaller company when it was Orient Refractories standalone, the percentage wise we were at 18%. But when your base is bigger, the percentage comes down a little bit because you have a broader portfolio where you are not only having ISO products or global products which attract better margin s. Now you have a mix, breaks, everything. So, when you have an overall portfolio, it gives you absolute value, better margins, profitability. But if you talk about percentage wise, it comes down a little bit. So, we should also look at absolute numbers.
Parag Chavan: Okay, but then the current gross margins, you are saying is this normal or is there some pricing pressure involved here so from here gross margins can recover some bit?
Management: I would say coming months or coming quarters, what we are proj ecting is 14% to 15% on consolidated basis. We will be able to sustain those margins.
Parag Chavan: Okay, and then you are saying, EBITDA margin is what we should be looking at and gross margin is not the right number to look at? I mean we should be lookin g at only the EBITDA margin?
Management: I think that is more accurate.
Parag Chavan: Okay, thank you sir.
Moderator: Thank you. The next question is from the line of Manan Poladia from MKP Securities. Please go ahead.
Manan Poladia: So, my first question is, what I want to understand is we have said that our capacity has gone up from 145,000 ton to 545,000 ton. What I want to understand is what is the breakup of this new capacity and what segments will we be catering from these capacities?
Management: You know RHI Magnesita standalone was 145,000 ton and roughly 35,000 ton is coming from Hi-Tech, and balance 300,000 ton is coming from DOCL. So, it is combined capacity is 525,000 ton and we are at a level of this year around 330,000 ton and it is a mix of th ings. RHI Magnesita standalone 145,000 ton will be 145,000 ton utilized almost fully and Hi -Tech also we assume that in coming days the production will go up and we will be able to utilize the capacity to 80% - 85%. DOCL the capacity is 300,000 ton but we ar e at about 60% capacity.
So, I don't think it will go up to 80% -85% in next two years' time or so. So first we have to consolidate this 160,000 tons whatever is the capacity. Sustainable you know quality and upgrading we are looking for a modernization of these plants, bringing new technologies and,

 you know, looking at cost reduction, better margins. This is my first priority not to increase the capacity.
Manan Poladia: Correct Sir. Understood. Also, sir, would you want to make any comments on what happene d in

RHI and the parent company that has been an open offer by Ignite Group. Is there something
that would change for the Indian entity after that since it is quite a large thing?
Management: I am not supposed to talk on this, it is only Chris Bucknall our Global Investment Relation
Manager or Stefan Borgas can talk. But I can only say, this is a good development, nothing
wrong.
Manan Poladia: Right, right sir. Thank you.
Management: You are welcome.
Moderator: Thank you. The next question is from the line of Abhishek Poddar from HDFC Mutual Fund.
Please go ahead.
Abhishek Poddar: Thank you for taking my question, sir. Sir, regarding the integratio

n cost, I want to understand
if majority of it is there already in the results and or should we expect more to come in ‘24 -‘25
and if yes then what quantum? And sir, then, if you can talk about the synergies what we hope
to realize from DOCL and Hi -Tech in next one year and next three years and what areas and
what could be the timelines for those?
Management: You k now, integration cost almost major part is covered but this coming quarter, running quarter,
yes, there will be some still integration cost, but major part is gone. About synergies, we are
tracking synergies. We are on track if we talk about manpower syner gies or raw material
synergies, we are tracking that and we are on track. The numbers I don't have available with me,
but we will be -- we will have this regular call after every quarter, and we will be sharing the
numbers when available. But yes, synergies will happen, and it is almost roughly, if I say, $5
million to $6 million or roughly INR45 crores to INR50 crores synergies we are only tracking
already. But it is rough number. I don't want to give but still, if you will not get anything, you
will say, I am just talking.
Abhishek Poddar: Understood. Sir, so this INR45 crores to INR50 crores is the synergy and beyond this even in
DOCL, we are looking at the margins to go to 10% -12% next year and beyond that in the years
to come, so that will be additionally.
Management: Yes.
Vijaya Gupta: See, already you are seeing, Abhishek, the margin has gone up to 10%. So, the raw material
synergy is coming in and more so will come in the coming days .
Abhishek Poddar: Understood. And on the export part, you made a comment that looking to increase the exports
from Jamshedpur and Rajgangpur. If you could give us what was the export percentage in FY
’23? And what would be the target of exports in next tw o-three years?
 Management: FY ’23, I think, our standalone RHI Magnesita was 17%. And overall, is 12% or, so but we
believe that first we need to reach to a level of what RHI Magnesita India was say 16% -17%,
and then, ultimate target is to take it to 22% t o 25%.
Abhishek Poddar: Understood sir. Thank you. All the best sir.
Management: Thank you very much.
Moderator: Thank you. The next question is from the line of Bhalchandra Vasant Shinde from Kotak Life.
Please go ahead.
B V Shinde: I think, capacity wise as you mentioned, that only 60% will be right now available. Overall, how
you see? Means like, how the capex will be because now we have almost increased the capacity
by almost 5x. And by when you will be able to optimally use all these capacities? And ho w
much capex will need to incur to fully commercialize or fully make it operational for us?
Management: So first is capex. We have here marked about INR300 crores capex, which we will be using in
next three to five years' time. It depends upon delivery tim e and all those things, and you need
to really work on integrity design and all those things. But this will be the spend and by this
spend modernization, productivity improvement, rejection improvement I believe, by this time
when we will be spending this money and transfer modernize, we will be at about 80% capacity
level.
B V Shinde: So, five years down the line, we will be ready with the capacity of 525,000 tons only at the capex
of INR300 crores, you mean to say?
Management: Yes, absolutely.
B V Shinde: And year onwards will we be targeting any acquisition or now overall addressable market related
portfolio is complete and we will look to increase the market share. Because in India also our
market share is also lower as compared to global. So will we be -- we are endeavor to reach to
40% and by when we expect to target that?
Management: I think, you might have heard that we already have a SPA signed with the Seven Refractories
from Sylvania, Europe. In Indi

a, we have a joint venture with them in Katni pla nt with 51%
shareholding. So now with this SPA, we will be closing probably in July so that will be 100%
subsidiary of ours. So that is one thing which is already in the pipeline it is decided. But after
this, I don't see any major big acquisition or even small. There can be some adjustments type of
acquisition to that you know, say, less than INR25 crores, if need be.
B V Shinde: Okay. And sir if we exclude FY ’23, our relatively return ratios ROEs or ROCs were in the range
of around 25% -30%, right. So be cause of this acquisition and relatively margin slightly at the
lower level our return ratios will be relatively lower for this year. But by when we expect to
return to those kind of return ratios what will be our target when we expect to come back to
those kind of return ratios?
 Management: I don't see in short term. It will go back to that level, but I think 18% to 20% ROC should be the reasonable number.
B V Shinde: That means next one year to two years, you are saying, 18% to 20% will be achievable but once
we achieve that 80% kind of a capacity then we can target those kind of return ratios. Is it fair
to assume that way?
Vijaya Gupta: Yes.
B V Shinde: Thanks. Thanks sir.
Management: You are welcome.
Moderator: Thank you. The next question is from th e line of Ashish Kejriwal from Nuvama. Please go ahead.
Ashish Kejriwal: Hi. Thanks for giving me an opportunity. So, three questions. One, when you are speaking about
the capex of INR300 crores in next three -five years, is it possible to, you know, break down into
FY ‘24 and FY‘25 how much our capex could be including maintenance capex?
Management: When I am saying, INR300 crores this is only modernization and development capex.
Maintenance capex, over and above will be about INR100 crores every year for all these nine
plants put together.
Ashish Kejriwal: So, is it safe to assume that FY ‘24 and FY ’25, could be INR200 crores each?
Management: We are still working. We are creating a blueprint what are the first priorities. You know we have
already ordered three mixers for Rajgarh core. We have ordered one pres s for Jamshedpur. So,
it is still work in progress. You know you need to give us few more months to really have a, you
know, the broader picture is there like I said. We need these things, but we have to prioritize,
and you know, integration is not that ea sy.
We are running post to pillars and doing too many things. So first we need to look into a low
hanging fruit without capex or with very small capex, how we can increase the productivity and
increase the margins. This is the first priority. And then, whe re is the most important need to
invest. Historically, we are very conservative in spending capex. So, we will not be spurring
your money. It will be used very judiciously. So maybe next three -four months' time, we will be
able to tell how much we are goin g to spend next two financial years.
Ashish Kejriwal: Sure. And so, second question is, in terms of your revenue guidance, because you mentioned
about 8% volume growth. Obviously, that takes into account the console entity now on a -- so
by looking at the current raw material prices and the negotiations which you are having with
your customers, is it possible to share some kind of range of revenue guidance for FY ‘24?
Management: It will be to the tune of 4,400 approximately. It can be 4,300 to 4,500 or so mething like that.
Ashish Kejriwal: Sure. That is helpful sir. And sir lastly, it's a bookkeeping question. Is it possible to share Q4
volumes for different entities?
 Vijaya Gupta: Yes. Q4 shipments as I said 2,87,000 is for RHIM and we had 41,500 for othe r entities together.
Ashish Kejriwal: That's for full year?
Vijaya Gupt

a: Yes. You want it in quarter? So, quarter is 68,000 for RHIM, 37,000 for DOCL and 4,500 for
Hi-tech (Jamshedpur) .
Ashish Kejriwal: Okay. Thank you and all the bes t.
Moderator: Thank you. The next question is from the line of Anish Jobalia from Girik Capital. Please go
ahead.
Anish Jobalia: Yes sir. Hi. Good evening. So, some of my questions will be answered, sir. One thing that I
would like to understand is the dep reciation. So, our quarterly run rate has gone up from INR10
crores to INR40 crores. So that's like a four -fold increase between the standalone and after the
consolidation. So, if you can just break that up, how this kind of an increase has happened and
what can we expect going forward in terms of the run rate of quarterly in the next year?

Vijaya Gupta: Yes. See INR32 crores in this INR70 crores depreciation, INR33 crores is for the other entities and as you know, we have done this fair valuation. So, this will impact our depreciation at least say around INR70 crores additional.
Anish Jobalia: Sorry, I am not able to understand. So, you are saying it will be…
Vijaya Gupta: Okay. We can connect separately if you want. I can explain it to you.
Anish Jobalia: No but at least, do you think this INR40 crores run rate will continue on a quarterly basis? I mean is that the right way to understand on a net -net basis?
Vijaya Gupta: Yes.
Anish Jobalia: And it won't increase right? So INR40 crores okay. And this you are saying will continue for some time but then it will start coming down, is that it?
Vijaya Gupta: No, it won't come down, because it's depreciation on the fair value of assets done. So, we have allocated the purchase consideration. So, this wil l be in this range in the coming days.
Anish Jobalia: Okay. So rest of my questions are answered. Thank you.
Moderator: Thank you. The next question is from the line of Pratim Roy from B&K Securities. Please go ahead.
Pratim Roy: Yes, hi sir. I have just two clarification questions. One is that you have mentioned that your EBITDA margin for the standalone basis is stood at around 10% right? Is this the correct thing?
Vijaya Gupta: Yes for -- can you repeat your question?
Pratim Roy: This was for DOCL.
 Vijaya Gupta: DOCL. Yes.
Pratim Roy: No, I am talking about the 4Q adjusted EBITDA, if you don't consider DOCL and Hi -Tech what is the number? It's 10%.
Vijaya Gupta: Yes. So adjusted EBITDA if you don't consider is 14.4%.
Pratim Roy: Okay. 14.4% without considering that Dalmia OCL and Hi -Tech right?
Vijaya Gupta: Yes, for Q4.
Pratim Roy: Okay. And one more thing ma'am, for the FY ’23, what is the current debt position that was mentioned? I don't have the presentation also. So, if you can mention that the current debt position gross level or net level?
Vijaya Gupta: So, the current debt position is INR500 crores. So, it has ECB loans to that you know INR300 crores and working capital of INR200 crores.
Pratim Roy: Okay for next -- next year it will come down?
Vijaya Gupta: No, it will be in this range only.
Management: No, it will come down in coming days.
Vijaya Gupta: 31, March is INR1,500 crores and as of April is INR500 crores.
Pratim Roy: Okay, 31st March it is?
Vijaya Gupta: INR1,492 crore s. From the QIP proceeds, we have paid off the bridge loan and as of 31, April we are at the level of INR500 crores in which ECB is INR300 crores. These are long term loans, and the working capital loan is INR200 crores. So total debt is at a consolidated level is INR500 crores. And this we will maintain.
Pratim Roy: Okay. This we will maintain for the next one -two years.
Vijaya Gupta: Yes.
Pratim Roy: Okay, thank you ma'am.
Moderator: Thank you. Ladies and gentlemen that was the last question for today. I would now like to hand the conference over to Mr. Parmod Saga

r, MD and CEO and Ms. Vijaya Gupta, CFO for closing comments.
Parmod Sagar: So, friends, I think, we have clarified the doubts and I again reassure you; your company is in safe hands, and we will make sure that we keep on growing. The confidence, the faith, the support you have given to us in the past, please continue in future also. So that we with your support can deliver the results as we are projecting. Thank you very much for your time. And if anything is left out, if any question, anything is in your mind, kindly reach out to Vijaya or me and we will be more than happy to answer your queries. Thank you so much.
 Vijaya Gupta: Thank you. And I just want to add that the estimates whi ch we had given in the beginning of the year, we stand by it. If not meet, we should be able to improve upon them. Thanks a lot.
Moderator: Thank you. Ladies and gentlemen, on behalf of RHI Magnesita India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Parmod Sagar: Thank you.
Vijaya Gupta: Thank you.

Call: Aug 2023

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August 18, 2023

National Stock Exchange of India Limited
Exchange Plaza, C -1, Block -G
Bandra Kurla, Complex, Bandra (East)
Mumbai -400098, Maharashtra, India

NSE Symbol: RHIM BSE Limited
Phiroze Jeeyeebhoy Towers,
Dalal Street, Mumbai -400 001
Maharashtra, India

Scrip Code: 534076

Sub: Intimation of transcript of conference call – 1st Quarter ended 30 June 2023

Dear Sir/ Madam,

Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements), Regulations, 201 5, please find enclosed herewith the transcript of the conference call held on 1 1 August 2023, for discussing the earning performance of the quarter ended 30 June 202 3.

Kindly take the above information on your records and oblige .

Thanking you.

Yours faithfully,

For RHI Magnesita India Limited

Sanjay Kumar
Company Secretary
(Membership No. ACS -17021)

“RHI Magnesita India Limited
Q1 FY’2 4 Earnings Conference Call ”
August 11 , 202 3

MANAGEMENT : MR. PARMOD SAGAR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – RHI MAGNESITA INDIA
LIMITED
MS. VIJAYA GUPTA – CHIEF FINANCIAL OFFICER –
RHI MAGNESITA INDIA LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY 2024 Earnings Conference Call of RHI Magnesita India Limited , hosted by HSBC. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star, then zero on your to uchtone telephone. Please note that this conference is being recorded.

From the management team, we have with us today Mr. Parmod Sagar, MD and CEO, and Ms. Vijaya Gupta, CFO. We will start the call with brief opening remarks and then open the call for Q&A . I will now hand the call over to Mr. Parmod Sagar for opening remarks. Thank you and over to you, sir.

Pramod Sagar: Thank you very much. Good afternoon, dear investors. Happy to connect with you about your company's performance. If we talk about first quarter, it has been in line with expectations of our business plan. Continuing our growth trajectory, overall our top line and adjusted EB ITDA has been benefited from organic growth as well as the recent acquisitions .

Let me also share with you M&A related development. So M&A revenue starts, it shows an impressive contribution, accounting for 33% of consolidated revenue during Q1 '24, m arking an 18% growth on quarter -on-quarter basis. This reflected a successful integration and synergies realization. DOCL Limited, which now we have got the name change approval. So, a transport, this company's name is RHI Magnesita Disruptive India Limited DOCL and JSP, Jamshedpur grew by 9% and 20%, reflecting solid performance during this period.

M&A EBITDA margin also improved by 2.3% to reach 13.3% in Q1 24, a testament to the realization of synergies and capabilities of RHI Magnesita India Limited . If we talk about margin improvement in these subsequences, DOCL exhibited a n EBITDA margin of 11.7% up from 10.2% in Q4 '23. Similarly, Hi-Tech showcased a significant growth in EBITDA beta margin reaching 20% from 15.8% in Q4 '23.

These improvements can be attributed to various factors including synergies, network optimization, and product range benefits. The su ccessful realization of significant cost and revenue synergies was evident in various aspects revenue synergies was evident in various aspects, such as recipe and raw material harmonization, product transfers, and use of scanty raw material.

Forward -lookin g, industry is set to experience robust growth driven by sectors like steel, cement, glass, non -ferrous, bounced by governments initiatives, infrastructure push, during their budget policies, etcetera. RHI Magnesita India Limited technically combining orga nic and inorganic growth strategies to meet rising demand. Recent acquisitions of D OCL and Hi-Tech chemicals expand production capacity and diversify the product portfolio.

These moves position the company to cater to a wider range of end applications. The acquisition of Dalmia OCL brings a well -established product footprint and cross -selling opportunity. The acquisition of Hi-Tech chemicals enhanced our flow control production capabilities in India, but not limited to India, driving synergies and expanding its offerings.

This is overview from my side and I would now request Vi jaya if she can share a little bit about financial numbers with our respected shareholders that will be giving them more clarity, Vi jaya, over to you.

Vijaya Gupta: Thank you, sir, and good afternoon, everyone. So now talking on financial performance, if we compare Y-o-Y with previous quarter last year, there was a strong revenue surge and revenue witnessed a 54% growth. This was primarily driven by substantial volume increase of 66% wi th contributions from standal

one at 3% and from M&A at 62%. That is 44,000 tons shipment from and the DOCL primarily.

Shift in EBITDA margins, we are seeing EBITDA remain healthy at 15.4%, but it was lower when we compare with Q1 of last year, which was pr imarily due to increase in employee -related expenses, and it was partly offset by prices by 0.7%.

Now talking about debt, the debt which we had raised, the acquisition loans of the 9,850 million, we paid them off through QIP proceeds, 7,522 million, and th e balance was paid at 2,328 million through internal accruals and ECB proceeds.

So with this, we now have a healthy cash flow at closing cash flow, balance of 3,605 million. This shows that we are having a healthy financial position and a disciplined appro ach to managing our financial obligations. Our cas h conversion cycle remains flattish at 87 days versus

85 days in March and this is after strong improvement from 105 days in September 22. There was improvement in inventory and disable cycle which was offset by reduction in tables during this quarter.

We had successfully reached a QIP proc eeds of 8,798 million net of expenses. We thank all the investors who had shown confidence in us and the proceeds from QIP has been fully utilized towards repayment of borrowings and funding working capital requirements for which we had borrowed.

In addit ion, the preferential allotment of INR2, 000 million was a strategy to enhance the financial position and support the c ompany's objectives. Now, if we compare versus the previous quarter, that is the March quarter, there was a 6% growth in revenue, which wa s primarily driven by volume growth of 11% and offset by 4% due to change in sales mix.

Product mix because of DOCL prod ucts having lower realizations a nd with this, our EBITDA margins improved by 1.9% and stoo d at 15.4% during this quarter a nd this is al so attributed to 2.8% improvement in material cost. With this, now I hand over to the operator for questions. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question -and-answer session. We have the first question from the line of Srivathsan from Avendus Spark. Please go ahead.

Srivathsan: Yes, hi. Thanks. Two questions from my side. One on the revenue line the price softening or weakness o r 4% price adverse mix. Just wante d to get a sense, is it more because of raw material softening that's kind of being passed on? And th e impact of that is what it is, that is one.

Second, t he adjusted EBITDA margin is well above the initial range we are targeting for FY ’24. So, just want t o get a sense if you look to revisit the FY ’24 broader adjusted EBITDA margin you are looking a t. That's it for me, thank you?

Parmod Sagar: So, this 4% price, it is a mix of what you said, the raw materials softening yes we have to pass on to our customer s, but it is not 100% pass on . We still have a healthy margin . Secondly, it is a product mix also, because with the DOCL, particularly high -alumina mixes and bricks, t he selling price is, say, from 20,000 to 40,000 a nd the margins are also – they are very competition, and it is also an effect of that. So, it's a combination effect of raw material softening and product mix.

Secondly, we are really happy that whatever we projected, we are goin g a little ahead of that. I would not see anything immediately to revisit our forecast or projection, which we have shared with you guys. Probably at other quarter and then we will look into it, half yearly result. Still the market is volatile, and during rainy season, steel and cement production goes down, which eventua lly compensated during our festival season before Diwali. But I wo uld like to keep it as it is when we w ill revisit after half year results . Thank you.

Moderator: Thank you. We have the next question from the line of Rajesh Majumdar from B&K Securities.

Please go ahead.

Rajesh Majumdar: Yes, good afternoon, sir. Good afternoon, ma'am. I had a question that this INR69 million one time, does it pertain to just the consolidated numbers or to the standalone numbers as well?

Parmod Sagar: Vijaya you would take it?

Vijaya Gupta: Yes, yes. It is standalone number only. It is the integration costs which has spilled over. So , essentially, travel and consultants cost which is there coming this quarter.

Rajesh Majumdar: Okay, ma'am. So in that case, i f you add that, yes.

Parmod Sagar: Rajesh, b ut it is not already over. It will be in this quarter also, not that much, maybe a little bit, but there will be still and probably from next quarter, it will be fully eliminated.

Rajesh Majumdar: Yes, was my question that are we at the end of the one -time na ture of expenses post the mergers, or will we still see some more, s o how meaningful will be those one -time?

Parmod Sagar: Yes, so we officially closed the project, Milan, which was an integrati on project on 31st of July. So, on 31st of July, that means a few days back, there was continu ous expense a nd there will be some in August also. But next quarter, I don't see, as of now.

Rajesh Majumdar: And sir my next question is, even if you add back that one -time expense, our EBITDA margin for the standalone businesses is just 16 % odd , which is still much lower compared to what we were pre-COVID before we s tarted having pricing gains, et cetera. You see th at we used to make 17%, 18%. So, is that an area of concern that a standalone EBITDA margin is slightly lower than what it used to be earlier?

Parmod Sagar: Rajeshji I think from last three years, I'm very consistent with my statement that a sustainable margin is around 14 %, 15%. The base has gone up so big. When we are talking about pre - COVID, it mean s it was standalone and Orient refractories is limi ted, RHI India private Limited, RHI Clasil Limited. So, when we merged, it was in 21, right? So, from that point, I said it will not be possible because Orient refractories was low control product. So, 17%, 18% was sustainable. But when it co mes to trading goods through RHI India and high elementary of goods and listing from RHI Clasil , if we could manage a healthy contribution of 14%, 15%, it will be really sustainable. I don't have any concern about that.
Rajesh Majumdar: Okay, but sir you've always delivered more than your guidance in the past. So I guess we should look at slightly better margins from the combined entity as well , right over a period of time?
Parmod Sagar: We will keep on, we will keep on striving for better margins that is our job. So, we are working on th is. But I would say it is good and not a n area of concern.
Rajesh Majumdar: Okay , sir. Earlier, we were look ing at INR4,500 crores of turnover for the year, if I'm not mistaken. Now, this quarter is only 930. Should we look at slightly lower number beca use of the price reduction, than INR4,500 crores o r it will be around the same figure for the year?
Parmod Sag ar: No, it was we said it will be between 4 ,000 to 4 ,500. So, you rightly said the softening of prices will have an impact of our selling price. So, probably it will come down, but I think it should – it still remain to the range of 4,000 plus.
Rajesh Ma jumdar: Thank you sir. I will join back the queue.
Parmod Sagar: Thank you Rajesh ji.
Moderator: Thank you. We have next qu estion from the line of Amit Anwani from Prabhudas Lilladher. Please go ahead.
Amit Anwani: Hi, so thanks for the opportunity. Just wanted to understand as you rightly highlight ed that the contribution of flow control was high er when we merged in FY' 21 with the other two companies and you highlighted 14 %, 15% guidance for this year. So, just wanted to understand with respect to flow control, what

was the contribution this quarter or any target, keeping in mind that ultimately we would like to achieve 16 %, 17% margins in two years , three years, if that is an objective?
Parmod Sagar: Very good questions, w ith hig h-tech, definitely which means intention is to – so our intention is to increase m argin and as Vijaya said flow control we have done reasonably well. Las t quarter it was 15.8% from Jamshedpur plant, high -tech, erstwhile hi -tech, and this quarter it is 20%. So, if we will be able to gain market share in f low control, definitely the margin will go up, but if you see the overall picture out of INR4,000 crores, it is hardly INR1,000 crores. So , the impact may not be so significant that overall it will go back to 17 %, 18%.
Amit Anwani: We're seeing good demand in domestic or export for flow control and second thing, how much was the exports contribution this quarter?

Parmod Sagar: Yes, we are looking at both domestic as w ell as export. This quarter, Vijaya , can you sha re the number?
Vijaya Gupta: Yes, export this quarter was 11% on consolidated basis a nd so export as you know if we take the reduction in SG&A and other costs, so the contribution is more or less is lying with the domestic.
Parmod Sagar: But it will go up there is some inherent problems all over the globe. We have a Ukraine -Russia war, and Europe is under recession, so that's why exports are subdued, but in due course of time, it will pick up again.
Amit Anwani: Right, my final question , sir, on capacity expansion at Cuttack which you have highlighted in your PPT from 18kt to 30kt. So, this is which kind of product and is this despite acquisitions which we have done where does it fit in our strategy?
Parmod Sagar: Yes actually, Cutta ck is one product line plant, it is Magnesia carbon bricks. So in Dalmia plants, Magnesia carbon bricks was hardly produced, only in Rajgangpur about 200 ton , 300 ton per month. Just to consolidate and bring i ts energy, we thought we will produce only there, bu t the capex which we planned for Cuttack , it was well before we go on for acquisitions. But still, it makes sense because we are st ill bringing a lot of Magnesia carbon bricks from our global plants. So, it is local for local.
As you know, government of India got for SAIL plant is anything less than INR200 crores , you have to have a local manufacturing. So, that gave us a leverage over many players. So, that was strategic decision to increase the production to cater to that market.
Amit Anwani: Thank you, sir, and all the best. Yes.
Parmod Sagar: Thank you very much.
Moderator: Thank you. We have the next question from the line of Chetan Doshi from Tulsi Capital. Please go ahead.

Chetan Doshi: Congratulations Parmod for giving a fantastic number in the first quart er compared to the year ending. Now m y main question is after taking over Dalmia and Hi -tech, apart from the...
Moderator: But there is lot of disturbance from your line sir. Could you switch to handset?
Chetan Doshi: Apart from capacity, additional capacity by taking over Dalmia and Hi -tech, is there any product line where their presence was there and RHI was not and which has helped us in getting into those markets where RHI was not present at all because the price what we gave for these two acquisitions is mar ket sources say that it is very, very high. So, can you throw some light on this?
Parmod Sagar: Sure, sure Chetanji. Thank you very much firstly for your appreciation. This is your company we are ru nning it. So thanks to you guys for your support and the confidence of the management.
Secondly just this Dalmia particularly, it was having very strong presence in non -steel area,

industrial like cement, non -ferrous, glass etc etera . Yes, w e

were very weak , so historically the
ratio is 70% steel, 30% non -steel.
But we wer e 80% steel, 20% industrial. So, we were very strong, but not so strong in industrial.
Then the Dalmia, now we are almost at th at threshold. So, now Dalmia's ratio was 50 -50, 50 steel, 50 industrial. So, they were very strong. So , that brings us a lot of products which we re missing in our portfolio.
So, now we can cater to that industry. And we are well positioned in terms of locations as well because Dalmia plant are all over the place an d with the lo w selling price, low margin, RHI Magnesita India was not able to compete only from from Vizag plant. If you want to sell something to Gujarat, the freight is INR5,000 a ton and selling pri ce is 25,000. So it's a 20% freight . So we were outplay ed by many local players.
But now I have plant in Gujarat itself, which will give me that flexibility to compete in the market and with a reasonably good margin as well. So, this brought us from Dalmia side and Hi - tech. Hi -tech we were very strong in long products, flow control long products and Hi -tech is having best technology. They were having a real thin slab caster technology which was missing from my Bhilawadi plant.
So with that, we are now able to compete with our competition, with the monopoly , the name of that company. So, now we are well place d to compete in that market. So, technically both acquisitions were very well placed and thought of for decisions.
Moderator: Sir it seems like this participant has disconnected their line. We will move to the next question.
We have the next question from the line of Sahil Sanghvi from Monarch Network Capital. Please go ahead.
Sahil Sanghvi: Thank you for the opportunity and congratulations sir and ma'am and to your team for excellent cost control and ma rgins. My first question is, what kind of price declines a re the customers asking for you i s it to the magnitude of 2% to 3% or could it be more than 5%?
Parmod Sagar: Sahilji . Thank you very much for your well wishes, congratulatory message. Customer is asking in double digits, 10% to 20%. So , we got the price i ncreases also in those numbers and n ow they are asking to roll back those prices or increases. But somehow we could manage to hold on to our prices and we have not passed on substantial discounts to our customers.
But, fourth quarter, I can see the pressure will be mounted more because steel prices are also under pressure. So, definitely they will come ba ck to us for further reduction a nd let's see how far we can hold on to those prices.
Sahil Sanghvi: Right, sir. But for this year, what kind of declines should we expect, sir? I mean, what kind of pass on should we have to give?
Parmod Sagar: Very difficult Sahilji to predict. But I think on an aver age we should keep it in mind 4%, 5% should be an impact. With that I still believe this reduction. The top line will be impacted , but margin percentage wise will remains low.

Sahil Sanghvi: Got it sir, got it. My second question is sir, we have -- I believe we have not spent any kind of refurb ishment capex yet and you had mentioned about a INR300 crores to INR350 crores kind of a target to refurbish the Dalmia capacities. So, if you can give me two numbers, one, what kind of refurbishment capex are we pla nning a nd the second is what kind of gro wth capex are we planning in the existing capacity?
Parmod Sagar: Sahil ji, we are going a little slow when it comes to capex. We have planned capex. We have roughly INR 300 crores capex , including high -tech plants. But we are first trying to see how we

can optimize the production facility, increase capacity without much capex , and reduce the craft
rates and all those things, no hand in fruit, without investing. So we have to first reach to a certain
level which we are trying to do. You can see from

numbers, we have not put any capex but still
there's an improvement.
So this is our first target, how much leverage we can do without putting capex and then what are
the bottlenecks , where we n eed to really use the capex and we will be using it judiciously. We
are not in a hurry to spend this INR300 crore s in next one year. It will take three years , four
years , five years to spend wisely and need -based.
Sahil Sanghvi : Right, sir. That's a really good strategy, sir. Just one add -on question on that. On the RHIM
capacities, I mean, Bhiwadi, Vizag, and Cuttack, over there, do we have any growth capex lined
up?
Parmod Sagar: Not really. They are already, we spend in Vizag plant last year and the begi nning of last year,
about INR55 crores, INR60 crores. And we are good that with that, we don't want to spend any
money. Cuttack, we already did expansion. Now we need to fill up that plant to 30,000 tons,
which I'm sure we will be able to. And the Bhiwadi, also we don't see anything. Rather, what we
are trying to do is optimizing our producti on footprint to various plants.
Like if I'm selling anything in Jamshedpur area or in eastern part of India, why should I produce
in Bhiwadi plant and send it to east? Why should not I shift it to Jamshedpur plant and gain some
margin from there synergies? So these are the work in progress we are trying to do that. We
don't need any serious big capex in RHI Magnesita India -Lmited plants.
Sahil Sanghvi : Got it, sir. And o ne last question from my side is, when I see your PPT, first of all, very nice
PPT, sir, very informative. My question is regarding the page 10, sir. We have two bar charts in
that waterfall chart, INR351 crores and INR127 crores. Are these both related to the spending
for working capital? Just want to confirm.
Parmod Sagar: Vijaya?
Vijaya Gupta: Yes, I'm just going to the chart. Page 10. This is on utilization of cash flow. You are asking?
Sahil Sanghvi : Yes. So we have two figures, INR351 crore s and INR 127 crores. Are these both for the working
capital requirements of the acquired entity?
Vijaya Gupta: This INR121 crores was payment towards purchase consideration, which we paid through
internal accruals. So this and INR57 crores is working capital increa se versus last March quarter.

Sahil Sanghvi : No, madam, I'm talking about the utilization of QIP proceeds ?
Vijaya Gupta: Okay . So, yes, which one?
Sahil Sanghvi : INR351 crores and then there is INR127.5 crores. Both of these numbers ?
Vijaya Gupta: INR351 crores, the fund of QIP proceeds, which we transferred to DOCL for payment of bridge
loan there and INR127 crores, the INR150 crores was for general corporate purpose out of which
INR127 crores is what we have utilized for payment of working capital , all vendor payments.
Sahil Sanghvi : Got it. Thank you so much, that's all from my side and all the best.
Vijaya Gupta: Thank you.
Parmod Sagar: Thank you, Sahil .
Moderator: Thank you. We have the next question from the line of Naushad Chaudhary from Aditya Birla
Sunlife Asset Management. Please go ahead.
Naushad Chaudhary: Yes, hi. Thanks and congrats on a good set of numbers , sir.
Parmod Sagar: Thank you, sir.
Naushad Chaudhary: Firstly, on our total refactoring management services piece of business, so now, 1Q number,
what percentage of business would be from this?
Vijaya Gupta: Sir, c an I answer this?
Parmod Sagar: Yes, please.
Vijaya Gupta: At a consolidated level, it is 31% of the revenue.
Naushad Chaudhary: So initially we had quite a mbitious tar get and I just want you to know?
Vijaya Gupta: See for a standalone RHIM it is high, around 46%, but the new entities that we have acquired,
they're just low, so overall it is 31%. And we will be moving more and more towards production -
linked s olution -based services, as you know, that

gives stickiness of the customer and helps us
maintain our realizations.
Naushad Chaudhary: So on standalone also 45%, it has not moved up much versus what we were expecting earlier.
So if we can add some point her e, what exactly would help us to make it more sizable in terms
of overall portfolio and how it will change overall business dynamics in terms of your control
on the margin as well as on the working capital plus visibility. So let's say if you take it from 45
to 65, how it would shape up the entire business?

Vijaya Gupta: So if we move more and more towards, you know, TRM that contracts, it is, we are managing
the refractory business for our customers. So this brings in more dependency of the customers
as th en what happens is also the margins are higher than what we get because we have and this

does lead to additional working capital, but we get better realization because it is linked to t he
performance of the customer.
As the customers performance improves, we get paid more and over a period of time, our
efficiencies also improve. So we our costs come down. So this helps us in bettering the margins
there. And as it is a very small portion of the customers cost, they won't mind, maintaining or
paying the extra charge.
Naushad Chaudhary: And internally, what do you think, what we need to do? So we have filled the product gap quite
substantially, but what else do we need to do to make it to move the needle from here to take it
to the next level?
Vijaya Gupta: Yes, we are in discussion to increase such contracts and these are essentially for more larger
customers and we are focusing on increasing in this area.
Naushad Chaudhary: Apart from product gap, is there anything else we need to work out to, make it to take it to next
level?
Parmod Sagar: Not really.
Naushad Chaudhary: Okay. And lastly, in terms of the outsourcing or trading portion of the business, what percentage
of 1Q blended would be of outsourcing and is there any scope of making it in -house or if you
can share the rationale of outsourcing?
Vijaya Gupta: Our endeavor would be to make more and more in -house and local for local is the strategy and
the local for local strategy. Keeping with that, our share of look in house manufactured goods
for sales has i mproved from 70% previous quarter to 76% now. And with the main purpose of
acquiring Dalmia and Hi -tech was to, to increase the local manufacturing.
Naushad Chaudhary: How do we see the outsourcing portion in the [TNL] in coming years?
Parmod Sagar: It will not be eliminated totally, but the endeavor is to reduce year by year. So maybe in the next
three years, four years, we can bring it down to 15 % to 16% or so.
Naushad Chaudhary: Okay, and last clarification on the margin guidance, 14 %, 15% we said on a standalone or it's a
consolidated?
Parmod Sagar: Consolidated.
Naushad Chaudhary: Okay.
Parmod Sagar: And that is quite challenging.
Naushad Chaudhary: 14%, 15% looks c hallenging to you, sir, at this point?
Parmod Sagar: It is challenging because with the Dalmia, the numbers are low. And it is a challenge. It is not a
cakewalk for sure. We have to hold that out, right? We have to get the orders, reasonably good

margins. So it is always a challenge, keeping a good margin is not a easy. But we keep on
delivering year after year. so we are confident , we will be able to do that.
Naushad Chaudhary: All right. And on the Project Milan, out of, let's say, 100, what percentage of benefits would
have reflected in this quarter and what percentage is remaining , which should keep flowing
throughout the year?
Parmod Sagar: Vijaya, we can quantify. I don't th ink at present , we can quantify. I can only say , the manpower
synergies, we overachieved and the raw materials energies, we ar

e in time and many more like
product optimization and they are in the pipeline, a work in progress. But I can't say percentage
how much is there and how much is going to be.
Naushad Chaudhary: All right. All the best. Thank you so much.
Parmod Sagar: Thank you.
Vijaya Gupta: Thank you.
Moderator: Thank you. We have the next question from the line of Pratim Roy from B &K Securities. Please
go ahead.
Pratim Roy: Hi, sir. Congratulations on the good set of numbers again. So I have two questions. One is on
the amortization of goodwill of INR1,090 crore s and INR1,200 crore s intangible assets to the
acquisition. What is the status of that? And the second question is what will be the intangible
assets as on that it was used? For the current financial.
Parmod Sagar: Vijaya, please.
Vijaya Gupta: Yes. See, as far as goodwill is concerned, there'll be no amortization of goodwill because it is

tested for impairment. So if the business continues to grow, there will not be any additional hit on account of goodwill. And as far as intangible assets is concerned, intangible assets are amortized and you are seeing the impact in terms of higher depreciation. So depreciation this quarter is INR46 crore s. That is 5. 12…
Pratim Roy: How much is that?
Parmod Sagar: INR36 crore s.
Vijaya Gupta: INR46 crore s.
Parmod Sagar: INR46 crore s, 5% of the late fee.
Vijaya Gupta: Yes. 5% of the fee.
Pratim Roy: So only for that particular asset, what is the amortization for that in general whatever came in from the Dalmia OC L?
Vijaya Gupta: Yes, okay.

Pratim Roy: So this is on 46 crores is all over for the business, right?
Vijaya Gupta: Yes. And you see, we now talk on consolidated loan deals. So for Dalmia, the depreciation amount is INR29 crores.
Pratim Roy: INR29 crores, okay. Thank you. And all the best for the coming quarter .
Parmod Sagar: Thank you.
Moderator: Thank you.. We have the next question from the line of Sanjay Nandi from VT Capital. Please go ahead.
Sanjay Nandi: Yes, good evening, sir. Thank you for the opportunity. Congrats on a good set of numbers and a superb presentation.
Parmod Sagar: Thank you.
Sanjay Nandi: Sir, like in the presentation slide in the last slide you mentioned , we have clocked a capacity of 85,000 tons in this quarter, right? That is 64% of utilization.
Vijaya Gupta: Yes.
Sanjay Nandi: So which shows to a number of roughly 1 ,33,000 tons of overall capacity, right?
Parmod Sagar: I would say in other words, in RH I, Magn esita India plants, our capacity utilization is about 85% and Dalmia and Hi -tech, it is about 54% and overall utilization on consol idated basis is about 64%.
Sanjay Nandi: What is overall capacity as on date, in a consolidated capacity?
Vijaya Gupta: Yes, total capacity is 530. you're right.
Sanjay Nandi: 5,30,000, right?
Vijaya Gupta: Yes.
Sanjay Nandi: Okay, and what is equival ent to the industry capacity now?
Vijaya Gupta: Please come again. Can you repeat your question?
Sanjay Nandi: Yes, I would like to know , what is the equivalent industry capacity compared to what we are at present?
Vijaya Gupta: Okay. Total industry siz e you are asking?
Sanjay Nandi: Yes, sure.
Vijaya Gupta: Okay. So we have. S ir would you like to take this question?

Management: Actually, I don't have answers for this. You know, I can tell you the industry size is about 14,000 crores.
Sanjay Nandi: revenue ?
Parmod Sagar: Yes. So in terms of capacity, it is very difficult to explain. There are a hundred of suppliers , who are making very low alumina INR15,000- INR20,000 ton products , where the tonnage will be huge but revenue will be maybe INR10 million only. So it is not the right representation, I would say. We should t

alk about revenue. Right.
Sanjay Nandi: Got it, sir. S ir, thank you so much. That's all from my side, sir. Wish yo u all the very best.
Parmod Sagar: Thank you so much, sir. Thank you.
Moderator: Thank you. We have the next question from the line of Binoy Jariwala from Sunid hi Securities and Finance. Please go ahead.
Binoy Jariwala: Yes, thank you for the opportunity. Ma'am, you called out in the call that our in -house component is about 76%. So this 76% is on a consolidated level and on volume, total sales volume, right?
Vijaya Gupta: It is include as, sir I just mentioned. We talked in terms of revenue.
Binoy Jariwa la: So, it's a consolidated revenue, right?

Vijaya Gupta: Yes, that's right.
Binoy Jariwala: Okay, and just the last question, is it possible to call out what is the kind of margins, EBITDA margin we earn on the RMS business? Or if possible, if you could call out , what is the differential between the base business versus the RMS business EBITDA margins?
Vijaya Gupta: What do you mean by RMS?
Binoy Jariwala: Refractory Management Services.
Parmod Sagar: So roughly standalone R HI Magn esita India it was about 44% of total revenue. But with the Dalmia and HI-tech in place, I believe it should be in 20s now. But we don't have a exact number. We can share with you. You can share just on chat, if you can put your email ID, we will share the numb er. But a t present , I don't have number, but I know by heart, R HI Magn esita was about 34%.
Binoy Jariwala: Sir, I'm asking about the EBITDA margin on this piece of business ?
Parmod Sagar: EBITDA margin, as Vijaya said, normally for SLS contracts or management contracts, it is a little better than a normal supply base, but it has its inherent also expense like working capital. So I would say , it is a surest business, long -term assurance business , where you can plan your resources, everything but it wi ll not give you substantial increase in margins.

Binoy Jariwala: Understood. So essentially you're saying that this brings better visibility and long term visibility versus not essentially bringing in more margin as such ?
Parmod Sagar: Yes, you are elimina ting competition. Like Sunflag , we are going from 2001, so 22 years we are the sole supplier for that company . So that gave you assured business , volumes everything and you are not negotiating every year competing with the competition and all.
Binoy Jariwa la: Understood and these contracts are typically for what tenor?
Parmod Sagar: Normally , it is three years with every year price negotiation up and down depending upon certain parameters, there are formulas and based on that , it goes up and down and durin g this last two last year , when there was a very surge of raw material and sea freight, even we did not wait for a year, conclusion and going for negotiation, we reached out to our customers, we cannot wait for another five months or six months and they su pported us. So it is like a stronger relationship , where both parties support each other.
Binoy Jariwala: Understood. Okay. Thank you. Thank you so much, sir.
Parmod Sagar: You are welcome. Thank you.
Moderator: Thank you. Ladies and gentlemen, due to ti me constraints, that was the last question. I would now like to hand the conference over to Mr. Parmod Sagar, MD and CEO, and Ms. Vijaya Gupta, CFO, for closing comments. Please go ahead.
Parmod Sagar: So, dear investors, as we promised, every quarter afte r this Board meeting, the result announcement, we will continue this practice of having a call with you. And I can assure you , we will try our best to run your company to the best of our abilities and we are accessible. You can reach out to us any time in between the quarter if you have serious concern or you want to have any clarification, we will be more than happy to answer your quest

ions. Vijaya, you want to add anything? Hello, Vijaya?
Moderator: It seems Ms. Gupta's line is disconnected. Do you want me to reconnect her?
Parmod Sagar: No, it's okay. I think , we're done with it. Thank you very much everyone for your time, for your efforts, for your investments in the company. Have a good day.
Moderator: Thank you, members of the management. Ladies and g entlemen, on behalf of RHI Magn esita India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2023

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Date: 15 November 2023

To,

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001 , India
BSE Scrip Code: 534076 National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (East)
Mumbai – 400 051 , India
NSE Symbol: RHIM

Dear Sir/ Madam,

Sub: Transcript of Conference Call - second quarter and half year ended 30 September 2023

Pursuant to the Regulation 30 of the S ecurities and Exchange Board of India (Listing Obligations and Disclosure Requirements), Regulations, 2015, and further to our earlier intimation dated 6 November 2023 , the transcript of the conference call held on 9 November 2023 , for discussing the earning performance of the quarter and half year ended 30 September 2023, is annexed herewith.

The same will also be uploaded on the Company's website at the below link:

https://www.rhimagnesitaindia.com/investors/investor -meet

Kindly take the same on record.

Thanking you,

Yours faithfully

For RHI Magnesita India Limited

Sanjay Kumar
Company Secretary
(ICSI Membership No. -17021)

"RHI Magnesita India Limited

Q2 FY'24 Earnings Conference Call"
November 09, 2023

MANAGEMENT : MR. PARMOD SAGAR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – RHI MAGNESITA INDIA
LIMITED
M S. VIJAYA GUPTA – CHIEF FINANCIAL OFFICER –
RHI MAGNESITA INDIA LIMITED

MODERATOR : MR. RAHUL TRIVEDI – ADFACTORS PR

Moderator: Ladies and gentlemen, good day and welcome to RHI Magnesita India Limited Q2 and H1 FY24 Earnings Conference Call. This conference call may contain forward-looking statements about the company which are based on the belief, opinion and expectation of the company as on the date of this call. The statements are not the guarantees of future performance and involve risks and uncertainties which are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation conclude. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that the conference is being recorded.

I now hand the conference over to Mr. Parmod Sagar, Managing Director and CEO, RHI Magnesita India Limited. Thank you and over to you, sir.

Parmod Sagar: Thank you, Rahul. Thank you very much. Hello and good afternoon, ladies and gentlemen. Welcome to our quarterly earnings call for the second quarter of FY24. We have continued our growth trajectory into the second quarter of this fiscal. The performance being in line with the expectations.

Organic growth across segments coupled with synergies from the acquisitions has helped deliver better top-line and EBITDA on a sequential basis. We talk about consolidation of M&A activities this quarter with next continued synergies from the recent acquisitions. As production and shipments grew substantially on the back of contributions from acquired assets.

Blended EBITDA margin improved quarter on quarter basis due to relatively low employee and other expenses. The improvement can be attributed to factors including synergies, network optimization and product range benefits. We talk about micro view of our strategy.

Post the acquisitions, we are focusing on increasing our share of industrial and other non-steel segments through product diversification. Some of these products along with higher flow control products would also fetch better profit margins. Here I would like to add that we are focusing a lot on iron making segment also.

Last week on 2nd of November at Calcutta, we did a conference for iron making and pellets and induction furnace. We have more than 100 of our customers or would be customers, top executives attended that. We get a very good response and in that we announced a special vertical, independent vertical for iron making division.

Head by one of our original leaders, Sanat Ganguli and a dedicated team for that. So that will be the focus area in coming days for us. This diversification should not only reduce our dependence on steel sector but also help broaden our market share globally.

The industry is poised to witness robust growth driven by demand from various sectors like steel, cement, non-ferrous and glass. This will be complemented by the government support in the

form of budget and policies. RHI Magnesita aims to leverage its expertise, capabilities and market position to capitalize on these market opportunities.

We are strategically combining organic and inorganic growth strategies to cater to the rising demand. Benefits of the recent acquisitions are reflecting in the form of higher production and

shipments as well as more diverse product portfolio. These moves position the company to cater to a wider range of end applications.
Now I would like to hand it over to Ms. Vijaya Gupta, our CFO, to take us through financial performance highlights.
Vijaya Gupta: Thank you, sir, and a warm welcome to all the participants. First I will cover a Y-o-Y quarter. In quarter 2, FY24, revenue increased by 64% Y-o-Y. It was mainly driven by 83% rise in shipments. High contribution from RHIMIR, that is erstwhile, Dalmia OCL,

complemented this
growth offsetting the impact of lower realization per ton. Increase in employee and other expenses exerted pressure on EBITDA margins on a Y-o-Y basis, which stood at 15.3% in the Q2 FY24 and was partly offset by reduction in material cost.
Now coming to comparison on sequential basis versus previous quarter, revenue grew by 6% on the back of 8% rise in shipments. EBITDA margin improved by 70 basis points to 15.3%. This was mainly due to lower employee cost and other expenses. A change in product mix during this quarter led to a 1% drop in average realization.
Now moving to financial updates, we were able to reduce our debt levels to INR424 crores as of September 23, which comprises mainly of ECB loan and working capital. Proceeds from preferential issue and internal accruals together helped reduce the debt level during this quarter.
The company utilized its cash reserves in an optimal manner over the quarter. Healthy cash flows were utilized towards working capital, purchase concentration payments, capex, and debt repayment. While keeping funds aside for dividends, at the close of quarter, cash flow level stood at INR78 crores. Our cash conversion cycle increased to 97 days versus 87 days in the previous quarter. This was due to longer inventory cycles, mainly raw material purchases and shorter payable cycles, which had a bearing on the overall working capital cycle.
Now moving to production and capacity utilization, production volumes grew 144% year-on-year and 5% quarter-on-quarter basis to 90,000 tons in Q2 FY24. This was a combination of organic rise coupled with contributions from Jamshedpur and RHIMIR. Production from RHIM expanded 5% year-on-year and 3% quarter-on-quarter to 39,000 tons.
Volume from RHIMIR grew 10% to 43,000 tons. This together offset the 11% decline in volume in Jamshedpur, which was due to ERP implementation due to blackout period of 12 days.
Capacity utilization improved 67% overall in the current quarter, up from 64% in previous quarter on a consolidated basis.
For RHIM, it increased from 85% to 88% and RHIMIR to 59% from 54% in the previous quarter.
Lastly, in RHIMIR, we saw 22% revenue growth, backed by 18% rise in shipments. These

developments give an optimistic outlook for the second half of the year. This is all from our side.
Now we can open the floor for questions. So Rahul, back to you.
Moderator: The first question is from the line of Manan Puladia from MKP Securities. Please go ahead.
Manan Puladia: First of all, congratulations on posting a great set of numbers. What I am trying to understand is, the last time we spoke, you said that we could do about 80% to 85% in terms of utilization. We have obviously done a bit more in RHIM and RHIMIR and JSP and lower. So what I want to understand is going forward over the next 4 to 8 quarters, in what sense do we see where our capacity utilization stabilizing at? And in terms of margin, do we see if there is a jump in capacity utilization, what kind of margin increase do we see from 15% going forward?
Parmod Sagar: Okay, so we expect that in the coming quarters, the volume growth should go up in RHIMIR plant more than 10%, double digit. But it also depends upon how the market is behaving, the cement plant, the steel plant, etcetera. As of now, the outlook is good. Looks like we will continue that trajectory of growth. Still, with a pinch of salt, we are considering double digit growth in this plant.
And margin-wise, I would still say we have done exceptionally well in last quarter. From single digit in first quarter we reached to double digit and now it is above 30%. So our IR plant, I would say it is the optimal level. We will continue in this level in the coming years.
Manan Puladia: Correct, correct. I just have one more question. So based on now that the open offer has ended for RHI N.V. from Ignite Holdings an

d last time I am sure you couldn't comment on it. What I
want to understand is, has there been any change in the strategy per se after Rhone capital has acquired that stake? Because there has been an uptick in the kind of acquisition that RHI N.V. has been doing with respect to China and otherwise. So, is there a change in our strategy at a group level as well?
Parmod Sagar: Not really. As of now, there is nothing changed, not in board, not in management. And it is totally unlikely that it will have any impact in the short term.

Manan Puladia: All right, sir. Perfect. Thank you. Thank you so much.
Moderator: Thank you. The next question is from line of Rajesh Majumdar from B&K Securities. Please go ahead.
Rajesh Majumdar: Yes, good afternoon, sir. Good afternoon, ma'am. So, my first question is, sir, can you help me? Sir, the numbers are a little bit -- because if I subtract...
Moderator: There is a break in between, sir. We are not able to hear you properly. Can you please get back in the queue, sir?
Rajesh Majumdar: Okay. So my question is, basically, if I subtract, can you help me reconcile the margin for a little bit? Because if I subtract the standalone from console, which we assume is RHIMIR, I am getting a margin of 17%. But it seems that turnover in RHIMIR is slightly higher. So is this an inter-

divisional sale from standalone to RHIMIR? Otherwise, the margin is not getting reconciled. If I just subtract console from standalone from console?
Parmod Sagar: Rajeshji, there is inter-company also in between, which you are not considering. So there is some sale from, say, RHIM to RHIMIR plants. So if we take out that inter-company, then the margin will be 13.9%, not 17%. The actual margin is 13.9%.
Rajesh Majumdar: And what will be the standalone margin then, sir? What will be the standalone margin then?
Parmod Sagar: 14.5.
Rajesh Majumdar: 14.5. So my follow-up question is, the benefit of raw material price, which RHIM globally also has mentioned, is going to flow through in the next few quarters. And I understand that you have taken a price cut as well this quarter in the standalone business. So is it true that the RM benefits will start flowing in the next few quarters, the following RM price?
Vijaya Gupta: See, the RM cost of own manufactured goods has come down by 2%, okay? So it is flowing, to answer your question. Because the 30% what we import are traded goods where the cost is higher.
Rajesh Majumdar: What is the traded volume this quarter, ma'am?
Vijaya Gupta: Traded 30% of revenue.
Rajesh Majumdar: And what is the outlook for that going forward? Will it come down?
Parmod Sagar: You know, we keep on saying that we want local for local. The more we start producing here, the more we bring technologies from our peer company to our local plants, it will go down. So ultimate target is to reduce it year by year.
Vijaya Gupta: If you recall earlier, last year it used to be 50%. So from 50%, we have brought it down to 30%.
Parmod Sagar: It will further go down, but it will take time.
Rajesh Majumdar: So I'll tell you, sir, where the question is coming from. If you look at the peer results, everybody is reporting this quarter margins of 18%, 20%, against that we are just 14.5%. So there's some disconnect between the two, maybe because of the fact that JSW still has had a flat production this quarter, who is one of your large clients. But what is the other explanation is obviously of the traded side. So what is the realistic margin that we can assume going forward in the standalone business, not in RHIMIR?
Parmod Sagar: Standalone also, we will be maintaining 15%, 15.5%. You cannot compare with others. We have a dynamic situation. We are producing a lot of low cost, low margin products also in RHIIMR only. Like, Vizag plant, , Katni is having a commodity ladder fixed business, etcetera, whereas if we are

talking about our competition, some specific competition, they are in flow control only.
So if we segregate and carve out our flow control margin, it will also be 18%, 19%, maybe 20%.

Rajesh Majumdar: So the temporary shutdown of Hi tech also impacts the margin profile, correct? So if that comes back full-time, then it will change?
Parmod Sagar: Yes, absolutely. If we increase the production in Jamshedpur plant, the margin should improve, definitely.
Moderator: Thank you. The next question is from the line of Mohan Ranganatham, an individual investor. Please go ahead.
Mohan Ranganatham: My festive greetings to Mr. Parmod Sagar and the entire RHI team for doing very well. I'd like to know, actually, you have a very good capacity and consolidation. Are you focusing on the domestic market or would you like to cater export market like Make in Bharat and get export benefits also?
Parmod Sagar: Mr. Mohan, we are very keen to expand our business outside India market, particularly my extended region of West Asia and Africa, along with that East Asia and Europe is also under our

radar. So we want to increase our export business. And we also in the past said that we want to double our exports in the next five years' time or so.
Mohan Ranganatham: So thank you, all the best.
Moderator: Thank you. The next question is from the line of Chetan Doshi, an individual investor. Please go ahead.
Chetan Doshi: Good afternoon, Parmod. And first of all, congratulations to you and the entire team. With such a short span of six months, I think you have merged two entities and the top line is just phenomenal. This type of growth, I would definitely say it needs a lot of efforts and ground level responsibilities are also taken care of.
Now, my question is, in the presentation, you mentioned that the product mix or change in sales mix, what is this which is impacting you as far as your bottom line is concerned? And second question is, any customers where Hitech or Dalmia was present and RHI got an inroads in those customers?
I think you need to specify if you have got the advantage of these type of customers where RHI was not present. But due to these two entities, you have got inroads and the potential of business in those customers is very high, so if that some highlight is given on this aspect, I would be grateful?
Parmod Sagar: Yes, first of all, thank you very much for your encouraging words. Just to your question, we with this acquisition, particularly Dalmia, the product mix base has changed dramatically. We have some products which is having a low selling price, low margin, which in percentage wise impact our bottom line. But if you talk about absolute value contribution, it is phenomenal.
Secondly, we have many clients plants where RHI was not present or partially present, but with Dalmia and Hitech, we have increased our value over there. Particularly, we talk about Dalmia

and Hitech combined and Dalmia, the Seven refractory, which was joint venture and which we in July acquired 100%. We are now able to enter iron making where standalone RHIM was zero. So with them, that's what I announced in the beginning that we have created an independent vertical to cater to this iron making region. You know, almost 70 million tons of steel is produced through glass furnace. So, this is a big market which we were not representing and now we have focused and we will be pursuing this very seriously.
Chetan Doshi: Okay, congratulations once again. And whatever you have shown in top line, we expect in coming quarters, the same should reflect in bottom line also?
Parmod Sagar: I hope so.
Chetan Doshi: Thank you so much. Thank you. Thank you.
Moderator: The next question is from the line of Sanjay Kumar from I thought PMS. Please go ahead.
Sanjay Kumar: Hi, sir. Of the 125,000 ton

s capacity of RHI standalone, how much is flow control or isostatic and how much is construction or lining products?
Parmod Sagar: The flow control historically is about 25% of the business.
Sanjay Kumar: Okay. And this 25% is, we are saying we are operating at 18%, 19% operating margin. Is it correct?
Parmod Sagar: Yes, sir.
Sanjay Kumar: Okay. And second, if standalone is operating at 88% utilization, going forward our growth will come from RHIMIR, which is margin dilutive, right because that's more of construction products or lining products. Are we going to increase capacity in flow control products?
Parmod Sagar: Yes, you are right. If we simply talk about RHIMIR plants, the margins will be under stress. But with Jamshedpur, this is a flow control plant. So there we are operating at 50% capacity level. So there we will increase our capacity, our sales, and that will help us to mitigate a lower margin of IR plants.
Sanjay Kumar: Okay. And what is the margin at the Jamshedpur plant, sir?
Management: It should be around 20% to 21%.
Sanjay Kumar: And finally, can you comment on the Magnesia bricks situation in India? Are we still net importers? Is there any scope to substitute these imports given we have idle capacity in RHIMIR
Parmod Sagar: This is -- we are having an capacity of above 30,000 ton in India, which we will be producing and selling. Still, about 50,000 tons to 60,000 tons is coming from abroad. And we have a planning to enhance the capacity of our Cuttack plant from 30,000 tons to 45,000 tons to 50,000 tons. And in coming days, if the market remains like that, we would like to have one more plant

or in the existing plant, one more line. And in western coast also, to promote local-for-local trading.
Sanjay Kumar: Okay. Thank you, that's it from my side.
: Thank you very much.

Parmod Sagar
Moderator: Thank you. The next question is from the line of Sahil Sanghvi from Monarch Networth Capital. Please go ahead.
Sahil Sanghvi: Yes. Thank you for the opportunity and first of all, very congratulations to Sagar sir, ma'am and the whole team for a very commendable turnaround at Dalmia-OCL. A couple of my questions have been already answered. But I just wanted to understand, do we have any further land at Bhiwadi for the expansion or the Jamshedpur plant will be the sole plant for flow control now?
Parmod Sagar: Mr. Sahil, thank you very much. As of now, I dont feel, we should be spending money on Bhiwadi plant. We already did some expansion in Jamshedpur plant and the focus area should be and would be to increase our production in Jamshedpur plant.
Sahil Sanghvi: Right, sir. Would you be able to guide us on what was the export percentage of the revenue right now? I mean, current levels or Q2 levels?
Parmod Sagar: It is around 10% to 11%. But as I said earlier, we want to double it in the next five years' time and I'm sure we will be able to do that.
Sahil Sanghvi: Okay. And my third question is, can you just give us more information about the refurbishment plant at Dalmia-OCL? I understand in a couple of interviews, you have said that you'll be spending some INR200 crores, INR300 crores over two years at the plant. Would that also mean that there will be some capacity expansions that would come along and post these refurbishments, can the margins at Dalmia-OCL go much beyond 15%? Just if you can give us some understanding on these fronts and your plans on the refurbishment?
Parmod Sagar: Yes, the plan is to spend this money, what you are saying, definitely. But what we did in this year without much capex or hardly any capex, we tried to increase capacity, reduce our scrap level, etcetera.. That's why the margin has gone up. With the modernization capex, I don't see the capacity enhancement, I would say, the productivity enhancement.
Productivity improvement will be there, which will give us some sy

nergies. We are already at,
say, more than 5,20,000 ton capacity levels. So capacity will not increase, we don't want to increase the capacity, but we will replace 10 presses with two new presses state of the art. So that will help us to reduce our fixed cost absorption and improve productivity, improve consistency of quality of product and reduce the scrap rate.
Sahil Sanghvi: So that definitely would entail some expansion on the margins also, right, from Dalmia-OCL?
Parmod Sagar: Yes, there will be some incremental improvement in margins as well.

Sahil Sanghvi: Okay, got it. That's all from my side. Thank you, sir, and all the best.
Parmod Sagar: Thank you, Sahil..
Moderator: Thank you. The next question is from the line of Mayank Bhandari from Asian Market Securities. Please go ahead.
Mayank Bhandari: Thanks for the opportunity. Sir, I wanted to understand, in the stand-alone revenue of INR718 crores over INR600 crores last year, what would be the volume growth here and realization, breakdown of, is it possible to give?
Vijaya Gupta: So, yes, it's essentially volume growth only. If you see, when you compare with the previous quarter, you're saying, or year-on-year?
Mayank Bhandari: Year-on-year.
Vijaya Gupta: Year-on-year. Okay, so, versus previous quarter, there is a 10% drop in realization, but, and there is increase in shipments. Balance is volume growth.
Mayank Bhandari: No, Y-o-Y, I'm asking. Year-on year. There is a growth of almost 20% in the stand-alone?
Vijaya Gupta: Yes, 20%. So, shipment growth is 21% for RHIM stand-alone and for realization, there is a drop by 1%.
Mayank Bhandari: 1%. Okay. So, 21% is the volume growth and secondly, we had plans of shifting some flow control products to India from the overseas facilities, which was highlighted, I think, two quarters back. So, how are we doing on that front?
Parmod Sagar: I said that we want to increase our flow control portfolio from Jamshedpur for export. So, this is work-in-progress. So, our colleagues from other regions, like East-Asia and Europe have visited this plant and they discuss about possibilities and now the time will be made, the mode will be made and we will do some trials at various locations outside India. Maybe next six months is a trial period and then probably we'll start getting commercial orders.
Mayank Bhandari: Any particular product lines, specific product lines that you are looking for?

Parmod Sagar: Mainly, it will be flow control ISO, isostatic products.
Mayank Bhandari: Isostatic products?
Parmod Sagar: Yes, SCN, MDS, etcetera.
Mayank Bhandari: Okay. And, sir, just from the industry perspective, how is the pricing power now? I mean, we have seen very strong increase in margin of cover of competitors. So, has the pricing power increased for you as well? I mean, how the industry? I mean, also from a Chinese player dumping perspective, I mean, how is the situation now? If you can highlight, give some comments around that?

Parmod Sagar: If we talk about pricing power, yes, it has improved. Now we have a bigger volume and we are working on that and this reflecting synergies also. At the same time, when the global refractory industry is under pressure, the Europe is under recession, China is cutting down their steel production, North America is in a very extensively situation, South America has a saturation point. So, India looks like only growing market.
So, everybody wants to come to India. So, Chinese, as you rightly said, traders, or raw material suppliers, or finished goods suppliers, everybody, they have a huge inventory, so they wanted to sell it off. So, there will be a lot of price pressure in coming days from Chinese traders. But still, we believe in our strength, the customer-centric approach, the on-site services, the expertise we have in our engi

neering capabilities, the innovation which we are bringing to the table, we will still be continuing our growth strategy.
Mayank Bhandari: Okay, sir. That's it from my side. Thank you.
Parmod Sagar: Thank you.
Moderator: Thank you. The next question is from the line of Sanjay Nandi from VT Capital. Please go ahead.
Sanjay Nandi: Thank you for the opportunity, sir. Sir, just, ma'am, mentioned there has been some blackouts for 12 days in this quarter. So, what kind of incremental revenue can we expect from that in the coming quarter?
Parmod Sagar: Jamshedpur?
Sanjay Nandi: Yes, sir.
Vijaya Gupta: Yes, you are referring to Jamshedpur blackouts for 12 days for ERP implementation. That is what you are referring?
Sanjay Nandi: Yes.
Vijaya Gupta: Yes, so in Jamshedpur, because of ERP implementation, there was 12 days of blackout period, in which production dispatches did not happen. So, that impacted the production is what I was mentioning.
Sanjay Nandi: Yes. So, what kind of incremental revenue that we can expect from that in the coming quarter? Like, is it the revenue that will happen?
Parmod Sagar: We think that it will be to the tune of INR25 crores to INR30 crores every month, revenue for this year.
Sanjay Nandi: Okay. Got it. And what's the current operating margin for Dalmia plant, sir? Like you told in last conference call you were trying to improve it to double digit. So, what's the current exactly operating run rate here?
Parmod Sagar: Last quarter it was 13.9%. Previous quarter it was 12% something.

Sanjay Nandi: Okay. So, this is the operating margin right now for the Dalmia plant?
Vijaya Gupta: Can you repeat?
Sanjay Nandi: I'm asking you, what is the current operating margin for the Dalmia plant, if you can throw some light on that?
Vijaya Gupta: Operating margin this is EBITDA margin 13.9%. So, operating margin will be 20%.
Sanjay Nandi: Okay. Got it. Thank you so much.
Moderator: Thank you. The next question is from the line of Gokul Maheshwari from Awriga Capital. Please go ahead.
Gokul Maheshwari: Thank you for the opportunity. So, you've completed your acquisition your product portfolio and that allows you to offer client total refactoring solutions. So, any major successes that you would want to highlight in terms of your ability to offer total refactoring solutions in that direction?
Parmod Sagar: So, you are talking about the what benefit we have with this acquisition, right?
Gokul Maheshwari: Yes. So, my question is if I may repeat it is your ability to now provide total refactoring solutions

to your clients. Have you made any progress in that front?
Parmod Sagar: Yes, as I said in my earlier statement that we with the now Seven and RHIMIR and HITECH put together, have a total portfolio for this iron making division. So, that is a big step forward. So, we are working on that and we think we can grow exponentially over there. That will be a game changer.
Gokul Maheshwari: Okay. Secondly, on the numbers, the H1 numbers you crossed INR1,900 crores of revenues usually second half is better for you for getting the production and the customer also. So, we should be crossing that INR4,000 crores sales mark quite easily for FY '24?
Parmod Sagar: That is what I am hoping so. I am confident that we will be able to cross this.
Gokul Maheshwari: Okay. And more as a broader direction giving your impetus on exports as well as your ability to gain share in the domestic market, over the next three years to four years, is it possible to grow like low to mid-teens kind of growth rate as a trend growth rate?
Parmod Sagar: Yes, absolutely. We are aiming at growing at about 8% by volume. So, in the next four years or five years' time we would like to have at least 35% to 40% market share.
Gokul Maheshwari: Okay. Thank you so much. Thank you.
Moderator: Thank you. The next question is from the line of Ashish Ke

jriwal from Nuvama Wealth
Management. Please go ahead.

Ashish Kejriwal: Hi, thanks for the opportunity. Good afternoon everyone. So, my question is on the prices because in this quarter we mentioned that the price declined quarter-on-quarter was account of adverse product mix. But in the last quarter also I think we mentioned that we were under pressure to pass on the fall in raw material cost and we were asking for more than 10% reduction also.
So, my first question is assuming that on a like-to-like basis, we still have not passed on the fall in raw material cost. So where is the status now? Do we think that our realisations are going to fall further irrespective of the product mix?
Parmod Sagar: Yes, I would say, we were fortunate that we could manage to hold prices for quite a long time. There is a lot of pressure from our customers and in coming days, definitely we have to yield to their pressure because the market other than us is also bringing down the price level and all so there will be pressure on selling price I would say, but if we talk about margin in percentage term, we would like to keep this margin intact.
Ashish Kejriwal: Understood. And second thing is, accounting thing, obviously we have created a large goodwill on account of our acquisition which depresses our calculated ROE and stock value also, so is there any plan to impair goodwill or how we are going to treat goodwill going forward ?
Vijaya Gupta: Goodwill is tested for impairment every time, every quarter. And as long as business results are better, there is no impairment. So at present, so that same accounting standards will continue is what we think.
Ashish Kejriwal: Understood. Thirdly because the way steel capacity in India is increasing I think next two or three years we'll chair on 30 million ton coming in. Then in this scenario why we are trying to increased our exports from 11% to 20%. Do we think that demand of refractory in the Indian market will some more reduce or why we have to target export market not only domestic market and second thing is in besides that there's thus we have two or three years of visibility in terms of volume growth from our capacity but beyond that do you want to go for either organically or inorganically ?
Parmod Sagar: First of all there is no link between domestic and export, we want to increase our exports but we want to grow exponentially or more than market in India market as well. That is what we said that we'll be growing by 8% by volumes. So market value grow by 6% 6.5%. So we want to grow more than market in India but as the same time we want to grow in export because now we have products and capacity in flow control to export the products from outside as from India to outside world.
Ashish Kejriwal: And sir about growth opportunities both organic or inorganic?
Parmod Sagar: As of now We are still working on consolidation, on integration and bringing synergy is putting up capex etcetera. But I would not rule out the possibility of inorganic growth as well in coming days. We still believe yes, we can have one or two more companies in our portfolio but nothing is on the table as of now.

Ashish Kejriwal: Understood. And sir, lastly when do we expect entire Dalmia assets to reach to 85%, 90%

utilization.
Parmod Sagar: 85%, 90%, it will take four - five years time.
Ashish Kejriwal: Four – five year
Parmod Sagar: Yes
Ashish Kejriwal: Thank you, sir and all the best.
Parmod Sagar: Thank you very much, sir.
Moderator: Thank you. The next question is from the line of Manan Poladia from MKP securities. Please go ahead.
Manan Poladia: Thank you for giving me the opportunity again. My first question is on the market side. I just want understand, if you can segregate it by the flow control products that you have in RHI standalo

ne versus the products you acquired within Dalmia OCL, what would you say is the market size for these entity separately and what we will you says a market share in increased and decreased?
Parmod Sagar: I really did not get your question right but what I understood you are asking market size so total market size in India is about 15,000 crores.
Manan Poladia: Could you break that down between flow control and cement products had we have acquired within Dalmia OCL?
Parmod Sagar: As I said, flow control historically is above 25% of total market share.
Manan Poladia: Okay, correct, sir. Thank you. Sir, my second question is one of our peers that is listed as well has started a service business which has been driving a lot of delta within the top line and bottom line. Do we have something similar are we intending to charge something similar on those line?
Parmod Sagar: Service business, yes. It is a becoming part of the core business. Now a days customer is asking for total solution, bigger customer then they are coming up as a new plants in their facility. They ask for robotics and automation and all those things as part of the refactory services. We are also pursuing that and this is India where everybody would like to grow. It is an expensive proposition but it eliminates manual intervention and a much more safer environment. We are also working on that and we are talking to our two to three customers on these lines.
Manan Poladia: Is there any indication of what the potential revenue size annually from these kind of contacts could be and what the margin would be on those?
Parmod Sagar: It is very premature to say what is the revenue maybe in two three years stand with INR50 INR40 crore and margins should be around 15% to 20%
Manan Poladia: Okay, sir. I understand. Thank you.

Moderator: Then next question is from the line of Pratim Roy from BNK Securities. Please go ahead.
Pratim Roy: Thank you for the opportunity. First question is that what is the first half TRM contribution of the business and how do you growing? If you can throw some light on that?
Vijaya Gupta: Okay. TRM contribution is standalone 44%
Pratim Roy: 44%?
Vijaya Gupta: Yes, and on consolidation, it is just 30%.
Pratim Roy: Okay, and what is the growth you have seen in the half yearly basis if we compare to the last year to current year?
Vijaya Gupta: See as a percentage of revenue it will be you know it has been around 45% or so, so it is as revenue is growing this is also growing.
Pratim Roy: Okay, and second question is , what is the improvement of Tata Steel market share as we are not there and through Hi tech we get the opportunity? So, how much market share as a customer we get from Tata Steel right now?
Parmod Sagar: Tata Steel you know we whatever we were doing we are better off now and percentage-wise I would not be able to say but we have entered into two three markets where we were not there even with the Neelachal ISPAT which they took over six months back or so. So, we got some orders from that plant also and flow control also we are working with the Jamshedpur plant and Tata KTO.
Pratim Roy: Okay, sir and my last question to you is that when you can expect the refurbishment of the Rajgangpur plant as in the plant visit we have got to know that the refurbishment is required to further enhance the utilization level of the plant and for the emerging as well. So, is there any update on that part?
Parmod Sagar: Yes, in coming times we will be doing this refurbishment and modernization. The capex is in place but we will be using the money very judiciously need place but in next say two three years time we will be spending extra money to modernize this plant.
Pratim Roy: So, by when we can expect that to be, end by 2024 or what?
Parmod Sagar: At least two years from now. Whatever we will be ordering it is a delivery time is eight m

onths
to 14 months for various types of equipment's. So, whatever we will be ordering in the beginning of 24 it will reach end of 24 or so and the commissioning 25. So, let's expect everything will happen in 25.
Pratim Roy: Okay, and last question sir one more just what is the export contribution for the full business for this quarter and what is the export contribution from RHIMIR plant if you can give some number?

Vijaya Gupta: The export contribution and domestic is more or less in line with each other. We generally do not provide separately. So, but export share if you ask overall is 10% and mainly just from RHIM plant.
Pratim Roy: Sorry, sorry can you repeat once?
Vijaya Gupta: It is mainly from standalone entity there is very little exports from RHIMIR plant.
Pratim Roy: Okay, 10%?
Parmod Sagar: 10% of the consolidated level and this all comes from RHIM plant not from Dalmia plants.
Pratim Roy: Okay, thank you for thank you sir. Thank you.
Moderator: Thank you. The next question is from the line of Sahil Sanghvi from Monarch Network Capital. Please go ahead.
Sahil Sanghvi: I just wanted the revenue numbers for the Hi-Tech and RHIM capacity I mean the facility like I think needed around INR612 crores in Q1. What would be that number in Q2?
Vijaya Gupta: So, RHIMIR plant or RHIM plant you are saying? It is INR718 crores for RHIM. and INR 330 crore for RHIMIR. But then these are gross numbers that on consolidated level, there are inter-company eliminations.
Sahil Sanghvi: What will be the number for Hi-Tech if you can give me?
Vijaya Gupta: Hi-Tech is merged with RHIM, so we do not have the numbers now.
Sahil Sanghvi: It includes Hi-Tech also. Would that be right?
Vijaya Gupta: Repeat, Sahil it is now part of RHIM, so we do not have, it's one SAP, so we do not have it separately.
Sahil Sanghvi: INR718 crores would include Hi-Tech, right?
Vijaya Gupta: Yes, that would include Hi-Tech.
Sahil Sanghvi: Thank you.
Moderator: Thank you. The next question is from the line of Vipul Shah from RW Equities. Please go ahead.
Vipul Shah: Thank you for the opportunity and congratulations on a great set of numbers and also the very detailed presentation put up by the team. You know, this question is mainly for the CFO, whereas ma'am we understand that goodwill on your books and the intangible assets on your books pertain to the cash generating unit and hence it is tested, that is fairly well understood ma'am. No questions on that. But what stops the company from going to NCLT and putting up a scheme of arrangement where the goodwill and the intangibles can be adjusted against the other equity, so that makes our company's balance sheet and the ratios much more appealing and better. We

understand perfectly well that, what you stated and that the auditors attest goodwill for the CGUs but nothing stops us from actually putting up a scheme of arrangement before the NCLT, where we can adjust these non-cash items on the balance sheet against the reserves. It would be helpful to understand your perspective?
Vijaya Gupta: Yes, thanks Vipul for this idea. In fact, what we will do is, if you are saying then we will explore this and get back.
Vipul Shah: Thank you.
Moderator: Thank you. The next question is from the line of Kamlesh Kotak from Asian Market Securities. Please go ahead.
Kamlesh Kotak: Hello, yes, good afternoon everyone. Thanks for the opportunity. Sir, my question is a broader question about the industry. If we look at the quarterly numbers of the steel companies, volume growth has not been more than 6%- 8%, whereas the industry, all the large refractory players have reported strong volume growth across all the players. So just wanted to understand, where is it coming from? Is it incremental coming from exports market or is it that the i

mport which is
now curtailed or how we read about it, sir?
Parmod Sagar: I think your second observation is right. The local from local is picking up quite fast and it has given some better margins to these players. As also some markets are opening up in East Asia, particularly Vietnam where there was, the big players were having shutdowns, the blast furnaces

are stopped for last three months, four months, time. They have started operating from last April
onward or so. So that also gave some opportunity to the players to do more exports.
Kamlesh Kotak: So sir, any idea you can give from industry's perspective, INR15,000 crores, how much of that would be import percentage and how much of that would be exports, if you can help us, industry level, please?
Parmod Sagar: I don't have the numbers, let me come back to you with the numbers.
Kamlesh Kotak: Sure, great. And one last thing, sir, you did a very great presentation, very insightful. Just one thing if you can add, now that you also have Dalmia's number, if you can just get some understanding of the factual breakup of the revenue, maybe steel, cement and other non-ferrous and other, that will be of great help? Otherwise, it's a fabulous presentation you have given. So thanks for that.
Parmod Sagar: You mean segment-wise the breakup? Thanks for the idea.
Kamlesh Kotak: And yes, you can just share how it has played out this quarter or half year if it's possible, handy with you?
Parmod Sagar: Sure, we will do this from next time.
Kamlesh Kotak: Thank you, sir. Thank you very much and all the best.

Moderator: Thank you. In the interest of time, we shall have to end the call, request others to get in touch with the investor relation team for further questions. I now hand the conference over to Mr. Parmod Sagar, Managing Director for closing comments.
Parmod Sagar: Thank you, Rahul. Thank you everyone for taking the time out to join us today. We look forward to interacting with you again next quarter. You can get in touch with our investor relation team for any further queries. Thank you very much for your time and the support and encouraging words. Thank you.
Moderator: Thank you. On behalf of RHI Magnesita, that conclude this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

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Mumbai — 400 001, India Mumbai — 400 051, India
BSE Scrip Code: 534076 NSE Symbol: RHIM
Dear Sir/ Madam,
Sub: Transcript of Conference Call - third quarter and nine months ended 31 December 2023
Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements), Regulations, 2015, and further to our earlier intimation dated 24 January 2024, the transcript of the conference call held on 14 February 2024, for discussing the earning performance of third quarter and nine months ended 31 December 2023, is annexed herewith.
The same will also be uploaded on the Company's website at the below link:
https://www.rhimagnesitaindia.com/investors/investor-meet
Kindly take the same on record.
Thanking you,
Yours faithfully
For RHI Magnesita India Limited
)
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Company Secretary
(1CSI Membership No. -17021)
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CIN : L28113MH2010PLC312871

Moderator: Ladies and gentlemen, good day and welcome to the RHI Magnesita India Limited Q3 and Nine Month FY 24 Earnings Conference Call. This conference call may contain forward -looking statements about the company which are based on the belief, opinion and expectation of the company as on the date of this call. The statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressi ng "*" then "0" on your touch tone phone. I now hand the conference over to Mr. Parmod Sagar, Managing Director and CEO, RHI Magnesita India Limited. Thank you and over to you, sir.
Parmod Sagar: Thank you very much. Good afternoon, ladies and gentlemen. Welcome to our quarterly earnings call for the third quarter of financial year 24. Your company has navigated through that dynamic market conditions successfully during this quarter. Our year -on-year growth continues as the overall market growth across segments and the benefits of our acquisitions reflect in our performance.
Recent updates and consolidation of M&A activities. Synergies from all our recent acquisition continue to reflect in our operations , as production and shipments grew year -on-year on the back of the contribution from acquired assets. On a quarter -on-quarter basis, we undertook a strategic cut in productio n mainly due to deliberate tightening of our customer credit risk criteria, which led to our sequential dip in top line this quarter. Despite this, production in our Jamshedpur plant grew mainly driven by functional products. This plan t proximity to key steel plants should help benefit logistics costs for us.
On blended EBITDA, the margin was adversely impacted due to investment in increasing skilled workforce and higher year till date bonus provision, which together offset the benefit from lower material cost. We continue to take initiatives to improve our operational efficiencies. As

part of this, we recently announced plans to close down our Bhilai plant, which is under RHI Magnesita I

ndia Refractor y Limited , this plant comprises hardly of 0.07% of our consolidated revenue . It's net worth is hardly 0.04% of our consolidated revenue . This plant is much smaller than the other plant under RHIMIRL and produces only one product which can be made at a larger scale at our Rajgangpur unit more effectively. Therefore, this move will help the cost Page 2 of 17 efficiencies, economies of scales and overall consolidation. Moreover, we also announced plans to amalgamate RHIM Seven Refractory Limited into RHIMIRL. This move aims to consolidate the refractory business acquired from Dalmia Bharat Group at one place and effectively managed well under one entity. We expect this to enhance value, expand net worth, provide a competitive edge, reduce cost and streamline the corporate structure .
About production and the capacity utilization , during this quarter , we strategically reduce d our overall production to 78,000 ton ne from 90,000 ton ne in Q2 24. It is mainly attributed to inventory reduction by 14,000 tonne of which strike at Rajgangpur for almost nine days impacted a 2300 tonne. Our overall capacity utilization shifted from 67% in quarter two to 58% in quarter three of 24. RHIM, RHIMIR, and JSP, Jamshedpur has utilization rates of 7 0%, 52% and 58%, respectively, this quarter compared to 88% , 59% and 48% in Q2. Going into the last quarter , we are optimistic based on our ability to cater to the market demand while optimizing the cost .
About macro view of strategy , as mentioned in the past, one of our key focus area is increasing our share, industrial and iron making and value added products through product diversification and bringing synergies from our acquisitions. We are actively taking the initiative to consolidate all our operations an d improve internal efficiencies. RHI Magnesita aims to leverage its expertise, capacities, and market vision to capitalize on market opportunities. We are strategically combining our inorganic initiative to complement organic growth strategies to cater to the rising demand . The benefits of the recent acquisition s are reflected in the form of higher production and shipments as well as more diverse product portfolio. These moves position the company to cater to a wider range of end-applications .
Now, I would like to hand it over to Ms. Vijaya Gupta – our CFO to take us through the financial performance highlights . Yes, Vijaya.
Vijaya Gupta: Good afternoon, everyone. Thank you sir. In the third quarter of this fiscal when we compare them on Y -o-Y basis our consolidated results reflect a 43% revenue growth driven by substantial 58% increase in shipments. This primarily reflect s the benefits from our recently acquired assets. However, our EBITDA margin experienced a 2.2 % decrease to 12.8%, mainly due to 4.6% rise in employee -related expenses, and 3.1% increase in other expenses attributed to increase in shared services setup costs, legal and professional fees and travel. On a positive note, there was a 6.1% decrease in material costs, which partially offsets these impacts.
Now comparing on a quarter -to-quarter basis with the previous quarter. Our, revenue declined 6% as mentioned earlier, this was because we strategically shipped 5% less you to deliberate tightening of customer credit risk criteria. And average realization also was 1% lower due to lower interest costs. Our EBITDA margin decreased to 12.8% due to lower revenue . This was due to investment also in our workforce, le d to higher employee costs, influenced by YTD bonus Page 3 of 17 provisions and lower absorption of fixed costs. Moreover, we are continuously making initiatives to improve operational efficiencies.
With respect to debt, we were able to maintain our debt levels at Rs.461 crore as of December 23, which comprises mainly of external commercial borrowings of €33 million and rest is all working capital debt . We had optimall

y utilized cash , our commitment to sound financial management is evident in the optimal utilization of our cash reserves towards working capital and capital expenditures. As of December 23, our cash position stood at 43.1 crores. The strategic approach ensures that our fi nancial resources are efficiently deployed, fostering stability and positioning us for sustainable growth. We have been a ble to maintain our cash conversion cycle at 95 days, one day improvement versus 96 days in the previous quarter. This improvement is attributed to a reduction in the inventory cycle and shorter payables cycle collectively impacting the overall working capital cycle. That is all from our side. We can now open the floor for questions .
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Jonas Bhutta from Birla Mutual Funds. Please go ahead.
Jonas Bhutta: Couple of questions. Firstly, if you can quantify the sort of impact across multiple P&L line items, firstly on the volume front and the corresponding impact of that on revenue. So, what we see is , there is a negative delta of roughly 52 crores on the volume front in the bridge that you have given on page five of the presentation is that the entire impact of the curtailment of volumes to one of the clients or there is more firstly, secondly if you can quantify the impact of one offs, if the em ployee cost which seems to have jumped and on the interest cost, again, because of the FOREX fluctuation So, these three sort of, if you can just call those out in terms

of numbers. That's my first question.
Vijaya Gupta: thanks for the question. As far as volume is concerned, this was mainly shipments were impacted due to implement of credit block our global processes and this was mainly two to three main customers, but they all are highly profitable and cash rich customers. So, there is nothing to worry about their credit worthiness and we are not seeing the impact in the current quar ter that is what I want to say, but this was required to bring in discipline and improve our working capital and our cash flow that is one , which led to this drop in shipments . Then on employ cost actually, it has gone up.
Jonas Bhutta: So, ma'am t he quantification is what 52 crores?
Vijaya Gupta: Yes.
Jonas Bhutta: And the sales happen, we would have been closer to 975 odd crores?
Vijaya Gupta: That's right.
 Jonas Bhutta: So, volumes would still would have been flat sequentially then , there would be no growth in volumes . Had this credit block not happened , is that understanding correct?
Vijaya Gupta: Yes, that's right. And as r egard s employee cost 1% of revenue is because of the higher YTD provisions we had made, because we had met global bonus criteria. So, that led us to provisioning for the full year in this quarter. So, this 1% impact will not be there in the next quarter. And higher interest cost is because of revaluation of the debt , the external commercial borrowings, which we had 33 million , because the closing rate of Euro to rupee , rupee had depreciated to 92.58 there was a 22% depreciation, but now rupee has come back to normal 90 levels . So, we will see this benefit in the next quarter.
Jonas Bhutta: How much was the impact ma'am 16 crore. Would it be around eight , nine crores of Delta?
Vijaya Gupta: Yes, the delta is .
Jonas Bhutta: Or eight and a half crores of interest cost in Q2?
Vijaya Gupta: Yes, t hat's right.
Jonas Bhutta: Got it. Parmod sir m y second question was on , DOCL, this track the nine months performance in terms of sales. We've done about 75 0, 760 odd crores worth of revenue and we are in line to do roughly 1000 crores of revenue this year. This is more or less sort of flattish in that sense on a Y-o-Y basis despite having some improvement in capacity utilization at least in the first two quarters of

the year. What explains this sort of flattish top line is there a higher -than - expected price impact in this in DOCL. And, how should one think of FY 25 volumes and revenue in just that subsidiary ?
Parmod Sagar: So, again there is a combination of the two, three factors so one is , we have about nine days strike in Rajgangpur , it was unreasonable, so we stood firm , and they have to come inside unconditionally. So, it drags up to nine days and then they agreed to whatever we said. So, that was a good si gn, but we lost some production and subsequently some revenue as well. Apart from this, not only this quarter, but last quarter also from DOCL two, three plants where the payments were not coming as per commitment of the customer. So, we squeezed the supplies to have a right balance of working capital, this has impacted a lot. The third one is , the business of DOCL and RHIM in SAIL plant we were having t wo order and now with the combined entity, we remain one company. So, in SAIL plants, it's the policy of Steel Authority of India to have two or three vendors for every order. So , earlier put together our L1 in RHI Magnesita and DOCL is L2 so we run away with 40% RHIM and 30% or 25% L2, but now with a single entity , I can get 40%. So, there is a business loss in Steel Authority of India also, which we are now looking at to add product s which we were not supplying to Steel Authority of India during this year. And , in FY 25, we shall be able to recover that losses.
 Jonas Bhutta: Got it and quickly the last one sir. So, if you can remind us the installed capacity at RHIM standalone, Hi tech and DOCL individually. And if you can reflect the capacity utilization at these three entity levels that's my last question .
Parmod Sagar: So, roughly RHIM is 180,000, 175, 180, 000. And Dalmia is about 300 and Hitech is about 36, 37,000. It was 62 ,000 reported earlier, but we stopped some production in Jamshedpur , that is to see the scale of economies, but put together everything , roughly its about 5,37,000 .
Jonas Bhutta: And the capacity utilization if you can repeat at these three entity levels separately ?
Parmod Sagar: Yes, I said earlier also, that capacity utilization in RHIL plant is about 70% last quarter and DOCL 52%, Jamshedpur 58% . Earlier it was 88%, 59% and 48%. So, Jamshedpur capacity utilization has gone up by 10% whereas , in the DOCL about 7% less And also in RHIM plant . So, it was a deliberate decision to reduce our inventories.
Jonas Bhutta: But do you believe this was the last bit of it as an order there is some more inventory destocking or management still left in the system that will come in Q4 or Q1 of next year?
Parmod Sagar: I don't think this last quarter. We will not have that issue probably January , we still are in the process of controlling and Feb, M arch we will be back to normal process. But , I can only say one thing. We still have pressure of overdue payments from some customer, and we will be quite strict with our supplies, and it will be linked with this, irrespective of top line.
Moderator: Thank you. Next question is from the line of Rajesh Majumdar from B&K Securities. Please go ahead.

Rajesh Majumdar: I have a few questions , first one was on the top line. So, you mentioned the fact that one alarming thing actually , that because of the merger now, we are one company and will not have two entities to bid for projects . Does that actually mean going forward we will not be able to gain market share because whatever say the steel production growth is 6%, 7%, we will be able to grow only at that rate or will not be able to outperform the growth rate of the steel market because of this reason , is that a concern?

Parmod Sagar: No, Rajesh I said only Steel Authority of India , SAIL is having tender system. Earlier there were three companies participating Hitech, Dalmia and RHI Magnesita . And n

ow we are a combined entity and at the same time, if we become L 1 everywhere , we will get maximum 60% share . And if three , three companies are L1, L2, L3 we were 100% . So, this SAIL part , yes we have an impact and it will remain . So, that's what I said we are trying to mitigate the product which we were not selling in Steel Authority of India or only one party was selling for example, I will give you an example of say Jamshedpur plant or Hitech plant, it was the only supplier for ladle opening compound . So, now we are going all out to increase share of that product. So, there are similar three , four products, where only one party was there , it will not have impact we will Page 6 of 17 be increasing the share but where three parties are bidding for one product there will be impact and we will try to mitigate but overall revenue of say 3800 crore for this year, there will be maybe 12%, 13% total revenue in SAIL . So, out of the 12 %, 13% there will be some impact , not the overall .

Rajesh Majumdar: Okay, thanks. And sir I wanted to also ask that for Tata Steel there is Kalinganagar expansion and NINN expansion is going on , are we in a position to increase our market share there or are we getting a significant part of this expansion project other than JSW expansion which we are aware of ?

Parmod Sagar: Yes, you are right.

Rajesh Majumdar: Okay, so we can get some traction from that , is w hat you are saying ?

Parmod Sagar: Absolutely.

Rajesh Majumdar: Okay. And on this 5% less shipment, I couldn't get Vijaya ma'am correctly, is that number going to reverse this quarter or what , because we are already in the middle of this quarter, that 5% lower shipment which happened because of credit conditions , we are going to reverse this quarter or is it going to be not there at all ?

Parmod Sagar: It is totally linked with the payment behavior of these customers. If the payments will come , we will not have any reven ue loss and definitely ship up everything.

Rajesh Majumdar: And sir this YTD bonus provision, in which quarter was there last year similar time , was it there in the same quarter was it there in the fourth quarter , this bonus provision and was it of a similar magnitude or much lesser ?

Parmod Sagar: It varies year -on-year basis, there are global KPIs which is applicable for our region for India as well. So, if we achieve those KPIs, we achieve 100% of the provisions . So, in the beginning we are considering that we are going to achieve 100% of whatever is the bonus percentage . So, if we underachieved, we have a surplus money, provision is more we are going to pay out to the employees less because we have not performed well or we have not achieve our KPIs. If we over achieve , so then there is a bonus more than 100%. So, this year, we are going to get more than 100% bonus for the employee . That's why this impact otherwise we have distributed in 12 months based on 100%.

Vijaya Gupta: That's right.

Rajesh Majumdar: Sir what is the steady state annual employee cost ma'am , if I could get a figure , like it was 120 crore before the merger, 204 crore in FY23, what is the annual steady state employee cost one should assume ?

Page 7 of 17 Vijaya Gupta: So, it is around 9% of revenue .

Rajesh Majumdar: 9% of revenues is 350 crores?

Vijaya Gupta: Yes.

Rajesh Majumdar: Okay, so employee cost will be annualized about 350 crores now, is that the right figure?

Vijaya Gupta: That's right.

Moderator: Thank you . We move to the next question. The next question is from Lakshmi Narayan from Tunga Investments . Please go ahead .

Lakshmi Narayan: Coup le of questions, first if I look at the top five integrated producers in India. What's the kind of sales you get from them , which include JSW in them, ArcelorMittal and Tata Steel?

Vijaya Gupta: Can you repeat your question , it's not.

Lakshmi Narayan: Number one, what percentage of y

our sales comes from the top five steel companies in India?

Vijaya Gupta: From the top major customers, it's 65 % to 70%.

Parmod Sagar: Five or six major customers .

Lakshmi Narayan: Got it. And in that if you just demarcate between flow control and non -flow control, which is one of them is sold per ton ne basis, one is not sold by heat basis. So, what is that mix, to the se top five?

Vijaya Gupta: 25% r oughly it is in line with previous quarters , 25% of revenue came from flow control and on a consolidated basis.
Lakshmi Narayan: I was just talking about with these top five players, which account for 65 %, 70% of the revenue, what is the mix of flow control and non -flow control?
Vijaya Gupta: That's what I'm saying 25% is flow control, rest is non -flow control.
Lakshmi Narayan: Got it. I thought that you mentioned for the entire company, but I was just asking for the flavor of top clients.
Parmod Sagar: More or less the proportion is same, for bigger five customers and overall also. It is approximately 25%, 26% flow control.
 Lakshmi Narayan: Got it . And you mentioned that there has been some issues in terms of labor, can you just elaborate which plant was it and which customers we couldn't serve because of that, like we chose the nearest one ?
Parmod Sagar: It was D OCL plant in Rajgangpur and the customer impacted , out of these five customers, what we are talking about maybe three customers are from that bigger customers.
Lakshmi Narayan: Got it. And the next question is that , what has been the exports so, for us on a consolidated basis, what is it now and what is the plan for the next three years or so ?
Parmod Sagar: As of now, it is about 9%, 9.5% of consolidated bas is and the standalone is around 11-11.5%. We earlier said that we want to increase our export, but unfortunately because of this geographic and political situation outside India, we are not able to push as hard as we could like to, Ukraine and Russia war and all these sections and all. The impact is heavy. So, we are almost at the same level which we were last quarter .
Lakshmi Narayan: And for the products which you are making for export market , what proportion of that is for the RHI network is solely manufactured in India that you are the sole have the dominant export hub?
Parmod Sagar: As of now, I would say no , we are not export hub, we are supplying to many customers 100% also, but still we have various locations , various plants of flow control, they are contributing throughout the globe. So, I would not say we are still a export hub we want to be, but it will take time , but in our region we have larger region like west Asia, we have FLS contract, full line contracts , management contracts, where all these products are going from India.
Lakshmi Narayan: Got it. So, with the industry is consolidated on your customer side when the top five are actually leading the key production of steel capacity expansion in India. On the other side there is also consolidation of players in terms of RHI and the other two or three competitors. So, how this equilibrium has changed in terms of pricing for industry from a refractory point of view, whether your, things have become more competitive or it has become more rational when compared to what it was like three years earlier ?
Parmod Sagar: I would say since India is the only growth market, so everybody wants to come to India or increase their pr oduction capacity in India. And, I would not hesitate to say that if the way people are expanding , if everybody keeps on expanding we will have our capacity very soon. And then it will put a lot of pressure on everybody's margins. We as industry should be very cautious when we are adding capacity.
Lakshmi Narayan: Because what I see is that , for you the margin is going down either it is because of internal reasons like employee cost, or is it also because of the fact that

the other competitors is also
 putting the price down , is it I am trying to understand whether the competition is good competition or bad competition to have no w?
Parmod Sagar: I will not say the competition is good. I would say yes, everybody is under pressure to deliver. But, I don't agree with you that our margins are going down continuously. It is abrasion only this quarter what we said earlier, we still believe we can deliver 14%, 15% on a consolidated basis.
Lakshmi Narayan: 14%, 15 % EBITDA ?
Vijaya Gupta: Yes.
Moderator: Thank you very much. The next question is from Riddhi Panchal from Chanakya Capital. Please go ahead.
Riddhi Panchal: Sir, I have only two questions. So , how steel company selects refectory players and what are RHI competit ive strength over the other and the second question is what is the CAPEX per tonne of RHI ?
Parmod Sagar: What is second question ?
Riddhi Panchal: CAPEX per tonne for RHI?
Vijaya Gupta: CAPEX cost?
Riddhi Panchal: Yes, CAPEX per tonne?
Vijaya Gupta: Okay, so what we have incurred CAPEX so far, so, our CAPEX this year, So, far we have done 50 crores and of which this quarter is 20 crores.
Parmod Sagar: Earlier about criteria of selecting, whenever a new steel plant comes up we are at advantage if steel expansion goes on, because of our all convert , electric arc furnace , for RHD gasser, for ladles they prefer us over anybody else. So, they will commission their plant with RHI Magnesita products, when it comes to flow control, it is divided between us and Vesuvius, sometimes a

little bit of IFGL but, when it comes to lining , converter , furnaces, ladles, RHD gasser , we are the preferred suppliers .
Moderator: Thank you . Next question is from Chetan Doshi who is an I ndividual Investor . Please go ahead.
Chetan Doshi: I have a couple of questions. The employee cost on standalone basis is gone up from 39 crores to 64 crores. Now, that is almost 50% of the earlier quarter what we were paying , that bonus of 1% will not increase this much . And the second question is , how much raw material we are buying from our principles. I hope it is at arm's length, but what is the amount what we spent
Page 10 of 17 from our principles, and this traded goods, are these trades goods also bought from our principles ?
Parmod Sagar: I will touch base with this raw material path. So, we are not buying any raw material from our parent company, though we have backward integration, but it is again a matter of economies if we buy from say for example, China as product at Rs.100 and if we bring it from Europe or from Brazil it is Rs.105 . So, I prefer to buy from the market if it is cheaper than our own company. So, we are not buying any product raw material from our parent company as of now, but if given a situation if somethin g goes wrong with the geography, China , etc we have a backward integration we can bring material and we are the only company who can bring material from Europe , America and keep on catering to all our customers. When we talk about trading products, yes there are some products which is coming from parent company which we are not producing as of now, in India . We are trying to shift many products from Europe or America or from China to India, but still there are many products which are coming from parent company to India .
Vijaya Gupta: I will take this question , see coming to employee cost you said it has gone up from 40 crore on standalone basis to 65 crores. This is because Hitech has got merged in standalone and the number of employees we have around 500 people from Hitech . So, the number of employees is one and half times that from the previous year. That is one reason why the employee cost has gone up , plus the bonus provision which I have said, so this two together has le d to increase .
Chetan Doshi: How much your bonus provision is there on specific because

next quarter you said it will not come in the balance sheet but what is the amount?
Vijaya Gupta: So, it’s around five crores on standalone.
Chetan Doshi: And one last suggestion, in the presentation, no mention as to what benefits we have derived after taking over Hitech and Dalmia . See basically when we see t he margin going down on quarter -on-quarter basis, whether it was a wise decision to take over the se two companies or not because, going to the presentation we don't come across anything as to what benefit we have derived and when you intend to improve the bottom line this same thing prevails.
Parmod Sagar: We have mentioned on slide number #8, strategi c progress it is not clearly mentioned in numbers of how many crores we save here and there, but we have outlined what we are doing maybe next time we will come up with some more granular information .
Chetan Doshi: Yes, because as a lay person, how as a shareholder, how do we know what benefit we are deriving after these two big takeovers which has taken place , we understand that some time is required when anything is merged into the main principle company and to get the 100% output
Page 11 of 17 from the new entity it takes time definitely, but we are interested in , ultimately say from second quarter , third quarter, we need to know when this fruits will be on the balance sheet .
Parmod Sagar: Next step we will come up with this information in coming days.
Moderator: Thank you. Next question is from the line of Vipul Shah from RW Equity. Please go ahead.
Vipul Shah: So, a couple of questions, to Ms. Gupta . This ECBs which are there on our books. The understanding was that, they are on a fully hedged basis. So, this quarter -on-quarter fluctuations because of the IndAS standards, this should even out over the duration of the EC Bs am I correct or are these ECB s open?
Vijaya Gupta: You are absolutely correct your assumption is correct this is fully hedged thing is , the hedge rate which we have taken there was a Rs.1 gap between the hedge rate and the SAP closing rate, which we get from the group the closing rate. So, the rupee ha d depreciated 22% in this quarter. That is benefit of, the seven crore , 10.6 crore, what is here in December quarter we get the benefit in the next quarter.
Vipul Shah: That is, irrespective of the rate I'm saying the benefit will come over the duration of the ECB am I right?
Vijaya Gupta: That's right.
Vipul Shah: Second question was , on the last call also, I have made a suggestion on this capital structuring , where one could look at scheme of arrangement to offset the goodwill on the books with the reserves which premium, et cetera which we have, last time you mentioned, the management will consider that to make our ROC Es much more efficient. Just wanted to understand, is there any update on this or is there any thought process which has gone through ?
Vijaya Gupta: We take your suggestions very seriously sir. So, we have taken a legal opinion also because, what the legal opinion says that reduction in securities premium by adjustment of goodwill will lead to a reduction in capital and this is not allowed for a solvent organization. So, we cannot

go ahead that.
Vipul Shah: So, basically, the balance sheet will actually remain a little elevated till the time we find a way out of this ?
Vijaya Gupta: That’s right. We cannot reduce our capital
Vipul Shah: Fair enough. One more question, which I had, for Mr. Sagar was that, sir you mentioned in your initial remarks that, the credit tightening measures which were undertaken on the customer side, that led to reduction of volume, we also mentioned that, essentially these are credit worthy customers and there is no issue as far as th is receipt of any pending news is concerned.
Page 12 of 17 So, my question is sir, this volume loss which has happened, and you alluded that it may not be reversed if the credi

t cycle doesn’t, if the customers don't come in as per your credit cycle.
So, has it led to gains for our competitors , has the volume shifted there or how does it work sir?
Parmo d Sagar : So, I don't think the volume has shifted because, so fast they cannot do it, the products which we were supplied to them, we have annual orders. So, they have depleted their inventory in a way I would say, they were running at three months inventory, now maybe they are running at one month inventory, overall more than half month of inventory . So, at the same time, we don't want to stop any customers , their production, but it is a two way traffic if customer is obstructing us to deliver quality product on time delivery, we also expect money should come otherwise, this top line , bottom line is just a number I will show 50% EBITDA and average is in my inventory and overdue payments, then economic profit is zero.
Vipul Shah: Fully agree s ir, fully understand, ultimately the cash generation has to be there. So, the takeaway sir is that, since you alluded that the customers are sort of using up their inventory, as and when they return to our credit cycle and their old levels of inventory, there could be a bump up in the coming quarters ?
Parmod Sagar: Yes, it is possible if they pay us at handsomely , we will supply .
Moderator: Thank you. The next question is from the line of Harsh from Marcellus . Please go ahead.
Harsh: For the quarter , I understand that the top line was impacted because we tightening our credit norms. However, even if we remove that , the quarter -on-quarter sales growth or volume growth is sort of flat from what Vijaya ma’am said. However our customers like JSW and Tata Steel, they have reported like 5%, 6%, quarter -on-quarter production growth at their plants.
So, I am not able to reconcile that why did we also not see such order per growth rate number sir?
Parmod Sagar: One is, if you add these credit blocks, then we are at the same level or a little 1% more than that, about 4%, 5%. But if you take out only Jindal’s and Tata’s , which is about 4 0 million tonne of steel, out of 130 million tonne , so it is 5% of their growth is actually 1.5% growth in an overall scenario . So, there some stating the reason you need to take some time looking at the pricing, you are looking at credits and all those things, but I can reiterate that we will be growing at least with the market, if not more than , internally we believe we can grow better than market because all these new plants as I said in my earlier comment they will go with us for all critical items.
Harsh: Have you lost some share of business with Tata or J SW?
Parmod Sagar: Pardon.
Page 13 of 17 Harsh: Have we lost any share of business with Tata or JSW as well?
Parmod Sagar: No, we have not lost any business, we are their preferred partner.
Harsh: And could you repeat the calculation for SAIL, how much of the quantum has been lost because of the merger?
Parmod Sagar: It is very complex calculation, I cannot explain to you in one or two minutes, what I'm trying to say is , see if our market share overall whatever is our revenue, if it is 13% 14% in SAIL plants .
So, out of that, some products which Hitech was also producing , Dalmia was also producing , we were also producing, those products are combined together, we will get only one not three company with order , but there are many products which only Hitech was producing not Dalmia or RHI Magnesita I gave the example like Nozzle Filling Compound or Tap hold clay , et cetera .
So, there are many products which only single party was producing that will not have any impact. So, we are trying to increase our market share by bringing other products which we were not selling to SAIL.
Harsh: What was the net impact of this ?
Parmod Sagar: Out of say 13% if I say is our total market share in SAIL plant that will be about say 3%- 4% minimum

.
Harsh: Okay, so our share of business would go down from 13% to 10%. Is that understanding correct?
Parmod Sagar: Yes, but it will be temporary as we are trying to mitigate these risks by introducing new products.
Harsh: And this happened recently like in the last quarter or it has been the case since April?
Parmod Sagar: From the acquisition, we had some orders in place already. So, when these orders are in place,

we were enjoying all three companies' orders , when a new cycle comes in June , July, then the impact will start coming .

Harsh: Okay. And we don't see this happenin g at other steel plants because why s ir, why can't JSW and Tata can also have the same sense?

Parmod Sagar: Sorry, can you come again ?

Harsh: So, sir that you rec kon it will happen that something similar will happen at our other customers as well where JSW, Tata Steel and the other ones will say that since we are procuring from one entity, they will reduce their purchases from R HI and maybe diversify their vendor base ?

 Parmod Sagar: In one or two cases yes, if these are only the product and only two companies for example, RHI Magnesita and Dalmia were suppliers. So, definitely now they are left with one company. So, they will try to develop some alternate source , so it is a natural phenomenon .

Harsh: So, according to you, how much do you reckon that we will be impacted more by this ?

Parmod Sagar: I don't have a number it is very minimal in percentage.

Harsh: Okay, got it. And sir regarding the strike and the overall integration with Dalmia , could you throw some remarks where are we in that space, where are we in that space , this integration already happened and why did we see a strike happening at Rajgangpur ?

Parmod Sagar: No, the integration is still ongoing though it's almost a year, it is a cultural thing, management style, we are thoroughly professional company, multinational company, those were family driven company , whether it's a Dalmia or Hitech , so, there way of working was different , our way of working in different of bringing the cultural change , it takes time. Secondly strike, there is a union from last 30 years that strong unions, so they were handling it differently, union has come up with something they stop ped the pro duction, they will say come let's discuss and resolve. So, we don't want to do that , so we said there's a way to discuss without stopping production and we will not accept this . We have a good relation with them no w.

Harsh: Okay . And have you seen any loss of share of business because of this strike, the three customers that we missed out the supplies too, have they approached other suppliers like any, any thoughts there?

Parmod Sagar: As I said, if the plant is closed for a 8, 10 days, yes there will be shipment impacted or revenue impacted temporarily, but the customer cannot reach out to any other supplier and the other supplier cannot also supply the materials, they need to make a mold , they need to produce the need to ship it is a cycle of maybe 4 5 days. First they need to float an inquir y then there is offer, then negotiation then honor, any big plant will take maybe a month time to even placing the order on another supplier . So, this didn't have an impact.

Moderator: Next question is from Sahil Sanghvi from Monarch Networth Capital. Please go ahead.

Sahil Sanghvi: Sir my first question is regarding the Red Sea issue, since we are sourcing a lot of raw material from outside, is that a really concerning factor the freight cost going up , the container availability being affected, leaps time increasing and would that really impact our RM cost and margins going ahead?

Parmod Sagar: You are talking about this Red Sea issue?

Sahil Sanghvi: Yes.

 Parmod Sagar: The freight is going up and that timing because the rerouting so it is a impact of almost two weeks. And freight is al

most sometimes double, sometimes even triple. So, that will have that impact and in coming days, we will also be reaching out to our customers to tell them the fact and some of the customers are also worried about how they will get that inventory in time , material in time. So, we are working on it, we are very committed market leader , we will not allow any steel plant to stop because of this issue. We are taking various steps at a global level also.

Sahil Sanghvi: I have heard that some of these annual contracts may not revise in January and some of these steel plants have been asking for price guards up to the magnitude of 5% to 7%. Are we seeing a similar pressure on price cuts and would that come in from Q4?

Parmod Sagar: There is a pressure on price cut but now with this Red Sea situation even the container availability will be an issue in coming days , because then you are rerouting two weeks, two and a half weeks delay that container availability will be an issue whether it's in Europe or in India or in China and there will be congestion at ports and all. So , now the first clarity of steel plants given to us will be to have refractory instead of talking about pricing and reduction. So, we are under pressure but they are also under pressure because materials will not be coming as smoothly as it was coming . Our raw material suppliers are also asking for price increase because the freights has gone up.

Moderator: Thank you. The next question is from the line of Mayank Bhandari from Asian Market Securities . Please go ahead.

Mayank Bhandari: Sir my first question is in the standalone excluding Hitech , what is our Y -o-Y growth if you can tell for this quarter and for the nine month ?

Vijaya Gupta: See, in place of standalone we have integrated SAP system . So, we do not have numbers for Hitech separately, so that standalone numbers have to be with Hitech only .

Mayank Bhandari: So, how much would be your export from standalone then?
Vijaya Gupta: Export from standalone in 11% .
Mayank Bhandari: And this has declined Y-o-Y how much?
Vijaya Gupta: So, last year it was around 16%. So, it has come down as sir has mentioned that freight , Red Sea issues and sluggishness in overseas market is the reason for lower exports.
Mayank Bhandari: Okay . And ma'am in terms of export capability, how much you have ramped up so now, are we doing export for flow control products also now, what is your status for export?
Parmod Sagar: Normally, we are doing export of only flow control products .
 Mayank Bhandari: Okay. So, within flow control, how many products ?
Parmod Sagar: How many products means ?
Mayank Bhandari: Like isostatic is what you had highlighted.
Parmod Sagar: Yes, mainly it is isostatic and slide gates .
Mayank Bhandari: Okay, because you are in the process of improving the export for three or four more products in the near future ?
Parmod Sagar: So, mainly this is flow control and from Vizag plant, there is a high alumina special refractory for export .
Mayank Bhandari: Okay. And lastly sir, in terms of Hitech capacity utilization, this year it is you said 58% right?
Parmod Sagar: Right .
Mayank Bhandari: Any expectation for this year, next year ?
Parmod Sagar: We are working seriously on creating Jamshedpur plant rea l isostatic export hub . But, in exports it takes time, a lot of time, doing trials and becoming an approved vendor, it takes some time around one and a half year. So, I believe in this year, we will be doing better than the previous year and 25, 26 onwards we will have substantial export business from Jamshedpur plant .
Mayank Bhandari: During that in the export market, the situation has bottomed out now. So, is it related to some demand slowdown in the export market , or how long can you expect that ?
Parmod Sagar: Yes, naturally in general there is a depressed market, particularly you talk about Europ

e or
because of this Ukraine, Russia war, and in general Europe is not performing well. They have their own issues. And I don't see next three or four months anything is going to change.
Moderator: Thank you very much. In the interest of time, we will have to take that as the last question. I would now like to hand the conference back to the management team for closing comments.
Parmod Sagar: Thank you, everyone for taking time out to join us today. We look forward to interacting with you again next quarter. And whatever suggestion you people have given we will consider that to add to our PPT next time. Please get in touch with our Investor Rel ations team for any further queries. We will be more than happy to answer your question. Thank you very much .
 Moderator: Thank you very much . On behalf of RHI Magnesita India Limited, that concludes this conference . Thank you for joining us . Ladies and gentlemen , you may now disconnect your lines .

Call: Jun 2024

Sensitivity: Internal
RHI MAGNESITA
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3June 2024
To,
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, Plot No. C/1, G Block,
Dalal Street Bandra Kurla Complex, Bandra (East)
Mumbai - 400 001, India Mumbai-400 051, India
BSE Scrip Code: 534076 NSE Symbol: RHIM
Dear Sir/ Ma'am,
Sub: Transcript of Conference Call - Q4 FY 2024
Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements), Regulations, 2015, and further to our earlier intimation dated 23 May 2024, the transcript of the conference call held on 29 May 2024, for discussing the earning performance of fourth quarter and year ended 31 March 2024, is annexed herewith.
The same will also be uploaded on the Company's website at the below link:
https://www.rhimagnesitaindia.com/investors/investor-meet
Kindly take the same onrecord.
Thanking you,
Yours faithfully
For RHI Magnesita India Limited
"~
/e
Sanjay Kumar
Company Secretary
(ICSI Membership No.- A17021)
Registered Office: Unit no.705,7" Floor, Lodha Supremus, Kanjurmarg Village Road, Kanjurmarg (East), Mumbai - 400042, Maharashira
Tel: 022-49851200
CIN: L.28113MH2010PLC312871

"RHI Magnesita India Limited Q4 FY '24 Earnings
Conference Call"

May 29, 2024

MANAGEMENT : MR. PARMOD SAGAR , MANAGING DIRECTOR AND
CEO, RHI MAGNESITA INDIA LIMITED
MR. AZIM SYED, CFO & CHIEF INVESTOR RELATIONS
OFFICER , RHI MAGNESITA INDIA LIMITED

MODERATOR : MR. MAYANK – ASIAN MARKET SECURITIES LIMITED

Moderator : Ladies and gentlemen, good day , and welcome to RHI Magnesita India Limited Q 4 FY '24 Conference Call hosted by Asian Markets Securities Limited .

This conference call may contain forward -looking statements about the company which are based on the belief s, opinion s and expectation s of the company as on date of this call. The se statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. Actual results may differ from such expectations, projections, etc, whether expressed or implied. Participants are requested to exercise caution while referring to such statements and remarks.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "* " then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mayank from Asian Market Securities Limited . Thank you, and over to you, sir .

Mayank: Thank you , Sagar . Good afternoon, everyone. On behalf of Asian Markets Securities, we welcome you all to Q4 FY '24 Earnings Conference Call of RHI Magnesita India Limited.

We have with us today Mr. Parmod Sagar – Managing Director and CEO, Mr. Azim Syed, CFO & Chief Investor Relations Officer. I request Mr. Parmod Sagar to take us through the overview of the Quarterly Results and then we can begin the Q&A session. Over to you. Over to Parmod .

Parmod Sagar: Thank you very much , Mayank. Good evening , investors, ladies and gentlemen. Welcome to our Earning Conference Call for the 4th Quarter of Financial Year 2 024.

This was a year of integration where we improved the foundation and operations of business reflected in the profitability, improvement of acquired entities. While demand in our export geographies during this quarter was relatively muted, our year -on-year growth has been robust.

We are now exceptionally positioned to enjoy the understood growth in the steel and cement sector. We will enhance this growth by leveraging synergies from our acquired acquisition and entering into the targeted area where we are underrepresented like iron making, DRI, pellets , etc.

The overall performance of our company has been consistent with our expectations demonstrating a level of efficiency that is aligned with our st rateg ic planning and operational aspirations.

Let's talk about our M&A and consolidated initiatives. Th e 2024 Fiscal Year saw a strong market ing condition in India, but global demand for refractories has been subdued with a consequent impact on global pricing levels.

Despite this, synergies from our recent acquisitions has continued to enhance our operations . The year-on-year growth in shipments was driven by contributions from the acquired assets leading to higher top line. At the same time, margins at RHI M-IR, erstwhile DOC L plant has also improved significantly reflecting the efficiency at play.

The strategic rationale of our M&A remains intact, and we continue to benefit from a broader product portfolio in both the flow control applications and cement sectors. We are confident to deliver further operational improvements and better utilization of the installed capacity.

Let's touch base upon our CSR activities. Our CSR has improved the infrastructure and accessibility, raising living standards near our plants of society at large. We are cognizant of our impact on the environment and society , and empowering our community is one of our key priorities. Over the last year, we rejuvenated five government schools, provided medical equipment to local hospitals, benefiting over

more than 2,000 patients, and offered a technical training to enhance employability where we operate.

All in all, we are going in line with expectations with respect to our leveraging of a strong market share and production capabilities. Our focus on local strategy aligns with the mission of Mak e in India.

To summarize, I am glad to say that we have successfully navigated through challenging market conditions while successfully integrated M&A to close our fiscal year on a positive note with resilient margins.

Now I would like to hand it over to our new CFO, Mr. Azim Syed , to take us through the financial and operational performance. So, first call on investor relations by Azim .

Azim Syed: Thank you very much, Parmod ji. Hello. Good evening, everyone. It gives me immense pleasure to address you all, especially since this is our first interaction. I indeed look forward to further building on the already close relationship we have with our valued investors.
Let me take this opportunity to walk you through our financial and operating performance during the 4th Quarter and full year. We are proud to have delivered attractive growth and resilient returns. In Q4 FY '2 4, against the same period last year, we generated 943 crores of revenue, reflecting an 8% increase from Q4 FY '2 3. The improvement in EBITDA margins to 16.2% was driven by the attractive profitability of new customers and the delivery of operational initiatives in the acquired businesses.

In comparison with the previous quarter revenue and EBITDA, it also showed growth. EBITDA margins improved 340 basis points, demonstrating the efficiency measures that we have been undertaking.
In terms of our full year results, we achieved a 39% year -on-year increase in revenue reaching 3,781 crores. This growth was driven by increased shipments and M&As, despite a headwind from product mix effects and global commodity driven pric ing pressure.
EBITDA for the full year stood at 557 crores, marking a remarkable 49% growth with 100 bps improvement in margin, led by operational efficiency and healthy margin expansion in RHIM - IR business.
On net debt repayment, during the year ending March 2024, we reduced our debt levels to Rs. 330 crores, a significant decrease by Rs. 857 crores, ending the period with 0.6x net debt EBITDA ratio. This achievement was made possible through strategic debt repayment facilitated by the QIP and preferential fund raise, and most importantly, strong internal cash generation.
In the financial systems, the value of the goodwill on acquisition of DOCL has been reduced by Rs. 326 crores against the amount initially recorded on the balance sheet, which has resulted in a non -cash charge to P&L. This accounting adjustment does not reflect a change in our view on the strength of the acquired business or its future prospects. This is more related to the underlying assumption used to value the business o n acquisition.
Production for the year increased by 86% to 331 kilotons led by the expansion in Cuttack and mergers and acquisition. Capacity utilization now stands at 62% and we have ample room to facilitate growth. While demand from export market is relatively weak, we are optimistic about leveraging our strengths to deliver sustained value especially in our strategic initiative of iron making, DRI and pellet business on top of the already attractive growth prospects of steel and cement as mentioned by Parmod ji.
That is all from our side. We can now open the floor for questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of Chetan Doshi from Tulsi Capital. Please go ahead.
Chetan Doshi: Parmod , congratulations for the excellent set of numbers in the last quarter and delivering the resu

lts as per the expectations. Now just saw the investor presentation and immediately this Con Call is there. So, it is difficult to even analyze , because this is quite a detailed presentation made after a long time.
Now , one or two questions are there. This last quarter, how you foresee for the current year that this growth what we have shown can be maintained in the current year ? And second question is

that profit before tax for standalone , when it is a combined entity, PBT has gone down . So how come that the acquired units , you are not making profit still?
Parmod Sagar: So, first of all, my apologies for uploading this presentation late. From next time, I will make sure that you people have ample time to go through the presentation. So that will be taken care of.
Chetan Doshi: Sorry to interrupt, but first slide, you have received lot of awards. So that shows the skill and the interest taken by the company to take care of the customers and feel the presence made to them.
Parmod Sagar: Thank you so much for your kind words. You talk about the margin and growth , and you are asking me to predict whether it is sustainable or not. So , I would say this is sustainable though we have global pressure of pricing. You know, China is over capacity . Their steel production is coming down . Refractory is over capacity. So , everywhere they are expanding . They are export business with a very, very low margin. So , pressure will be there, but we are also working on our cost, how we can keep this cost intact or reduce it so that we can maintain the standard margins which we are seeing in this last quarter .
Secondly, you are saying about the IR or the acquired business margins. You know, when we

acquired this was 6.9% EBITDA of Dalmia Group with one timer even. So , from 6.9%, we have reached almost 12%, 11.4% or so now. So , within a year, it is almost double the margins without much CAPEX . So, it shows our improvement in productivity, efficiencies and reduces our scrap rate, rejection, etc. So, I think we have done fairly well in getting these numbers in double digits within a year's time and coming days, we are hoping that number will further improve.
Chetan Doshi: Very good to hear this. And one last question which I would like to ask is the finance cost is going up . Being an MNC, I think, and when you have done QIP, how come this finance cost has been so high in the balance sheet? It is almost 64 crores for the current.
Azim Syed: So, we have the highest FOREX loss in Q3 due to the rupee depreciation. As you know, we have taken ECB loan . Against that we have hedged. So , this is the exposure to the foreign exchange currency. That's what we are seeing right now.
Chetan Doshi: So, next year, this will not be there. This much will not be there.
Parmod Sagar: No, this ECB loan is for, I think, four years more or so. So , hopefully , if the rupee is not depreciated, it can give up positive also. Unfortunately, rupee depreciated and we have an evident impact.
Moderator: Thank you. The next question is from the line of Jonas Bhutta from Birla Mutual Funds . Please go ahead.

Jonas Bhutta: Congratulations on the good results under fourth quarter. So, my question, I had a couple of questions. The first was on volumes. So, the implied volume in Q4, it seems, is about 1,23, 000 or 1,24,000 tons, which is like a 1%, 1.5% sequential growth and around 10 % to 12% on a Y -o-Y basis where in the base quarter in last year was in a way not fully representative. So, how should one think of volume growth at the consolidated entity for FY '2 5 considering that some of your peers are already clocking ? While we don't have volume numbers for them, their revenue growth is almost 2x that of ours. So, from th

at context, if you can highlight what could our potential volume growth be.
Parmod Sagar: Yes, thank you very much, Jonas , for your appreciation for the good results. About volume, I would say, as I explained earlier in my calls, that last year we had exceptional issues also. Like Dalmia, there was almost 11 -12,000 tons, which as captive material they were using in their cement plants from their refractory plants, which went to zero almost. They started buying from others, though the quality is not consistent with that.
Earlier we were having compulsion . Now we don't have any compulsion. So, it took us almost 8-9 months to upgrade the quality, consistency of these plants and show them that now it is not that plant, it is a RHI Magnesita with consistent quality. And for this year, we already got 11,200 tons of volume and about 8 million euros order. So, we recovered this. So, this will add on to our growth story of volumes.
Apart from this, you know, when you are comparing with our peers with due respect to peers, it is not apple to apple . You are comparing apple with orange. They are more into flow control. If I take out my flow control business from only BhiwadiBhiwadi is also not 100% flow control . Then you will see my revenue growth is comparable or even better than that. Right.
So, we are talking about consolidated where there are a lot of market dynamics are there, like cement last quarter or historically the first quarter of the year , cement is subdued. They have, you know, their plan of maintenance and controlling inventories and all those things. And as I said, the overcapacity all over the globe is there. So, earlier that lead time of refractory was about 16 weeks or so, and today it is about six weeks. So, the order placing cycle has also changed , and they are reducing their inventory levels , because the market is subdued in first quarter, but it is cyclic. It will come back.
Azim Syed: Sorry, t o respond to this lead time reduction, you can see even in our inventory results that we have reduced our inventory by 12%. So, we want to be just in time. We don't want to take a burden on our working capital. So, we are applying our inventory policy to reflect these lead time changes as well. Hence, you don't see a Q3 versus Q4 comparison.
Jonas Bhutta: Sir, the second question was on CAPEX . While it seems from the cash flow statement that we spent about 80 crores this year on a consolidated basis as CAPEX , what is the expectation for

next year? And if at all, if you can highlight what will you spend on in that sense? Then I have one more question after that.
Parmod Sagar: So, basically this 80 crores CAPEX is not on modernization and upgrading of systems. It is maybe 60% is maintenance regular CAPEX to run these plants. And we spend about say 35 crores or so on some equipment. So , going forward also our CAPEX will be of the same tune of

70 to 80 crores and half of it will be maintenance CAPEX and half of it will be modernization or replacing the outdated equipment with the new equipment which will help us to increase the productivity and reduce the scrap rate further.

Azim Syed: We are also reflecting this based on our capital allocation strategy. That is once we have a good operating cash flow, the first priority would be given , as Parmod ji said , on maintenance CAPEX and then based on the other , if there is left over , that's when we will modernize as per the business case that comes in fro nt of us.

Jonas Bhutta: Sir, lastly on the working capital intensity, where should we think in terms of conversion days that what is our targeted net working capital intensity that we would want to get to in the next one or two years given that…

Parmod Sagar: My wishful thinking is it should be about 25 %, 26%. This is my wishful thinking.

Jonas

Bhutta: But realistically?

Parmod Sagar: 30. 28% to 30% should be realistically sustainable , but I would like to keep it to 25, 26 if all goes well in the next two -three years ' time.

Azim Syed: Yes, that's a long-term number just to kind of highlight that.

Jonas Bhutta: And if I can squeeze in one more , Parmod ji, if you can highlight the efforts that the company is making on the flow control side because there seems to be quite a bit of capacity addition that is coming up from one of your competitors and just wanted to know whether that sort of crowds you out because you are a relatively new player in that market given that an existing player is sort of doubling down on capacities ?

Parmod Sagar: As you know me for many years , I am not afraid of competition. You know , they are good in their field , but we are also equally good . And with this Jamshedpur plant, hi -tech plant , we also have now all the top -end products with us along with the technology. So , I am not overtly worried. Actually , it's good if we have a healthy competition and we have also if we talk about only ISO , we now are getting into slab caster and thin slab caster area where my competition and you are mentioning , I know where you are hitting it , they are strong in that.

So, that is an opportunity for us to grow a business in that area and long product , we are the market leader already . Right? And apart from this , if we talk in general about flow control , then I think I already explained that we have bought technology from Urmit z for our purging refracting technology which has helped us to improve our market and reduce our working capital inventory etc.

Moderator: Thank you. The next question is from the line of Ashish Kejriwal from Nu vama Wealth Management. Please go ahead.

Ashish Kejriwal: Many congratulations , sir, for good set of numbers after disappointing Q3. So , my question is on terms of volume because if I look at the sales volume , at least we are not seeing any sales volume increase from third quarter to 4th Quarter . It is more or less flat , whereas we have already seen higher volume in second quarter of last year. So, w hy we are not able to increase volumes or in terms of capacit y utili zation , if you can share what is the capacity utilization of Dalmia assets and our erstwhile RHI assets?

Parmod Sagar: Volume, as you said , is almost flat , 1.5% or 1.7% growth quarter -on-quarter basis , whereas steel grew by 3% in this quarter. So, it is not a very substantial difference between that , but as I explained replying to earlier question that we suffer because of some order s, which we could not get last year from Dal mia group , which we got now around 11,000 tons and it start from April onwards . Already the supply started . And at the same time there is a serious market situation globally. Export is really hitting us bad. Everybody, you know, if you check my competition, their export is, you know, that's like anything. So , it is hitting us as well, which is because of geopolitical situation.

At the same time, a lot of material is on the way, which we could not invoice it which is inco terms is CIF and the material is on the way because of the Red Sea situation. Earlier, the container from China to India was about 25 days. Now it is more than 60 days. It is shipments at Colombo , at Singapore , at many places. So , it also is hitting us, and other players are totally manufacturing in India. We are also getting imports from other countries, and it also has impact a little bit on volume, but I am sure this new quarter and this new fiscal, we will recover this.

Ashish Kejriwal: So, sir, is it possible to share how much is the export volume as a percentage of total volume in a Quarter 4 versus quarter three?

Parmod Sagar: No, I don't have a number ready

with me, but as we earlier said, our total export is about 10.5 %, 11%, which probably last quarter was a bit 8% or so, but I don't have an exact number. It is just a rough estimation.

Ashish Kejriwal: So, sir, you are saying that Quarter 4 , our exports should be something like 11% of the total volume versus 8% in quarter three?

Parmod Sagar: No, I am talking about a year -on-year basis. It is around 10.5% or 11% of our total revenue.
Ashish Kejriwal: Revenue, okay . So, sir, last quarter, you mentioned that we were voluntarily tightening some of the customers because of the credit risk criteria. Have we solved that or still the situation remains the same?
Parmod Sagar: No, it is solved to some extent. Still, we have one PSU plant which is not doing well . Though the payments are secured because it is a government plant, they are in not a really good shape.
So, we are very cautious when it comes to shipping the material. We cannot have unlimited exposure to a customer, whether it is a government plant or private. So, we are a bit cautious.
Though it will hit us, the revenue will be affected, but at the same time, we need to have a limited exposure.
Ashish Kejriwal: And sir, is it possible to share at what capacity utilization we are operating, or we have operated in Quarter 4 for Dalmia assets as well as our erstwhile RHI assets?
Parmod Sagar: We over all at 62% capacity level. If we talk about Dalmia plants, I think it is 54% and rest is around 75% or so.
Ashish Kejriwal: So, sir, t he question is the same because at least in Dalmia plants, we are unable to ramp up volumes. I understand that in steel also w e are saying that Q4 steel production has increased by 3% and we are just 1%, but because of the higher capacity which we have, don't we think that we should exceed the industry standard?
Parmod Sagar: No, no, you know, we are growing at a reasonable level. As I explained, we lost almost 12,000 tons refractory because Dalmia Cements did not give us order because of their issues, their past experience with those plant 's quality consistency. So, now there we got back this.
So, this is history. This is gone , and we could not do anything because their assumption, their experience was bad with their parent company at that point of time, and we could not reverse it immediately because we have to prove that now that it is RHI Magnesita standard quality plus the export volumes.
So, this is a test, and the export still will be a pain. It will not improve in the very near future.
You all know what is the situation all over the globe. If you talk about Europe, it is almost 35% less steel production than last year.
Ashish Kejriwal: Sir, i s it possible for you to guide us for FY '2 5 volume growth as well as revenue growth?
Parmod Sagar: You know, I can tell you about the volume growth. It will be around 8%, but revenue is totally driven by market pricing. So, it is really difficult because if the market further goes down, there is a less selling price . Then the revenue will be less than 8%. It's really very difficult to predict .

And now the other situation is the freight is going up. Right? So, container availability like in '22, the situation is almost going back to the same level. Availability of raw material and availability of finished goods will be really a tough task and we are going to reach out to our customers, warning them, cautioning them that they should have enough sufficient inventories and all those things. At the same time, we will be asking for a freight surcharge from our customers if it will not subdue in the near future.
Ashish Kejriwal: And sir, lastly, when we are talking about that we have got a good integration with Dalmia's plant and with our standa

rd , so do we think that, and then earlier we have a plan of around 300 crore to be spent in next three years toward the asset development. So, where we are ? And do we think that we can increase the margins of those plants and get it in line with our plants?
Parmod Sagar: You know, first our target was how we can improve the productivity, reduce the scrap rate without putting very substantial CAPEX . We are successful in that. In last year, we improved this 6.9% to 11.4% EBITDA margins. So, now we are selectively putting the money. I said 300 crore definitely, and I stand by that in three, four years' time. But just spending the money doesn't make any sense, right?
So, we are cautious, and we will keep on investing. Like I said, about 80 crores we invested including maintenance CAPEX in last year. Out of that , 35 or 40 crores is for modernization .
Same , almost same way we will be doing this cautiously. And next year, probably the CAPEX will be more because we want to increase our footprint in iron making area. So, we will be modernizing some iron making activity in India in next year , and there for that we will increase our CAPEX as well, but the total number will remain within 300 crore in next few years' time , what I said.
Ashish Kejriwal: And sir, lastly, is it safe to say that Q4 could be the bottom for us at least for a year?
Parmod Sagar: I would say yes.

Moderator: Thank you. The next question is from the line of Sahil Sanghvi from Monarch Networth Capital . Please go ahead.
Sahil Sanghvi: Good evening , sir, and congratulations for a very good set of numbers despite very difficult demand situations. My first question is regarding the Dalmia facility . So, you said that the utilization levels were roughly 64%, right? That's for Q4 or for the full year?
Parmod Sagar: First of all, thank you very much for your kind words. Yes, Overall is 62% and Dalmia plant is 54%.
Sahil Sanghvi: So, revenue also, quarter by quarter, we have gone a little bit lower, right sir? I mean, at Dalmia?

Parmod Sagar: You know, now we should not start looking at standalone level . We should be thinking of consolidating because we keep on shifting product from one plant to another to see how we can leverage the synergies, right? So, like I said, we shifted some product from Dalmia to RHI Magnesita India and from RHI Magnesita India also some product to Dalmia. So, comparing revenue quarter by quarter of standalone, it will not reflect the true picture.
Sahil Sanghvi: So now, you know, depending on whatever CAPEX you have done, small CAPEX at Dalmia and whatever full -year capacity we have, what is the optimum revenue you think you can perform at Dalmia of scale?
Parmod Sagar: Again, you are saying Dalmia , it will be difficult, but as I said on consolidated level, we are planning to grow about 8%, though in Dalmia, our business plan, the revised business plan is about 14%, 15% growth for this year.
Azim Syed: If I may also add, in Q3 is a very wrong comparison because we had a lot of one -time project orders in Q3 in RHIM -IR or ex -Dalmia plan t.
Sahil Sanghvi: And just a bit more understanding on the impairment front, I mean, would this be a continuous process and would there be...
Parmod Sagar: Sahil , you are a friend . Why you are asking this ? It cannot be continuous . It is a one -timer. We have a very strong fundamental and it is a very considered decision that let's give a reasonable resilience growth to you all guys, right. It is one -timer no rmally .
Azim Syed: Just to kind of underline Parmod ji's point, it is coming purely in the export geographies. This is the fundamental assumption that has changed, and we don't see in the medium term, this assumption would change because of the whole macroeconomic environment. That's the f

undamental driver for this change.
Sahil Sanghvi: And my last question would be on the pricing front. I mean, last year the raw material costs had fallen by a good 8%, 10%. I think probably right now what we are looking at is that we are kind of staying on the same levels when it comes to pricing because there is some bit of rate hike also which has happened . So, is there a pricing pressure that could come maybe in a medium or medium -to-longer term?
Parmod Sagar: Pricing pressure will definitely come . That's what I am trying to say. There is already pricing pressure, but what is our total focus is how we can maintain the margin, irrespective of pricing pressure, selling price and all those things.
And for just your information, in the last , say, one month or so, aluminous raw materials like tabular alumina, white -fused alumina , bauxite, the trend is now upward , which in the long run I would say is a healthy situation, good for every industry, not only for RHI Magnesita India, but

as a whole refractory industry, it is good that market is reviving from sub -dual mode or depression, we are going back to normal level. Though we need to really pass on these increases to our customers, it will be a challenge, but definitely as we did in the past, we will do this in coming days also.
Moderator: Thank you. The next question is from the line of Chetan Doshi from Tulsi Capital . Please go ahead.
Chetan Doshi: Now, two specific questions. As I was going through the presentation, see market leadership of 30% is quite a big number as far as India is concerned . So, almost our presence in most of the companies is there. So, where you want RHI to move ahead from this 30%?
And second question is what backup we are going to get from our principles for launching new products, new technologies ? And what are the plans ? When we intend to do it in our Indian operations?
Parmod Sagar: A good question. Actually, our intention is to go to 40% market share in next five years' time. That is what our global CEO also, when he was in India, talked about in his TV interview. So, that shows that it is not local management, but the global management, global CEO is also looking India as a growth market , and there is a full support from our RHI Magnesita global

management.
Last month, we also had the first time in the history of our RHI Magnesita , the total board came to India, spent almost one week, visited the new acquired companies, had long discussion with the local management team about growth plans and they extend their full s upport to the local management also for coming days.
So, ultimate aim is to reach 40%. We have the support from global . We are shifting some products from our other erstwhile global plan ts, whether it is in Europe or in South America or in China to Indian plan ts to increase our utilization and bring synergy and it will also help us to reduce our working capital . It will help us to improve our margins.
Chetan Doshi: But any specific timeline as to when this technology transfer or maybe production transfer from the Europe or U .S. is going to take place?
Parmod Sagar: Actually, this is an ongoing process, but I would say probably one to two years, we will be having almost whatever we wanted to shift to India, we will be there.
Chetan Doshi: And one last question. This takeover of Dalmia and Hi-Tech, when you personally feel that you are able to utilize these two entities in full strength?

Parmod Sagar: Normally, full strength means that you will never be able to utilize the capacity at 100%. There will be mode changing. There will be maintenance plants. There will be all sort of
Chetan Doshi: Sorry to interrupt. See, f ull strength means not capacity . In th e sense, when you

have invested
so much amount in these two entities, you must suppose currently both the entities are adding 200 crores turnover. So, t ransferring the product from RHI to that place, whatever it is, from those units, you want minimum say 500, from 200 to 500 in next 3 years. That is what the plan is. Then it makes sense because now the products are moving in the single name. Now there is no D almia or Hi-Tech , but when you utilize them and certain products are as a combination when you supply, then definitely it adds up to the total turnover.
Parmod Sagar: Yes, but if I understood your question correctly, first let me clarify. When I am saying shifting products or technology from European or South American plants or anywhere else to India, it is shifting import to local for local. It is not additional business. Right? So, this will help us to fill up our plants to some extent, reduce our fixed costs and reduce our working capital . So, these advantages we will have and local for local means a little bit of margin improvement as well. So, these are the three things which will happen after getting some product shifted from our outside plant to Indian plants.
Chetan Doshi: So, when an MNC at present may be that merging of the two units and taking a feel of the products and relaunching certain grades and getting the rejections at the lowest level, For MNC to take price increase of 2 % to 3%, once the quality gets accepted, then customer is left with limited choice but to come to the company. So, in margins improvement, I foresee in next 1.5 years, the margins will definitely, you may surpass the competition may be in 1.5 years or 2 years ' time. That is my observat ion.
Parmod Sagar: No, your observation is absolutely right. In the next two years ' time, margin definitely should improve, but at the same time, there will be a lot of pressure. You know, in India, what is happening now is everybody is adding capacity, whether it is Vesuvius, IFGL, Tata Krosaki, XYZ. So, there will also be in the coming days, overcapacity or more capacity, right?
So, this will also make us a bit more conservative when we talk about giving a guideline to the market about the margins. If it will improve, then probably there will be more chances of having a competition more. And that's why I keep on saying, if we can maintain this margin, present margins, that will be a great achievement, in spite of those challenges in the market.
Azim Syed: And on top of that, as Parmod already mentioned, there is quite a bit of global overcapacity of refractories. So, you have a pure price elasticity game on demand versus supply. That is one of the most important driving factor s for pricing. So, we should look inwards and see how we can improve or manage our margins.
Moderator: Thank you. The next question is from the line of Harsh from Marcellus . Please go ahead.

Harsh: My question is with regards to the interview which the global CEO gave. He gave certain guidance with respect to the export business . So, can you elaborate on that? How large can the export be and some time lines there?
Parmod Sagar: You know, Stefan said, our global CEO said, yes, we want to have India as export hub. But at present, the situation is not conducive to that because of less production in European plants or the other areas, right? So, our strategy is this . Our planning is this, but I think it will take time to shoot this on an upward scale.

Harsh: Can we reach like export can reach 20% of our total top line in the next two years or so?
Parmod Sagar: You know, if marketing improve, I think 20 %, 25% is not a very difficult task to reach. But it all depends on the market geographical situation.
Moderator: Thank you. The next question is from the line of Manoj Rajani from Rajani family office . Please go

ahead.
Manoj Rajani: So, sir, sorry, I actually joined the call a bit late. So, wanted to know an outlook for our exports market, basically , given the current global scenario. So, like, if you could give some insights into it broadly.
Parmod Sagar: You know, the market is really bad . If we talk about export, hardly any country is producing, I would say . China is reducing their steel production . They have an overcapacity of refractory . Europe is almost 30 %, 35% lower steel production. They have now also overcapacity of everything, right? So, wherever we were even selling or exporting, they have inventories. So, it is slow down from last, say, year or so. So, I don't see any revival in the near term, rather near-to-mid-term. So, maybe it will take at least two years when the situation, geopolitical situation becomes normal. And then we will definitely be pushing for export . Now even we are pushing , but actually the market is not there.
Manoj Rajani: And sir , my second question is that, if you could just provide a detailed update on the current status of the working capital ? And also additionally, I would appreciate it if you could elaborate on the specific strategies that we are implementing to enhance and optimize the working capital at the same time.
Azim Syed: As you can see, you already are seeing our initial implementation plan of some of our working capital initiatives in some of our acquired business. You can see this very clearly in our inventory where we have reduced close to about 12% of value. We expect that this we would reduce. We would also be a bit cautious on this on a short -term perspective because of the Red Sea crisis and the container availability situation in China. So , this is the first aspect on the receivables .

On a mid -term basis , we would apply credit tightening only to the customers where we see a high risk from an insurance perspective. So , these are the only places we will shy away from the business . So, we expect the receivable intensity to be on the short -term basis at least till the end of the year almost at the same level.
On the payables , we have taken a very deliberate approach to ensure that we are complying with the MSME compliance on the payable . So, we believe that we will operate at this level.
Having said that , this is completely for the short -term perspective , but from a medium -term perspective , we expect our inventories to reduce and our receivables to be reducing as well. This is our midterm strategy. Parmod has given a very long-term ambition previously , but I would be very cautious in terms of we will be operating at that almost at that level aspirationally over a long-term perspective. I hope that answers the question.
Manoj Rajani: Yes, sir. I just had these two questions ma inly.
Moderator: Thank you. The next question is from the line of Mayank from AMSEC . So, please go ahead.
Mayank: Sir, my first question is on the volume growth that you have shown year -on-year in FY '24 is almost 50 %, whereas our value growth is almost 3 8%. So, the difference of 12 %, what exactly is driven by ?
Parmod Sagar: You know the situation , market situation as of now is that revenue or the selling price will be under pressure . So, that's why the revenue growth is lower , volume growth is more .
Mayank: So, sir, but you are guiding for, going forward, you are guiding for 8% volume and 14% to 15% value growth, is that correct?
Azim Syed: We are talking about the outlook, we are saying 8%, so is this something we are considering?
Parmod Sagar: 8% volume growth, we keep on saying from last one year and we still stand by that. It will be growth by 8%, but if we talk about revenue, it is totally linked with the market pricing, market situation. So, I cannot predict revenue growth, but volu

me growth, it will be 8+.
Azim Syed: And on your initial comment about the acquired business, why we have a lesser realization, it is very simple that it is the acquired Dalmia entity, it is more the commodity business and that is why it is not very comparable if you compare the average realization from Dalmia .
Parmod Sagar: It is more of bricks and mix es plants, not flow control plan ts.
Mayank: Yes, so basically it is a mix change and correction in commodities, is it what we understood?
Parmod Sagar: Yes.

Mayank: So, will you be able to give any idea how much is due to correction in commodities? That fall in the revenue, fall in the realization, how much is due to the commodity price correction or?
Parmod Sagar: Actually, we do not have this segregation of numbers, but it is a good idea . We will also look into it.
Azim Syed: And also, please remember that some of them are project order business . So, there is quite a significant mix component in cement kind of businesses as you might be already aware of. So, yes, it will be unmeaningful to compare those numbers in my opinion. But going forward, because we have full -year results for FY '24, w e will have comparable business in the future , and we can probably break it down in the future orally.
Mayank: And secondly, sir, one of your competitors globally had highlighted that there is increased export from China, which is facing the industry. I am just wondering, you have been highlighting that the demand is low, but one of your global competitors is highlighting that the demand is sound across the geographies, particularly in the steel sector . As there is increased export from China consistently , China is doing good business in the steel side. So , why is there a difference in the commentary? I am not able to understand.
Parmod Sagar: I cannot comment on the competition 's commentary, but you can check that number. All the countries have adjusted downward their steel production for this year. So, o ur calculation says all the plants, all the countries are reducing their steel production, including China. Only exception is India and a small country in Southeast Asia, Vietnam, etc., who are still producing handsomely. But o therwise, I cannot see any country, as you know, positive outlook for steel production except India .
Mayank: And sir, lastly, on the margin side, in the presentation, it is mentioned that there is an improvement in the acquired entity margin. So , can you highlight what is the margin that we have in Dalmia now?
Parmod Sagar: When we acquired this, it was 6.9% with the one timer also, including that. So , now it is 11.4%, around 6.9% within a year's time.
Mayank: That is in Dalmia ?
Parmod Sagar: Yes.
Mayank: And what about Hi-Tech Chemicals ?
Parmod Sagar: Hi-Tech , we cannot carve out the numbers because we merged that into RHI Magnesita India Limited in August. So , now it is a combined entity , and we cannot carve out that number. But I can only say with caution that the way we wanted to grow business in the Jamshedpur plant or

Hi-Tech plant, it is still not that level, again, because of the lower exports, which we thought we will be exporting a lot from that plant, flow control, ISO-products. And it is because of market, not because of any other reason.
Azim Syed: And on top of it, it was also cut off supply in the sanctioned markets as well.
Parmod Sagar: Yes. So Dalmia 's and Hi-Tech were also exporting to sanctioned countries like Iran, Syria, etc., which we stopped . As a European company , we are not supposed to supply to these countries. So, that also impacted, and that impact will remain till the sanction is lifted.
Moderator: Thank you. The next question is from the line of Pratim Roy from B&K Securitie

s. Please go
ahead.
Pratim Roy: I think, I just missed it that are you quoting any EBITDA or the guidance from the longer -term perspective?
Parmod Sagar: I would still maintain 14 % to 15% i s sustainable margins.
Pratim Roy: And one more thing, sir, as in the last -to-last call that we made a comment that we are losing orders from the SAIL as we are right now Dalmia , Hi-Tech or are the same company. So , is there any development on that side ? And what kind of order flow we can expect in FY '25? You can throw some light on that.
Parmod Sagar: You know, I told all you investors and analysts that because of the government plans, the standard system, there were three companies competing and now it's one company. So , there was a business loss of about 3%, which we are compensating with entering into iron making area. And as I said earlier, it's even over a cable, not a compensate with 3% loss of business, but we will add one or 2% more business. So , that we are not worried about . We are already working on it and numbers are encouragin g.
Pratim Roy: And one more thing, sir, just to verify . You mentioned that Dalmia also the capacity utilization is 54%, right? 5 -4?
Parmod Sagar: Yes.
Moderator: Thank you. The next question is from the line of Dhavan Shah from AlfAccurate Advisors . Please go ahead.
Dhavan Shah: I joined a little bit late, so pardon me if my questions are repetitive in nature. So , basically , I just wanted to understand, I mean, when can we optimum utilize the acquired assets and what could

be the incremental revenue we can see by that time?

Parmod Sagar: You know, our intention is to take this to the optimum level of 75 %, 80% in next four to five years' time . And if we are growing by 8% by volume, if market remain like this, I cannot predict revenue growth, but by volume 8% on, I will say, C-A-G-R basis, CAGR basis.
Dhavan Shah: But don't you think, I mean, that is very much conservative in nature, given that your competitor is growing at around 20 %, 25%?
Parmod Sagar: Again, we are comparing apple with orange. They are flow control companies. So , they are 20% of 1,000 crore is 200 crore. The base is so big . We are talking about 4 ,000 crore almost now. And with every year, the base will be bigger and bigger and bigger. So , we should talk about absolute value or absolute number . That will be more representative than percentage. Right?
Dhavan Shah: Right. And what is our contribution from the flow right now? And when you reach to the optimal utilization, what could be the flow contribution to the overall top line numbers?
Azim Syed: Now, we are still predicting 8% CAGR growth on volumes . As Parmod already mentioned, due to global pricing pressure, we are not giving any guidance on how the volume will grow up. So, as we said, we have a very volatile global mass pricing dynamic situation. We would not comment on that at this moment, on the top line g rowth.
Moderator: Thank you. The next question is from the line of Sanjay Nandi from VT Capital. Please go ahead.
Sanjay Nandi: Sir, can you please guide us on the share of our flow control in total sales?
Parmod Sagar: Share, n ormally, historically flow control is about 25% and 75% is a lining in there.
Sanjay Nandi: And sir, what has been the utilization for the full year? Like you mentioned, 62% for this quarter, right? Like you mentioned, 62% has been utilization for this quarter, right? So, what has been the utilization for the full year FY '24?
Parmod Sagar: 62% is the present utilization.
Sanjay Nandi : Like for quarter four, right?
Parmod Sagar: No, no . Quarter 4 is 59 . It is an overall 62%.
Moderator: Thank you. The next question is from the line of Ashish Kejriwal from Nu vama Wealth Management. Please go ahead.
Ashish Kejriwal: Sir, just to retreat, our CAPEX plan for FY

'25 is something like 80 -90 crore, which includes maintenance as well as modernization of the plant.
Parmod Sagar: Yes.

Ashish Kejriwal: That's right?
Parmod Sagar: Absolutely. And then , subsequently , I said it may go up because we wanted to put some thrust on iron making area. It may go up maybe by 10 -20 crore more.
Ashish Kejriwal: So, is it fair to assume that next two years we will be something like 200 crore?
Parmod Sagar: In two years, yes. Probably 170 to 200 crore.
Ashish Kejriwal: And any plans for any inorganic opportunity which we are looking at because now our balance sheet is still under control?
Parmod Sagar: We, in general , think that we need to consolidate this in the next two years' time. We are not looking at any big acquisition as of now, but we are not stopping anything. If something comes up on the table, it fits well into our scheme of things, we will definitely look into it. But nothing is on the table, but we are op en to any discussion with anybody.
Ashish Kejriwal: Sir, only thing is when we are looking for inorganic expansion, are we looking for volume or some kind of technology which we don't have or which if we can develop , that will take some time? Or what is the threshold which one should look at? Because in the case of Dalmia, it seems that it's because of the volume which we have taken, but we have paid at a higher price. So , going forward, when we look at any acquisition, what could be in our mind?
Parmod Sagar: It will not be technology . It will not be capacity. We have enough technology within us , and we have enough capacity also. It will be connecting the dots. If some product is missing within our portfolio and it can increase our revenue, our presence in the market, that definitely we will be looking at. And we have something in mind, what are t he areas where we can really have something and increase our market presence .
Ashish Kejriwal: And sir, when we are talking about the guidance, because obviously you are conservatively giving the guidance of 14%, 15% on a long -term basis , but the way we try to increase efficiencies in Dalmia assets as well as our assets, don't we think that our margins could be higher assuming that macro remains stable?
Parmod Sagar: I would say in other words, if we talk about Dalmia, this is a mostly commodity business where we should expect maybe 12% to 14% EBITDA margin. And when we talk about erstwhile high-

end product, it can be 16 %, 17%. So , combining together , it will always be 14 %, 15%. One quarter can be 1% higher and one quarter lower , but you should look at a long -term sustainable growth of the company which is there.

Ashish Kejriwal: Sir, why I am asking is that because obviously when you look at your revenue breakup, obviously besides a product, we have something like total refractory management services, which

obviously keeps on increasing because of the equation which we have with our customers. So, don't we think that this segment at least will keep on increasing despite the pressure on the prices or something which we are witnessing in product?

Parmod Sagar: If we talk about assured business, yes, it will keep on growing and we are looking at it, but when we talk about the margin, you know, when some company is giving you 100% business, they are expecting lower their cost of production. If now their cost is Rs. 1,000, they will say, okay, you take it at 9 ,000 for Rs. 50. I will give you 100% business. Otherwise, why they will give? And from that, the margin 2%, 3%, 4%, lower margin, then we start doing our product efficiency, our management in that plant to reach to the level where we should be. So, it will never be a high-end margin segment. If we can manage at the same level, average margin, it will be great. At le as

t we have a ssured business, we have visibility.

Ashish Kejriwal: No, sir, b ecause in terms of percentage margin, it changes, but when we look at on a per ton basis, then we can have some sense on profitability , because normally we say that we try to pass it on the increase or decrease in raw material prices. So, our top line can change this. So, is it possible to guide us when you are guiding 14 % to 15% margin, is it possible to guide in terms of tonnage?

Parmod Sagar: Tonnage, as I said, we did a lot of research and the strategy team did a deep dive , and we believe that average growth in India will be about 6 % to 7%. And we are talking long term, not one year or so, and we are planning to grow more than the market by +8%, right?

And at the same time, as I said, we are looking at various other products where we are underperforming or underrepresented. If those projects materialize, the numbers can change, but as of now, we don't have anything on the table. We are just exploring pos sibilities. Maybe a year or so , we will revise our guidelines, but as of now, I don't have any prediction.

Ashish Kejriwal: No, sir, I was talking about the similar guidance, which we are giving in terms of percentage. Is it possible to give in terms of EBITDA per ton?

Parmod Sagar: No, we are not calculating EBITDA per ton, you know.

Azim Syed: There are three reasons for it. Number one, as you know that we get quite a bit of one time of project business, which has a completely different product mix.

Second is because of the cyclical nature of cement business , especially, and also the relining of furnaces. This also happens on a project basis. This has a completely, totally different product mix. So , this is the second reason.

And the third reason basically is that our broad product portfolio and in the new areas that we are growing. So , basically, th ese are the three things that kind of influences. So , this number can

be totally misrepresented if you look at it, because some months we will have higher mixes falling, which are higher in tonnages versus flow control products, which will kind of in as a stable consumption that would happen. Hence, I think this will be a totally wrong way to look at the numbers in our humble opinion .

Moderator: Thank you . Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Parmod Sagar: Thank you very much, dear investors, dear friends, analysts, for your continuous support, believing in the company, believing in the management. It's a really privilege talking to you guys. It gave us a lot of confidence and rest assured; we will deliver whatever we are promising to you guys. And we look forward to our next interaction next quarter, and apologies for late presentation upload. Next time, we will make sure that you have ample time to go through the presentation, have your questions ready . Apologies for that. Thank you very much. Thank you very much , dear investor relations team, to reaching out to us, helping us out with this call. So , all the very best to all of you. Thank you very much. Talk to you soon.

Moderator: Thank you. On behalf of Asian Markets Securities Limited, t hat concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2024

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20 August 2 024

To,

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001 , India
BSE Scrip Code: 534076 National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (East)
Mumbai – 400 051 , India
NSE Symbol: RHIM

Dear Sir/ Madam,

Sub: Transcript of Conference Call – first quarter ended 30 June 2024

Pursuant to the Regulation 30 of the S ecurities and Exchange Board of India (Listing Obligations and Disclosure Requirements), Regulations, 2015, and further to our earlier intimation dated 8 August 2024 , the transcript of the conference call held on 14 August 2024 , for discussing the earning performance of first quarter ended 30 June 2024, is annexed herewith.

The same will also be uploaded on the Company’s website at the below link:

https://www.rhimagnesitaindia.com/investors/investor -meet

Kindly take the same on record.

Thanking you,

Yours faithfully

For RHI Magnesita India Limited

Sanjay Kumar
Company Secretary
(ICSI Membership No. -17021)

“RHI Magnesita India Limited Q1 FY -25 Earnings
Conference Call”

August 14, 2024

MANAGEMENT : MR. PARMOD SAGAR – MANAGING DIRECTOR & CEO .
MR. AZIM SYED – CFO & CHIEF INVESTOR RELATIONS OFFICER .
MODERATOR : MR. ARYAN SHARMA – BATLIVALA & KARANI SECURITIES INDIA PRIVATE LIMITED .

Moderator: Ladies and gentlemen, good day and welcome to the RHI Magnesita India Limited Conference Call hosted by Batlivala & Karani Securities India Private Limited .

This conf erence call may contain forward -looking statements about the Company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantee of future performance and involve risk and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call , please signal an operator by pressing “*” then “0” on your touch tone phone . Please note that this conference is being recorded.

I now hand the conference over to Mr. Aryan Sharma from Batlivala & Karani Securities India Private Limited. Thank you and over to you sir.

Aryan Sharma: Thank you Shubh. Good evening everyone. On behalf of B &K Securities, we welcome you all to Q1 FY25 Earnings Conference Call of RHI Magnesita India Limited .

We have with us today, Mr. Parmod Sagar – Managing Director and CEO, and Mr. Azim Syed – CFO & Chief Investor Relations Officer .

I request Mr. Parmod Sagar to take us through the “Overview ” of the Quarterly Resul ts, and then we can begin the Q& A session. Over to you Parmod sir.

Parmod Sagar: Thank you very much. Good evening and thank you for joining us today. I hope you have had the chance to view our Financial Results for the 1st Quarter and the Company Presentation , which has been published in advance .

I am happy to share that we have reported the highest quarterly operating margin since the acquisition of Hi-Tech and Dalmia . Reflecting the successful execution of our strategic plan to date. Our strategic levers in the area of iron making and flow control are also deliver ing the results leading to a n increase in our market share.

About market updates, end user industries such as steel, cement and industrial business es see a subdued customer activity due to seasonal slowdown . Further exuberated by cheap imports coming from Southeast Asia and China, and tepid demand in export market. Additionally, rising freight cost stemming from Singapore blockade has significantly increased the cost of imports and increased in raw material of alumina based raw materials . We expect this situation will persist in the upcoming quarters as well. Despite these challenges, we are optimistic about the upcoming quarters. We anticipate steel and cement production to ramp up, especially with the

support of Union budget “Viksit Bharat ” initiative, which has allocated 3.4% of our Indian GDP for infrastructure development.
Looking ahead , as the market leaders, we are well positioned to seize all the growth opportunities in sync with the end user industries. Our focus on penetrating into iron making, including DRI, pellets and other critical application resulted in growth in this segment. I am glad to share that we are witnessing strong order momentum in the blast furnace cast house , with three new contracts secured and two additional opportunities in discussions. Furthermore, we have on - boarded five new customers in tap hole clay and are working on two coke oven projects which will enhance utilization in our silica plant at Rajgangpur in our near future .
Integration efforts are progressing, including the roll out of our global operational excellence program across all our manufacturing facilities, which aims to harmonize operations across acquired entities with best-in-class safety and efficiency standards. We remain committed towards delivering sustain

able and profitable growth and long term shareholder value creation.
We continue to lead in recycling of raw material and remain committed to reduction of CO_2 footprint .
In conclusion, our performance this quarter aligns with our expectations, especially given the temporary weak market condition. We remain committed to delivering sustainable and profitable growth . I would now request Azim Syed , our CFO and CIRO to take you through our quarterly financial performance. Azim .
Azim Syed: Thank you , Parmod ji. Good evening everyone and thank you for joining us.
Our consolidated revenue from operations in Q1 FY25 was maintained at Rs.878 crores, while the EBITA increased by 3% to Rs.157 crores. The increase of profitability was driven by better product mix and one time high margin customer orders. The weakness in the top line was well elaborated by Parmod ji. Our PAT for the quarter was Rs.73 crores. The improvement was contributed by better margins and negligible use of our short -term working capital financing .
Our net debt -to-EBITDA ratio improved from 0.6x to 0.3x. This is contributed by strong cash generation from operation and improved working capital by efficient management of our inventories. We are optimistic about leveraging our strengths in iron making, D RI and the pellet business. Our focus remains on capturing attractive growth prospects in o ur customer sectors.
Going forward, we continue to focus on sustainable growth and delivering better return ratio for our shareholders. We are well positioned to support the growth of our customer s.
Let me take this opportunity to inform two announcements :
Based on the recommendation of nomination and remuneration committee, they have appointed Mr. Kamal Sa rda as an Additional Independent Director of the company for a period of five

years, with effective from 14th of August 2024 , subject to approval of shareholders in the ensuing AGM . Further , Mr. Sarda is a Chartered Accountant and also law graduate. He has 35 years of professional experience in senior level positions, primarily in manufacturing industry , currently he serves as CEO of Alumna Industrial Company LLC, and has 26 years of rich experience in refractory industry, and was Chairman of IRMA twice .
It gives me an immense pleasure also to inform that based on the recommendation of nomination and remuneration committee, they have appointed Mr. Parmod , Managing Director and CEO of the company, also as Chairman of the company, post completion of tenurity, of Dr . Vijay Sharma as Independent Director and Chairman of the company, with effective from 12 November 2024 .
The designation of Mr. Parmod Sagar would be Chairman, Managing Director and CEO of the company. Congrats Parmod and all the bes t for your new additional role.
Parmod Sagar: Thank you.
Azim Syed: Now we can open up for questionnaire.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Chetan Doshi an Individual Investor . Please go ahead.
Chetan Doshi: Congratulations, Parmod for the promotion and the new designation, which has been given to you, much more responsibilities and congratulations for the excellent set of numbers. Now coming to the specific question is , that you have got three new contracts for blast furnace cast house and five new customers in tap hole clay . So, what is the market size for this, and by what time duration you will be completing these contracts and this technological transfer from Brazil, which is going to take place . So, what further addition will be done in the Indian market. And second question is that, r egarding pellet , you have increased your market share by backing three new projects. So, what is the market size for this?

Parmod Sagar: Okay . So, first of all, thank you very much

for your congratulatory message and your best
wishes. I can assure you and all investors, the shareholders that I will try my best to fulfill your aspiration and justify the faith embedded on me by the management and with the investment committee . Thank you very much. And about this three blast furnace contracts and five tap hole clay new customers. We already got the orders, and the execution should start by beginning of October of these orders, a nd maybe it will take three to five months to complete these contracts . So, it will start in last quarter of this year and end up in a 1st Quarter of next calendar year. About pellet plant, yes we got a big order and we are also in talk with the two, three more customers. We are going to build a team for this project. And probably it will start mid of October . The size of this blast furnace iron making market, I would say, including tap hole clay and coke oven , etc., is about €220 million, and which is about Rs.2000 crores and about pellets , it is about €25 million .

Chetan Doshi: Okay. And regarding this iron making OEM projects, so it is written that, you are in long term discussions with the OEMs for coke oven and blast furnace stores. So, you have already cracked some OEM, or it is still in initial discussions are there and you plan to do it ?
Parmod Sagar: I would not say initial discussion, nothing is cracked, but we are in some cases, in a very advanced stage of discussion. And there are quite a bit of projects that are coming up in next two to three years time, and we already have good business opportunities in the pipeline for this coke oven stoves , but it is not through OEM , we are in talk with OEM. It will take some time, but it is in advance stage .
Chetan Doshi: Yes, b ut if you tie up with OEM, then it is , I would say it's a cakewalk at the end user end, because once OEM says that you have to use RHI, then nobody can stop you from getting order from the customer .
Parmod Sagar: Absolutely. Actually, we got the order through SMS Paul Wurth, and we are executing that order already. Manufacturing and supply has started . In the past also we did, but now we are going on a bigger scale for other OEMs, global OEMs, apart from SMS Paul Wurth India . And you are rightly saying, if we have this agreement or relationship with the OEM, and they will require us. Yes, definitely it will have a n edge over our competition.
Chetan Doshi: Correct. And I would congratulate your team members, because the investor speaks for lot of things, and they answer a lot of questions also , which normally I would be, inclined to ask. But most of things are getting cleared by the investor presentation. But this time also Parmod, I would say , it was just before the concall maybe 10 , 15, minutes it got uploaded on the site. So, next time, at least we need couple of hours to go through the presentation, but this time it is quite in detail, I would appreciate that and one last question .
Parmod Sagar: First of all, apologies about this time lag. Azim want s to convey his apology
Azim Syed: Yes, a sincere apology from our side. We intend ed to have this meeting on Friday, but we said, since it's a long weekend and a lot of people will be on holiday, so we said okay, we will try to do this today,. So, we thought, we will do this for the convenience of investors , but we have taken a note on he feedback, and we also take the compliment of presentation has improv ed. Chetan, thank you very much.
Chetan Doshi: Thank you . And last question, Parmod are we supplying anything to back to our principles ?
Parmod Sagar: Supplying means material ?
Chetan Doshi: Finished product ?
Azim Syed: Can you repeat the question , it was not clear for us.

Che

tan Doshi: Are we exporting any product from India, manufactured in India to our principles, and they are selling to any other?
Parmod Sagar: Yes, we are selling through our other BUs or other companies outside our BU, like Europe and East Asia, through our parent company .
Azim Syed: So, our export volumes are close to about 9%, just to kind of give you some number around that.
Moderator: Thank you. The next question is from the line of Pratim Roy from B&K Securities. Please go ahead.
Pratim Roy: Congratulations for the good set of numbers. Firstly, I just want to know that, sir right now as the presentation says that the net debt to EBITDA has come down from 0. 6x to 0.3x , so can we

expect any further new CAPEX plan, or acquisition to enhance the market share further ?
Parmod Sagar: Acquisition , we are open for anything, if it fits into our scheme of thing. But nothing is on the table as of now, we don't see any big opportunity for a large -scale acquisition in the near future.
About CAPEX, yes, we are ramping up, and next year we will have a CAPEX of about Rs.80 crore or so. So, it will be like Rs.80 to 1 00 crores for the next three years , every year.
Azim Syed: Exactly.
Pratim Roy: Okay, thank you. And our another thing is that sir, can you please share the data on the capacity to use inside for Dalmia , DOCL and Hi-Tech for this quarter and the last quarter , how much improvement , is there any improvement happen or not , if you can give some data on that basis ?
Azim Syed: I would be happy to provide that information. So, on a consolidated level, our capacity utilization remains flat. So, last quarter, we did 61% and we have similar set of numbers this time as well, including Jamshedpur and India, we were at about 72 % to 71 %. And for excluding Jamshedpur we were at about 78 % last quarter. Now we operate at 75 %. I am sure you are also expecting Jamshedpur number. So, we had a remarkable improvement from 54 % to 58 %. And in anticipation of a next question, the capacity utilization the Dalmia plant has dropped , primarily because our South Indian customers, cement customers had lesser cement production. So, this kind of an ensure that our capacity, especially in our Vizag plant and Dalmia plant had a lower utilization compared to the last quarter. So, that's the color behind reduced utilization in the Dalmia plant.
Pratim Roy: Okay, sir. And just you mentioned that the EBITDA margin that improved due to the better product based on one time higher margin customer orders. So, how often we can expect this kind of order to come in future also?

Azim Syed: So, this basically , the way it happens is that most of it is performance bonus related, which is a factor of multiple things. So, it's not just only the product mix , we also had an impact of the product mix as well. So, let me give some color about this one-time performance order. So, this comes when the performance or when we get a new product of for example let's say, like a converter order. So, these are very non -cyclic and unpredictable in nature. So, we will not be able to say when next this big bump will come. It comes when the customer, there's a requirement at the moment. So, that's how you can model it at the moment .
Pratim Roy: If we just substract that part. So, what will be the original EBITDA margin reported for the quarter or, if you can quantify the number, what is the impact on EBITDA on that particular one time?
Parmod Sagar: I would reply in other way, the sustainable EBITDA in coming days is sure to be +15%. I am upgrading my statement , I keep on saying 14 % to 15% but now, with the efficiency which we are bringing to the plants, it will have +15% in coming days also, that is our perception. And we cannot quantify this bonus part, because it is cyclic al. Sometime in one

quarter it can come in
next quarter it cannot come it depends upon when the converter is down. So, we cannot predict it whether every quarter we will have this or not. So, we should take the number with a pinch of salt that i t can vary a little bit quarter -to-quarter, but on yearly basis, I would say +15% is a sustainable number.
Azim Syed: In addition to what Parmod said, as you are aware that we also cater to multi segment sector. So, one time, we also can get some sale win from some of the bigger project, from industrial business example non-ferrous and glass that also can be there. And again, it's very cyclical, very seasonal in nature. But what we confirm to our investor right now is that we are upgrading our margin forecast to be +15% in the upcoming quarters.
Pratim Roy: And sir lastly, just try to say that as JSW S teel is one of the prime customers. So, JSW Steel in the call they have mentioned that they are going to take a maintenance shutdown of the plant. So, anyhow, we can expect the lower volume on that site ?
Azim Syed: Yes, that's one of the material effect you also see in our Q 1 top line performance. Of course, we are waiting for them to kind of, come back on and our volumes also will increase proportionately.
Pratim Roy: That will impact much likely on that performance , right?
Azim Syed: Can you repeat it , sorry your question was not clear .
Pratim Roy: That will impact marginally in our performance if they took shut down the cement plant ?
Azim Syed: Which plant are you referring to , JSW sorry ?

Pratim Roy: JSW Steel, I am talking about JSW S teel.

Azim Syed: Yes, they already had very subdued Q1 volume production, or steel production. So, yes, we would see the impact on it already in the top line numbers in Q1, I hope that was clear.
Moderator: Thank you. The next question is from the line of Lakshminarayanan from Tunga I nvestments. Please go ahead.
Lakshminarayanan: Sir, if I just look at our business and then you look at two acquisitions, which we did, how the Dalmia business and the Hi-Tech business have actually ramped up, and how much they would actually contribute in the growth for this year ?
Parmod Sagar: Okay . So, I would say ramp up is a bit slow, because Dalmia primarily, as you know was more dominating in industrial business than steel and the industrial business, in the beginning as we were also saying, cement was not doing well, particularly in Southern part of India. The Dalmia cements or Ultra Tech , it is almost 13 %, 14% low production than usual. So, this has impacted the volume growth of these plants, of Dalmia , but at the same time, we have increased the efficiency of the plant , we have reduced the rejection levels , we are working on circular economy and the margins from when we took over less than 7% to now a sustainable margin of about 12%. So, it is more of looking into increasing the margin than only increasing the volume. And when it comes to Hi-Tech , we have not delivered the business plan as we wanted to, because of various reasons particularly subdued exports , CIS countries , and this war in Ukraine and Russia , Europe is witnessing 35% low in steel production. So, these have impacted our plans, but at the same time, now from last two months we have ramped up some production, and the margin s are fantastic , it is more than 21% in there. So, that is also encouraging. So, all-in-all, I would say for profitability front, we are on track. Rather we are better than what we were assuming. When it comes to volumes, we are still lacking behind, and we need to look into it and see whether we can add some volumes from other businesses than the usual business we ha d in our business plan.
Lakshminarayanan: Okay . Sir the approximate Rs.878 crores of revenue from operation for this quarter. How much is actually ex

ports now for us ?
Parmod Sagar: About 9% .
Azim Syed: 9%, yes.
Lakshminarayanan: 9%. And if I look at the business coming from steel production, where we cater to the life's of the integrated steel manufacturers, how much that would be sir?

Azim Syed: So, overall, we don't give the integrated steel separately. Overall, our steel revenue is close to about 75 % to 80 % mark , let's call it like that . We don't give the specific s just to model, you can do between 75 % to 80 %.
Parmod Sagar: In other terms, if it's steel , India is producing about say, 11- 11.5 million tonne of steel, 7.5 million ton ne is from bigger integrated plants put together sale and private sector . So, rest is from mini steel plant and induction furnace .
Lakshminarayanan: Got it. Sir like-for-like if you look at that steel thing which you talked about that number, how much it has actually grown when compared to the same time last year, just that steel refractories ?
Azim Syed: In the absolute value, the growth has been subdued as we mentioned earlier, because of the lower performance, lower output that we have kind of garnered . The second part, basically also is that , there is also material weakness coming from the export part of the steel business as well. We have a 26 % drop year-on-year comparison .
Lakshminarayanan: So, I am just looking at, see if you look at export as an external , it's an issue which is outside our control. I am just looking at the domestic steel, if you just look at Rs.878 crores, so how much would be domestically made and domestically sold, and how much was that number last year, and how it has actually performed ?
Azim Syed: So, I can give you this number separately, but we don't give that on the investor call just to be honest with you guys, but let me put it differently that , from a manufacturing perspective, we do 60% from our in -house, 40 % we do trading . On top of it , if we try to , it's very difficult for you to bifurcate that number as well. So, that's why we don't want to give that specific ity because it becomes quite detail information .
Lakshminarayanan: Sir, the point I was trying to understand is , have we gain market share in the d omestic steel refractory market?
Parmod Sagar: I would say, we have gained market share in the under -representing the market like iron making pellet, DRI, definitely we have increased our market share when it comes to a stable business, or our strong hold cement or steel. We lost somewhere because of the commodity competition from Chinese suppliers like lateral business or some mixes where we don't want to have a rat race and competing with them and reducing our profitability unnecessarily.
Lakshminarayanan: Got it.
Azim Syed: I will put some color on it as well. We are very careful in choosing our order. We genuinely

believe what we are selling always is that it's all about sustainable growth and better returns for our shareholders. So, that is why we would be on this path as much as possible, which doesn't discount that we say no to all the others, the question is, are we able to internally align our

product portfolio which can deliver sustainable profitability , that's the way we internally look at order -by-order. So, yes, definitely in the last quarter as Parmod mentioned, we lost in the area where we have quite a significant competition from the imported refractory especially from China.

Lakshminarayanan: It would be helpful if you can actually, perhaps if it's appropriate, give some kind of granular information on the PPT in terms of the industry if you represent, what is the , what is trading, what is not and naturally give it in one shot it becomes easier. And a nother question sir from my side, if you look at the steel

refractory business domestic . What is your outlook for this upcoming financial year, or ongoing financial year FY25. How you think this business can deliver . I am just looking at India made , India sold steel refractory, because the other one you have of course you mentioned industrials , etc., there has been subdued and cement. Just looking to the steel, which is a major contributor, what's your outlook and how you think it will pan out ?

Parmod Sagar: If we talk about long term, steel will grow for sure. Government of India is pushing lot of infrastructure projects. They are going to take some corrective action about imports from v arious countries, Southeast countries. So, long term, I don't have any issue. It will be at the protection, what we gave about say, six months back, that India will keep on growing at around 7% , 6% to 7% in steel minimum that is still there . Short term , yes it was some steel plants were producing less because of v ery low selling price of steel, and imports are much cheaper. But historically, if you see October, November, December are always a good month for steel because of festival season, stainless steel market goes up because a lot of people buy stainless steel utensils and all those things. So , I still believe the last quarter will be a good quarter. Only hiccup is not for us, but total refractory industry is supply chain challenges, because of this Red Sea issue, because of bottleneck at Singapore port , because of Colombo port, the raw material which used to come from China, within 30 to 35 days, is taking 50 to 70 days. So, supply chain will remain a challenge. If we can bring material on time, all refractory industry, it's going to be a good quarter, last quarter, I would say. And long term, I said it will be good in any case.

Lakshminarayanan: Got it. B ecause I thought Chinese imports will not suffer the Red Sea crisis is what I always believe in. But nevertheless, if you look at it, the main raw material for refractory making is actually you get from Hindalco, right?

Parmod Sagar: No sir, it is just a reactive. All raw material, 90% of worlds raw material is coming from China, I would say . Not for us, for everybody , we are still better place, we have backward integration. And if need be we can bring material from our other mines from Turkey or Europe or Brazil or North America, but others don't have that backward integration also, if something goes wrong with China, we are doomed. We cannot produce steel , cement anything .

Lakshminarayanan: Got it. And is this issue you find it more pronounced in the large steel or the mid -tier steel, because, as a company our stronghold is actually in the mid-tier steel companies, relatively when

compared to the large steel company. So, where do you see the demand issue . So, you are seeing more of a raw material supply issue and less of a demand issue is that what I can decipher?

Parmod Sagar: No, you are still not thinking about this as Orient Refractory Limited, which was havin g a very strong presence in mid -size or small scale. After this integration of this plants of RHI India, Clasil and now Dalmia , Hi-Tech , we are the strongest player in bigger steel plants. We have much more bigger sales than Tata Krosaki, Vesuvius, IFGL can reach, so our challenge is there also.

Lakshminarayanan: Okay. So, is it right to assume that there are supply chain issues in terms of raw materials, but the local cement remains strong ?

Parmod Sagar: Yes, that's what I am saying , after this monsoon time , October onward s, we think that steel will go back to normal level. Now it is subdued because of, when the monsoon comes, the construction work virtually is on stand still, so there is a less demand locally for construction steel after which October onwards will go back to normal level. And supply chai

n issue, as they are talking about timing, the containers freight has gone up from say, $1,200 per container from

China to almost +$5,000 per container. So, this and timing is from 30 days to 60 days. So, timing is more , transportation cost more is that can I am just giving a heads up to you , all investors, that these are the challenges which we are facing, as well as other refractory industry will be facing.
Moderator: Thank you. The next question is from the line of Smit Shah from Monarch Network Capital Limited . Please go ahead.
Sahil Sanghvi: Hi, t his is Sahil Sanghvi from Monarch. First of all, congratulations Parmod for the added responsibilities, and also congratulations for a good growth on profitability and margins. First of all, I wanted to understand this with utilization number Azim sir, you said 61% on a whole and roughly Hi-Tech is at what utilization ?
Azim Syed: 58% last quarter Q1.
Sahil Sanghvi: 58% and what RHI stand alone , the previous entity is 75 %?
Azim Syed: Yes.
Sahil Sanghvi: And Dalmia plant, Dalmia entity?
Azim Syed: 54%.
Sahil Sanghvi: Okay. Secondly, can I also know the sales numbers , would that be roughly same as the utilization numbers, or is there a drastic difference?

Azim Syed: Sorry, can you repeat the question .
Sahil Sanghvi: The sales number, the sales volumes on a split basis ?
Azim Syed: I can send that to you Sahil, that's okay with you. I can repeat it as well.
Sahil Sanghvi: No, worries. So, the second thing is, like you guys have discussed, there is still a lot of subdued demand from the cement side. So , how is that right now , how do you look what is the outlook for this year when it comes to the cement side of demand?
Azim Syed: We have a very strong order book for cement for the upcoming three months. In fact, a couple of our Dalmia plants lines are sold out for the next two and a half months. So, we see a strong uptake, which is normal seasonality in the cement Sahil, okay.
Sahil Sanghvi: Got it sir. And lastly, also wanted to confirm so the pellet order size that you said is 5 .5 million?
Azim Syed: Normally we don't give out that specific Sahil , as you know that's too detailed information. But what you can assume is that quarter -on-quarter, we have a 7% growth , you can assume that as a very good stuff for modeling purposes .
Moderator: Thank you. The next question is from the line of Harsh from Marcellus Investment Managers . Please go ahead.
Harsh: Can you give an update on how the iron basket is trending for the last three , six months?
Azim Syed: Sorry, which one can you repeat the question?
Harsh: Can you tell us how the iron prices are trending over the last three months?
Azim Syed: So, iron pricing .
Parmod Sagar: So, raw material prices for Magnesita is not moving so fast , there is a upside of about 3% to 5% of various grades. But when it comes to aluminous raw material, it has gone up by 30% almost. For example, white -fused alumina was being sold at about Rs.60,000, Rs.61,000 a ton ne and now it is at Rs.82,000 to Rs.84,000 a ton ne.
Harsh: And just to understand this right, when Magnesita prices go up, we are a beneficiary of it right ?
Azim Syed: At the moment, as Parmod basically mentioned that, as you know that our end customers are also facing a quite a bit of pricing pressure. If you look at cement or from a steel perspective. So, definitely, normally it's an opportunity for us to ask for price increases, but looking at our end customers pricing, it looks a bit challenging, so it definitely puts some pressure on our

margins, for sure. But let me repeat myself what Parmod said already that we are still going with the outlook of +15%.
Moderator: Thank you. The next que

stion is from the line of Rakesh Vyas from Quest Investment Advisors . Please go ahead.
Rakesh Vyas: My question is answered.
Moderator: Thank you. The next question is from the line of Mayank Bhandari from Asian Market Securities. Please go ahead. The current participant seems to have disconnected. We w ill take the next question. The next question is from the line of Arijit Dutta from Kotak Mutual Fund. Please go ahead.
Arijit Dutta: I have few question s, starting from your assessment of raw material prices, which have moved

up significantly , the freight container availability is a problem. The freight prices are doubled or tripled at the same point of time you are struggling to pass on the cost rise to the customer for various reasons. How do you get the confidence of increasing your margin in this scenario . So, what would be the trigger that we can , if you can share some bit ?
Parmod Sagar: That's why we are not saying we will further increase the margin. Rather , we are saying that we should take the 17.9% with a pinch of salt, because of th ese headwinds and challenges we are facing, there can be a little bit of correction in the numbers, and still we will deliver more than 15% margins, but there is no chance of increasing further profitability under this present scenario.
Azim Syed: Yes. And the reason why we are confident about the three things. One is the investments we have done post integration in terms of operational excellence, productivity improvement and improvement of scrap rate. The second part, basically is that we are constantly our technical marketing team is constantly investing into better ing our recipes and plans. So, this is also giving us quite a bit of improvement. Third, as you also mentioned , Parmod earlier said, one of the side effect of improving our circular economies through improve our recycling, so we are further ensuring that our raw material, in other words our recipes, and also our product mix, we are suiting to the needs of the customer what they are doing. Hence, what we can control, we can control, and we believe that we have a sustained mechanism in place to ensure that we are able to continue at that level despite the external market impact.
Arijit Dutta: Thank you for the elaborate answer . Sir, o n the recycling part, how much you have recycled in Q4, Q1 and what is the expectation in Q2 and Q3?
Azim Syed: So, we don't give any outlooks on that, and we don't give any specificity, but let me tell you that , we are the market leader even in India and also in our group also we see we are the leading recycle percentage. You can always assume that we are doing consistently 13 % and above for

our, based on the raw materials that we use. Of course, the number fluctuate based on what product mix that we do, but we do far, far ahead, more than +13%.
Arijit Dutta: Sir m y question was more on the delta that we are getting on this recycling. I understand that you don't give the recycling percentage, but on the basis point if you can throw some light that how much it is improving in one year ?
Parmod Sagar: I gave you this answer. Actually, we are primarily not using this recycled material or secondary raw material to increase our profitability. It is more of sustainability , we want to use less prime material so that we emit less CO 2 emission, right . So, it is first our responsibility toward s our planet, toward s our environment, toward s our society. So, this is the primary driver to use this recycle material. Secondly, we are technology leaders, so we are not picking up a used brick , crushing it and adding it into our products. We are doing this proper processing of this technological way of using it . So, it will not give us a quantum jump in our profitability, but it will reduce our reliability of imports of our raw mater

ial. Now, if the freight has gone up, if we will use a recycle material, local recycle material, it will help us to mitigate that diluti on of margins. So, that way, indirectly it will help , but if we talk about in percentage, what is the profitability that will go up, I can say to get this answer, because it will not have a real material number which we can give you. Hop e you understand the situation.
Arijit Dutta: Yes, sir well clarified. The third question is about China imports. Sir, I am talking about the raw materials part. How much do you see that our process are nearest big competitors , in terms of import, are we import on the same quantity, or our import is bit on the higher side because of our mix?
Parmod Sagar: It depends upon how much we are producing. So, in RHI Magnesita India, we will produce about 3,30,000 ton ne of refractory and our nearest competition is producing only say, 80,000 ton ne. So, their import will be proportionately lower than us , or might be the same .
Arijit Dutta: I am talking about the percentage of the total materials , do you see that our dependence on China as a percentage basis, not on the absolute basis, is more versus competitor , is the understanding correct?
Parmod Sagar: It will be more or less on equal levels in percentage wise, but in absolute value, we will be importing much more than that. At the same time, as I said earlier, we have a comfort if need, we can bring raw material from our own mines also.
Azim Syed: Group mine.
Arijit Dutta: Yes, basically I was looking for that, that if our own mine is giving us some advantage till now, or it is not there ?

Parmod Sagar: We have three mines also in India, two quartz mine, one bauxite mine, and we are getting that, advantage from that mines also where, though it is not high value mining . The quartz is the lowest value product, I would say. But still, we have a comfort that we can extract those, minerals from those mines. But when it comes to our group mines , we have only the comfort that if something goes wrong with China, we can bring that material and keep on running Indian economy, the steel, the cement and other plants, whereas the competit ion doesn't have that luxury. But if we bring the material from say Brazil, where we have biggest mine, because of transportation costs , etc., it will be a bit costlier. But still, when it comes to the percentage of cost in a steel manufacturing, we are at about 2.5% to 3% of the total cost. So, if it goes by 10% instead of 2.5 % it will be 2.75% so it will not have a material impact on their cost, but they can rely on us. I can just share with you during this COVID time, all big players were talking to us that, can we bring material from Brazil or from Europe and Ta ta Steel gave us order part converter from Brazil and but few days back, I got information that Brazilian converters behave much better than Chinese converter from our plants only. So, we have that comfort, and the bigger plants want to have some backup so that supply chain remain intact we have more in the those plants outside China, we have a supply chain, logistics and all those things in place. And if need be, we can convert it as the order from China to our other locations.
Arijit Dutta: Thank you, sir for being so elaborat ive. My last question is on the flow control materials , the feedback that we are getting that the competition has even intensified more versus what we have seen. I understand, in iron making we are in a very comfortable stage right now, but in steel making, per se because of the capacity the competition is detrimental to the entire industry that is shaping up , is my understanding correct?
Parmod Sagar: Absolutely, your understanding is correct. What we did globally, as well as in India and our global CEO , Stefan Borgas is very vocal abou

t this. Refractory industry should not add capacity.
We should do the consolidation. So, what we did, we acquired Dalmia , we acquire d Hi-Tech . We have not added the capacity , the same capacity is there in India. So, we have consolidated that. But our competition is putting up new plants, which is adding the capacit y, and when we will have over -capacity, then we will kill this market. We should not be doing this. We should not be doing the overcapacity. Everybody is running now , following us that, RHI Magnesita did this much expansion. It is not expansion, it is consolidation, but they are doing expansion, and eventually they will harm the refractory industry as a whole.
Arijit Dutta: Sir, somebody gave a rough estimate. The last one is like , the feedback that I got that the way the capacity has been added by the competition, it's like it can cater to another 50 million ton ne of steel that is coming. Is that statement you also concur ?
Azim Syed: We cannot comment on our competition , it's their perspective you need answer.
Arijit Dutta: On the industry capacity that is getting adding which we can cater to?

Parmod Sagar: I can give you this answer , if the competition is start making in India the g reenfield project and replacing export, then it's a good sign. But if imports keep on coming, import keeps on coming from there, and we are cannibalizing only the local production, then it is detrimental for the industry. We should look at it , what we are doing intentionally. We brought the technology from Brazil to India to make tap hole clay to truck mass. We brought this forged plug from European plant, make in Bhiwadi plant. We bring this from Europe plant to Bhiwadi plant. So, we are shifting products from our other locations to India, so that we have this initiative of government of India, for Make in India. We are supporting that, if they will do the same thing, the n they will do justice to the investments what they are doing. But if import, keep on coming, and then they are taking the pie of other suppliers who are Indian manufacturers, then we are killing the industry.
Moderator: Thank you. The next question is from the line of Mayank Bhandari from Asian Market Securities. Please go ahead.
Mayank Bhandari: Sir my first question is on the volume number you have given in the presentation for Q1 FY 25 it's 114 million ton ne right, s hipment .
Azim Syed: 114 kilotons.
Mayank Bhandari: Kiloton, sorry. So, 114 kiloton you indicated like your capacity utilization for Dalmia is 54% which gives me almost 41 kiloton of number for Dalmia , which leaves me that the rest of the business is almost at 74 kiloton which is a decline of 6% Y-o-Y in terms of volume , is my understanding, or is this number correct?
Parmod Sagar: We have mentioned 6.8% decline in volumes .
Azim Syed: Again in Dalmia we already said earlier that.

Parmod Sagar: Your understanding is absolutely right .
Mayank Bhandari: So, it's a volume decline in both Dalmia as well as in control business ?
Parmod Sagar: Yes.
Mayank Bhandari: Okay. And last quarter conference call you mentioned 12,000 tonnes will be back, which we had lost in some contract. What is the update on that?
Parmod Sagar: We got it, but it is a saving out it is, as I said because, to be very upfront, I told that 11 ,000 - 12,000 tonne is the order we got from Dalmia , which were lost last year. But at the same time, we are saying that Dalmia plants has produced 14% of lower production in the cement plant. So, their consumption of refractory is a bit slow, which will ramp up, probably as the re is seasonality

in the cement plant. So, probably next quarter onwards they will ramp up the production and we will deliver our promise

.
Mayank Bhandari: Okay . So, this is still to be materialized ?
Parmod Sagar: Yes.
Mayank Bhandari: And sir you mentioned the number for these new contracts you won in the iron making , what exactly is that ?
Parmod Sagar: Number means what?
Mayank Bhandari: The orders you have got?
Parmod Sagar: I don't have number in my hand.
Azim Syed: We don't give the industry specific number, unfortunately.
Mayank Bhandari: No, the orders that you received for the iron making and pellet plus iron making, you had initially mentioned a number ?
Parmod Sagar: We got three blast furnace order and five new order from tap hole clay . But if we talk about numbers, we don't have ready numbers , order by order , this was 1 million , this was half a million, and this, but it is quite substantial,
Mayank Bhandari: Okay . So, in terms of the scope of the order that you will execute, it's written that it's more like a project order, iron making OEM and project order. So, it also involves, apart from the refractories, it is kind of OEM plus projects, which could be a different margin structure ?
Parmod Sagar: Now, when we are talking about these order, these are not project , these are not OEM through order. These are regular order, which is like a consumables , maintenance order it is not new project .
Mayank Bhandari: Okay, it is purely consumables only ?
Parmod Sagar: Yes.
Mayank Bhandari: So, in tap hole clay , what kind of market share we would be having as of now, any number?
Parmod Sagar: We probably have about 16%, 17% market share.
Mayank Bhandari: And how big would be the market in India for tap hole clay ?

Parmod Sagar: It should be about Rs.600 to Rs.700 crores tap hole clay market.
Moderator: Thank you very much. In the interest of time, this was the last question for today's conference call. I now hand the conference over to Mr. Parmod Sagar for closing remarks.
Parmod Sagar: Thank you. Thank you very much, analyst and shareholder, for your time. Your support as usual and we from RHI Magnesita family, wishing you all a very Happy Independence Day. God bless you all. Have a nice time off, thank you.
Azim Syed: Thank you. Happy Independence Day to all as well.
Moderator: Thank you, sir. On behalf of Batlivala & Karani Securities , that concludes this conference . Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

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13 November 2024

To,

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai 400 001, India
BSE Scrip Code: 534076 National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (East),
Mumbai 400 051, India
NSE Symbol: RHIM

Dear Sir/ Madam,

Sub: Transcript of Conference Call second quarter and half year ended 30 September 2024

Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements), Regulations, 2015, and further to our earlier intimation dated 5 November 2024, the transcript of the conference call held on 8 November 2024, for discussing the earning performance of second quarter and half year ended 30 September 2024, is annexed herewith.

The same will also

https://www.rhimagnesitaindia.com/investors/investor-meet

Kindly take the same on record.

Thanking you,

Yours faithfully

For RHI Magnesita India Limited

Sanjay Kumar
Company Secretary
(ICSI Membership No. -17021)

"RHI Magnesita India Limited
Q2 FY'2 4 Earnings Conference Call "
November 08, 202 4

MANAGEMENT : MR. PARMOD SAGAR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – RHI MAGNESITA INDIA
LIMITED
MR. AZIM SYED – CHIEF FINANCIAL OFFICER – RHI
MAGNESITA INDIA LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the RHI Magnesita India Limited Q2 and H1 FY 20 25 Earnings Conference Call. As a reminder, all participant lines will be in a listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone . Please note that this conference is being recorded.

I now hand the conference over to Mr. P armod Sagar, Managing Director and Chief Executive Officer from RHI Magnesita India. Thank you and over to you, sir.

Parmod Sagar: Thank you very much ladies and gentlemen . Good afternoon and thank you all for joining our earnings call. We greatly value this opportunity to further strengthen our relationship with you all.

The Indian economy has shown satisfactory performance in the first half of the current fiscal year. However, we have seen many of the economic indicators testing a weaker environment. It is important to closely monitor the demand condition in the economy a s this will be key driver for our customer ambitious growth and commissioning plans.

If we talk about market challenges and opportunities, the global steel industry has faced a decline in production due to reduced output in key markets. While India has seen growth driven by domestic consumption, increased import , and lower export has made India a net steel importer. Steel customers have been facing a dynamic market impacting incremental capacity commissioning, affecting the overall demand by the factories.

Meanwhile, the cement industry has seen slowdown. However, the outlook for the latter half of the fiscal year remains positive, with anticipated growth led by our customers' planned commissioning of their projects and infrastructure initiatives. I am happy to share that the strategic initiatives that we have been undertaking are giving us fruits, building sustainable growth.

We have a strong order book in the iron, pellet, DRI making business. In iron making, we have seen a good order momentum in Blast Furnace Cast House . We have four contracts and added six new customers in Taphole Clay . In pellet and DRI, we have received orders from one of the largest pellet plants in India, and have increased our DRI market share on the backup of kiln orders and three new projects.

We are also in advanced discussion for long -term association with OEMs for coke oven and blast furnace stores. We should strengthen our order books in the coming quarters as well. We are proud to announce that we are establishing our first center of excell ence for iron making in Jamshedpur. This facility strategically positions to leverage growth in the rapidly expanding blast furnace segment. We will incorporate advanced automation and tailored solutions. We expect this to be fully commissioned by 2027 wi th about 10,000 metric tons of expected capacity.

By enhancing our capabilities, th is center will position RH I Magnesita for sustained growth and long-term value creation in a dynamic industrial landscape. We view this as a major leap forward in process automation and operational efficiency.

Our strategic initiative has allowed us to navigate dynamic markets . Coupled with our strong fundamentals and market leadership position, we have a solid foundation for sustainable, profitable growth. We remain committed to aligning our capability with evolving market conditions to strengthen our market leadership position a nd create long -term value for our shareholders.

With our full product portfolio and good geographical reach, I believe we are well-positioned to capitalize the anticipated demand scenario. As we move forwar

d, we are optimistic about the
opportunities ahead and significant role we will continue to play in supporting India's

manufacturing goals with a focus on sustainability and secular economy.
Thank you very much. Now I will hand over to Mr. Azim Syed, our CFO, to talk about some numbers and all.
Azim Syed: Thank you, Parmod ji. Hello and thank you all for joining us. As we navigated a challenging market environment, with India becoming a net importer of steel this year, we faced competition from lower -priced refractories entering the Indian market.
These pressures and limited new commissioning have impacted revenue growth. We have seen a growth in shipments of 4.8% quarter -on-quarter. In Q2 FY 2025 , RHI Magnesita India reported revenue from operations of INR 867 crores, a 1.3% decline quarter -on-quarter. The EBITDA for the quarter was at INR122 crores with margins at 14.1%, increasing raw material costs, especially for alumina -based materials and chromite sands exerted pressure on margins.
In H1 FY 2025 , revenue from operations reached INR1,746 crores, a decline of 8.8% compared to H1 FY 2024. The product mix and the customer environment leading to a lower realization reflecting our current environment.
The EBITDA for the first half year was at INR279 crores, while EBITDA margins improved to 16%, up from 14.9 % in the previous corresponding period. The margins have been resilient in line with our medium term expectations despite rapid increase in raw materials, particularly in the alumina -based material as mentioned before.
Together these factors contributed to a profit after -tax of INR119 crores with our PAT margins reflected 6.8% in H1 FY 2025 , up by 0.6% from previous corresponding period. We are proud to inform that due to operational efficiencies in first half of the year, we managed to reduce our net debt EBITDA ratio to 0.3x from 0.6x in the beginning of the year.
In terms of volumes, we produced 86.2 kilotons in Q2 FY 2025 compared to 77.8 kilotons in Q1 FY 2025 , higher by 10.8%. Shipment volume was at 119.4 kilotons in Q2 FY 2025 , vis-à-vis 113.9 kilotons in Q1 FY 2025 . Notably, our Jamshedpur facility saw an increased production driven by demand for certain products, reflecting our strategic alignment to evolving market needs.
Capacity utilization also improved to 67% in Q2 FY 2025 from 61% in Q1 FY 2025 , highlighting our ongoing operational enhancement and efficiencies in the acquired plants and the shipment growth that we did.

Overall, RHIM's H1 FY 2025 performance reflects resilience in the face of market pressure and a strategic emphasis on operational efficiency. As we adapt to shifting dynamics, our cost management and production optimization will be vital for our growth in the coming periods.
We remain committed to delivering value for our stakeholders and pursuing sustainable growth and better return ratio. Overall, as we adapt to shifting dynamics (inaudible) -- I will hand back to the operator for Q&A then.
Moderator: Thank you, sir. We will now begin the question -and-answer session. We have the first question on the line of Jonas Bhutta from Aditya Birla Mutual Fund. Please go ahead.
Jonas Bhutta: Hi, good afternoon, gentlemen. At the outset, wishing you guys a Happy Diwali. Couple of questions. Firstly, if you can help us better understand the volume mix, how much percent of our sales in the second quarter and the first half was driven by iron making, which apparently is slightly lower realization s. So, how much of that impacted our realizations and margins?
The second was, you know, we were on this journey to reduce imports of key raw materials. Where in the cycle are we currently in that process? Because what I saw was the purchase of traded goods was materially higher, both on a Q-o-Q basis and on a year -on-year

basis in the
second quarter this year. So , that's the first question and then I'll come back for the second once we're done with this.
Parmod Sagar: Thank you very much, Jonas, for your question and Happy Diwali to you and your family as well. As you rightly said, yes, we are growing rapidly at a good pace in iron making, p ellet, DRI business and it is still a small business if we talk in totality and it is about 6% growth , okay?
And there is also a good volume in cement, which also has a lower realization. So, this has impacted when we talk about realization -- per ton realization or revenue at large, because the selling price is low in this high alumina cement. And what was the second question?
Jonas Bhutta: The imports, sir, our strategic intent was that progressively reduce imports. While, if I see the purchase of traded goods as a line item, that's materially increased this quarter.
Parmod Sagar: This is -- which is one-time impact, I would say. There's a change of i ncoterm and we have a lot of material in the pipeline, I would say, but it doesn't have any long -term material impact. Do you want add anything?
Azim Syed: Yes, I think you summarized it well. So, Jonas, this basically is, we had a change in the accounting interpretation of our incoterms, so which kind of have a one -time impact where we

were able to recognize the volumes, which were goods and transit . And so this is a one -timer, I wouldn't -- I don't think it's a long -term sustainable stuff. Our local -for-local percentage production, percentage remains constant.

Parmod Sagar: And in future, as I said earlier, we want to increase our local -for-local production and reduce our reliability on imports. But as we keep on saying, it will not be and it cannot be 100% local -for-local. We are reducing -- maybe two years back, it was 40%, 45% import , now, it has come

down to 30, 35%. And in coming days, it will further come down. And our target is to take it to 80% roughly for local -for-local production.

Azim Syed: And just to clarify my comment, just to be sure that i ncoterms is only on purchase and goods in transit and not on revenue. So , there is no revenue impact there on the volumes.

Jonas Bhutta: So, could you quantify that one -off impact that was there?

Azim Syed: Jonas, we don't give that kind of a certain detail. But we would probably say it's close to about six-digit numbers, you can say, from a value perspective. But we don't give this breakup as you know, because one -timer kind of, allows that distinct.

But to answer your question on the local for impact capacity utilization percentage, we still remain the same. As I mentioned in my remarks, we had an increase in capacity rather than a decrease in capacity utilization. So , I think that will form a good baseline from your modeling perspective.

Jonas Bhutta: Okay, fair. The second point was to understand since we're calling out for recovery in the second half, and given that the order book also you mentioned is more iron making and cement -heavy, what should we read through for that on the impact of that on margins? So while volumes may recover, how should we think about margins? Do we see margins in more or less the same band given the sales mix is going to be iron and cement -heavy? That's the first part of the question. And then I just have one m ore sub part.

Parmod Sagar: Okay. So Jonas, it is -- I'm saying this iron making and cement, but at the same time, as I said in my speech also, there are some commissioning happening. So , two steel plants are going to commission their expansion, SMS4 or XYZ. And one plant in December is also going to commission where we have almost a 70 %, 75% share, right?

So our growth depends upon also growth in steel industry, expansion of steel capacity. So , it's not only relying on iron mak

ing and cement, but in totality, steel will still be a major part of our growth story. So, when I'm talking about this, so it will not have any adverse impact on our profitability at large. So whatever is my guidance to the market in my earlier statements also, I still maintain that , we should be delivering around 15% margins on sustainable basis.

Jonas Bhutta : Understood. And the last bit on the margins was the volatility of lead that we've seen in Alumina prices. If you can help us understand how the pass -through mechanism works, particularly when you have almost 40 -50% of your sales coming from TRM , in such a scenario, how does the pass -through mechanism typically work? And what is the lag or lead time that allows you to sort of pass on these prices? Is it same quarter or, does that happen over like a three to four quarter period?

Parmod Sagar: First of all, this is not 40 -50%. If you talk about only steel, yes. But in totality, it is about 30%, right? So as you rightly said, yes, we have a long -term commitment , and it will always have a lag. We will negotiate, it will take two, three months, but when that round year price goes down, it also takes two, three months to reduce the prices. So it is zero net impact, I would say. But it will take time.

And as we keep on saying from last few days, the market is really dynamic. Steel plants are under pressure. If you remember, Mr. Narendran , CEO of Tata is saying, it is not justifiable to invest if the pricing will remain like this for long -term. And we need to look at import from China . And how we can have that enterent to stop that or reduce that impact ?

So you must understand if steel plants, cement plants are under pressure on pricing part, to getting price increase will not be a cakewalk. It will happen, but we need to really put our efforts . And it will take time. So I cannot comment whether it will happen in next four weeks' time, six weeks' time. It may take two, three months also. But it will have a long -term impact and we will also keep on having this pricing when the raw material prices come down. So it will be compensating that.

Jonas Bhutta : Sure. This is helpful. I have more questions, but I will join the queue. Thank you and all the best.

Parmod Sagar: Thank you so much , Jonas .
Moderator: Thank you. We have the next question on the line of Rajesh Majumdar from B &K Securities. Please go ahead.
Rajesh Majumdar : Yeah. Good afternoon, Parmod and g ood afternoon, Azim. First of all, let me laud you on the commendable job that you have done on the cash flow side , because I think that there has been a substantial improvement in the cash flow for operations, debt, as well as the net cash we have on the books.
Parmod Sagar: Thank you.
Rajesh Majumdar : So that's a positive for me. But having said that, I had a couple of questions on the volumes , if you look at the volumes of 2Q versus the volumes of 2Q last year, there's a 7% decline on the shipments, whereas in steel production is up about 6% to 7%. So while the margin factors are different, the overall volume would seem to suggest that we are losing market share in the steel business, or is there something that I'm missing out? That's the first question.
Parmod Sagar: Okay, let's answer your first question first. So first of all, this 6 -7% is a fictitious number, which is roaming around in the market. It doesn't have any substance, right? We have a calculation. If you check J SW's announcement, it is 2.7% growth in steel in India. And we have our calculation 2.9% growth, right? And out of this 2.9%, if 30% of my business is in TRM business, where the volumes are static, more or less, they can have an incremental growth of 0.5% , 1%, because they are working a t a capacity level. So I don't get that volume increase from those plant

s. So the rest
is, we are trying.
As I said, the commissioning, which was supposed to happen from June -July, it is postponed to November -December. So that impacted us , because our growth will come from steel growth. There are many cement plants also. Everybody is talking about, bringing new capacity, but it will happen in future. It doesn't happen in the last four, five months' time. And if you talk about last quarter, our volume has gone up by 5%. So we t hink we are on the right track.

Yes, of course, when you are having a lot of pressure from neighbo ring country, China, on commodity business, particularly ladle business, and they are dumping like anything, they are selling at $650, $700 CIF. So either I reduce my margin and compete in that commodity market, then we will say, okay, the margin has come down.
We are maintaining the margin at the cost of a little bit of volumes. And we are wo rking on that in last call also I said we are working on mitigating that risk, or we can compete in that market also, bringing new technology or higher life of the ladles, where we can have a per t on or per heat cost coming down. And we can compete.
And we are working on that, and you will see in coming days, we will get this business, which we intentionally did not go into prize war to get those businesses, just to maintain a standard margin, sustainable margin, which we gave the guidance to the mark et.
Azim Syed: And on top of it, as I'm sure it's public news that Jayaswal Neco had a couple of month 's shutdown, and we had one month shutdown of JSW RAIGA RH and Tata Long Products. So this also contributes quite a bit of the volume decline as well.
Parmod Sagar: Yeah, and these four plants, we were having a FLS contract.
Azim Syed: Yeah.
Parmod Sagar: If Neco is shut down for two months, and our revenue is, say, roughly 1 million per month, so 4 million plus 3,500 ton is gone only in one plant.
Rajesh Majumdar : Right. And sir my other question was, how do we read into the standalone revenue and margin fall? Because I can understand that cement was impacted, so consolidated results were impacted, but still in Dalmia , you're having a 10% kind of margin, which is fine.
Dalmia is recovering from very low utilization. But at the standalone level, we've seen a 4% kind of drop in margins and 10%, sorry, 5% drop in the revenues and a price realization drop as well. How do we read into this? Will there be a commensurate price hike this quarter , to compensate for the RM increase or how?
Azim Syed: Yeah. So as I told you many times, we don't look at individual legal units, because we bought this additional capacity product portfolios to serve our customer. We always look at from an integrated customer perspective.
In fact, we don't go to JSW and say that, hey, this is ex -Dalmia plant, ex - Jamshedpur plant, or ex-this thing. So I just wanted to look at the number holistically, because what we do is quite a bit of production optimization, so that we can manage our margins through better recipe optimization. And this also creates kind of a good competition amongst our plans to be cost competitive. That's the first thing , just a little bit of insight.
Second, I'm sure you're aware that from a TR M percentage perspective, historically we were stronger in the standalone one. So we already explained that some of the TRM contracts, we

kind of had a little bit of a headwind that kind of caused the revenue drop. And I wouldn't read

too much into realization rates , because of our production optimization capacity, Rajesh .
Hopefully that kind of gave you some bit of a background.
Parmod Sagar: And the margin, what you're talking about 4% EBITDA gone down it's just not right. We have del

ivered 14.1% EBITDA . So we believe , under the circumstances with headwind from raw materials and downtrend in general, the product mix was also tilted towards cement where the realization is less. I think we have done a commendable job. We are really satisfied with our results, I would say.
Azim Syed: I concur with you, Parmodji, because normally people always compare us with our peers. Now nobody's comparing, unfortunately, which is fair , because we said , we should not compare our business. But from a volume, from a sustainable growth and margin perspective, I think our numbers would speak louder.
Parmod Sagar: Yeah, even if we talk about competition, which you people are referring to, they have this number. Now their number is much lower. If we also check our segment and ours is still 18% in flow control. So we are on the right track, I think, and sustainable track, I would say.
Rajesh Majumdar : Right. So just to conclude this discussion, you're still giving a longer term buy -in of 15% to 16%, right? That is sustainable.
Parmod Sagar: Yeah, 15% is our guidance to the market.
Azim Syed: Yeah . 15% definitely. We are not changing our guidance.
Parmod Sagar: And would you give any revenue guidance as well, longer term?
Azim Syed: We never give revenue guidance, as because if you start talking about that, we have such a large, broad portfolio, project -based business and so on and so forth. We never give this thing .
Parmod Sagar: What Azim is saying is very valid. But you must understand when we gave last year revenue guidance and raw material prices tanked, 20% less raw material prices. Selling price goes down and then our guidance was gone haywire. So now the raw material prices are going up. So it is perceived that , selling price will also go up. We will get price increases sooner or later. So revenue will go up for sure. But at this point of time, it is very difficult to you know quantify the numbers.
Azim Syed: What we can say is that , what we have told before , we will grow with the market. If those relative percentages are not correlating, then definitely you will have a cause for concern. But as you can see, we have continuously demonstrated that we are able to grow with the market.
Parmod Sagar: And Rajeshji , you must keep it in mind this is not only RHI Magnesia India . It is at large refractory industry. So if the price increases of raw material is happening, it is impacting everyone. So you can see, if I have a margin of 15 %, 14% to 15%, the people who is having 10%, 12% margin, their margin will be in single -digit. So everybody will strive for price increase. So when the total industry will ask for price increase, it will happen sooner or later.

Rajesh Majumdar : Right , sir. And if I could sneak in just one last question, is there any inflation in Magnesi te prices right now? And will that be beneficial for us?
Parmod Sagar: Definitely, we can see the indication that basic raw material Magnesia , raw material prices are also going up, not in a pace like the high Alumina, but sooner or later it will also go. And it is good for the industry.
Rajesh Majumdar : Right. Okay. Thank you. I'll join back in a bit.
Parmod Sagar: Thank you.
Azim Syed: Thank you.
Moderator: Thank you. We have the next question from the line of Saket Kapoor from Kapoor & Company . Please go ahead.
Saket Kapoor : Namaskar, sir and t hank you for the opportunity. Sir, firstly, on this Alumina part of the story, if you could give us how our product mix be there that required higher of Alumina requirement. And going ahead, how will this content of Alumina remain or how much increased percentage is there since you have mentioned in your opening remark also higher percentage of Alumina in the product mix?
Parmod Sagar: All flow control products, maybe

80 -85% flow control products are based on high Alumina raw material. Okay. And all cement bricks -- Alumina -- high Alumina cement bricks are based on

Alumina based raw materials. So, this is quite a big chunk . And it will have a material impact on profitability if we were not able to pass on this to our customers.
Saket Kapoor : Okay. Okay, sir. Sir, can you quantify it out of the, because since it is difficult , because it is product base…
Parmod Sagar: Very difficult. As of now, i t is very difficult, but we can calculate the number and can get back to you in coming months.
Azim Syed: What we can say is that you can look into London Metal Exchange. They have quite a bit of good commodity market information on Alumina .
Parmod Sagar: No, no. He is asking , what is our per centage of high Alumina product.
Azim Syed: Okay.
Parmod Sagar: So, we can get back to you, but as of now, we do not have that number.
Azim Syed: Because the range is so high.
Saket Kapoor : Okay sir. So, you are articulating to the fact that the higher cement capacity that are being contemplated, being planned by cement manufacturers will lead to higher content of bricks, higher requirement for bricks and having higher Alumina content. So, this story for the cement

capacity going up will automatically lead to higher demand of this specialty type of brick and then the Alumina . This is what the understanding is.
Parmod Sagar: Yeah, to some extent, you are right. But at the same time cement plant to cement plant, it's a variation. Some people are using basic bricks. Some people are using high Alumina bricks. So, it is again a combination of both types of products. But to some extent, yes, if people will come up with a high Alumina base cement plant, then definitely this demand will go up and more consumption of high Alumina products.
Saket Kapoor : But sir, just to conclude it, there must be the benefits that cement manufacturers will get when they move or shift to higher Alumina based bricks.
Parmod Sagar: No, it is actually other way. People who want a longer life of their kiln, they go for basic refractory, magnesia -based refractory, not alumina -based refractory. For example, if magnesia - based brick is selling at a price of say INR 90,000 a ton, high er alumina brick is at INR 40,000 a ton.
So, there is a difference. So, the life is also like that. So, it depends upon their working capital, their projections, how much they want to spend on kiln upfront, right? And volume, capacity of the kiln, big kiln normally is a basic, smaller kiln is high alumina. So, it depends with various combinations.
Saket Kapoor : Sir, when you mention system flows, what are you referring to, requirement into system flows?
Parmod Sagar: Flow control. Flow control is basically what our peers, Vesuvius , etc., are producing, IFGL is producing, isostatic based products, slide gate refractories, purging refractories, those are the products , which we call functional products or flow control products.
Saket Kapoor : Okay. So, our mix is lower in that. I missed your comment. What were you referring to, sir?
Parmod Sagar: No, no. I am saying we are also impacted by that , because whether anybody, whether Vesuvius , IFGL, us, we will produce, if it is, 60% of or 80 %, 85% is alumina -based products and of that 85%, 60% is raw material. So, it has a material impact on our costing if we were not to pass on the margins to price increases to our customer, it will have impact on our margins.
Saket Kapoor : Right, sir. And on the employee cost, sir, as a percentage of sale or on a fixed cost basis, what should be …
Parmod Sagar: It is still very well under control, I would say. I don't want to comment on anybody. If you check with my peers, our competition, we are at the lowest level. We are still in a single di

git . [RHIM
India Limited]
Saket Kapoor : Thank you, sir. And looking forward and all the best to the team. Thank you.
Parmod Sagar: Thank you.
Moderator: Thank you. We have the next question on the line of Sahil Rohit Sanghvi from Monarch Networth Capital . Please go ahead.

Sahil Sanghvi: Good afternoon, sir. And thank you for the opportunity. Am I audible?
Azim Syed : Yes, you are.
Moderator: Yes, we can hear you.
Sahil Sanghvi: Thank you for the opportunity, sir. And good work on maintaining the numbers despite such challenging days in the industry. So, sir, my first question was, there were some volumes that

were stopped from Dalmia Cement. Have we resumed that business now?
Parmod Sagar: Yes, we have resumed and this year we are getting orders from Dalmia as well.
Sahil Sanghvi: Okay, okay. Secondly, sir, just wanted to understand, there are a couple of these new capacities , which are coming on board , which are our current customers , which customers are we expecting to give us this incremental work, if you can name a few?
And also, if you can help us understand that over and above the base industry growth, say steam growth growing 6% , or cement growing whatever, I mean, how much can we do over and above that due to these new capacities? How much can we grow over and above that?
Parmod Sagar: You know, you take the name of all big four, whether it's the JSW Group, Tata Group, ArcelorMittal, J SPL and SAIL. Everybody is planning to expand. And there are some projects in the pipeline, almost at final stage, which can commission, two, three plants, as I said in the beginning, it will be commissioned in the end of November, beginning of December.
But some of the plants may commission in mid of 2025 or so. Same with cement, whether it's UltraTech , Adani, Dalmia, everybody is adding capacity. So, if it materializes, it is a substantial growth in the market.
But keeping my finger crossed, whether it will happen or not, because in last four months, nothing has happened. And over and above this monsoon season impacted, normally it is a seasonality during a monsoon , construction work goes down where consumption of steel and cement goes down. So , this has its seasonality impact also. But overall, I would say steel, cement will grow at a pace , which you are saying 6%, 7% for sure.
If, you know, there's no change in global geopolitical situation, headwind, I don't want to sound political, but you know, with Mr. Trump on the top in US, if he puts some sanctions on China, more sanctions on Chinese refractory, then China will have overcapacity, more overcapacity.
And then they will start dumping whatever they are dumping out more in India, which will have impact . So we have to see how the things are moving.
Sahil Sanghvi: Right, sir. And sir, on the export front also, any improvement you are seeing, any kind of recovery , or it still appears very weak for next two, three quarters?
Parmod Sagar: No, it is really weak. Rather in last quarter also, it was a dip, small dip in our percentage, I would say. And I don't see next two, three quarters it will have any material impact or substantial increase in our exports.

Sahil Sanghvi: Got it. Thank you, sir. And very all the best.
Parmod Sagar: Thank you. Thank you very much.
Moderator: Thank you. We have the next question on the line of Mayank Bhandari from Asian Market Securities. Please go ahead.
Mayank Bhandari : Thanks for the opportunity . Sir, in terms of the growth in the domestic market, I think it's been almost two years that we have not been able to outgrow the steel production in the country. And we have always maintained that we will grow plus 1% or 2% than the steel production. So, sir, I mean, what exact

ly is wrong in terms of the growth in the domestic market for us?
Parmod Sagar: You see, I already replied actually to this question. But we perceive steel growth. Actually, it is not happening at that pace. JSW has given 2.7 % steel growth in India in their communication.
We believe it is less than 3 %, right. So, we have grown with it. And at the same time, as I commented earlier, we lost some business, commodity business because of too low pricing from Chinese traders. If we venture into that market, our margin will go down and we don't want to erode our margi n drastical ly. So, that was a considered decision. At the same time, we took some corrective action how we can enter into that market without reducing our prices or eroding our margins.
So, I still maintain that statement. We want to grow 1% or 2% more than the industry. And we, again, next year, our budget, whatever discussion we are doing, we are going on that particular line. And we have some strategic initiatives , which will support us to get those numbers and volumes.
Mayank Bhandari : Okay. And on the flow control side, sir, we initially had some plans of exporting from India , a couple of products. So, how is that panning out?
Parmod Sagar: We were actually having very ambitious plan to increase our export in flow control.
Unfortunately, because of this geopolitical situation, we still have a lot of resistance in Russia and Ukraine war. A lot is happening in the Middle East, Iran, Iraq, Gaza Patti, Israel and Palestine, Jordan. This is a totally disturbed area , right? So, export has actually static, I would say, and I can't see any uptick in the next two, three quarters. Unfortunately, this is not in our control. But we were having very ambitious plan. Whenever the situation will improve, definitely we will venture into it in a very aggressive way.
Mayank Bhandari: Okay , okay . And lastly, we know that parent company is a leader in magnesia base, and t hey

have also acquired a few companies overseas in the alumina base also. So, despite being a leader in the raw material, I mean, they are perfectly backward integrated company on a global level. How do you foresee this margin dilemma , because the margin keeps fluctuating in quarters also and overall. So, would you be able to give some sense in terms of long -term margin expectation?
Parmod Sagar: First, we are very strong when it comes to backward integration in basic magnesia base mines we have in Brazil, in North America and Europe. But we don't have very big mines in high alumina , in spite of having too many acquisitions, we have not gone far as mines, high alumina mines, right?

So, historically, the raw material prices till three months back was lowest level. So, our own, even realization in our mind, the raw material was at the lowest level. So, now the prices of raw material are going up. So, we are buying anything and everything of alumina base from the market. So, we are getting impacted adversely , because of this pricing and we have to pass it on to our customers. But I cannot give you long -term perspective. I believe it is a temporary impact on the profitability, but it is g ood for the industry if raw material prices go up.
Mayank Bhandari: Okay. So, basically some of the business, some of the raw material that you are buying from the market, parent company does not have hold on that. That is high cost for you.
Parmod Sagar: Yeah. Absolutely.
Mayank Bhandari: Okay , okay. That's it from my side .
Parmod Sagar: Thank you, Bhandari ji.
Moderator: Thank you. We have the next question from the line of Chetan Doshi, an Individual Investor. Please go ahead.
Chetan Doshi: Good afternoon, gentlemen. In the current scenario, the performance and the cash flow what you have generated is really commendable. I have two questions. One,

you have built up inventory in first quarter and the percentage is quite high. It has gone up from 25 % to 31%. So, first question is how much time you will require to liquidate this run up , because the raw material also you have bought in huge quantity. So, the price advantage you will get in second quarter and how much percentage you e xpect the margins to go up in the second quarter because of building up of this inventory?
Parmod Sagar: First of all, this inventory, we were assuming at that point of time that this commissioning , which I keep on talking three, four plants will be commissioned, which unfortunately did not materialize. So, this build up and we believe that our third and fourth quarter will be better than first and second quarter. That also pushed us to increase the inventory.
But, at the same time, inventory is more of basic raw materials , which has not increased the prices. So, high alumina prices have gone up as I said from last three months and we are buying this at a higher price. So, it will not give us a positive impact or incremental increase in our EBITDA percentage. As I said, on the contrary, we are under pressure and we have to pass on this to our customers.
Do, you want to add anything?
Azim Syed: No, no, no. I think you perfectly summarized it.
Chetan Doshi: And another, in the investor's presentation, you have highlighted that less lining evaluations scan. So, you are the only player or you have competition in this?
Parmod Sagar: As of now, we are the only player leading this digitalization in cement industry.

Chetan Doshi: Congratulations. And secondly, you have mentioned that a large cement player became a repeat customer in 2024. So, can you name the customer who is this?
Azim Syed: We normally don't name the customers , because it's not the right thing. We don't call out individual customers. These kind of…
Chetan Doshi: But when you are the only player…
Parmod Sagar: What I can say is all three, four big players are there.
Chetan Doshi: And regarding this OEM project, how much margin we expect from this division?
Parmod Sagar: Which division?
Azim Syed: OEM .
Parmod Sagar: OEM?
Chetan Doshi: Yeah.
Parmod Sagar: Usually OEM , it's not margin , when the new projects come, OEM plays a very vital role. OEM recommends the end user. You should use RHI Magnesita or X or Y or Z company's material.

So, if you have a good relationship with them, if you have a proven track record of your consistent quality, they will recommend you.
And based on that, we have a very constructive discussion with a few of OEMs like SMS , Denley , Primetal. So they believe in us, they believe that we can give a consistent product. The commissioning of new project will be smooth and hinder any hiccups and all. So that we are trying to build up that relationship based on our product performance, whi ch will help us to get business at commissioning stage .
Chetan Doshi: Okay. And one last question. Based on the discussions during the con call, if all divisions start contributing and there is growth in cement and in steel in the divisions where we are operating, then we can even expect 30% to 40% growth in top line and bottom line. Is that true?
Parmod Sagar: No, I don't see. We are on the upper side, I would say, the steel growth, which people are talking about is in a staggered manner. It will not happen in 2025, all the production will not come up. So every year, it is a 6%, 7% growth, which is they are projecting. Same way cement is 9%, 10% growth if everything goes well. So I keep on saying, and I still maintain my statement that we will be growing more than 8% in volume. Revenue, I cannot comment. It depends totally on raw material pricing, f reight et c, even energy cost. Thank you, Sandeep.
Chetan Doshi: Okay. That is from my

side. Thank you very much.
Parmod Sagar: Thank you, sir.
Moderator: Thank you. We have the next question on the line of Chintan Modi from Hightown Securities. Please go ahead.

Chintan Modi: Hi, sir. Thank you for the opportunity. Sir, I was referring to your Slide number 12 on the presentation where you mentioned about the LES service that you provide to customers. I think that you must be providing such kind of digital and technological services to your customers . So wanted to kind of understand like the cost of these services are basically embedded into the cost of material that you supply or these are more cost borne by us to retain or kind of win new customers?
Parmod Sagar: It is mostly embedded in our contract like we did this -- we are talking about PSU, but in JSW also, first robotic solution, we signed agreement with them. It is INR100 crores for next 5 years. So it is embedded. Actually, we have a breakup with them, JSW, this is our product cost , this is our equipment cost, robotic cost, operational cost. So then there's a total cost. So it is mostly embedded in our offerings. And customers also know, in some cases, we also provide free of cost -- but again, we add this value on a 5 -year contract, 7 -year contract, how much is the depreciated value every year. Based on that, we do this. Otherwise, our margin will go really to the south.
Chintan Modi: Right, right. So I understand this would be more from creating efficiency for yourself and the customer. So that efficiency, the gain that you get from the efficiency or the savings that you achieve, now that are basically partly retained by us or kind of fully passed on to the customer. How you kind of do this? Because customer would be easy for him to kind of see through the costs incurred and everything because prior to this kind of arrangement, how they were doing it now, how they are doin g it?
Parmod Sagar: Mostly, it is customer's benefit. What we are getting is performance. Like we are mentioning here, 78 are casting, and we are getting per heat cost or per ton of steel cost. If our product through this mechanism, through this automation, digitalization, th e life goes up, we also get benefited because of a higher life because of safety point of also, it is very important. People are safe, and we are getting better life and eventually, we are getting better realization. But it is upfront, if you will see, it is a customer benefit also.
Chintan Modi: Got it. Thank you, sir. That's it from my end. Thank you very much.
Parmod Sagar: Thank you, sir.
Moderator: We have the next question from the line of Mr. Sahil Sanghvi from Monarch Network Capital. Please go ahead.
Sahil Sanghvi: Yes. Thank you for the opportunity again. My question is related to Dalmia OCL . Sir, I wanted to understand that what all are those key pointers or key targets that we want to achieve to reach an optimum level of margins, good profitability? And how do we see the ramp -up on the revenue at Dalmia OCL? I mean I understand, sir, the mark et is not supporting right now. But I mean, is there any other stone that we have left unturned to make the entity more efficient? And what would those be? If y ou can tell us what will be your next 2 -year plan to optimally make this unit work out?
Parmod Sagar: Sahilji, thanks for your question. Firstly, as A zim said in the beginning, now we stop segmentizing whether Dalmia plant or Hi -tech plant or RH Magnesita India plant, we talk

consolidation base. But I can give you a high -level number. We -- when we acquired, it was 6.9% EBITDA with half of it was one -timer, right? So actually, it was less than 4%. We reached to 11.4% without putting much capex , right? And our guidance to the market, our amb

ition was
to take it to 12%, 13% in long term, which we still believe we can do that, right?
Capacity -wise, we have increased quite a lot, improved, a long way to go still. It all depends upon market conditions, but we want to really grow in those businesses, which Dalmia brought along with RH I Magnesita. Now we have a total portfolio. So we will definitely be growing that business. But now some product we shift from there to their X to Y, Y to Z plant, we have 8 plants. So we are more working on optimizing our product portfolio, production footprint where it makes more sense to produce irrespective whether it's Dalmia, Hi -Tech, ORL, any plant.
Sahil Sanghvi: Right. Sir, but there was a time post the acquisition where you had also guided that your target would be and your time would be to reach a 15% margin level at Dalmia also. Would that be a...
Parmod Sagar: That was not 15% margin. That was 15% growth. We were looking at 15% growth with a lot of export and everything, which die down very fast. So instead of 15%, we come down to 8%, 9%.
But it was never a 15% margin. It is not feasible. I reiterate, it is not feasible with high alumina mix feed bricks and all those things. It is with flow control, you can always imagine 16%, 17%, 18%, but 15% with brick and mixes business, it is almost impossible.
Sahil Sanghvi: So 13% is sounding realistic for this.
Parmod Sagar: Sahilji, you are putting word in my mouth.
Azim Syed: Yeah, let me repeat again. We look at our business on a consol level and challenges on the margin percentage there. Let me also repeat that this consol level, it's not more of a polymic topic that we are trying to make here. The reason is that we want to do the right thing for our customers and our shareholders.
And we can do that if you look at our business on a consol level because we want to optimize our products and optimize our margins, which wherein we can fend off any Chinese competition is coming at a, let's say, a remarkable price. we are able to optimize our recipes and blends in a manner that we can -- we are competitive.
And this also creates, as I mentioned earlier, competition amongst our plants to be even more competitive. If we go on a fixed network, I think we will create large volume plants, which will create even more cost absorption. So we like the flexibility. And this is one of the reasons why we acquired this broad product portfolio. So please don't look at it individually. I hope it's clear now. Happy to clarify in detail one way.
Sahil Sanghvi: No, this is helpful. Thank you. Thank you very much, Azim, sir. And thank you very much for Parmod ji. Yeah, thank you.
Azim Syed: You're welcome.
Parmod Sagar: Thank you. Thank you, Sahil ji.

Moderator: Thank you. We have the next question on the line of Rajesh Majumdar from B&K Securities. Please go ahead.
Rajesh Majumdar: Yeah, thanks for the opportunity again, sir. Sir, I was just looking at the cash flows and the capex , and you seem to have been generating a lot of positive cash flows where the capex is only INR62 crores. I think we were looking at a capex run rate of about INR200 crores per annum.
So where were we in that space? And if we look at this kind of a conservative business model that you're adopting now, you'll be generating a lot of cash flows. So what do we do with the cash? We are going to expand, right? So we need to increase our capex capacities or modernize.
How do we look at this?
Parmod Sagar: By nature, we are a bit conservative when it comes to spending. So we will not keep on spending the capex . If I gave the guidance, okay, I'm going to spend INR300 crores in the next 3 years' time, it is not mandatory. If it is real necessity wherever, we will do that. So we are doing something like INR70 crores, INR80 crores every year from last 2, 3 years

.
And this is the pace we assume next 2, 3 years also, okay? So this is need -based where we can get a right payback efficiency, reduction in rejections, improving productivity. So there are many parameters which will force us to decide any expense incurred i n our plants. And cash flow, people will keep on sporting, we will have a h appy cash flow in our bank. We will look for opportunity to spend that money, okay?

Rajesh Majumdar: Right. So added question that we will not be sacrificing any growth opportunities in terms of being so conservative on our cash. That's...

Azim Syed: Not at all. Definitely not. We were the -- I mean, just to kind of reiterate, look at historically, we were the first to do acquisitions. People are not putting wrong greenfields. Second, we are not shying away from investing, for example, at the beginning of the year, we invested a lot in the operational efficiencies.

Now we are focusing on modernizing, making our plants safe. And as you can see, if our capacity utilization is overutilized, then definitely we should look for capex . Hence, we are looking -- I mean, we like to spend money where we think which can support our better returns ratio.

We see this in the iron making business where there's quite a bit of blast furnaces that are going to come online, wherein we think that we can invest in iron making. That's why we are very much excited about the investments, again, step -by-step investment s that we are doing in our iron making excellence center.

So that's the way we think about it, Ra jesh. So we are not going to step away. We are quite -- we have a good risk appetite in terms of investments and so on and so forth. So you will not find us wanting there. And as you can see, our cash flow is good enough that we can do these kind of investm ents as well.

Rajesh Majumdar: Right. So thank you.

Parmod Sagar: Thank you.

Moderator: Thank you. That was the last question. I would now like to hand it over to Mr. Parmod Sagar for the closing comments.

Parmod Sagar: Thank you very much. Thanks a lot, dear friends. We value your comments. We value your feedback, and we always strive to give right value to our shareholders. We always take each and every comment in a positive way, healthy way, and we try to improve. I think in last 2, 3 quarters, we improved a bit and further, we will keep on improving ver y transparently with you as you are our partner and you are the people who are guiding us, and we value your relationship. Thank you very much for your time, for your comments, for your support. Looking forward to have much more intense interaction in comi ng months. Thank you.

Azim Syed: Thank you. Thank you and have a nice weekend.

Moderator: Thank you. On behalf of RHI Magnesita India Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2025

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18 February 2025
To,
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, Plot No. C/1, G Block,
Dalal Street Bandra Kurla Complex, Bandra (East)
Mumbai — 400 001, India Mumbai — 400 051, India
BSE Scrip Code: 534076 NSE Symbol: RHIM
Dear Sir/ Madam,
Sub: Transcript of Conference Call — third quarter ended 31 December 2024
Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements), Regulations, 2015, and further to our earlier intimation dated 5 February 2025, the transcript of the conference call held on 12 February 2025, for discussion on the earning performance of third quarter and nine months ended 31 December 2024, is annexed herewith.
The same will also be uploaded on the Company's website at the below link:
https://www.rhimagnesitaindia.com/investors/investor-meet
Kindly take the same on record.
Thanking you,
Yours faithfully
For RHI Magnesita India Limited
Lo Sanjay Ku
Company Secretary
ICSI Membership No. -17021
Registered Office: Unit No.705, 7th Floor, Lodha Supremus, Kanjurmarg Village Road, Kanjurmarg (East), Mumbai-400042
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"RHI Magnesita India Limited
Q3 & 9M FY'2 5 Earnings Conference Call "
February 12, 202 5

MANAGEMENT : MR. PARMOD SAGAR – CHAIRMAN , MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – RHI MAGNESITA INDIA LIMITED
MR. AZIM SYED – CHIEF FINANCIAL OFFICER , CHIEF INVESTOR
RELATIONS OFFICER – RHI MAGNESITA INDIA LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the RHI Magnesita India Limited Q3 and 9 Month FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen - only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch note phone.
I now hand the conference over to Mr. Parmod Sagar, Chairman, Managing Director, and Chief Executive Officer from RHI

Magnesita India Limited. Thank you, and over to you, sir.
Parmod Sagar: Thank you very much. Good afternoon, everyone, and welcome to RHI Magnesita India's Q3 and 9 -Month FY '25 Earnings Call. Thank you for joining us today. This quarter marked a significant milestone for RH I Magnesita India as we crossed INR 1,000 crores in quarterly revenue for the first time. This achievement is a testament to our disciplined execution, strong market ing position, and continued strategic expansion.
We are delighted with our performance, especially it comes amid tough market conditions, volatility in raw material prices and increased competition from imports as they continue to pose challenges. We must also remain cautiously optimistic for the short -term and remain focused on improving operational efficiencies and stringent cost control to sustain our profitable growth.
Before we dive into the details, I would like to briefly touch upon the evolving global and industrial landscape impacting the steel and cement industry at large. Despite a slow start to 2025 due to elections and off -season monsoon, India's GDP growth is e xpected at 6 -7%, driven by infrastructure and industrial expansion.
Cement demand is projected to grow 4 -5% in financial year '26. The government's planned increase in capex by 10% for financial year '26 on infrastructure spending is expected to boost the demand. India is a net importer of steel, increasing competition for domestic producers. Weaker global demand has led to increased imports of low -cost refractories to India affecting margins across the industry. Despite this, we have expanded our market share through investment in pricing.
In the Cement sector, concerns about cement pricing to the end customer continue to pose challenges. Profitability should improve with increased demand and operational cost reduction measures by cement players in the long term. For RHI Magnesita , these sectors presents both challenges and opportunities.
As a critical supplier of refractory material to the steel and cement sectors, we are actively addressing raw materials security through policy advocacy and sourcing diversification. Our goal of capturing a 40% market share within the next four years remains on track, driven by strategic initiatives in addition to investments in plant modernization and expansion of value-added products. With no additional industry production in the recent budget, we must remain agile and focus on cost control and operationa l efficiencies.

Looking forward, we remain cautiously optimistic , our focus on strategic expansion while maintaining financial discipline, vigilant about market headwinds including global demand fluctuations and cost pressures , committed to operational efficiency and cost optimization to sustain margin in the coming quarters.
Our priorities remain the same, sustainable growth and better return ratio and our decision-making will be guided by these principles. As we navigate this evolving landscape, we remain committed to safety, innovation, sustainability and strategic growth to reinforce our leadership position.
With that, I will now hand over to our Chief Financial Officer, Mr. Azim Syed, who will take us through the detailed financial p

erformance of Q3 '25.
Azim Syed: Thank you, Parmodji . Let me now walk you through our financial performance for Q3 , FY '25.
I'm pleased to report that revenue from operations for Q3 FY '25 , grew 17% quarter -on-quarter, reaching a record INR 1,011 crores comparing to INR 867 crores in Q2 FY '25. This strong growth was driven by a 20% increase in shipments.
We were able to gain momentum in our top line through reclaiming our market share, delivering one- time cement and iron- making projects and resum ption of production of post -customer downtime.
Production for Q3 FY '25 stood at 86 k t, maintaining levels consistent with Q2 FY '25. Capacity utilization remained steady at 67%, ensuring that additional market demand was met through planned inventory releases. We focus on disciplined working capital execution and only produc e what we need as per demand.
EBITDA for the quarter stood at INR 132 crores, reflecting quarter -on-quarter growth of 8% driven by our operational efficiencies. Despite the margin dilution even with high raw material costs, our absolute EBITDA growth highlights the strength of our business fundamentals. This was underpin ned by operational efficiencies and expanding market share. As Parmod ji mentioned, due to increased competition in the cement sector , even with the increased 7% of shipments, we saw a dilution in our realization rates.
Profit after tax increased by 3.5% quarter- on-quarter to INR 48 crores. Cost optimization measures are helping mitigate some of the impacts. Our working capital intensity improved to 35% versus last quarter with improvement in DSO, DIO, and DPO. With our dividend payment

of INR51 crores, ECB loan repayment and with a strong top line, our net debt versus EBITDA remains flat.

To summarize, our business fundamentals remain strong. We will continue to strengthen cost controls to manage margin pressure, optimize working capital and maintaining financial discipline, driving profitable growth through strategic market expansion . To reemphasize on

what Parmodji said, sustainable growth and better returns ratio will be our guiding principles for our decision -making.

With that, we conclude our financial review and now open the floor for questions from analysts and investors. Thank you.

Moderator: Thank you very much. We will now begin with the question- and-answer session. The first question is from Rajesh Majumdar from B&K Securities. Please go ahead.

Rajesh Majumdar: Congratulations on a decent set of numbers in a difficult quarter, I understand. So, I had some questions on the pricing and the margins. So, if you see your realizations have been falling constantly in the last two quarters, and we've seen an increase in the price of raw materials like chromite sand and alumina. So, have we got a price increase finally on these products? That was the first question.

Parmod Sagar: Rajeshji, thank you for your question, and thanks for your compliments. Yes, the situation, as you rightly said, is very volatile, very challenging atmosphere. As a matter of fact, we have not been able to get price increases from most of the customers. An d I'm sorry to say even our peers, our competition, nobody is seriously pushing for price increases. I don't know why. So, we are leading from the front because we are the leader in the market. So, we are reaching out to our customers wholeheartedly to get price increases. But every time we're getting the answer, nobody else is asking for the price increase. So, this put u s in a spot, but we will keep on pushing for price increases and I hope we will get some success as well.

Rajesh Majumdar: So as of now, even on alumina refractories, there is no price increase in the fourth quarter?

Parmod Sagar: As of now, no.

Rajesh Majumdar: But raw material prices have fallen. So I was asking a question on alumina o

r any other RM. Do we have inventories because alumina went to USD 800 and now it's USD 500. So how do we look at the price change in alumina reflecting on our margins going forward?

Parmod Sagar: Rajesh, you are talking about fused alumina, okay? So based on that alumin ium oxide or white fused alumina or tab ular alumina, that has reached to USD 1,050 and now it has come back to about USD800. But the offer we are getting now, we are already having a high -value inventory about 2.5 to 3 months coverage.

And now if then we will place order, it will probably take 3 -3.5 months to reach the material, placing orders, and they will take their manufacturing time, then sea freight, etc, etc. So there is always a lag of about 3 -3.5 months , before actually the low cost or high cost materials start impacting you adversely.

Rajesh Majumdar: And so in terms of margins, sir, we are at 12%, 13%, whatever, and your long -term is 15%. So will we see it in next year that margin coming back or it will take more time than that?

Parmod Sagar: Yes. I said in the morning also with my interaction with CNBC that second quarter onwards, FY '26, we should go back to the market guideline, which we keep on telling about 15% margin.

Rajesh Majumdar: From Q 2 onwards. Okay. But in the meantime, if you are able to get a price increase, then probably we will see it faster, right?

Parmod Sagar: Yes. Definitely, there will be upside.

Rajesh Majumdar: And sir, on the volumes, and my question is on the volume, we had a huge bump up this quarter. So how should we read into the volumes? Is there any onetime in it? Or what is the stable run rate, like annual run rate of volume we should take in shipments fo r the company?

Parmod Sagar: Rajeshji, the thing is normally December quarter is the strongest quarter for everyone, okay? And the first quarter of calendar year, which is now January, February, March is a bit lean period. Why I'm saying so because cement is the leanest for this time, okay? There's no maintenance, no kiln repair, etc, happens in January, February. They start after 15th of March. So this will have a short -term impact, but it averages out in a year. So I would not say we will be able to repeat these INR1,011 crores in this quarter, but it will not be far away also. We will be decently placed.

Rajesh Majumdar: And in terms of margins for this quarter, sir, what we have seen that there is some recovery in 3Q. So you are saying that RM prices will be almost similar. So there won't be any margin

recovery this quarter also?
Parmod Sagar: Yes, you are right. I think so.
Rajesh Majumdar: And sir, last question, if I can. Interest cost has also gone up a little bit. What is the outlook on that?
Azim Syed: So I can take this. So the interest cost is higher purely because of our hedging on the ECB loans, okay? So this is one of the reason. This is an ECB term loan that we have. So this, of course, although we are exposed to the rupee volatility, at the moment , we are hedging with the best financial instruments that we can have.
But you can imagine, it's a 3 -month hedge normally that we take. And when you look in September versus December, I think we all know how the rupee ha s depreciated quite heavily.
So yes, we'll continue to hedge at least to minimize the damage.
Rajesh Majumdar: Okay. But you don't see this worsening further in terms of the hedging losses?
Azim Syed: No. I don't think so.
Rajesh Majumdar: One more question. Plant -wise utilization data you normally give. Can we have that data?

Azim Syed: So normally, as I said, we did 67% total. So that's what we did. Let's say, RHIM stand -alone, we were at 76%. DOCL, we were at 6 0% or the Dalmia IR entity.
Rajesh Majumdar: 60%. And what is the utilization at Hi -Tech?
Azim

Syed: Hi-Tech is at 56%. Here, we see a sharp decrease as well.
Rajesh Majumdar: Okay. Thank you sir.
Moderator: Thank you. The next question is from Jinal Sheth from Awriga Capital Advisors. Please go ahead.
Jinal Sheth: Just wanted an outlook and what you hear from our clients in regards to capex, whether they are continuing to do that? Is there any slowdown there? What is it that you are hearing and seeing? It will be good to get your views.
Parmod Sagar: You are talking about our customers, steel and cement, right?
Jinal Sheth: Yes.
Parmod Sagar: So it is a mix of feelings. One of the largest steel manufacturing group, the ir CEO put on records that if government will not put anti- dumping duty, it will be very difficult to compete in the market because Chinese steel is coming at a very, very subsidized rate. So we need to think twice for our further capex. Whatever is in the pipeline, we will do that, but we need to look for spending the money or not, looking at the government policy. So I keep my fingers crossed.
As of now, whatever the project is in pipeline, they will materialize for all the big groups.
Jinal Sheth: And the remaining -- I mean, whatever capex, whatever is in the pipeline, that continues, but these are just comments coming out. I mean, that could be a form of a strategy, right, saying that, okay, look, we want -- they are wanting government to consider the anti- dumping.
Parmod Sagar: Yes, absolutely.
Jinal Sheth: Okay, great. Thank you.
Moderator: Thank you. Next question is from Akash Sharma who is an individual investor. Please go ahead.
Akash Sharma: Thank you for the opportunity. I have a few questions. My first is related to raw material. I just have raw material costs have increased slightly. So like how do we plan to manage these cost pressures, like are these transferable?
Parmod Sagar: Yes. As you rightly said, raw material cost has increased, particularly aluminus raw materials and chromite sand, etc. The prices have gone up. And now alumina prices also start declining.
We are reaching out to our customers to pass this on, but so far, we are not so successful because no one else is asking seriously for price increases.

We keep on pushing and it has impacted the margins, and we have to live with this for another quarter or so before we really push this pass -through or the raw material prices start coming down. So it is, I would say, to be very honest, this quarter will remain a very challenging quarter like the previous one.
Akash Sharma: So sir, is the increase in raw material cost one of the reasons for decline in our EBITDA margins?
Parmod Sagar: This is one of the reasons. But you see our absolute EBITDA has gone up by 8%, if you talk about in crores, right? So our base is bigger. So percentage -wise, it looks like we have 1 percentage less EBITDA this quarter. But if you see last quarter to this q uarter, our absolute money -wise EBITDA has gone up by 8%.
Azim Syed: And if I may add, another one reason what you see is the mix impact because we have the cement seasonality.
So normally in the cement , during the peak season the realization rate

drops.
Parmod Sagar: And this is a more unfortunate situation. Some of our peers, our friends are putting up additional capacity and selling the cement bricks at a zero margin or cost or even in a loss just to enter into the market and spoiling the market pricing.
Akash Sharma: Okay, sir. Sir, on the operational side, like how has our repayment of ECB external commercial borrowings have impacted our leverage and interest cost?
Azim Syed: So, it has not impacted. So normally, this is an external commercial borrowing that we have done. And it's because it is with different currency not Indian currency, it's in euros that we have taken. So, this was purely a rupee depreciation that had happened for i

t. Normally, we do hedging. In fact, we have hedged actually. So, we have minimized the impact of it.
But let me also tell you, please look at our finance cost on a 9 -month basis, it has actually improved because these hedges have actually protected us from the rupee volatility, not only in the last quarter, but in the previous two quarters. So, if you loo k at like a 9 -month to 9 -month comparison, our percentage of our finance cost has reduced quite considerably.
Akash Sharma: Okay, sir. And sir, on the inventory side, our inventory levels have slightly decreased or improved, I would say. Like are we taking any strategic actions to optimize inventory management given the volatility in raw materials?
Azim Syed: Yes. See, we have a very sophisticated process where we kind of look at our customer demand quite closely, and we produce what we need. So, for example, we were building up inventory so that we can deliver these cement projects or our iron -making projects that we were supplying to OEM. Now we were able to ship it.
So yes, the intention is to continue this close monitoring on all the working capital levers, not just on inventory. But definitely, yes. We want to have a better disciplined working capital investment where we need it and how we need it.

Akash Sharma: Okay. Sir, lastly, will this number of days level will be consistent from now on? Or will this improve further? Like what should we take it as a sustainable level of days?
Azim Syed: What days? Sorry, your voice was not audible.
Akash Sharma: What should we assume as a sustainable days level in terms of inventory receivables and payables?
Azim Syed: So our long -term ambition, which Parmodji has highlighted was that, we need to operate at 30% of working capital intensity on a long -range basis. So, this is what we would want to do because India is a very growing market. We need to ensure that we are abl e to support this growth. So, with this in mind, we believe that on a long range to always be at 30% consistent.
We will take some time to get there because as I'm sure you know that in the latest budget also, which is the right thing from the government is to protect the MSMEs. They have increased the coverage of the MSME suppliers. So, this will put some pressure o n payables.
Most of our customers are doing quite a bit of a capex investment, as Parmodji was saying earlier.
That means we need to also have an absolute focus on receivables. And we will invest on the inventory where we have growth areas where we see this -- where our demand is saying that we need to optimize our capacity utilization, we'll do it like that.
Parmod Sagar: Yes. So let me add here one thing. We are working on our working capital discipline, but at the same time, we are also working on 4PRO or TRM contracts. So, we will be adding maybe 2, 3 more TRM contracts in the coming weeks and months. So that needs inventory. You are managing t he steel plant, you are making the inventory, you are handling the inventory. So sometimes it is a business need to keep the inventory.
So, we will need to have a right balance. So, it is not that it is a supply base only. We are doing this steel -per-ton basis contract, long -term contract with steel plant 2 -3 are on the table. If it happens, then probably inventory reduction will not be that easy because we have to cater to those customers 100%.
Akash Sharma: Okay sir, thank you very much.
Moderator: Thank you. Next question is from Mayank Bhandari from Asian Market Securities. Please go ahead.
Mayank Bhandari: Thanks for the opportunity. I just want to understand at what price alumina inventory is valued in Q3?
Parmod Sagar: Alumina price. So about 6 months back, we were getting this alumina products like white- fused alumina, tabular alumina at about $680 CIF and it went to $1,050, and now what we are gettin

g offer is about $800. So, it is still not going back to the normal level, which was 6 months back.

So, it will not have that significant impact on our costing, but it will have a small impact on our costing and we seriously need to pass on this to our customer, which we will keep on pushing.
Mayank Bhandari: So, the sequential drop in the gross margin is solely responsible due to this alumina thing?
Parmod Sagar: It is one of the component s, not solely on raw material.
Mayank Bhandari: Okay. And sir, we have seen capacity addition by Tata Steel and JSW in last few quarters. So, are we indicating our market share has increased in those two customers?
Parmod Sagar: Yes, it is very evident from our last quarter's shipments and revenue. Yes, as I said earlier many times when there is a new project, we are the preferred supplier out of 100 tons above70 tons definitely will come to us. So, whenever there is a new addition, we are going to have advantage and we got this advantage last quarter.
Mayank Bhandari: Okay. And sir, I just want to understand one more thing in terms of 9 -month performance, what would be your domestic growth as well as the breakdown between domestic and export 9-month?
Parmod Sagar: Export is roughly 9.5% - 10% only and it is very static from last few quarters. And in the near future, it will remain like that because of geopolitical situation globally. Europe is almost at 25% -30% lower steel production and it will further go down in coming days. So, Ukraine- Russia war is still on, so hardly any shipment to those countries. So, you can say 10% export and 90% domestic.
Mayank Bhandari: Okay. And roughly, sir, what would be your total refractory management proportion as of 9 months for the full year?
Parmod Sagar: Refractory management, we are roughly 32% -33% of our...
Azim Syed: 35 percentage of our revenue, you can assume for your modelling purposes, YTD number.
Moderator: Thank you. The next question is from Ravi Purohit from Securities Investment Management. Please go ahead.
Ravi Purohit: Just wanted to have a more strategic long- term question, right? I mean, we've been tracking Orient Refractories and then RHI for more than 10 years now and have been shareholders for a fairly long period of time. So somewhere in '22, when we did all these acquisitions and all, there has been a significant dilution that we had done and there was also big increase in our overall capital employed net worth in the business because of the acquisitions.
Prior to that, for the previous 10 - 15 years, our ROC E used to be 40% - 45% pretax ROC E, and ROEs were like 20% plus, 25% plus. Now given the current profit numbers, given the current scale and compared to what capital employed we have in our business, when do we reasonably estimate to achieve even 15% ROE, return on equity?

Let's say, our net worth is INR4,000 crores, 15% of that would be around INR600 crores after-tax profit. Is there a visibility or should we assume that this M&A activity that we did in '22 has permanently kind of impaired our ability to generate high ROEs?
Parmod Sagar: Purohit ji that's a very important question. Seriously, we are also looking at 15% ROE. This is our aim as well, but with the product mix came along the acquisition particularly Dalmia, cement plant, etc, it will not be easy, but definitely our target is t o reach there. And we have a lot of discussion internally and we are working on many areas to improve ROE,
So nowadays, I think from last 1 -1.5 years, if you remember in any talk with you guys, I always talk now about how much cash we are generating, how much is our return ratio. So, these are the things we are not only looking at EBITDA, but we are looking at these and we are working towards that. And I'm sure we will imp

rove, but it will take time to reach to 15%, but our aim is to reach there along with you.
Azim Syed: Just to add a couple of point ers in this . Our belief in M&A business case has not changed. We believe that it's still a good deal because you can see this growth in some of our growth initiatives. For example, in iron making where we are seeing quite a bit of increased revenue that's coming thro ugh. It is giving the product portfolio, it's giving the reach and also the validation with the customers. Just to kind of put a couple of examples, some of the largest iron-making deliveries that we did i n Q3 were with the OEM suppliers.
Normally OEM people would like to go for preferred names because they don't want to have any failures during start -up. So, this is also kind of validating our product portfolio that we got with some of our acquisitions as well. So, yes, we have a path to go there. Our long -term internal objective for RO E is still at about 15 percentage. We are already improving the profitability in the acquired entities. You are able to see this as well. And also in the market dynamics, nothing has changed.

So, I think it will improve over a period of time.
Ravi Purohit: So, are we referring to 15% post -tax ROE or pretax ROE? I mean, see, in the sense, our competitors, no matter what we say have actually not diluted their equity for the capex that they wanted to do, which effectively means it allowed them to continue repor ting reasonably
good ROEs, whereas we took the M&A route. Now the thing is we have a INR4,000 crores net worth, 15% after- tax ROE would mean INR600 crores PAT, which effectively would mean INR150 crores PAT per quarter. We are one -third of that today. So, when we say...
Azim Syed: Yes, just to clarify that. And of course, it comes through operational efficiencies and some of it will also come through plant modernization and realizing our top- line business growth as well.
And this will come through some of the initiatives that Parmod ji already highlighted. This is coming through the improvement in steel production domestically. So, this will kind of help us to kind of get this 7 % growth in the absolute revenue terms, hopefully in the future which is
what the steel producer s are currently forecasting.
Ravi Purohit: Okay. Thanks a lot and all the best.

Moderator: Thank you. The next question is from Pratim Roy from B&K Securities. Please go ahead.
Pratim Roy: Thanks for the opportunity again. In the PPT we have mentioned that there is a one- time favorable warranty provision release in Q2 FY '25. So, if you can keep some light on this, what is the thing?
Azim Syed: Yes. So, you're referring to the last quarter provision release. Actually, we had reported this under other income last quarter. So, these were some of the warranties in the acquired businesses, that we were able to confidently after the period of time of the warranty is completed we were able to release quite comfortably. So, this is our product performance warranty that we had provisioned earlier pre -acquisition.
This is basically we had to get the good performance of those products at the site wherein we need to get the certification from the customer saying that it has achieved its contractual performance as well. This has happened post -acquisition with RHI. Does that help?
Pratim Roy: So, what is the quantum for that?
Azim Syed: Sorry, your voice is not clear. Can you repeat?
Pratim Roy: So, what is the quantum of that particular provision release?
Azim Syed: Yes. This is a one- time release. This is not repeatable.
Pratim Roy: No, I'm just asking what will be the number for that, how much?
Azim Syed: That would be around INR12 crores.
Pratim Roy: And one more question, sir that you have just mentioned that in 3Q you have delivered one of the largest iron -making projec

ts. So, is there any such projects in our pipeline in the coming days or what will be means will be the one- time or we can expect a f requent these kind of projects in the coming days, if you can throw some light on this?
Parmod Sagar: Yes, this is not one -time. This will keep repeating. Only I think mid of Jan, we got an order of 1,200 TPD in DRI which is the largest and the confidence of customers now is so much on our products after 1.5 years of performance. We've got the biggest orde r of DRI, biggest 1,200TPD which is the biggest DRI plant in India.
We got that order. Also, pellet order which we got last year one is under execution another will start in April or so. So, this will also be happening in this financial year. And two, three more projects are in the pipeline. We are very positive about our growth story in the iron -making pellet and DRI segment.
Pratim Roy: And sir, lastly, just if you give some idea that in this quarter in 3Q, the utilization level of standalone DOCL you have mentioned, but if you compare what is the improvement over 2Q?

Parmod Sagar: Actually, in 2Q, I think IR plant, Dalmia plant it was 6 3% now it is 6 0% and IN plant is almost at the same level, I would say 1% here there, but I don't have the exact number right now with me.
Pratim Roy: And Hi -Tech sir?
Parmod Sagar: Hi-Tech, we keep on adding products and it is improving day -by-day. I think 5 6% or so. How much is it?
Azim Syed: The capacity utilization at Jamshedpur we have improved from 56% to 68% quarter -on-quarter.
Parmod Sagar: 56% to 68% quarter -on-quarter.
Pratim Roy: Thank you so much.
Management: My bad, means 68 to 56 percentage apologies.

Moderator: Thank you. The next question is from Sahil Sanghvi from Monarch Networth Capital. Please go ahead.
Sahil Sanghvi: Parmod sir and Azim. Many congratulations. It was really good to see the INR1,000 crores mark and in such a challenging time, sir. And this has come with a very good mix of product portfolio also. So really good to see that, sir. Sir, would it be possible to give me the contri bution from the iron DRI pellet side in our total revenues in, say, 3Q, a percentage or absolute number, anything possible?
Azim Syed: We basically have YTD of iron -making business close to about 12% of our revenues.
Sahil Sanghvi: 12%. Any sort of comparable number you would have what was this last year? Was it really present or this is very negligible?
Parmod Sagar: No, it is 1.5x growth from last year. Because the business was so small, so it doesn't have a serious impact. But I remember in million Euros start thinking in Euros. So, it was 29 million last year and now it will be something like 45 million or so. So, i t is 1.5x growth from last year to this year.
Sahil Sanghvi: This is really good. So, sir, in this products, the realization is usually -- is it fair to say it is lower than the realization of the steel products, products going to steelmaking and flow control? Is the pricing lower?
Parmod Sagar: Yes, it is a very competitive market. And we have to enter this market with 2% -3%, even a lower price than the market price for the entry. So we are not doing like our competition, they are doing in cement 20% lower than our price and we don’t try to enter like that . We are trying just net -to-net 1%, -2% lower than that. And with our brand image, people are giving us order on that. But having said that, the margins are comparatively lower than steel but better than cement.

Sahil Sanghvi: Got it, sir. And now that you have told us that you have a few orders which will come on stream in next few quarters. So, this 12% of the top line, what could that number go in next year, say, FY '26 or what is your target where do you want this number to reach?
Parmod S

agar: Long -term, my statement will remain same, 8% to 9% in volume growth. We are increasing the portfolio, we are increasing the base, 8% to 9% is a very decent number and the market will be growing maybe 7% or so. So, we want to grow a little more than market.
Sahil Sanghvi: Got it, sir. Secondly, sir, I must congratulate you on the TRM side. In FY '24, we were at 31% -32% of our revenue. We are at 35% now. And you are looking at working -- adding four more customers. So, does that mean we are approaching 40% levels on the TRM contracts?
Parmod Sagar: I don't know whether we will reach 40% with these three, four contracts or maybe 38%, but ultimate target is to reach 40% in very short- term.
Sahil Sanghvi: Got it, sir. Thirdly, sir, are we a preferred supplier for flow control refractory still to all the large integrated steel plants or has it changed, sir?
Parmod Sagar: One of our competition and we are preferred supplier , in one or two cases we outperform also like last quarter in JSW SMS4 we got the first robotic solution and slag detection system and ladle shroud handling through robots. So that was a very big break -through and it is a substantial business about INR95 crores business in next 5 years contract.
So, I don't think now there's a much gap between our competitor and us. W e are the only two preferred supplier for flow control. And when it comes to converter lining or furnace lining or Degasser we are the preferred supplier only.
Sahil Sanghvi: Got it. And sir, when it comes to these new capacities, say, Tata or JSW whichever have been commissioned recently, most of our supplies to these new capacities are with a lead as in before the commissioning happens, all of it is supplied or is there still some supplies that will happen for these new capacities?
Parmod Sagar: Initially, yes, we need to build up inventory. And we put this inventory in those plants and they got delayed for 2 -3 months. We have to live with that. And then when they start, then we need to replenish these inventories time to time. So, this is ongoing process. And I would say every month we will be adding the inventory into those plants. We are running at a decent level. And I assume, if China don't do some spider game, we will continue to enjoy this growth.
Sahil Sanghvi: And my last question will be, sir, sometime back I think it's been time now that we visited your facility, but you were -- your R&D cent re was w orking on a few new products also like taphole, sleeves and some bit of advanced nozzles and al l of that. What is our pipeline of new products? And what kind of potential do you see in that?
Parmod Sagar: We are trying to keep on adding new products or products which we are importing from our parent company to India. Now we are working on two, three products for Rajgangpur plant

from our global network and transfer of technology is in the pipeline. People are coming, people are talking to my R&D team. And probably in next 2 months, 3 month's time, it will happen, and then we'll start doing the trial production in those plants and maybe in 6 month's time, we will shift everything to India.

But having said so, now our local production is about 68% and import is 32%. It will have an incremental impact, it will go to 70 :30 or 72: 28. It will not eliminate imports, but gradually we are trying to reduce and bring it to a level of 80%, 85% local by local.

Sahil Sanghvi: Would you be able to name, sir, these products?

Parmod Sagar: You will not understand this. This is High- ended bricks for cement and R hV gases and 1 or 2 flow control products, which we are not at present making in India.

Moderator: Next question is from Jonas Bhutta from Birla Mutual Fund.

Jonas Bhutta: Firstly, congratulations on a decent show in a very challenging time. Couple of questions. I joined the call late

-- maybe 1 or 2 of them may be repetitive…

Parmod Sagar: Your v oice is cracking. Initially, it was okay, but now it is totally cracking. We are not able to hear anything properly.

Jonas Bhutta: So, I joined the call a bit late and 1 or 2 questions may be repetitive. But what I heard was that the pricing pressure that we are facing due to the spike in alumina prices in the earlier part of the year, we are finding it difficult to sort of pass it on to the customer. Just wanted to understand because historically, the industry had a fair bit of pricing power -- and from your comments, it seems to suggest that, that has gone down.

Do you believe that this is more a structural phenomenon given that there's been a fair bit of local capacity addition that has come through and the Chinese imports are here to stay. So structurally, the pricing power for the industry has sort of reduced.

Parmod Sagar: Jonas, I think what you are trying to say is because the competition, the refractory industry add capacity. So just to fill up their plants, they are not asking for price increase because they need to have production volumes, right?

Jonas Bhutta: Yes. And is this structural in nature?

Parmod Sagar: Yes. This is the same thing. I also observed that some of our peers who is trying to enter into this market, they just don't have a business ac umen to decide the right pricing. So, the small player, but they go all out to sell the product at any price just to be in the market. So, we are not into that rat race. We have our own strategy. Below certain margin, we will not enter into the business. And I believe all these 4 -5 big players we re also on the similar thought process.

Azim Syed: Exactly. For example, traders because they buy on a bulk basis, they need to get rid of this because the cash is also expensive. So, on the small players, they are also motivated to sell at any cost.

Jonas Bhutta: Yes. Understood. And given that our sales mix will be sort of going towards iron making, you mentioned that it is 12% today, it was insignificant last year and probably will further increase based on what we have in progress?

Parmod Sagar: Jonas, again, the voice. Although it's not chirping, we cannot understand the question.

Jonas Bhutta: Maybe I'll rejoin the queue.

Moderator: We'll move to the next question. The next question is from Harsh from Marcellus.

Harsh: So from the call, I could figure out that there are various headwinds, first being competitive intensity from China, both in our market as well as the end customer market. The cement and the steel folks are also with respect to the business. And the export piece is also not going to fire up in a material way, at least for the next 2 - 3 quarters. So, in this context, what gives you like the optimism that we'll reach again the 15% EBITDA margin mark from Q2 onwards, Q2 FY '26 onwards?

Azim Syed: See, in our business, if you look from a long -term perspective, it's always been cyclical, right? One basic phenomenon, what you see is that we already see raw material prices coming down, okay? That's one piece that we have. Second basically is that India will continue to produce, and we have this broad product portfolio, wherein we also give very high- margin products like flow control, and we also get the seasonality of cement, wherein our margins will get dilut ed. And we also get projects of like an industrial project as well. So conservative -- I mean, if you look at it from a long -term perspective, and this is where we strongly advise us not to look on a quarter -on-quarter basis. If you look at it from a long -term perspective, our portfolio, our long -term contracts and some of our contract structure in terms of how we -- how some of our products perform gets paid out.

These are the 3 pillars where we think that we would be able to achieve the 15

% margin. Regarding the Chinese import, it's definitely a prevailing threat for us. But most of these people
play in the commodity area of the business, which is, again, is very cyclical. So here is where we have the threat.
We have seen these kind of threats in 2018, even 3 years back as well. So, we believe that on the long -term, our business fundamentals, our product portfolio optimization on our contracts,
we think that we should be able to hit from Q2 '26 onwards that we should be able to go back
to 15% level.

And this is where we are also thinking that the market will put down on the raw material
pricing, the expensive inventory will go out. We can have a larger play in terms of what material
to use, what to supply and so on and so forth. I hope that answered the question.
Harsh: Yes. And how much of our total top line is from this alumini um chromite -based refractories
where we are seeing this RM price volatility?
Parmod Sagar: It is about 30% - 32% of our total portfolio.
Harsh: Okay. So, a meaningful part of the portfolio. And any other raw material where we are seeing
this sort of volatility apart from alumina?
Parmod Sagar: Yes. Now after Chinese New Year, this fused magnesia also has gone up by about $40 - $45. So,
it will have actual material impact after 4 months or so when the material start coming after
ordering to India, to everybody, not only us, to everybody.
So, we now have a visibility that this is going to come up and how we are going to mitigate that
risk of further dilution of margin by circular economy or looking at various project optimization at the same time, reaching out to our customers well in advan ce for the price adjustment and
all those things. So, this is easy one. We can correct it because we know now that this is going
to happen. Alumini um prices every week are going up like anything.
Harsh: Okay. And this $40 - $45, how much would be the increase in percentage terms?
Parmod Sagar: About 3% - 3.5%
Moderator: The next question is from Sanjay Nandi from VT Capital.
Sanjay Nandi: Sir, can you just share the numbers for the flow control in our entire sales mix?
Parmod Sagar: Normally, flow control is about 25% of the total steel portfolio. 70- 75% is lining business, 25%
is flow control business in any steel plant roughly.
Moderator: Next question is from Chetan Doshi who is an Individual Investor.
Chetan Doshi: Congratulations, Parmod and the team for the excellent set of numbers. First time we have reached a milestone of INR1,000 crores. Now the presentation this time doesn't highlight as to how you're going to sustain this figure in coming months or coming quar ters? And second
question is that from the parent company, we were expecting a lot of support in terms of technology transfer, but nothing is there. This kind of presentation, I'm not at all happy with
the kind of inputs given?
Parmod Sagar: Yes, thank you very much for highlighting these 2 issues. One is in previous questions, we answered this that we are looking at a similar type of sustainable growth with some
seasonality. As I said, cement in Jan, Feb, March is at its lowest level. There's no maintenance,

etc, so, there will be a dip from that angle, I would say. But yes, we could have put it in our
presentation.
And the parent company, when you're saying in every call, we keep on appraising all the
investors, the analysts, how much products we are shifting even now in this call about 2, 3
questions back, I explained that we are bringing more products to Indian pla nts from parent
company. And in the past also , tap hole sleeve, porus plug, tap hole clay from Brazil. So, we
keep on bringing those products and we are sharing on call. But we have not put in the
presentation, but we are sharing all the information very t

ransparently to all of you.
Chetan Doshi: Products are getting well accepted in the market. Sorry?
Azim Syed: Just let me complete, Chetan, if you allow me. One basically is that normally, we give the
exhaustive presentation in the half year full year presentation. So, I know that you are referring
to all the products like laser part and other things that you were mentioning earlier. So, this
kind of exhaustive presentation, we will definitely do in the first half and second half full year
presentation.
You'll see a very comprehensive view. To answer your question on these kind of products
acceptable, as Parmod Ji mentioned earlier, we are one of the first companies where we have
implemented the robotic solution in the whole of India. So, these kind of products are getting
accepted and approved, but it also goes through its own validation period from an acceptance

perspective, so on and so forth.
Moderator: Thank you very much. That was the last question in queue. I now hand the conference over to Mr. Parmod Sagar for closing comments.
Parmod Sagar: Yes. Thank you very much all the investors and analysts for a very interactive discussion, including questions also. So, it's very good to have a real interaction, and we try to be very transparent, open with all of you as usual. And we will keep on transparently sharing all the information with all of you. Thank you very much for your support as always and looking forward to your support in the future as well. Thank you very much.
Moderator: Thank you very much. On behalf of RHI Magnesita India Limited, that concludes this conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.
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Call: Jun 2025

4June 2025
To,
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NSE Symbol: RHIM
Dear Sir/ Ma'am,
Sub: Transcript of Conference Call - fourth quarter and financial year ended 31 March 2025
Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listi ng Obligatio ns and Disclosure Requireme nts), Regulations, 2015 , and further to our earlier intima tion date d 24 May 2025, the trans cript of the conference call held on 28 May 2025 , for discussing the earning performance of fourth quarter and financial year ended 3 1 March 2025, is annexed herewith.
The same will also be uploaded on the Company's website at the belo w link:
http://www.rhimagnesitaindia.com/investors/investor-meet
Kindly take the same on record.
Thanking you,
Your s faithfully
For RHI Magnesita India Limited
.6j
Compa■y Secretary
(ICSI Membership No. - A 17021)
Encl:
As above

“RHI Magnesita India Limited
Q4 FY'25 Earnings Conference Call "

May 28 , 2025

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M
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MODERATOR : MR. MAYANK
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Moderator : Ladies and gentlemen, good day and welcome to RHI Magnesita India Limited Q4 FY'25

Earnings Conference Call hosted by Asian Market Securities .
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Mayank from Asian Market Securities . Thank you and over to you, sir.
Mayank : Thank you, Manav . Good afternoon, everyone. On behalf of Asian Market Securities, we welcome you all to Q 4 FY'25 Earnings Conference Call of RHI Magnesita India Limited .
We have with us today Mr. Parmod Sagar – Chairman, MD & CEO; Mr. Azim Syed – CFO & Chief Investor Relations Officer .
Now I request Mr. Parmod sir to take us through the overview of the quarterly results and then maybe we can begin the Q&A session. Over to you, sir.
Parmod Sagar : Thank you very much, Mayank. Good evening, everyone. Welcome to RHI Magnesita India's earning call. As we draw the curtain on yet another dynamic Financial Year, we do so with a sense of accomplishment. FY'25 has been a period of challenges, transformation, and forward momentum, not just for our organization, but for our industry and our customers. Toda y, I'm pleased to share with you an overview of our performance along with a broader outlook on the macroeconomic and indust rial forces shaping our future.
At RH I Magnesita India, we have demonstrated operational resilience amidst shifting market dynamics and geopolitical uncertainties. In Q4, F inancial Year '25, we continue our strategic focus on innovation, customer engagement, and agile execution, delivering consistent value creation for our stakeholders. Financially, we recorded a total revenue of Rs. 3,675 crores. Our efforts in strategic initiatives like iron making and flow control are delivering growth. However, we see a commoditization in the attractive market.
Let me briefly reflect on the evolving landscape of the core industries that shape our business :
India's steel sector remains a cornerstone of economic growth, with domestic demand expected to rise in FY' 26, fueled by infrastructure investment, the national logistic policy,

and Make in India initiative with export of 12% import duty restrictions. Globally, however, the market shows divergence Chinese exports have pressured prices, while policy changes in the US, European Union, and United Kingdom have created trade uncertainties. Domestically, India is supposed to expand steel capacity to 300 million tons by 2030, aligned with our mission to su pport the industry with efficient refract ory solutions. All the plant capacity additions in our steel customers align ed with RHI Magnesita's diverse product offer ings.
The Indian cement industry is also on a strong footing. The demand projected to grow 6 % to 8% in FY '26, backed by an increase in government CAPEX of about 10%, driven by affordable housing, urban development, and higher projects. Cement prices also saw a lift in May 25 after margin squeeze in the entire year. However, we are optimistic that this will change due to infrastructure -led demand. RHI Magnesita is the only refract ory player in India delivering end -to-end solutions for the cement industry. Nevertheless, structural changes like overcapacity and pricing pressure highlight the need for the efficiency in the end -customer market.
As a critical enabler of economic growth, refractories will continue to benefit from robust demand. India's refract ory market is projected to reach US $ 4.5 billion by 2030, faster than earlier estimates, driven by materia

l innovations and organic growth. We are proud to support this momentum with increasing traction across high growth sectors, not only steel and cement but in industrial applications like glass, ceramics, renewables, reflecting our expanding industr y footprint. However, the announced over capacity expansion in India coupled with Chinese import of refract ory materials is becoming a systematic iss ue resulting in price erosions.
In light of these industry dynamics, our strategy at R HI Magnesita India remains anchored with 5 key pillars.
1. Strategic initiative – We will continue to invest and grow in iron making and flow control to gain further market share.
2. Innovation and technology – We are scaling up our R&D initiatives and advancing digitalization to develop next -generation refract ory solutions. This will lead us to the cost competitive and for local production to transfer technologies from groups. We will also leverage our digital technologies through our 4 PRO offerings to our

customers.
3. Sustainability – Our initiatives are economically sustainable, aligned with India and our global groups' net zero commitments. We will be investing CAPEX to this effect to maximize our cost competitiveness through our circular economy initiatives.

4. Operational excellence – Our last operational excellence system has already delivered results, not only in our factories, but also in the acquired entities. We will take it to the next level of maturity to improve pr oductivity in the coming years.
5. Safety initiatives – Our target is nothing less than zero accidents, and we have launched a very strong programs to pursue it. In our continued commitment to our safety, we have launched several life -saving rules across all our production settings and sites, not limited to India but global level also. Apart from this, we have launched a program to increase our prices to pass on the input cost. We should see some of the benefit s going in the future quarters.
As we look ahead, we remain confident in the underlying strength of our business and industries we serve. Our long -term vision is clear to be the most reliable partner for refractory solution in I ndia's industrial growth story.
In today's board meeting, we have done some addition in our board. I believe the recent addition to our board with strong industrial background will be true value generation for our shareholder and our company.
a. We announced to con sider the appointment of Mr. Priyabrata Panda, Managing Director of TRL Krosaki Refractor ies L imited as an I ndependent Director for a period of next 5 years.
b. We have also appointed Mr. Azim Syed, our C hief Financial Officer, R HI Magnesita India Limited as a Whole -Time Director and C hief Financial Officer for a period of next 5 years.
c. We also did the re -appointment of Mr. Nazim Sheikh , former Managing Director of Sandur Manganese & Iron Ore Limited as an Independent Director for his second term of 5 years.
On behalf of the entire Leadership Team , I thank you for your continued trust and support. Together, let us build a stronger, more sustainable future. With that, I will now hand over to our CFO, Azim Syed, who will take us through the detailed financial performance of Q4 and financial year '25.
Azim Syed: Thanks, Parmodji . Good evening, everyone, and thank you for joining us for RH I Magnesita India's Earnings Call.
Let me begin by acknowledging the complex macro environment that has influenced our performance over the year. FY '25 was marked by intensified competition in the refractory market and rising input costs, especially in raw materials and our inability to pass through these costs. These factors alongside continued commoditization in the industry tested the resilience of our business model. For the full year FY '25, we recorded a consolidated

revenue from operations of Rs. 3,675 crores, 2.8% decline year -on-year with flat shipments. EBITDA came in at Rs. 505 crores with margin softening to 1 3.7% from 14.7% in FY '24, mainly due to pressures on realization rates, higher raw material costs, and inflation driven increases in employee benefits. Our profit after tax stood at Rs. 203 crores compared to a loss of FY '24. This turnaround was supported by discipline, execution, tight cost controls, and the absence of exceptional items that impacted the previous year.
Q4 performance was seasonally lower with revenue declining 9.7% sequentially to Rs. 919 crores. This was largely expected due to the completion of one -time projects in Q3 and the typical slowdown in the cement demand at the end of the season. Our EBITDA in Q4 was Rs. 94 crores with margins at 10.2% and the PAT for the quarter was Rs. 36 crores. Despite these challenges, we achieved significant progress in managing our working capital and cash flow. Through focused operational discipline, we reduced our net debt by 53% during the year, bringing the net debt to EBITDA ratio down to 0.3x from 0.6x.
The company also saw an improved debtor turnover ratio through targeted intervent ions in trade receivables. As P armodji mentioned in detail, our end markets, particularly steel and cement experience margin pressures in FY' 25 with EBITDA contraction on our end customer market by one to two percentage. Rising low -cost steel imports and competitive pricing in refractories impacted the realization rate. However, medium -term demand

fundamentals remain intact with domestic steel capacity poised to expand an d
infrastructure -led cement demand expected to recover in FY'26.
Looking ahead, we are cautiously optimistic. We are experiencing an increased growth for
FY'26 coupled with margin improvement. This will be driven by stronger domestic demand
from steel and cement sectors, cost optimization through recipe rationalization,
recycling, raw material savings through strategic sourcing initiatives.
The third one would be continuous focus on market share in the public service unit
segments. The fourth one being targeted price increases in targeted areas to reflect the
cost passed through. We have also ear marked Rs. 150 crores in CAPEX for the coming year
to build and execute our strate gic pillars as highlighted by P armodji.
In closing, while FY '25 was a challenging year, it also underscored the resilience of our
business and the effectiveness of our strategic priorities. We remain committed to delivering long -term value to our
stakeholders by focusing on cost discipline, innovation,
and sustainable growth. Thank you again for your continued trust and support.
We now open the floor to welcome any questions.

Moderator: Thank you very much sir . We will now begin the question and answer session. We have a
first question from the line of Chetan Doshi, an individ ual investor. Please go ahead.
Chetan Doshi: Good evening, and thank you for giving me the opportunity to ask the question. Now, the
first question is that we say that we are market leaders in India , but the results for the
quarter and for the entire year, it doesn't reflect the leadership qualities and the product
portfolio what we are into. And second question is, in spite of de growth, how come there
is almost 50% increase in employee benefits? Even if people don't perform in the organization, you intend to increase the
benefits by almost 50%?
Parmod Sagar: Chetanji , thank you very much for your question. You are going by quarter numbers or so.
I think we are the undisputed leader. There's no doubt about that. And our fundamentals
are very strong. We are working on many areas. We differentiate ourselves from our comp etition. One of our competition has
shown tremendous growth in one qua

rter with
the serious dip in margins. So if the competition, as I said, over capacity, going into the
market with whatever price they are offering, and they are accepting the ord er just to enter
the market, should we go into that rat race and erode our market further just to grab market
share. I don't think this is a right decision. Being a market leader, it is our responsibility to
remain a healthy competitor, guide the industry also to remain healthy. Otherwise, this refract ory industry will die. So it was a
very str ategic decision. We will not go by this rat
race of people who are entering into new markets, we have a very clear thought process.
And if you see, we have also enter ed in iron making area with the healthy margins. My
margins are as good as my other all established products. I have not entered the market
with the throwaway prices to erode the market or just to grab the order. We lost lot of order
because I don't want to get order at 4%, 5% margin with l ess than 0% EBITDA . So that was
strateg ic decision we took. I think that is a right decision, but you have your own opin ion
and I respect your opinion.
Chetan Doshi: No. Sorry to interrupt, but you see, we have much larger portfolio compared to anybody,
any competitor which is there into the Indian market. So what my question is, your marketing team or the people in the
organization, they are not able to exploit the market in
full capacity. Otherwise, that leadership is lacking. Second thing is, since last couple of
quarters, I'm highlighting last 2 to 3 days, as for it is a compulsion to declare the results,
so we come up with a date and say, okay, these are our results. W here is a leadership
quality. We are living in digital world and all the records. See your parent company , I am
really upset with the way or the approach of RHI Magnesita India operations wherein your
parent company is if you see their write up or they are very clear what they want and they are into much larger acquisitions
and they operate worldwide and everything your Stefan
Borga s also is very clear as this year the margins will be so and so. Even the guidance given,

it is very near to what he says. Here we have excuses. This time the raw material has gone
up. This time the employe e cost has gone up. This time there was some problem in the
dispatches. This customer canceled the order. See, these type of excuses are not good for
the organization. We have to deliver. And I think after the acquisition, almost more than
one year is over. Sorry, it's a lengthy question, but these are the points. Next quarter, I
expect you to come out with the results like what other MNCs do.

Parmod Sagar: Again, I emphasize when you are talking about global company or Stefan Borga s' statements, we are fully aligned with that and we are driven by the philosophy, the strategy of the global leadership. So they are fully aligned with what we are doing in India and they are fully convinced that this is the way to do and let's not drag t his. As a shareholder, you have all the right to hear your frustration, and it is well taken.
Chetan Doshi: No, it's not frustration. Parmodji , see 28th of the month, 2 days are left for closing the accounts. We are doing it just 2 days back. Where is the leadership here? The second thing is that when you have such a big portfolio to operate, the presentation lacks highlighting the features with these points, we have really gained over competition. Last time also, and just 15 minutes back it is uploaded. For the sake of doing it, it is done. You can keep concall day after tomorrow also.
Parmod Sagar: So, you are thinking our competition is gaining margins? Is this your analysis?
Chetan Doshi: No, Parmodji . You are taking it wrongly. See, my question is, we have such a big portfolio to operate in India. We have the backing of our pare nt company. W

e have the market.
Parmod Sagar: Have you gone through the presentation ? How many products we are bringing to India with the latest technology, innovation? Have you gone through that? I don't think you have gone through the presentation properly.
Chetan Doshi: But 10 minutes back you upload and you expect the entire presentation to be gone through. It is uploaded; you see the time.
Parmod Sagar: That is there. We have uploaded it late. But you could have asked that question 15 minutes later and gone through the presentation. Why you are the first one to ask the question? You should have gone through the presentation while in remote. And other peop le can talk. And then you come back. And still I am requesting you, please go through the presentation. And after half an hour, jump back again ., okay?
Azim Syed: So let me answer that, by benefit of question. So for the full year, we basically have a 2% increase in employee benefits . And for the quarter, we have a 16% increase. There were

two major reasons. One basically was the inflation correction that we normally do, along with some of the government mandated increases that have been sought. For example, in states like Orissa, it was expected to increase more than the inflation. This thi ng and the second thing. Yes, the second thing basically was that we have harmonized our HR policies across all the three legal entities now. So for example, the l eaves and gratuity arrangement, we had different policies of the acquired entities, so this i s basically completed now.
Chetan Doshi: I will again come back to you. Thanks.
Moderator: Thank you. We have our next question from the line of Suraj from Asian Market Securities. Please go ahead.
Suraj: Sir, thank you for the opportunity. Revenue declined by 9% Q oQ and 2 % Yo Y in Q 4 FY'25, while our EBITDA margin fell sharply to 10%. How much this decline is attributed to seasonable cement demand versus pricing pressure or project timing?
Parmod Sagar: Mostly it is driven by high alumina cost. About 6 months back , we were buying tabular alumina, white -fused alumina in the range of Rs. 60,000 to Rs. 65,000 a ton and it went to Rs. 95,000 a ton. So this has a huge impact on our commodity business when it comes to cement or non -ferrous or glass or even our flow control products. So it is the main driver for this erosion of EBITDA. Apart from this, yes, there are some levers also. As I said, the competition, I don't want to take any name, but they enter the market with very, very attractive pricing. And nowadays, end user, whether it is a cement industry or all small players, they are looking for the price . They said, okay, we are not bothered about RHI Magnesita or XY Z they are giving us more than discount on that price also. So why should we not give them the order? So should I also follow that? So I thought I can not follow that. So there are two levers were having impact on this EBITDA erosion. Fortunately now, alumina prices are going down. From 95 000, it has reached to Rs. 77,000. It will go down further. It has not reached to the level from where it started, but at least it is a halfway backward. So this will help us to increase our margin also in coming quarters.
And also at the same time, we are doing some product optimization also. I would say as a leading company, a multinational company, as a listed company in India and at London Stock Exchange, we have a very clear, transparent quality assurance system. So our recipe may be over a linear, maybe we are offering better product than the small players who are entering with the some compromise on quality standards and all those things. So we don't want to do that. So that we are looking at how we can offer best qual ity product, better quality product where the performance speak for itself and the life of the cement kiln or the other live

s improve. So that is our way of entering into the market. Maybe we are a bit

slow, maybe we are working, whatever innovation and R&D people are working on it, maybe a little slow, I can accept that. But our way is right, and our vision is very clear.

Moderator: Thank you. We have our next que stion from the line of Gopal Ag rawal from HDFC Mutual Fund. Please go ahead.

Gopal Agrawal: Yes , good evening, sir. So I have some observation and clarification to seek. So in this quarter, as compared to last quarter, we have seen other expenses have increased significantly, despite our topline has come down . That is one. And second, like employee expenses are also high, even Q-o-Q and Y -o-Y, despite our topline is less. So are there some one -offs? Can you clarify? The third question is that as we are seeing alumina prices, we shot up very high. Now coming back, so how much old inventory do we have? And when we can see the benefit into P&L of this?

Azim Syed: Thank you. So I will answer the other expenses part. So basically we had this true up of our statutory CSR expenses that has basically seen as a higher number in the other expenses. So that has contributed to that. Second question would you take?

Gopal Agrawal: Sir, how much can you quantify?

Azim Syed: Alumina pricing , it will come after 3 months.

Parmod Sagar: We always carry an inventory of about 2 months ' time. So I believe July onward, we should be having this reduced price inventory in our system and next quarter should see improvement in margin for sure.

Gopal Agrawal: And sir, would you like to quantify the CSR expense for the quarter and last year?

Parmod Sagar: Last year it was about Rs. 7 crores, Rs. 6.83 crores to be very precise. It will be almost same, it is a combination of last 3 years total profitability. Rs. 6.84 crores this year also as you see our revenue and profitability in absolute value is same. So if you don't look at 10.2 or so, so our probability in absolute value remains same, it has not eroded.

Gopal Agrawal: And sir, anythin g on the employee expense side?

Azim Syed: So as I mentioned earlier, again, three causes. Number one is the inflation adjustment, which we normally do it in the first quarter effective January. So this was one of the reasons. But on top of that, as you know that in Odisha and some other play state s, there was a mandated increase in minimum wage requirements. The second one basically was that we also had to harmonize as planned . We had basically to harmonize our leaves and

gratuity policies for the acquired entities. So these are the two things that impacted our employee costs.

Gopal Agrawal: So can we assume this as a recurring now or it has come into base? How do you look at?

Azim Syed : Absolutely. Having said that, we will also balance this with our operational excellence program to improve productivity. But yes, this is a good base for you to assume for the future.

Parmod Sagar: Apart from this, OES or operational excellence, we are also looking at how we can increase our productivity and reduce our manpower to some ext ent to mitigate this increase.

Gopal Agrawal: Sure. Thank y ou, sir. Wish you all the best.

Parmod Sagar: Thankyou

Moderator: Thank you. We have a next question from the line of Pratim Roy from B& K Securities. Please go ahead.

Pratim Roy: Hi sir, thank you for the opportunity. Sir, my first question is that as I attend ed that RHI Magnesita Global Conference call where the team has guided that the overcapacity in the Indian domestic market is a big problem for the industry in Hawaii land . It can drag the growth and something like that , that sounds slightly negative. So as a leader in the refractory market in the domestic side, how we can overcome this current situation to a s

tatistically growth part in the next couple of years? That is my first question. And the second question is that that you always mentioned that our EBITDA margin guidance will be around 15%. So how we can achieve that and what are the drivers that help us to achieve that. So if you can give a broad idea on these two particular things, how topline growth will be maintained in the situation of oversupply and the margin side, both if you can give some ideas of ?

Parmod Sagar: Yes , I will try to give you some idea . So one is commodity market where our competition is entering into with very aggressive pricing, we cannot stop them. Okay, this time will prevail sooner or later when they will also have a margin pressure and they will come back with the reasonable pricing. So this is one part. Second is how we can differentiate from our competition. So what we are doing is we are bringing a lot of new products into India , local

for local like a thin s lab SCN , a stopper rod with different holes , cold setting mask
development , random porous plug from Europe to India , chrome castable type of porous
plug from Europe to India , blast furnace from Diva■a, Seven Refractory to India , Ankoform
from Diva■a to India and many more products we are bringing to India which we were not

able to sell from Europe or from America because of price competitiveness. But when we
will produce this in India, this new market will open up for us. So we are developing new
products. We are doing optimization of many products where we think there is a n
opportunity we can really reduce our cost by different type of innovation and R&D
activities. So, this, I think, will give us an edge over our conventional competition, and we
will have a niche market type of product where we will have a margin advantage also. At the same time, we are trying to develop many products for commodity market, but
probably it will take another 6 months or so by the time we reach out to market. So with
these initiatives, I think we can turn around this and as you said, last 2 , 3 years, I was very
consistent and you remind me also and I'm still having a belief that 14 %-15% margins are
really sustainable achievable margin, and we aspire to reach to that level. That is our
internal discussion all the time how we can reach to that level, and we will reach.

Pratim Roy: So, we can expect that by the beginning of second half of this Financial Year, I am talking about FY '26, so we can expect this kind of margin can be achievable. Is it a fair assum ption to take?

Parmod Sagar: I would say you will see from July quarter, which is the second quarter you will see upside from July onwards and by third quarter you will see that the results are coming to our expectation.

Azim Syed: Yes, maybe I will add one more point . In Parmodji's opening remarks , we also spoke about pricing features as well because we believe that these input costs must be passed out . There's a very targeted and strict program we are also delivering which will also support with us . So, one again self -help measure as Parmodji explain ed in terms of targeted commodity market recipe optimization. Second, the market share development with the introduction of transfer of technology. But we are also having very intense discussion with our customers on how to pass on this input cost. Hope that gives a 360 degree perspective for you.

Pratim Roy: Okay sir. Thank you for the clarification. I just want to have another few questions. You just mentioned that the CAPEX side you are going to invest Rs. 150 crores , right? So if you can give a broad idea where we are going to expand and how much you can expect margin improvement from that and by when you can expect that will come into the book ?

Parmod Sagar: Whatever CAPEX we are talking about , it will actually be commissioned by end of this year

or the beginning of next year because all these big equipment like presses, live press, auto
clay the delivery time is 10 months to 14 months. So, this will come probably in next
Financial Y ear, the actual tangible benefits, not this year. This year we have been spending
this money, ordering and we are doing a lot of engineering discussion and all those things.

And when this will be operational commissioned, probably our productivity will go up, our
manpower cost will come down because they are modern presses, not like a 40 -year -old
Dalmia presses which are in place now. So that is the idea.

Pratim Roy: So, this investment will be in this DOCL plant , right?

Parmod Sagar: Mostly it will be DOCL plant. I would say it's 65 %-70% and the rest is RHIMI N plant .

Azim Syed : Yes, we also want to talk about probably the iron making center which you are excited about.

Parmod Sagar: Yes , that we last time also told you guys we are creating this iron making excellence center in Jamshedpur. And again, it is a time -consuming process. We have done the trials in Europe with our raw material, with the technology transfer here. Again, we send some material, we did the trial, trials are successful, and now we are ordering those machines on Europe, which will come by the end of thi s year or beginning of next year. And then this excellent center for iron making will also start flying.

Pratim Roy: Okay sir, and export side, how much is currently the export contrib ution of the total sales for FY'25 and for this quarter?

Parmod Sagar: It is about 10% of this quarter, maybe 11% and sometimes it 9.8% or so . So, you can take average 10%.

Pratim Roy: 10%, is there any opportunity it can go up further in the next couple o f years or something

like that?
Parmod Sagar: That is also a very important for us to grow and it is at global level also we are discussing with global team , our site team how we can increase our export also, but again same thing , maybe you will say few people are giving only excuses but the thing is this if I need to do a trial , it will take 6 months minimum and then they will give you a commercial order , small quantity order and then you are a proved supplier. So, it all take s time. So I take this for all the investors, analysts, you have supported us throughout so many years, must take it with a pinch of salt that with 3 %-4% of EBITDA Dalmia plants, we have taken it to double digit without doing much expansion or much CAPEX . So, you should have a faith and support us.
Pratim Roy: So, what is the current EBITDA margin for Dalmia also? It is around 10% -12%?
Parmod Sagar: Yes , we are maintaining double digits from last 3 quarters o r so.

Pratim Roy: Okay, sir. Thank you, sir. I'll come back in the queue . Thank you for the detailed answer, sir.
Moderator: Thank you. We have our next question from the line of Ashish Kejriwal from Nuvama Institutional Equities . Please go ahead.
Ashish Kejriwal: Hi. Good evening, sir. Thanks for the opportunity. So, a couple of questions on the market. As you rightly pointed out that we are seeing intense competition, and I think management is very right not to disturb the market in such a way to flood it. But in this intense competition, which is maybe prevailing even in FY' 26. Is it possible to share what's your expectation of volume growth?
Parmod Sagar: Yes, good evening and thank you for your support for our philosophy. Yes, I can give you, you know, in RHI itself , we have a tremendous growth. We were kicked the block, just entered one year back , We were at trial stage, but the initial results are so fantastic and satisfying to the steel industry, the blast furnace , pellet plants and DRI, now we are getting repeat order even at a higher price than our last year pri

ce. So, this will be a big lever to increase our market share and at the same time the product which I just mentioned , we are bringing the technology to India that will also be an upside. Secondly, commoditization , we are not leaving this alone for the competition , We will also be working on it. We are already working on it like Product optimization, recipe optimization, it will definitely also add. And I believe we should be able to deliver 8 % to 10 % volume growth in coming days.
Ashish Kejriwal: So, sir, when we are talking about 8 % to 10% volume growth, we are taking into consideration that we are also going to then some hiccups in the commodity market also because now if competition is already there. Because one thing is steel margins definitely has improved after the safeguard duty. So, are you seeing in your interaction with your customer that they are somewhat easing off and giving you higher prices for the work which we are doing or still they are negotiating on a lower prices?
Parmod Sagar: No, they are better placed and they are positive now. I would say I will not take the name of the customer, but I can tell you in last one month, I got a price increase of almost Rs. 11-12 crores. But the effective date is 1
st of July, 1st of August because the long -term contract is in place. So that's why I'm saying July onwards you will see upside in margins, in volumes.
Ashish Kejriwal: Understood. Secondly, sir, is it possible to break down broadly our total volume into com modity versus premium products?

Parmod Sagar: As of now, I don't have numbers with me, but yes, we can talk offline sometime after a week or so, so tha t we can have a number with us.
Ashish Kejriwal: Sure, sir. No issues. And thirdly, sir, as you mentioned in your opening remark that raw material benefits, you will start getting it from second quarter. So, is it safe to assume that from second quarter we can see volume growth as well as raw material cost benefit and benefit of price i ncrease also from the customer?
Parmod Sagar: Yes , you are right.
Azim Syed: Especially for integrated plant customers, this i s absolutely a good assumption.
Ashish Kejriwal: Understood . And in the export market, where we are having around 10%, are we seeing any green shoots available over there where we can somewhat increase our exposure, or this 8 %-10% Y oY volume growth is entire ly on basis of domestic market?
Parmod Sagar: Historically before we acquired Dalmia etc., our export revenue was about 22% -23%. It is

still at that level, and I keep on saying our ambition is to take it to 30% in that in RHI Magnesita India Limited because from Dalmia plants we are not doing any export at all. So that is still there but you must realize that geopolitical situation outside India is so bad, so bad, China is dumping the re fractories, here, there everywhere and now with the Trump's tariff policy, they will still be having over capacity, and our Indian competition is also increasing capacity. So, it is double value for us. How to counter it. But still, we have our own plan, and we are working on that.

Ashish Kejriwal: Understood. And lastly, obviously, we have an external market where we have little control. But internally, are we doing something which can optimize cost further and if yes, how much one can expect that to lead to increase in margins on what period?

Parmod Sagar: Yes, it is really, really a very focused area for Indian management, our R&D people, technical marketing people, they are just working on only on this optimization of recipes, reducing the cost of our products, etc. So, this is a very serious issue for us to remain relevant in the market in commodity market.

Azim Syed: Just basically is that even to have the sustainability of these cost competitiveness, some of the CAPEX , the appropriation is

for some of the recycling or secondary raw material operations as well, so that it's continuous for us.

Ashish Kejriwal: Because in the last 2 years, we have pruned down the capacity also by maybe closing down one of the plants and making other plant more efficient. So that also could have

helped us in lowering cost or still that's in the making because our capacity we have obviously pruned down from 525 K T to 512. So, you know, what's the road line ahead?

Parmod Sagar: It is market driven. If the market is bias, if the demand is really good, and as I said, 8 % to 10% growth, we don't see in short term we do some product optimization or plant optimization or production optimization. But if the market is a bit slow, then we will definitely look into it whether we can further consolidate our operation or not. So, this is also one of our strategic discussions within RHI Magnesita .

Ashish Kejriwal: Sure sir. Thank you and all the best sir.

Moderator: Thank you. We have our next question from the line of Sahil Sanghvi from Monarch Net worth Capital. Please go ahead.

Sahil Sanghvi: Yes , good evening, Azim sir and P armod sir. Thank you for the opportunity and good performance in such a competitive market. My question was one -fold in the export, which you have largely answered. But on second, I just wanted to understand the seasonality in the cement side of the business. Now, is it fair to say that couple of these quarters are the ones which have very large volumes and some of them don't have volumes. Is that correct? And how do you aim to ramp up the revenue contribution from Dalmia going ahead? Any plans on that please?

Parmod Sagar: Sahilji, thank you very much. I was waiting for you actually. I was missing you. So, first quarter is historically very lean quarter when it comes to steel. And with second quarter starting until September, you know, it is a monsoon season. So, during monsoon season, normally cement people do the maintenance of their kilns etc because construction is slow. The output is, they are not able to sell at that pace because of monsoon. Construction of roads, bridges, housing, everything has come down to 50% level or so. So, this is the time when they do the maintenance. So, this is the time I think all the factory people, not only us, will have a chance to increase their sale in this segment.

Sahil Sanghvi: Is this sort of a few quarters phenomenon? I mean, it's not spread across the whole year, right? Is my understanding correct on the cement volumes?

Parmod Sagar: Yes , you are right. These two quarters normally are strong from say July to September or so, beginning as maybe June. I t's sometimes spill over to October. These are the strong time. And one thing more is there , I-if there is a project, one or two projects come in between, whether it's a January to March or October to December, then it is upside. If somebody is putting up a new kiln , etc., then it is almost a Rs. 50- Rs. 60 crore project. L ast quarter, there was no project. In October to December quarter, there was a project. So, it

also depends upon in which quarter project comes or if it comes in every quarter, then it's a very similar type of s ale.

Azim Syed: Just to give you some numbers around this, Sahil, if you look at our Q3, we said we had a record revenue in the last quarter. That's been also shipment as well, again, contributed by cement volume. And as Parmodji mentioned, also for some of the project orders in our

iron making business that we ended up delivering. But these project business are quite absolutely, I will not call it seasonal, I will call it sporadic because it depends upon when
the customer wants to commission whereas, cement is quite seasonal and predictable if
that answers your question.
Sahil Sanghvi: Yes

, that does and just my second question on the Dalmia revenues or the volumes on an
annual basis, I mean how do we see this asset ramping up in the next 2 -3 years? What will
be the few factors which will help us do this? I understand there is a refurbishment or
you're bringing in new technology and new machinery , but then what needs to be done on
the marketing front or on the customer front or anything on the product front over here at
Dalmia?
Parmod Sagar : So, in coming months you will see a lot of local for local production which now is coming
from China or Europe particularly for cement, fired magnesi a bricks etc. We have already
done the technology transfer. We produce 500 tons. We supply to two customers.
Performance is under evaluation. And within next 2-3 months, we will produce another
1,000 tons and supply to 4 -5 customers. So, this year probably , calendar year, is the trial
time. And from Jan onward, if trials went well, probably it will add Rs. 100 crores for next
year in that particular segment only. And then we have a strong market also for magnesium
carbon and our Cuttack plant is full running at full capacity and now from last month we
start producing in Rajgan gpur Da lmia plant about 600- 700 ton of this magnesium carbon
bricks also for steel industry which we will ramp up to 1000 ton every month. So that will also give us about Rs. 100 crore or so next year. So, these are the upside apart from what
product I told you, high -end product which we are bringing to India. Mostly , it will be in
Jamshedpur or in Bhiwadi or in Vizag plant or few in Rajgangpur also. But it will be spread,
not only in Dalmia plant.
Sahil Sanghvi: Exciting sir, very exciting. Thank you so much for this information and very all the best sir.
Parmod Sagar: Thank you, thank you Sahil.
Moderator: Thank you. We have our next question from the line of Chintan Shah from JM Financials .
Please go ahead.

Chintan Shah: Hi, thank you for the opportunity. So, I had a few questions that were broadly around the
industry. You mentioned that there has been a significant overcapacity in the industry. So,
if you could highlight what sort of industry capacity currently is there and going ahead, any
sort of expansions are that in coming in? And secondly, considering the growth that we
expect in the end user industry, when do you think this overcapacity situation normalizes?
That is the first question.
Parmod Sagar: Basically on paper, the projects announced by our competition or refractory industry is
about 150,000 tons to 170,000 tons, which will come up in next one year or so. India is
perceived to be growth market and every company, whether it's global or local, want to
take the advantage of this growth. So everybody is putting up capacity. We acquired two,
three companies definitely, but we have not added the capacity. We are working on
optimizing the production and plant . maybe in coming days we will think of further how we
can consolidate, not increase the capacity of greenfield. So we have our own plans how to consolidate and give right products to the market.
Chintan Shah: Got it. Understood. But is it fair to say that next 2 , 3 years, even 2 , 3 years out, this
overcapacity situation will continue to play out or do you think the situation will be much
better, say 2 -3 years out, once the demand comes in?
Parmod Sagar: I would say, Chintanji, very frankly, it is a matter of fittest survival. So the companies who
will really deliver consistent product with the right cost will survive. In 2005 to 2007, this
type of mushrooming has also happened. And in next 4 years ' time, all these small
companies vanish ed. Every company has their own strengths and weaknesses just to
enter the market seeing that R HI Magnesita is growing in this segment or Vesuvius is
growing in this segment, why not we? So it is a wis

hful thinking and maybe people have
earned a lot of money to now spend on these expansions. But we are not too much worried about this. We have to c orrect our house, have to remain ahead of our competition with
innovation, R&D activities, product optimization. So we have to be cautious but not overly
worried about this.
Azim Syed: Just kind of underline some of the things where Parmodji remarked early just to kind of
remind everyone , in cement, we are the only providers who can give end to end solution ,
Let it be basic , non -basics or castables . In case of steel, most of the major expansion is
on the blast furnace route. And here is where we did already establish ourselves in the iron

making part and with the product transfers and CAPEX investment, we are well poised to take advantage of it. Again, we have built it up in the last 2 years to have this capability, not as a spur of the moment as Parmodji is mentioning, just to connect it with what's happening now in R&D from our side.

Chintan Shah: Got it, understood. The second question is regarding Pramod sir was mentioning that there is a sort of commoditization that has been happening in the refractories . So , just wanted to understand this better. So what has actually led to this? Because earlier, understanding was that considering the cost of the end customer and the criticality of refractories , I mean, customers are pretty much sticky with the best sort of supplier, best quality. But now basically what is leading to this commodization? What is driving this change from a customer perspective that they're willing to shift the customer just because th ey offer some lower pricing? So just if you can help us understand.

Parmod Sagar: So I can put it in two baskets. One is specialized product, very critical product, which we are producing in flow control area and Vesuvius is producing in flow control area , that has not commoditized. That's why you see very consistent performance of Vesuvius and RHI Magnesita India Limited in that segment. Our margins before we acquired Dalmia was about 17% -18% EBITDA. W e still are enjoying that type of EBITDA when we take out those flow control products. So that market is very consistent, very product and quality sensitive. The customer s don't play around with that segment. Then comes to commodity market when it comes to ladle bricks, etc. Tundish , working linings where the customer thinks, okay, I have a guarantee of 120 heat . So if somebody is from China or from local and number of, now 12 - 13 small players are there for ladle b ricks for steel industry. So customer has a guarantee. If you know small player is giving 20% or 10% or 50% lower price and agree ing for that guarantee or doesn't matter to the customer. If the heat rate of 120 like if it will come down to 110, they will deduct the pro -rata payment also. So their cost is coming down and from last 7 -8 months everybody knows steel industry was also under pressure because of import from China etc. And now with this 12% duty on some special steel products, that they are breathing a little more easily and they probably will think again how to handle the situation but they were under pressure so they wanted to control their expenses , but in particular segment here they don't have productivity impacting issues.

Chintan Shah: Got it understood. And if you can give this mix between specialty and commodity that would be helpful for all of us.

Parmod Sagar: Normally , special ty products are to the tune of 2 5% to 30 % of total steel. Okay.

Chintan Shah: Okay. Got it. Understood. This is the last question. I mean, if I see a presentation of the previous quarter and current quarter, so if we see the requirement of refractories for say one ton of steel, I see that previous quarter mentioned was 10 to 15 kg and in the current , you mentioned

8 to 13 kg. So I mean, is there any structural change here in terms of the requirement of refractories ?

Azim Syed: First of all , great observation. Very few people have picked it up. What we have done this time is that we have split the refractory consumption into steel making and iron making. So if you compare the last time, you will not see the iron numbers because it's a focused area, so you see the iron making numbers, the 10 kilograms minus eight, 2 kilograms have gone there just to kind of to show the growth potential.

Parmod Sagar: Yes, at the same time, the steel industry keep on asking better and better products when it comes to high -end products. So they want that continued casting. Sequence level from now, I'll give you an example, Arcelor Mittal, 8 months back they were having 12 hour s casting time. And for things like, when we went for the trial, it was very successful. Then they asked 20 hours casting time. So it took us 6 months to develop that product. And now that's not really developed, but now they're saying 24 hours. So the factory consumption continuously coming down in steel industry. About 10 years back, it was 15- 16 kg. Now it has 8 to 13 kg. 13 kg is the plant which are really not taking care of their refractory, their solution etc. and going for commodity business like this, the low end products, buying from anybody, the consumption will go up. Upfront they will be thinking that I am buying cheaper , but eventually the life will be less, the consumption will be more. But all efficient plants as of now are running at 8 to 9 kgs refractory consumption.

Chintan Shah: Got it, understood . Thank you and all the best.

Parmod Sagar: Thank you, Chintanji .
Moderator: Thank you. Ladies and gentlemen, that would be the last question for today. And I now hand the conference over to the m anagement for closing comments.
Parmod Sagar: Thank you. Thank you very much, dear investors, shareholders, analysts. Your feedbacks are always very welcome. I t gave us the thoughts how we are working, where we need to improve and we always take every comment in a positive way. So, we will keep on working on improving our performance. But as I said, the fundamentals of RHI Magnesita are very strong and we believe in that, the global management believe in that and I think you people will also believe in our thought process and keep supporting us and we will deliver much better results in coming days. Thank you so much.
Azim Syed: Thank you.
Moderator: Thank you. On behalf of Asian Market Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

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14 August 2025
To,

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001, India
BSE Scrip Code: 534076 National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block, Bandra Kurla Complex, Bandra (East)
Mumbai – 400 051, India
NSE Symbol: RHIM
Dear Sir/ Ma ’am ,
Sub: Transcript of Conference Call – f irst quarte r ended 30 June 2 025
Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements), Regulations, 2015, and further to our earlier intimation date d 5 August 202 5, the transcript of the conference call held on 11 August 202 5, for discussing the earning performance of first ended
30 June 202 5, is annexed herewith.

The same will also be uploaded on the Company’s website at the below link:

https://www.rhimagnesitaindia.com/investors/investor -meet
Kindly take the same on record.
Thanking you,
Yours faithfully
For RHI Magnesita India Limited

Sanjay Kumar
Company Secretary
(ICSI Membership No. -A 17021)

Encl: as above

“RHI Magnesita India Limited
Q1 FY '26 Earnings Conference Call ”
August 11 , 2025

MANAGEMENT
MR. PARMOD SAGAR
CHAIRMAN , MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
-RHI MAGNESITA INDIA LIMITED

MR. AZIM SYED
WHOLE TIME DIRECTOR &CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, good day, and welcome to the RHI Magnesita India Limited Conference Call Q1 FY '26. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions aft er the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch -tone phone.
Before we get started, I would like to point out that some statements made or discussed on today's call may be forward -looking in nature and must be viewed in conjunction with risks and uncertainties that we face. The company does not undertake to update t hese forward- looking statements publicly.
I now hand the conference over to Mr. Parmod Sagar, Chairman, Managing Director, and Chief Executive Officer from RHI Magnesita India Limited. Thank you, and over to you, sir.
Parmod Sagar: Thank you very much. Good morning, everyone. Thank you for joining us for RHI Magnesita India's Q1 Financial Year '26 Earnings Call. We have had a very good start to the year, reinforcing the robustness of our operating model even in the face of market commoditization and volatility. Our resilience is transforming into tangible gains reflected in increased market share and stronger financial performance. While the refractory market remains competitive, we are confident in our business fundamentals, positioning and strategic levers to drive growth, improve productivity and maintain safe operations across all sites.
Today, I'm pleased to present our first quarter results and forward- looking along with the dynamic industry landscape filled with opportunities. We operate at the heart of India's steel, cement, and various industrial sectors, which has continued to see robust growth supported by government infrastructure spending and a strong economy. The union budget raised the infrastructure outlay by INR 11.2 lakh crores. This is a promising indicator for the steel and cement industry.
Refractories, the heat -resistant material s that we produce are the unsung heroes, enabling this industrial growth. Around 65% of India's refractory demand comes from steel sector and together with cement, around 75% of refractory consumption. This underscore s our critical role in India's industrial ambitions. The overall market environment remains challenging and highly commoditized. Global geopolitical uncertainties from supply chain have increased the refract ory’s input costs, in particular, raw material costs. This has intensified margin pressure across all industry.
Despite these headwinds, RHI Magnesita's fundamentals have proved remarkably resilient. We continue to focus on customer satisfaction, product performance, leveraging our scale and innovation capability to stay ahead of the curve and meet the need s of the customer. We have navigated these obstacles by focusing on our business fundamentals and strategic initiatives, which helped drive a 13% increase in shipments and 9% year -on-year growth in our revenue for this quarter.

Maintaining excellence amid the tough pricing environment speaks to our commitment to expand across diverse end markets. On the operational front, several key initiatives progressed well in Q1.
1. strategic projects in iron making. Our strategic investments in iron making, particularly for blast furnace , , DRI , hot metal ladles in this quarter , are progressing on schedule and as expected positioning us for future growth in these areas.
2. successfully regained market share almost across all segments.

3. And finally, as communicated in last quarter, we had productive discussions with our customers and secured key price increases, and we are expecting to see these benefits in the coming quarters.

4. The

other is cost optimization. We have launched focused program across all our plants to focus on cost efficiency through recipe optimization, use of circular economy, productivity, and energy cost efficiencies, and I'm happy to report that we are on track on execution of these programs.
5. We are also working on automation and robotic s in operation. We are making

progress in the area of these initiatives. And with the introduction of 4 P RO business model, we have made steady progress in this area.
Last year, we introduced our 4 PRO model , which is a total solution to the customer an integrated solution approach building products, process, performance, and digital solution s. This quarter, we have moved from planning to execution and the early results are very encouraging. Our teams have achieved multiple operational milestones at customer sites, demonstrating how our solution s improve their processes.
One particular highlight is the deployment of India's first complete robotics solution in a continuous casting plant, the first such installation in an Indian steel plantBy proving this capability in India, we are strengthening our reputation as the go- to partner for advanced refractory solution. As a result, we expect to expand our market share through more 4 PRO long -term contracts, where we manage entire process flow s for customers. Our commitment to innovation, be it through robotic, digital monitoring or R&D in refractory formulations is transforming how we and our customers operate.
We also enhanced our steel flow control capability through a small acquisition of Ashwath Technology by our subsidiary, Intermetal Engineers, effective from 1st August ' 2025.
In summary, RHI Magnesita India Limited has demonstrated that we can , and we will continue to deliver in a tough environment by staying agile and sticking to our strategy. We are building momentum quarter -by- quarter.
Our role in India's industrial landscape is evolving from simply a material supplier to a strategic solution partner for steel and cement producers, contributing to the nation's

drive for manufacturing excellence. By enabling safer, more efficient steel and cement production, we are strengthening India's industrial backbone and supporting the 5 trillion economy vision with self -reliant supply chains.
I'm confident that with the continued dedication of our team and the trust of our customers, we will convert the current challenges into opportunities for long -term growth.
Thank you very much, and I will hand over to our CFO, Mr. Azim Syed, to walk through the financial performance in detail. Yes, Azim.
Azim Syed: Good morning, everyone, and thank you, Mr. Sagar Ji. I will now walk you through the financial performance of RHI Magnesita India for the quarter ended June 30, 2025, where we have delivered growth across key metrics while navigating market challenges.
Let me begin with FY '25 performance, which was marked by intensified competition in the refractory market and rising input costs, especially in raw materials, but first quarter results of this year marked by growth and stable profitability that reinforces the effectiveness of our business fundamentals in complex operating dynamics.
I'm pleased to report that our revenue from operations for Q1 FY '26 stood at INR 960 crores, which represents circa 5% sequential growth quarter- on-quarter and about 9% growth year- on-year. Shipment volume grew to 129 kilotons by 4% QOQ and 13 % YOY .
This growth was primarily fueled by regained market share in almost all segments.
Production for Q1 FY '26 stood at 85,000 tons , increase of 11% QoQ and 9% YoY . Capacity utilization improved to 66 %, ensuring that additional market demand was met through planned inventory increases.
Our operating EBITDA for the quarter was at INR 103 crores, a 10% increase over Q4 FY '25,

a sequential improvement in EBITDA margins to 10.8 % from 10.2% last quarter, highlights stronger operational performance and the initial gains from our pricing initiatives.
Profit before tax for the quarter stood at INR 48 crores, reflecting a 27% increase over the previous quarter, supported by disciplined execution and tighter cost controls. Whilst our profitability has increased, our margins YoY declined by 51 %. This is primarily due to high input costs, particularly in raw materials. The reason for this is due to the elevated high - cost alumina prices moving from our inventory to P&L, and this will taper down in the upcoming quarters as the alumina prices have f allen down. On the employee and other expenses, we are able to manage this well with productivity programs that we have implemented across our plant network, which has already started to yield results. We expect to keep the same momentum.

Profit after tax for the quarter was INR 35 crores, reflecting a 3% decline compared to the previous quarter . As in the previous quarter, tax credit was recognized based on the ITR filed for FY '24 pertaining to certain acquisition -related provisions.

We also remain disciplined in our operation and working capital management. By optimizing receivable and payable days to their lowest level, we generated robust cash flow and further strengthened our financial position. This reflects consistent improvement in our net debt -to-EBITDA ratio from 0.3 x to 0.2x quarter- on-quarter. We generated INR 88 crores in operating cash flows in Q1, increase of 36 % QoQ and invested INR 28 crores in capital expenditure, all funded through our balance sheet.
Our balance sheet remains strong with low net debt and with adequate liquidity, positioning us to pursue growth opportunities and focus on our strategic initiatives.
Looking ahead, we are optimistic for the growth and profitability for the upcoming quarter s driven by our robust order book, pricing initiatives, input cost optimization through our productivity initiatives and normalizing raw material costs, as mentioned by Parmodji.
We'll continue to optimize working capital and maintain financial discipline . a sharp focus on operational excellence, innovation and differentiated offering, ensuring continued profitability. As mentioned by Parmodji, our business fundamentals remain strong, and we'll continue to focus on strategic initiatives aimed at long -term gro wth, that is gain market share and strategic advancement in iron - making segments , targeted investment in 4 PRO business model and further usage of secondary raw materials.
In conclusion, our commitment to shareholders was that we will see an improved quarter - on-quarter results that will underpin our business fundamentals and the strategic initiatives. This is what we have demonstrated in this quarter. Our financial position remains stable, continues to strengthen, place us in a strong position to capitalize on
market tailwinds and progress of our internal transformation. We remain committed to delivering long -term value to our shareholders by focused execution.
Thank you for all your continued trust and interest in RHI Magnesita India. We can now take questions.
Moderator: The first question is from the line of Jai Chauhan from Trinetra Asset Managers.
Jai Chauhan: Yes , so my question was pertaining to management has highlighted the margin is expected from both secured price increase and lower input costs. Could you provide some color on the balance between these two drivers, specifically how much of the anticipated margin improvement in Q2 and Q3 will come from sustainable price hikesAnd how has the competitive environment evolved to allow for these price increases now as I remember management mentioning that it was challenging just a few months ago? This is my ques tion, sir.

Parmod Sagar: Yes. So basically, the market is still very commoditized, and it is not easy to get price increases in commoditized market. We have some 4 PRO solutions as me and Azim was also talking about this full solution business where we add value to the customer in those areas, we are getting price increases where we are also adding value to the customer and the business is not that much commoditized?
So if you talk about Q2 and Q3, I would not be able to give you the number, but I can say it will be upswing. It will not be hockey stick, but it will be upswing quarter -by-quarter. Our
intention is this full year, if we could manage to the last year's EBI TDA, that will be ultimate satisfaction to us. Hopefully, I'm clear to give you the answer.
Jai Chauhan: Right, sir. Understood. So sir, can we assume that this lower cost RM, alumina prices that you might will be -- is sitting in the inventory will be consumed from Q2? And what kind of
margins can we expect in the coming quarters?
Parmod Sagar: That's what I'm saying. I cannot give you the margin percentage. I'm saying it will be upside.
By September, this high -cost inventory should be consumed. And Q3 will see ,Q2 will also,
I assume from Q1, there will be some uptick on Q2 and Q3 will still be better. That's what I can say.
Azim Syed: So we can talk to our full year guidance that, as Parmodji mentioned that our aim is to achieve the profitability percentage that we had last full year results. So this is what we are aiming for you can use that probably for modeling for sure, but we don' t want to give a QoQ guidance at the moment.
Moderator: The next question is from the line of Sahil Sanghvi from Monarch Networth Capital.
Sahil Sanghvi: Congratulations for a really good set of numbers, keeping aside the margins, which will definitely recover. Now my question is regarding the 4 PRO model. I mean, just wanted some more details about what new are we doing in this model? How different is it from the
total refractory management contracts that we had earlier? And is this something which gives us more margins than the usual way of selling these products?
Parmod Sagar: Okay. Sahilji thank you very much for your kind words and support. The thing is this 4 PRO
earlier was TRM. So TRM was total refractory management. So it was more focused on maintaining inventory and running the steel plant or cement plant on a per ton of steel
basis. But now we add a lot of other elements where we provide them robotic solution, scanning solution, checking their

erosion patterns. We provide them slab detective
systems, We provide them artificial intelligence, digitalization of their processes. There
are many things, and apart from this, even we are providing or talking with them about their metallurgical problems and how
refractory can contribute in that also. So this i s a
wholesome solution for any steel plant. So this differentiates us from our competition, and
as far as margin s are concerned, yes, automatically, if we will go in this model, the margin
will be better in long term.

But as I'm saying this, don't expect that next quarter, it will happen. For this robotic s
solution for JSW, it took almost 2 years to really did feasibility study, has a tough
competition with our competitor who is also very strong in flow control, you know to whom
I'm talking about, and we had to showcase our capability to JSW management that we can
do it, then we got this contract, which is a 5 - year long contract, and now JSW is asking us
to do feasibility study in another two plants and similar groups are also asking us to do
feasibility study.
But it will happen if we start now, probably after a year or so, we will have upswing of this
type of solutions. It is not immediate solution. But long term, this will d

ifferentiate us from
our competition. This will add value to customers, and they will b elieve us as a partner,
not a supplier.
Azim Syed: Sahil, you can look at our investor deck on Page #14, we have provided a link wherein you
can click on to understand the 4 PRO model. What does it mean? A lot of details have been
provided with customer testimonial not only for India, but across the world. As Parmod Ji
said, it's the next evolution of TRM model , it's a new business model. That's the way you
need to model it.
Sahil Sanghvi: Sure, sure, sir. Sure, sir. This is helpful. And good to hear that we are doing something over
and above how the industry works. Secondly, on exports, do we have sort of a new
understanding as to how we want to ramp up exports? I mean, I believe we were wo rking
on some new ways of doing it. I mean, maybe through our entities or something else, but
anything on -- any progress on the export front?
Parmod Sagar: Yes, there is a progress, but still, I would say we are at advanced stage of trials for outside
world apart from India. So it should happen in ' 2026. We have quite a reasonably good plan
to increase our export in flow control in 2026.
Parmod Sagar: So another 6 months or so.
Moderator: The next question is from the line of Sucrit Patil from Eyesight Fintrade P rivate Limited.
Sucrit Patil: I have a specific question for Mr. Azim Syed. Are you there online?
Moderator: Mr. Patil can you please be a little louder? We can't hear you properly.
Sucrit Patil: I have a specific question for Mr. Syed, so is Mr. Syed online?
Azim Syed: Yes, yes, I am.
Sucrit Patil: My name is Sucrit Patil, and I just want to understand your view, and my question is, as
RHIM is trying to scale its India operations, how are you evolving your capital allocation
framework to balance refractory capacity expansion, sustainability linked investments
and potentially inorganic growth, especially in light of margin volatility across e nd

markets? And do you think this will have some positive impact on the company in the next
2 to 3 years?
Azim Syed: Yes. So your voice was not clear, but let me see if I got your question correctly. You're
asking about our capital allocation strategy in conjunction with inorganic growth and what
would be the impact of it in the medium term on the profitability. Is this correct?
Sucrit Patil: Correct. 100% correct.
Azim Syed: Okay. Exactly. So let me explain how we think about our capital allocation strategy. So first
thing, we will do capital allocation if we have a positive cash flow. That's the first
requirement. If it is there, our first investment would be on the maintenan ce capex
because we believe in safe operation.
Second is to provide dividends for our shareholders. Third thing, we always link our capex
investment within our plants where we can enhance, and after that is where we think
about our mergers and acquisitions or joint ventures based upon our strategic fit, okay?
So this is how our capital allocation strategy comes in, and after that comes buyba cks and
so on and so forth. So this is the order of priority for us.
To kind of give you some color on this aspect, one thing is that we will invest if it is fitting in
our strategic initiatives, which we think we did it in the last 2 years quite effectively. So we

wanted market share in cement and in industrial. So that's kind of justified our
acquisitions with Dalmia.
And then we wanted to kind of have stronger presence in the flow control market, especially in the thin slab. So that's where we went for Hi -Tech, and we did the Ashwath
Technologies current acquisition, completely funded by our balance sheet because this
kind of fitted in our strategic investment in terms of how we can strengthen our flow control
on the machinery side. So this was a good linkage for us. So that's the rationale fo

r the
past.
For the upward looking, we believe that at the moment, our investments will be more
towards capex in terms of plant modernization and productivity -related investments. So
this is where we'll do much of our investment. That's where you see a little bit of a capex
increase from last quarter to this quarter, almost by 90%. Again, we are trying to kind of
improve our input cost improvement. That's where we are kind of focusing at the moment.
So profitability, more than profitability, we always measure KPI called ROIC. This is what
we try to check for investment capability. If our ROIC is passing certain threshold that we
have internally, you can assume to be -- it depends on business segment to business
segment. , On an average, you can assume that if it's more than 10 %, this is where we kind
of put our money there because we believe not in a quarterly profitability game because
of our broad and wide portfolio, we look into a long -term investme nt in terms of what's the

payback period and how -- if the ROIC is meeting a very stringent internal criteria that we
have. So that's how we kind of come to this decision -making of if it's a good investment or
a bad investment.
By the way, it's not only for acquisition, we do the ROIC decision -making. We also do for
any kind of a capex initiatives that we deliver, even for maintenance capex as well. I hope
that clarifies and answers your question.
Moderator: The next question is from the line of Arijit Dutta from Kotak Mutual Fund.
Arijit Dutta: Congratulations for a good set of numbers. I have three questions, starting with the first
one, which is on the volumes. Sir, this quarter have seen some bit of volumes growth,
which is admirable. I just want to understand in the volumes, if we have any one -off kind
of thing, which is related to commissioning of a blast furnace, which will not be kind of
repetitive, which will come after a while again.
Parmod Sagar: So first question, the answer is it will continue like that. So we have a very strong order
book, and as in my last investor call, I said we expect 8% to 9% volume growth. So this is
in line with that.
Azim Syed: And onetime it was actually the Q4 numbers to answer your question more specifically.
So in this Q1, we didn't have any.
Arijit Dutta: Perfect. Good to hear that. Sir, second question is on the pricing part. Domestically, how you are seeing the competition level because there are a lot of overlapping capacity with
everyone entering each others territory. Last quarter, you have given a ve ry, very
categorically answered that the competition is increasing. How we are seeing on the
overall market scenario now undercutting the prices and the intensity of competition, sir?
Parmod Sagar: You are absolutely right. There's overlapping, undercutting pricing, everything is
happening in market. Only solution is or you can differentiate yourself from the
competition or you can provide additional service or s upport or quality, the competition is
not able to provide. So we are -- as I said, as Azim was also talking about 4 Pro. So we are
working on differentiation and also how much we can be more cost competitive, how good we are in our plant production cost mana gement, how we can red uce our re jection levels,
how we can increase our circular economy.
So we want to be ahead of our competition by many initiatives which we are taking. But of course, 80% of the market is still commoditized, and we have to be step ahead if we want
to maintain our growth -- volume growth with sustainable margin.
Arijit Dutta: Perfect, sir. Sir, third question is on the OCL part of our operation. Sir, do you see that there is -- there were challenges in the cement industry per se or even we are planning to
upgrade the infrastructure in OCL plant because I believe that's a very o ld machinery and
in absence o

f a better word, it's a bit inefficient also.

Parmod Sagar: I think it's a combination of both. We have increased our market share from 12%, 13% prior to acquisition of Dalmia to almost 42% -43%, but there's too much commoditization. Everybody enter into this and there's a price cutting, etc. et c.. So then we start working on our product optimization how we can be more competitive. We have market share. Now we have to improve margins.

So we are working on that. At the same time, as you said, the infrastructure in Dalmia plants are too old, and as Azim said that we are putting up almost double the capex , what we were doing in these plants to modernize these plants so that we have more efficient operations and reduce our in -house rejections, improve quality, et c, apart from product optimization.

Arijit Dutta: Perfect. Nice to hear that. Sir, last question is on export part. In the export market, what we understand that there are a lot of Chinese competition and the lucrativeness of that market is slowly going away, like we see in domestic and export also, the situation is same because of the Chinese presence. Any update on that, how you are looking at it?

Parmod Sagar: I don't see China as a threat or challenge because our export is based on flow control products, and China is mostly into magnesia carbon bricks, et c. So I don't see them as a challenge for our export initiatives.

Arijit Dutta: Understood, sir.

Azim Syed: The key factor on export would be the demand must pick up in the export market. So as you can see that there's quite a bit of geopolitical challenges. So there's not a lot of production happening in the key export market in Asia, so I think this is also -- needs to pick up apart from our own capability as well. So that's where you will see quite a bit of an upswing. But yes, I think we are ready, as Parmodji mentioned, that our trials are going on pretty well and in advanced stages. But yes, this also is a key factor as well.

Arijit Dutta: Sir, this -- right. On the magnesita part, do you see there has been Chinese import that is happening because China has been pushing on the magnesita off late a lot?

Parmod Sagar: It is magnesia, you are trying...

Arijit Dutta: Magnesia. Yes. Yes, sir. Magnesia based refractories.

Parmod Sagar: Yes, absolutely, a lmost 50% of the commodity business if we talk about the ladle business or so, the Chinese traders are coming because China is having overcapacity, and their aspiration is very small. So they undercut the pricing. They are traders, if they get some 2%, 3% margin or so, even then they are hap py to get orders,

And at the same time, many Indian players have jumped into magnesia carbon brick ladle business. So almost, I think, 8 or 9 small players, which probably you never heard the name of, are now producing magnesia carbon brick. So there is overcapacity, particular

for this commodity business. So we are working on our way how we can be more competitive in this segment and keep our market share not intact , but improve. Now we are very confident we will be able to maintain this growth, what I'm talking about 8%, -9% volume growth.

Arijit Dutta: Right, sir. The last one is on Hi -Tech specifically. What I believe that our hopes on Hi -Tech products were very high. In absence of better word, the result is disappointing what we are seeing in Hi- Tech. Do you feel the same that it has not delivered as p er our original estimate and it is still struggling, the scope that we envisage for Hi -Tech has not actually materialized?

Parmod Sagar: I would say we are not disappointed. It is a bit slow. I can tell you one thing, one of the plants, I just got this information today morning. In thin slab caster, we delivered 26 hour casting time, which is equivalent to the be

st in the market, who is in thin slab caster, so from Jamshedpur plant.

So it means now the results are coming. So it is an initial stage. If we are able to sustain or give consistent product at this level, probably next year, we will be equal for competing in the tender, So it will be replica in our plants as well. The confid ence of other plants will also go up to go for a trial or for a commercial trial because in India, we were not having the reference. Now we are creating reference with the very good results.

Secondly, when we have this Hi -Tech in mind, we are thinking a lot of export from this plant, which due to geopolitical situation could not happen. And as I said, in 2026, there will be quite a big upside because the market was not responsive. It wa s a bit slow.

European market is almost 40% down.Only West Asia, East Asia, and African countries where we are targeting, we're getting a very good response of our trials. And hopefully, next year, we will be able to fill up Jamshedpur plant when it comes to iso static. We have already ramped up slide gate production capability in Jamshedpur plant.

We have created this -- creating this excellence of iron making in Jamshedpur plant. We

will be putting up all our machinery division in Jamshedpur plant. So all in all, we have an infrastructure, we have a capability to turn around this plant to the desir ed level in coming days or months.
Arijit Dutta: Since the technology in this plant is pretty old, that time it was one of the best, but after -- this plant has been underinvested. We are planning for a major overhaul in terms of technology also here?
Parmod Sagar: I would not agree to that, the technology is still very relevant, but at the same time, our R&D is also working on upgrading the already established quality and technology, so it is not, even in the Bhiwadi plants, we keep on doing upgrading innovation, R& D activities happening across all our plants in the globe. And Hi -Tech also, we are doing that, but still Hi-Tech has a very stable, established quality and technology.

Moderator: The next question is from the line of Rajesh Majumdar from B&K Securities.
Rajesh Majumdar: I had a few questions. The first one, sir, is on the employee cost. We've seen a 9% decline in the employee cost. Now we saw a large jump in the employee cost in the last 2 years due to the acquisition and some one -offs as well. So are we to assume that th e employee costs will be stable this year or come down a little bit from last year's levels? That was the first question.
Azim Syed: So it will be hover somewhere about 10 % employee benefit cost is what you can model, Rajeshji.
Rajesh Majumdar: better than last year.
Azim Syed: No. So last year, we did 11.5%, right, last quarter. This quarter, we did 9%. So I'm talking about that number. So it will hover around 10 % for full year.
Rajesh Majumdar: Okay. That's great to hear, and secondly, sir, we also talked about the fact that the revenue growth will be along these lines, and also, we've got a little bit of a price hike in the alumina refractories as well. So if you take that and the 14% kind of ma rgin that you've guided for the full year, it would mean that the EBITDA for the year would be somewhere close to FY '24 levels or even slightly better, not FY '25. Earlier in the call, you mentioned you plan to achieve FY '25 levels. But if you do the math, on a 9% growth and 14% margin, it comes to somewhere around FY '24 level. So are we missing something here?
Parmod Sagar: Yes. We have already missed first quarter, and it was 10.8%. So we already missed it. So now if we have exponential growth, price increases, everything, you average out everything, and if we will match the 13.7%, I think it will be a great satisfaction, at least for me.
Azim Syed: And also, right, I mean, the alumina pric

es are.
Parmod Sagar: And we should be happy, Rajeshji with this.
Rajesh Majumdar: No, no. Yes, Azimji please continue.
Azim Syed: No, I was basically saying that another factor is that alumina cost raw material in our P&L, it will flow through until September also, right? So it will be a steady state growth, even we get price increase and other thing and you suddenly go into quite a bit of comfortable margin. So yes, for full year, that's the reason for our guidance.
Rajesh Majumdar: Okay. And sir, my last question is that are we doing anything on the industrial refractory side because you've talked about steel, we talked about cement. And we haven't seen anything on the industrial side. Is there any initiative there? Are we going to s ee something happening on that side?

Parmod Sagar: Actually, we are desperately looking at projects. Unfortunately, for non -ferrous or glass, all the projects are shifted to ' 2026- 2027. So unfortunately, there is no project in the pipeline for this FY, so unfortunately, we can't do much. But at the same time, with the Resco in our portfolio now, this American company, which we acquired in the beginning of this year, they have many pro ducts, a very niche product, very high -end products, which they are selling to even Reliance industry.
So they are very strong in petrochemical, and we are now leveraging it on and not only limited to Reliance, but we have many PSU refineries also petrochemical companies. So that is where we are working on, and it will yield results in the coming year or so .
Rajesh Majumdar: Okay. This is going to be imported products or products locally made?
Parmod Sagar: Initially, it will be imported, but we will try to localize it with a period of time.
Rajesh Majumdar: Okay. And sir, last question is, what is the kind of total capex you're planning per annum now with the Dalmia plant and everything, maintenance capex included?

Azim Syed: We'll almost double the last year's capex full year to this year.
Parmod Sagar: It is about INR 150 crores, total.
Moderator: The next question is from the line of Patanjali Srinivasan from Sundaram Mutual Fund.
Patanjali Srinivasan: Sir, I have a couple of questions. So this refractory management service business, how much would have been the share in this quarter for us? Has it gone down meaningfully?
Parmod Sagar: If we talk -- it is primarily limited to steel industry. So we have roughly 32 %-33% market share in this niche business.
Patanjali Srinivasan: No, sir. In our share of top line, how much is it?
Azim Syed: You are talking about the revenue percentage?
Patanjali Srinivasan: Correct, correct.
Azim Syed: So this time, our steel was about close to about 81%.
Parmod Sagar: So out of this 81%, you have to take out 32%.
Azim Syed: Exactly.
Parmod Sagar: Right, it's full 32%.
Patanjali Srinivasan: 32% is the -- okay. So it has declined pretty meaningfully from our Q3. So -- and between like volume growth, where is the volume growth higher?

Parmod Sagar: We did not get you. From where you get this, we have not reduced, it has gone up by 1% or so.
Azim Syed: Exactly.
Patanjali Srinivasan: No, I think from Q3, I'm talking about, but okay Yes. And I wanted to know like volume growth between sectors?
Parmod Sagar: He is talking about TRM. Q4 was 35% and first quarter is 32%. That's what you are talking about?
Patanjali Srinivasan: Yes, yes, that's correct.
Parmod Sagar: Okay. Okay. So actually, this is why because in last quarter or so, we were not able to get price increases. So prices were under stress, and we got now price increases, and it will be on the same level. In fact, we are in a very final stage of having two more 4 PRO o contracts in the pipeline.
Patanjali Srinivasan: Understood, sir

. Okay. And in terms of volume growth, we've reported 13% volume growth. So which segment has grown faster here? Like is it like more of a commoditized business, which has grown faster, which is why there's a drag on the margins? And that's -- is that also the reason why the gross margins have also fallen?
Parmod Sagar: Yes, you can say it is a combination, but yes, mostly it is a commodity business, cement bricks or magnesi a carbon bricks, etcetera, and also iron making.
Patanjali Srinivasan: What is the margins there, sir, in iron making right now? And what is our aspiration long term?
Parmod Sagar: Margin is about 18% to 20% , standard margin, and it is under stress, I would say. We have just entered 2 years back and the leaders, 3 big leaders are there. So we aspire to still grow in this market, and we will not be looking at margin as of now for another year or so, but we want to take this from last 2 years when we started, we were having 2% market share, and now we have 13% market share, and aspiration is 25% to 30% in next 2- 3 years' time. So it will not be very lucrative business so to say, but we have to first establish our selves and then margin will automatically come.
Azim Syed: Exactly. When we say we will not look at margin percentage doesn't mean that we'll go for any price. I just want to clarify that. We are very focused and disciplined on the right customer -- selecting the right customer strategy and what is the long -term p artnerships that we can have where we can add value to the customer. So that's what we will target. As you can see, even with the market share penetration strategy we have, we have not bad margins comparing to our commodity business.

Patanjali Srinivasan: Understood, sir. So what would our contribution of this segment to our top line be currently?
Azim Syed: Iron making somewhere around 10%.
Moderator: The next question is from the line of Kaustav from B AMPSL.
Kaustav: I had a question on your capital efficiency, because of your intangible assets, right, your capital employed, if I include the intangible assets has swelled up, and so your net worth is also around INR 4,000 crores. So even if you more than double your PAT, right, it's 2 -3 years down the line, even if you do INR 350 crores of PAT, you're still at single -digit ROE and very low double -digit ROCEs. So what's your view on this? And how do you plan to

readjust your capital structure to get better capita l efficiency?
Azim Syed: It's a very good question, first of all. Thanks for asking this question because this is what we talk about it in our monthly reviews and everything. So we -- you need to think of this in four different initiatives, how we are going to improve the ROIC or ROCE for our shareholders. So number one is our market share. So what we are planning to do here basically is that the first pillar, let's talk some specific numbers here in the area of iron making.
As Parmodji said, we grew from 2% to 15%. The next tangible thing for us to do -- I'm talking 3-year time frame, please keep that in mind, will go to 30 %. So this is an underrepresented market. With the acquisition, we have these capabilities, and we are very confident with the proven track record that we can take it to 30%. So that's the first thing.
The second thing is to import some of our product transfer from our group acquired entities, primarily being Resco. Second, also with the P Drefractories. So these are two very high -margin products, which we will domesticate to meet our Indian market needs, and we believe that this will add quite a bit of improvement in our profitability.
The third thing basically also is that in some of the product transfer, especially in the cement segment, where we have this high -margin technologies that we will also improve -- introduce, especially on the MGG side or magnesia

side, which we believe that , that will also quite a bit increase our profitability. So this is what we want to do to outgrow the market.
The second lever is -- and this is the most important one is our new business model introduction. This is your 4 PRO. The advantage of 4 PRO basically is that is to kind of -- we want to expand our robotics offering. What it ensures is two things. One, it is our fixed cost improvement because we have long -term contracts and commitments, and this basically will yield us customer stickability and also will ensure that we have steady -state gains, and most importantly, the biggest -- one of the biggest weakness in refractory business is

the volatility due to commoditization of this product. We aim to eliminate this with the 4 PRO model.
So we believe that with this introduction of business model, it will help us to achieve consistent profitability, not a sign wave that we normally see in our profitability. The third and the most important lever, what we are doing is that to improve our competitiveness.
So here, what we are trying to do is that we are -- one of the biggest lever that we utilize through our R&D center is -- yes, so one of the things that we do is that through our recipe harmonization and through R&D improvement in terms of adapting our product portfolio.
For example, in case of product -- in case of segments like cement, which has low margins, we are in the process of revamping our product offering to our customer, which meets the needs of today's customers' production. And second, basically is that how we can optimize our recipes to meet this to us -- for us to be competitive in case of the most commoditized segments, which we can't attract to 4 PRO .
The third thing basically, already I mentioned the localizing much of our production. This will improve our capacity utilization. We used to about 55%. Last quarter, we did 6 6%. We believe that this will -- localizing the acquired entity product portfolio will help us to achieve our production efficiencies and drive even more further more profitability.
Now let's talk about the balance sheet item, which is focused mostly on the working capital item. Parmodji has given a very stringent target that consistently, we should be able to reach 25% as working capital intensity. We see a lot of opportunities in our overdues.
We also are launching one of our corporate programs called Everest. Everest is introduction of a supply chain planning tools, which is aiming towards improving our customer service without compromising or without trading off with our cost or on our investm ent in our inventory. So this, we believe that it will help us to improve our balance sheet further.
On top of it, we also believe that the pricing initiatives and the new contract mechanism we have, which will kind of give us even quite a bit of upside in our profitability. And on the capex side, we will be absolutely disciplined. This is our highest year of capex investment, which we are using to modernize our Dalmia plant.
Next year, we'll go back to FY '24 run rates. So this will also give us quite a bit of a breathing space on the working -- on the capex side as well. With this, if we have modeled it, these are the initiatives that we are completely banking upon, and we are seeing some progress quarter -on-quarter. It's a long game, as you know, in the ROIC stuff, and we are very confident that we can easil y enter into double digits based on our internal modeling.
Hopefully answers that question.

Kaustav: I mean that answers the question on the -- on you growing your profitability, but the point is that the beginning of my question was that even if you grow your profitability 150% from here, which -- so your question answers you -- how will

you grow your profitability more than double from here, right?
But more on the side of the capital employed, yes, you spoke about improving your working capital efficiency, but what about write -offs on goodwill on intangible assets to reduce your overall capital employed based on non -performance of the acquired asset?
Azim Syed: So we did this already in the last financial year. If you recall, I'm not sure if you are aware of it. Last -- we took a write -off of EUR 35 million worth of it because we believe that the export business that were embedded in the business plan of the acquired entity, we were not able to fulfill and because of the currency as well, which the business was valued when we had done the acquisiti on.
At the moment, based upon -- we did -- as you know, that one of the stat requirement is that we need to do this goodwill study on a yearly basis, and last year, we did a very comprehensive study on it. So one of the things I'm not sure if you're able to follow that our capacity utilization in the acquired plants also have increased quite significantly in the Dalmia plant.
This is introduced because we started to have an optimized recipe for a magnesia carbon which have started to produce at Rajgangpur already, and we don't expect any kind of an impairment because of these kind of initiatives that we already said. So yes, I don't foresee it at the moment.
Moderator: The next question is from the line of Amit Agicha from HG Hawa.
Amit Agicha: Sir, my question was coming to the order book. Like can you just brief us about what is the current order book size in its segment on a geography aspect?
Azim Syed: Your audio was not clear. The question, let me see if I got it correctly, you want to know if our order book is good and where it is good. Is that the question?
Amit Agicha: Yes, sir.
Azim Syed: So we have a very strong order book in iron making area and also in the steel area as well. Steelmaking, especially with our integrated steel plants on the TRM side. I think you guys are aware that because of the 12% safeguard tariff, there is quite a bit of a positive momentum on the steel customer side, which we're able to correlate, which we can see in our order book.
Second, we have regained some of the market share that were from L2 to Level 1 supplier in the public sector unit plant. So here also, we see quite a bit of a very strong order book to be fulfilled. Now the question remains is the function of if they are a ble to produce as

they have committed and because we have this long -term TRM contract, which we supply based upon the exhaustion of our -- of their refractory materials, we see a strong order book, just to simplify it. Do you want to add something to it?
Parmod Sagar: Nothing.
Azim Syed: So yes. So I think that would be the final question, right, operator?
Moderator: As there are no further questions from the participants, I now hand the conference over to Mr. Parmod Sagar for closing comments.
Parmod Sagar: Thank you very much, shareholders and analysts for your continued support and very engaging discussion, questions. I hope me and Azim are able to satisfy you, give right guidance to you. But in fact, if you have any further questions, please reach out to G eeta, and she will be able to reply you back for any clarification. Thank you so much. Have a nice day. Bye -bye.
Moderator: On behalf of RHI Magnesita India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

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18 November 202 5

To,

BSE Limited
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BSE Scrip Code: 534076 National Stock Exchange of India
Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (East)
Mumbai – 400 051 , India
NSE Symbol: RHIM

Dear Sir/ Madam,

Sub: Transcript of Conference Call – second quarter and half year ended 30 September 202 5

Pursuant to the Regulation 30 of the S ecurities and Exchange Board of India (Listing Obligations and Disclosure Requirements), Regulations, 2015, and further to our earlier intimation dated 6 November 202 5, the transcript of the conference call held on 12 November 202 5, for discussing the earning performance of second quarter and half year ended 30 September 2025 , is annexed herewith.

The same will also be uploaded on the Company’s website at the below link:

https://www.rhimagnesitaindia.com/investors/investor -meet

Kindly take the same on record.

Thanking you,

Yours faithfully

For RHI Magnesita India Limited

Sanjay Kumar
Company Secretary
ICSI Membership No. -17021

“RHI Magnesita India Limited
Q2 FY '26 Earnings Conference Call ”
November 12, 202 5

MANAGEMENT : MR. PARMOD SAGAR – CHAIRMAN , MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – RHI MAGNESITA INDIA LIMITED
MR. AZIM SYED – WHOLE TIME DIRECTOR , CHIEF FINANCIAL OFFICER & CHIEF INVESTOR RELATIONS OFFICER– RHI MAGNESITA INDIA LIMITED

MODERATOR : MR. RAJESH MAJUMDAR – B&K SECURITIES

Moderator: Ladies and gentlemen, g ood day, and welcome to RHI Magnesita India Limited Q2 FY '26 Earnings Conference Call. As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand over to Rajesh Majumdar. Thank you, and over to you, sir.
Rajesh Majumdar: Good morning, everyone, and welcome to the Q2 and H1 FY '26 Conference Call of RHI Magnesita India. We have with us today, Mr. Parmod Sagar, Chairman, MD and CEO; and Mr. Azim Syed, CFO of the company, joining us in this call. Kindly remember that any conversation made in this call may be forward -looking. Without much ado, I'd like to hand over the call to Mr. Parmod Sagar now for his opening remarks. Thank you.
Parmod Sagar: Thank you, Rajeshji. Very good morning to everyone and thank you so much for joining us today. RHI Magnesita has an unwavering commitment to safety first. We are continuously working to improve our safety system, not only in our production sites, but also at our customer locations, warehouses and corporate office as well through implementing 7 life -saving rules and enhancing the safety with robotics and automation.
I am pleased to report that RH I Magnesita India achieved highest -ever quarterly revenue in Q2 at INR 1,035 crores, sustaining the consistent growth momentum. This growth was underpinned by higher volumes and notable market share gains across all business segments.
Starting with the broad industry landscape, we are observing promising m acroeconomic indicators, green shoots across our core end markets. Let me start with Indian steel sector. In the last quarter, the steel production increased by 4% quarter -on-quarter basis, whilst there was an increase in the production and shipment volume, we saw contraction in margins, which underpin the competitive environment that Indian steel sector is go ing through. India is still a net importer , and most of the production boost came from the safeguard tariffs. The outlook for steel production will come from third round of production -linked incentive scheme for specialty products.
On the cement sector, due to unseasonal monsoon, we saw lower production and squeezed margins. We are expecting further improvement in cement production with the recent GST rationalization, which would boost further demand , aligning with the government's emphasis on housing and infrastructure development and reducing customer cost, which would provide impetu s for further cement production and expansion. One of the key areas of focus was to ensure that we gain market share opportunity in the areas of steel and our strengthened drive in 4PRO or TRM contracts are yielding results.
We have secured long -term contracts that we set out to do. We received price increases in specialized markets and secured market share in some areas of commoditized market as well.

We were able to execute key seasonal cement orders. We are also continuously gaining market share in ironmaking, Coke Oven, DRI and pellet business. And with the current results, we are happy to report that our strategic initiatives are progressing well.

We are also pleased to report that we have successfully completed the product transfer of ANKRAL and R adex cement bricks from our group technology into India. This will provide opportunities that will unlock further value for our shareholders.
Our integration with Ashwath Technologies is also progressing well.
Crucially, our growth is not just quantitative. It r

eflects a deliberate strengthening of our market
position. This quarter's results affirm the effectiveness of our business fundamentals to reclaim market share. By aligning closely with our customer needs and executing effectively, we deepened engagement with key accounts.
Quarter -by-quarter, we are gaining momentum, driving growth and navigating a challenging environment with agility and focus. I would like to underscore that while we remain pragmatic about the current headwinds, we are equally confident in the positive trajectory that lies ahead.
Our margins are still under pressure, and this is an industry -wide issue with the headwinds that our end customers face. However, with focused cost optimization efforts, ongoing product innovation and improved outlook on raw material pricing and a shift to wards a better product mix, we expect margins to improve progressively in the coming quarters.
RHI Magnesita India plays a vital role in setting the nation's industrial foundation, facilitating safer and more efficient steel production to advance India's $5 trillion economic vision through resilient self -reliant supply chain.
With a well -defined strategy and a high -performing team in place, I'm confident that our continued commitment and growing customer trust will enable us to transform through these challenges into sustainable growth opportunities.
Thank you very much, everyone, and I will now hand over to our CFO, Mr. Azim Syed to walk through the financial performance in detail.
Azim Syed: Thank you, sir. Good morning to all. Let me now walk you through the financial results for the second quarter of FY '26. Despite market headwinds, we achieved highest ever quarterly revenue from operations of INR 1,035 crores. This reflects a sequential growth of approximately 8% over Q1 FY '26 and a year -on-year increase of nearly 19% versus Q2 FY '25.
Shipment volume stood at 141 KT, marking a 9% quarter -on-quarter increase and an 18% year -on-year, driven by strong underlying demand and significant market share expansion. The main levers for growth are steel industry -- in the steel industry, orders from integrated private players as well as from public sector steel producers for new converters and ladle business.
The cement industry also contributed to growth, fueled by project orders and seasonal maintenance demand as expected. Broad -based improvements across flow control, Coke oven ,

DRI & Pellet . And as Parmodji informed, we are also seeing strategic initiatives in 4PRO /TRM also delivering tangible results.
Turning to profitability. Our operating EBITDA for Q2 FY '26 reached INR111 crores, reflecting an EBITDA margin of 10.7%. On an absolute basis, this marks a 7% improvement over the previous quarter.
Sequentially, we have sustained our margin performance. However, on a year -on-year basis, there has been a decline as the year -on-year is not comparable. In Q2 2025, we had one -time release of warranty provisions, and there was a continued impact of elevated raw material costs compared to the prior year.
Despite reduction of cost in alumina, our raw material costs remained flat quarter -on-quarter. This was due to change of product mix of sales, wherein higher cost of magnesia -based raw material and U.S. dollar and euro foreign exchange depreciation.
As Parmodji mentioned, we are expecting to better our margins in the upcoming quarters with further lowering of raw material prices, recipe optimization and future performance bonus expectations. The profit after tax was INR 38 crores, up 9% sequentially from INR 35 crores in Q1.
Our net debt -to-EBITDA ratio is at 0.45x, which is higher than last quarter, majorly due to working capital tied to revenue growth. We consider this to be manageable and with continued impact of last year's debt reduction ef

forts, we expect interest expenses to trend downward in
the period ahead.
Our balance sheet remains absolutely robust and liquid. We maintain strict working capital discipline. In short, we have the discipline and resources to fund our strategy without undue leverage.
Looking ahead, we remain confident and realistic. Our order book remains robust for the

upcoming quarters, particularly in the steel sector, where major mills have confirmed substantial capex expenditure plan.
The Cement segment also shows strong momentum supported by upcoming large -scale expansions and scheduled plant turnarounds. We are witnessing positive developments on the raw material front also. While it's premature to declare full success, the trajectory is promising.
As Mr. Sagar mentioned, we anticipate a consistent quarter -by-quarter upswing rather than a sudden spike.
Our intention is to close the year with the EBITDA margin similar to last year's level, and we remain confident in that goal.
Business fundamentals have positioned RHI Magnesita India for success to strong industrial demand, solid execution on strategy and a healthy balance sheet. We believe these fundamentals will enable us to deliver on our FY '26 targets and long -term goals. Thank you to all our stakeholders for your continued trust and support.

We will now open the line for questions. Back to the operator.
Moderator: Thank you very much. The first question is from the line of Pankaj Ag rawal, an individual investor. The line for Mr. Pankaj Ag rawal has been disconnected. We move on to the next. The next question comes from the line of Ashish Kejriwal.
Ashish Kejriwal: Thanks for the opportunity. Good morning everyone. Sir, quickly, 3 questions. In your remarks, you mentioned that we are soon going to have EBITDA margin similar to FY '25 level. So you are expecting that to come in fourth quarter or you are talking about overall FY '26 EBITDA margin to be similar to FY '25, which was around 13%?
Azim Syed: Yes. So we are expecting the full year number to be the same as last year. We are expecting some one -time payoffs, which we received just like in the last year, we'll expect this. So this will be higher than what our current run rate is , in the upcoming quarter. Our expectation is that we will end -- as we said in the earlier calls, between 13 - and 14% , which is what we are still targeting for full year '26.
Ashish Kejriwal: Okay. And sir, this is being driven by what -- because when you said that we are able to take some price hikes in some of the specialty markets. But overall, if you look at the prices this quarter, it was also somewhat lower than last quarter. And second t hing is, earlier, we were expecting that because of lower alumina prices getting hit in P&L in second quarter, we may end up with the margins of 13%, 14% this quarter only.
But now we understand that magnesite cost has increased so much that margins have been affected. My question was, one, how much price hike we were able to take in roughly what percentage of our volume? And second, if you can say about alumina and magnesite cost, how much is this is combining with the total cost?
Parmod Sagar: Thanks for the question. One is we were expecting that alumina prices has gone down, and we will have advantage in this quarter, as you said, rightly. But unfortunately, our inventory is still at a level of finishing even in November. So the impact we were expecting unfortunately could not materialize because the pipeline of shipments was already higher . The order was placed and when we are in a contract and as market leader and ethical company, we were not forcing our suppliers to cancel those contracts and go into a new contract. So it hit us badly, but at the same time, we honor our contracts. And secondly, magnesia prices have go

ne up, which also impacted
us adversely. What is the second one?
Azim Syed: How margins com bine?
Parmod Sagar: Yes. For margin s, now onwards, alumina prices will be the market prices, whatever high alumina inventory was there, it will vanish in November numbers . So next 4 months, we will have advantage of lower price of alumina. On magnesia front, we are doing some product optimization, recipe optimization to compensate the price increase of Fused magnesia and DBM.
So that will also be giving a dividend or positive results from December onwards.
Thirdly, we have some product optimization, productivity improvement and some automation, which Azimji was saying, which will give a substantial uptick in coming 3 -4 month’s time . So

we are confident because of these 3 -4 lever s, we will be able to deliver similar to last year's EBITDA.

Azim Syed: Last was the price hike percentage, I can also answer that. If that's okay?
Parmod Sagar: Yes.
Azim Syed: So, we received mos tly price hikes in the area of flow control , which is approximately 28% of our revenue. We are -- I mean, we basically got, let's say, single -digit price increases, and these are long -term contracts. So we believe that this will sustain at least for the next upcoming year .
Ashish Kejriwal: Understood, sir. Sir, lastly, in terms of the market -- overall market, are we still seeing intense competition in non -specialties business?
Parmod Sagar: Absolutely. competition is going strong. Many small players are just trying to enter. You have seen the results of one of our competitors who is also listed , they are also coming in many product areas. And just to enter the market, they are also offering a really non sustainable price. But it put s pressure on us and other established player s also to reduce prices to just remain in the market.
So I see there's heavy trust on overcapacity. People are trying to now fill up their plant with whatever price they are getting. So it is not a healthy situation for the industry overall, I would say, but this is the reality.
Azim Syed: If I may add one more point on top of what Parmodji said, if you look at even our end customers' margin also, there's a quite a bit of a squeeze, whether it be steel or cement, you can look at the EBITDA per ton also reducing. So it's a buyer market as well.
there are a lot of quite a bit of headwinds, but we are confident with our strategy in terms of long-term relationships, diverse portfolio, TRM and 4PRO, end -to-end solutions, which will hopefully improve the productivity of our customers. That's the way w e will differentiate ourselves because we believe not in a cyclic market, but in a long -term commitment to our customers performance.
Ashish Kejriwal: Understood, sir. And this is very encouraging that despite this kind of scenario, you are guiding for around 13% EBITDA margin , similar to last quarter -- last year, sorry. So that is very commendable. All the best sir
Parmod Sagar Thankyou so much
Moderator: The next question comes from the line of Rajesh Majumdar from B&K Securities.
Rajesh Majumdar: Yes, sir. So I had a few questions. One was that why have the receivables gone up so much in this quarter? Is there any cause for alarm? Or is that position better now?
Parmod Sagar: So Rajeshji, one of our key account very big group, they have changed their method ology of services contract where they need backup paper for what we say process improvement. So that impacted us heavily -- and last 2 - 3 months, we were not able to get the payments. So then

everything was streamlined. And fortunately in October, I think we have recovered everything. It was a record collection. I would not say the number, but it was a record collec

tion ever. So
whatever was a shortfall of last quarter, it is compensated now.
Rajesh Majumdar: So we should see second half cash flows going back to normal levels, right, what we've seen in the last few quarters.
Parmod Sagar: Absolutely.
Rajesh Majumdar: Okay, sir. My second question is, if you look at the performance of Dalmia, it is still like Y -o-Y decline. And even after acquisition after 2 years, the turnover is still nowhere near INR 1,000 crores. So what is happening with this asset? If you could give us some more granular idea about where we can see this business down the line in terms of top line margins and what steps you're taking for the same?
Parmod Sagar: Margin -wise, Rajeshji, I would say we are very well placed. It was around 11% plus margin for last quarter.
Parmod Sagar: Comparative to last quarter which was 7 -8%. So we have improved , last quarter was 8.7% EBITDA and this quarter, it is 11.4%. And if we talk about volume, it is 26% growth in volume.
Rajesh Majumdar: That has come from standalone, sir. But if you subtract the consol from standalone, then the subsidiary has not done so. That's what I w as asking about the subsidiary
Parmod Sagar: I'm talking about only subsidiary, Dalmia plant.
Rajesh Majumdar: Okay
Azim Syed: To clarify the number, Q2 FY '26 was INR 264 crores and Q2 FY '25 was INR 216 crores. So there is a substantial increase in the revenue and also on the shipment, as we mentioned, 3 5 kilotons to 42 kilotons is what we have done. And the EBITDA percentage, if we compare Q1 FY '26, we are at 8.7% and we are back to 11.4%. So there has been an increased effort.
Now we are talking about year -on-year quarterly performance, as mentioned earlier in my speech also that we had a onetime warranty provision reversal in Q2 FY '25. If I exclude that, our margin percentages are still in double digit, which we have maintained. So bottom line,

Rajeshji, basically is that our performance is getting to some bit of a sustainable level. All the improvements that we have put a cross is paying us dividends in terms of our performance as well.
Parmod Sagar: Also, we are shifting 2 -3 products from our global to In dia, which will effectively be Rajgangpur , our Dal mia plant. So further growth in this Dal mia plant will happen in, let's say, next 6 months' time or so.
Rajesh Majumdar: Okay. And one last question from my side. are there any efforts to increase the business from the nonferrous or glass side or this where you have kind of investment? Do we have any orders which could give us some kind of fillip on those businesses other th an steel and cement?

Parmod Sagar: Actually, there are a lot of efforts going on. Let me first give some background. The Nonferrous and glass segments are cyclical in nature . Unfortunately, in 25, there was not a single project of glass and nonferrous, which impacted significantly . In ’24, there were projects . And we are expecting 2 -3 projects in 26 and possibly 5-6 projects in 27.
So we can see an upward trend , projects are coming back, and these are comparatively better margin projects if compared with the normal cement and steel business. So we are very positive about this, and we have increased budget of these products in '26 as compared to '25.
Azim Syed: This is my calendar year
Moderator: The next question comes from the line of Mayank Bhandari from Asian. Please go ahead . The line of Mayank Bhandari has been disconnected. We'll proceed ahead with the next one.
The next question comes from the line of Yash Shah. Please go ahead.
Yash Shah: Good afternoon Pramod Ji. This is Yash Shah from YPSPMS. We have been invested in the company since last 11 years. So we have seen multiple cycles of the company. But one thing is very clear before the Dalmia acquisition, I would not like to go

into the verticals. But before the Dalmia acquisition, we had almost reached a PBT of around INR 100 crores per quarter on a very low turnover, say, around INR 750 crores or INR 800 crores turnover.
With this acquisition, we are nowhere near to it. Like earlier, the EBITDA margins were 15%.
If you see them now, it's coming to around -- PBT margins are now coming to around 5% -6%.
So plus the equity dilution, which we spoke around, I guess, 15 months back that the equity dilution was opted because the promoter company had debt on its book instead of going for debt.
So the equity has gone up so much and the profit has not paid up to the mark. So that has been clearly reflecting in the share price as well over the last 3 years. And yes, that is it. So are we looking for good times ahead? Are the bad times still going t o prevail for some more years? Or how is the business picture looking overall?
Parmod Sagar: I tend to agree with you. Yes, stand -alone RHI Magnesita India before acquiring Dalmia, we were doing exceedingly well. And if we check that segment, we still are doing exceedingly well. There's no doubt about that. Dalmia, we wanted to increase our footpr int in industrial area, non - steel area, which successfully we did. W hen we enter ed in iron making area, we were 0. And in last 2 years, we entered into it.
Only thing is we did not convert this or we could not convert this market gain in good margin because the market of these type s of products cement or DRI or other ironmaking products, which came along with Dalmia acquisition are low margin or volume product so we are bringing products which are having high selling price with high margins from our parent company to Dalmia Group company, which is now RHI Magnesita India Refractor ies Limited.
So I would not say bad time or good time. I would say the challenging time is almost over. But still, the market is so dynamic , overcapacity, everybody is putting up capacity in India without seriously thinking of what will be the repercussion of these capacit ies. So this is impacting. If

you will check, I will not state the name, but other listed companies, refractory listed companies who has declared their results in last 2 days or 3 days, everybody's EBITDA has come down. We still could manage to maintain EBITDA of last quarter. And in absolute value, 7% increase in our EBITDA. But if you check the others, so it is a headwind for everyone.
Yash Shah: Just to interrupt. So if you say that the business has been good, so the PBT on a quarterly basis was INR 100 crores before the Dalmia acquisition. If it has come down to INR 50 crores, it can be only because of 2 reasons. Either the Dalmia business is making losses or the current business

margins ha ve gone down. There cannot be a third reason, right?
Parmod Sagar: There is a huge part, which depreciation is playing. That we cannot ignore because of this buying price or whatever you say...
Azim Syed: So let me do this.
Yash Shah : Yes, please. I would like the CFO to pitch in, yes, please.
Azim Syed: Yes. , the first thing is that our -- if you look at our realization rate before 11 years versus now would have dropped quite significantly, okay? I'm talking 11 years before because...
Yash Shah: No, I'm thinking just 3 years back when we said the INR 100 crores profit PBT. So I'm just asking that INR 100 crores is now INR 50 crores. So that can be only because of 2 reasons, either the realizations have gone down of the existing business that we used to do or the new business i s becoming a drag on it, right?
So I just wanted that what is the -- why has that gone down? So because sir says that the business is going -- still it's doing good. So at least it should ha ve INR 70 crores, INR 80-crores INR 90 crores PBT. But the Dalmia business is doing poor, then that

is dragging it down to INR 50
crores.
Azim Syed: Yes. So can I answer it now.
Yash Shah: So, if have the figures, yes, if you have the figures, please.
Azim Syed: Okay. first ly, we look at it from a business perspective. From a business perspective, as you know that with the PPA that we paid, it carries a depreciation cost. if you look at our Dalmia entity, there are some accruals that we are doing from an indirect perspective, wherein we have some losses there, which we will get after 2 years, So you will see quite a bit of profitability coming back in 2 years once we get the se tax credits
Parmod Sagar: 5 years of acquisition.
Azim Syed: After 5 years of acquisition. So the impact is not visible in our current P&L. Second part --there is still some profitability If you adjust and factor it back in, you will arrive at a number that is closer to our current performance. Now the second thing is that...
Yash Shah: Can we have some number on this profitability figure, which we might get after 5 years?

Azim Syed: we don't give some long -term guidance. But if you can send some assumptions that you would like to make over an e -mail, we are happy to confirm or deny those assumptions.
Parmod Sagar: Yes. But it is a substantial amount. That's what we can say.
Azim Syed: Exactly. The second part, about the reason for acquisition of business -- Number one, we want to gain our cement market share. So we grow from 17% to 43% because of this, which means we are ready to serve the ongoing and expanding capacity requirements in the market.
This will give us further accretive profitability that we didn't have before. Having said that, this also is a drag on the realization rate on this is much lower than what we were doing in the steel business because of the nature of the product mix that we sell. So this will come through also in the future.
The third thing is the depreciation that we are carrying forward which will be fully absorbed once this capacity flow through. And this is what you are seeing quarter -on-quarter, our improvement in the Dalmia business.
Yash Shah: Okay. Fine. So as you are saying how much time can we take to get back to a PBT earlier figure that you used to have, not considering the tax figures, 2 years more or 3 years more?
Azim Syed: 2 years to 3 years is a good time frame for your assumption though.
Yash Shah: Thankyou Parmod ji, So We are investors from long time, we are future investors but look for good times ahead.
Azim Syed: Thankyou so much for long time investors
Moderator: The next question comes from the line of Mayank Bhandari from Asian Market.
Mayank Bhandari: My first question is on like you spoke -- Azim sir spoke about the flow control 's contribution, 28% of the total revenue. So is this for the quarter or for the first half...
Azim Syed: For the quarter, sir.
Mayank Bhandari: And what would it be for the first half?
Azim Syed: So for Q1, it was close to about 29.6% , I mean 30% you can assume.
Mayank Bhandari: So just checking on what has been the growth in the Flow Control for you if we look at Y -o-Y for the first half?
Parmod Sagar: I would say the growth in the first half of this year was flattish. We got market share gain from July onwards, I would say, in one of the biggest group from 22% to 30+% now So likewise, in other groups also. So there is, I would say, 8% to 10% market share gain in Flow Control in second half of this year, which will continue till, end of June before we have a go for negotiation again .

Mayank Bhandari: Yes. But the volume as such have not grown, but you gain market share is what you are telling me?
Parmod Sagar: Yes. Actually, flow control is not a volume game. It is more a p

iece game. So even if you get a
10%-11% market gain, it will not reflect in the thousands of tons. It is a few hundred tons.
Mayank Bhandari: Okay. Because one of the competitor s has highlighted issues with the small furnaces, small blast furnaces, which we are facing in the Indian market. So I was just checking, I mean, how flow control has grown. So basically, it is flat Y -o-Y, you're telling?
Parmod Sagar: Till now, first half, it was flat. July onwards, we got market share, but you are talking 2 different things. Blast furnace has nothing to do with flow control. So they are not clearly telling you th e story or blast furnace, mini blast furnace, small blast furnace, I think you are talking about induction furnace, induction furnace flow control, I think our competito r is entering into it in a way.
But that market is sluggish. I would say, in the last 4 -5 months out of, say, 500 -plus customers, 150 customers have reduced their production temporarily because of monsoon and Cheap import from Vietnam, Thailand, China, etc
Azim Syed: if you do year -on-year comparison, probably you will not get the right figure of what is a significant gain that we have made. If you look at, previous 2 quarters versus last 2 quarters for us. So for example, previous 2 quarters, our average revenue was close to about 27% and now we have done 28%.
Again, it's a good margin increase. And quarter -on-quarter, we have done 11% increase. That gives you a little bit of the momentum and velocity that we are talking about in terms of what we have. This is despite the sluggishness in the induction furnace, w hich basically states that we have gained some market share in some of the large steel mill providers.
Moderator: The next question comes from the line of Pankaj Ag rawal, an individual investor.
Pankaj Agrawal: My question is with respect to the recent news on the production capacity decrease by Chinese steel companies and expected price increase so that Indian steel industry comes at par with Chinese steel production industry in the next 2 years to 3 years.
So how is RHIM going to benefit from this? And are there on -ground capacity enhancement by Indian companies in the view of expected price increase in steel in the next 2 years to 3 years?
Parmod Sagar: Sir, actually, the situation is this, Government of China has decided to reduce their steel production 2% every year. And by 2035, they want to reduce their steel production from 1 billion to 700 million, 750 million tons. But their own consumption is much lower than this. So in spite of reducing 2% steel production every year, it will not have any impact. They have overcapacity, still they keep on exporting the steel at a very cheap price, subsidized price, not only directly, but through Sout heast Asia countries to Indian market.

As Azim said, we are still a net importer. – our import s continue to exceed our exports . In addition, the 12% safeguard duty on specialty steel, which the Government of India had implemented about six months ago, is now over. As of around 30th October, there is no safeguard duty for steel industry. So that's why the margins ha ve squeezed. So one of our biggest customer s, share its results with us indicating that at present sale price of steel is the lowest in the last 5 years. And they are under tremendous pressure.
Even today, I read one group is planning to form a joint venture with a Japanese company by selling 50% of one of their steel plants. So it appears that the industry is growing rapidly. However, the actual figures tell a different story: while capacity expansion is happening at 8 – 9%, real growth is only around 3 –4%, only and with lower margins . So I don't see in the very near future, we will have a bumper steel sale and with good margin. And in turn, we will also get very good pr

ice increases.
In near term, I would say it will be gradual growth. And we are thinking we will be growing more than the market growth.
Pankaj Agrawal: Understood. So if I may highlight that a few of the steel companies in India, they have started giving the outlook for their capacity increase in near future. So does it look like a very long -term

strategy of 5 years, 6 years or near -term strategy of 2 yea rs, 3 years?
Parmod Sagar: No, no, it is long -term strategy because when they are saying, for example, if JSW is saying we are putting up a 5 million capacity they will create in next 2 years. But to utilize that capacity to ramp up the production from 0 million to 5 million will ta ke maybe 3 years, 4 years, 5 years. So capacity is increasing, but -- capacity utilization is a gradual process.
Pankaj Agrawal: I appreciate the clarity given by the management on this aspect. This was a very big question in the entire industry as of now, I think.
Parmod Sagar Thank You
Moderator: The next question comes from the line of Mayank Bhandari from Asian Markets.
Mayank Bhandari: Sir, I also want to understand about our export strategy. I mean, if you could highlight how much is our export revenue currently? And I mean, we look at your parent 's release and it says that the demand of refractories in Europe could spike up because there is some import -- sorry, import duty cut in Europe, which is slated to happen. So if you could highlight on that?
Parmod Sagar: As of now, our export is somewhere like 9 -10%. It is hovering quarter -to-quarter. I will not say some -- sometimes you have order in this quarter, some in next quarter. So it's better to say year. So year -on-year basis, we are around 10% of our total capacity and it is primarily flow control produ cts. So if we take the stand -alone RHI Magnesita India Limited, our exports are to the tune of 24% - 25%, which historically we were doing. But with consolidated Dalmia put together everything, it is around 10%
So I would say we will be growing gradually. We have a business plan. We did trials in last 1 year at various countries, successful trials, I would say. Now it will be a semi commercial trial.

And in next year, we will have an uptick, substantial uptick in flow control area. So when I say substantial, maybe it will go from 10% to 12% because it is overall. If we talk about RHI Magnesita India Limited stand -alone, maybe it will be 5% - 6% increase in 1 year's time from now onwards.
But in Europe, the steel production as of now is still declined. And recently, European Union has put a sanction on Russia. So we will not be able to sell anything to Russia, which we were selling. So it will impact globally everybody.
Moderator: The next question comes from the line of Sahil Sanghvi.
Sahil Sanghvi: First of all, very commendable numbers on the top line, very well done. I must congratulate the whole team. My first question is, sir, as I have been looking at this industry for a couple of years now, I mean, more than 5 years now. We used to expect a goo d 18% - 20% margins in Flow Control and maybe some less -- lower number in the commodity products before.
Now with the rising competitiveness in the market overall and with new capacities coming in, where do you think the margin levels can stabilize? Just product -wise, if you can help me understand?
Parmod Sagar: Sahilji, thank you very much for the kind word s. First of all, flow control, as I said earlier to answering to somebody's question, we are still good. Q1 '26 was about 21% margin. And now this quarter, it is 23% margin. So we don't have any issue. We are comparable with the best in the class, -- but th e other products, be it high alumina bricks, magnesia bricks, magnesia carbon bricks, castables, these are commodity businesses where too many players have en

tered into,
and they are trying to se ll at any cost. So that is giving headwind to everyone.
So maintaining that double -digit margin in that segment is a challenge. Still, we are trying to maintain that. As you can see Dalmia as Azim was telling 11.4% margin, which is purely a brick - and-mortar business, castable and bricks mix of high alumina and magnesia bricks. So we are still trying very hard to how we can reduce our production cost, how we can reduce our scrap rate and how we can use more circular economy recycling in our field.
So We don't have any issue with flow control. We have a headwind of margins with the commodity business .
Sahil Sanghvi: Right. I understand Secondly, if you can help me with the Dalmia numbers again, you said that the shipment has increased to 42 KT versus 38 KT Y-o-Y, right, 38 kiloton Y -o-Y.
Parmod Sagar: It is a quarter -on-quarter basis, I think. So we are talking about the last quarter or this quarter, 35,000 tons versus 42,000 tons quarter -on-quarter.
Sahil Sanghvi: Yes. And margins roughly 8% has gone to 11% roughly.
Parmod Sagar: 8.7% to 11.4%.
Sahil Sanghvi: Okay. And revenue, you said has gone from roughly how much?

Parmod Sagar: It is2 6% growth I would say – INR 208 crores to INR 264 crores .
Sahil Sanghvi: Right, sir. Right, sir. So this is really a good improvement, sir, and that's really commendable. Lastly, on the capex that we aim to do at Dalmia , I mean, the refurbishment and all that, is that largely on track and we should expect some positives out of that refurbishment say next year?
Parmod Sagar: Yes. capex is on track, but the problem is the lead times. We have placed order for a SACMI press, It has 14 months lead time. So by end of, say, '26 calendar year, it will be commissioned. So some mixers are 8 months delivery time, some 6 months, some 1 year, but it is on track. One of the press, which we ordered last year is under commissioning in Rajgangpur plant. Some will come in next 2 months, 3 months' time, some will come end of '26 -- but it is on track .
Sahil Sanghvi: And because of this, all these new fresh machines, refurbishments, can we expect some efficiencies to come out? I mean, some benefits on the cost.
Parmod Sagar: Absolutely. Absolutely. It will -- definitely, it will improve our productivity, reduce the labor cost, reduce rejection levels, improve quality.
Azim Syed: So we don't do any projects, especially in the acquired plants if the payback period is not less than 3 years, we have a very strict ROIC reasoning, and we basically aim at least to do it in double digits. So these are the 2 conditions on which we do the i nvesting planning.
Sahil Sanghvi: Perfect. Lastly, my last question is your capex spend for, I mean, absolute numbers or capex that you wish to spend this year and next?
Azim Syed: So we had budgeted INR150 crores. We have spent INR 60 crores in H1. We aim to do the rest in the H2. As we said, it's more about phasing of spending, which normally happens in Q3 more versus in Q1 or Q2.
Parmod Sagar: And something will also spill over to next year.
Sahil Sanghvi: So next year should be roughly INR 100 crores or should be less?
Parmod Sagar : Should be INR 100 crores, INR 90 crore s.
Azim Syed : Exactly. As we said that this year would be the highest capex spend that we are doing, again, because of specific investments that we are aiming to do. But again, for next upcoming years, it will be to the tune of INR 100 crores is a good assumption to make.
Moderator: The next question comes from the line of Shanaya Jain, an individual investor.
Shanaya Jain: Just like 2 questions. First, like could you outline the margin outlook for like H2 FY '26 and FY '25? Like what factors are expected to drive improvement going forward?
Azim Syed: So I can take this. So for the full ye

ar, we are saying that it will still be around 13% to 14%. The main reason is that one is we would have a raw material price decrease because we do average inventory pricing. And, the average inventory price for alumin a and magnesia, we expect to subside in the upcoming quarters. So this will give us a natural profitability increase.

The second part is we are also expecting a better product mix because in the current quarter, we had cement high volumes. So this will also help us to improve our realization rates better.
The third part, what we are expecting is that we gained significant market share in the ladle business. We are expecting the performance bonuses to come through in the upcoming quarter.
And fourth thing, we have some industrial orders, which are naturally higher margin percentage orders. So these will also come in the upcoming quarters. So with this, we are absolutely confident that we will go back for the full year to the last year perfo rmance, what we are expecting. And also the FX as well .
My apologies, I forgot to mention the FX because we were actually -- FX weighed quite heavily on us this quarter because we purchased most of the materials from China and we use USD or euros. And as you know that there was a significant depreciation on the euros. it's gotten better already in October. If this continues, we are also getting some relief on these expenses as well and financing costs or other expenses should better.
Shanaya Jain: Thanks for detailed clarification. And just one more question. Could you share an update on the performance of each segment, like the steel, cement, industrial and Flow Control during the quarter?
Azim Syed: So we don't give those individual details , but what we are happy to share is the split of business we have. So for example, the steel, including flow control, we do about 80% of our revenue. Then we have the second highest revenue is our cement business that is close to about 14%, rest comes from the project order business. Total revenue, we normally have 25% to 28% again, depending on the quarter, we have flow control business . And normally, flow controls are our highest margin business that we operate at.

Moderator: The next question comes from the line of Vaibhav Gupta from A avya Advisory.
Vaibhav Gupta: Yes. So my first question is, if I'm not wrong, our capacity utilization has been around [inaudible 0:53:25] ...
Azim Syed: Although we can hear you, your voice is not coming clearly. Can you please repeat the question and maybe a little bit away from the phone that will help.
Moderator: Mr. Vaibhav can you just increase your volume?
Vaibhav Gupta: So my first question is, if I'm not wrong, our capacity utilization has been around 72%
Azim Syed : I am sorry, we still can 't hear you clearly.
Vaibhav Gupta: Okay. So my first question is, if I'm not wrong, like our capacity utilization has been reached around 72%. So could you please share what kind of optimum level of utilization that we are thinking of? And what is the -- like are there any plan for capacity expansion or debottlenecking of facilities?

Parmod Sagar: Yes, you're right, and we are having a planning to reach to a level of 80% to 85% capacity utilization in next 2 years' time. As of now, we will not do any capacity expansion. There can be in some bits and pieces in some particular product range where we f eel that it is reached to an optimum level and we need to increase. So that will be add -on type of thing, adding some press or some mixer or some dryer or some kiln, but it will not be add on a new plant.
Vaibhav Gupta: Okay. My second question is like what is the revenue contribution coming from the -- our transform product like UREX, Resistal, or

eco -grade kiln bricks . And how this provision is scaling up in the current quarter?
Parmod Sagar : It is a very initial stage as of now, Eco or green. These are trial stage things. It will not have a material impact on anything. It will take another 2 years to 3 years when we have a substantial business of these type of products.
Vaibhav Gupta: [inaudible 0:56:08] …
Azim Syed: Sorry?
Vaibhav Gupta: Is it possible for you to quantify like what will be outlook, let 's say next 2 years, 3 years for this product?
Azim Syed: we are talking about transfer of technologies here. we are getting this some of the businesses already in our revenue run rate because today, we are importing this from our group company or group plant. But the benefit of this technology transfer, the way we can unlock the value for our shareholder is, one, once we import this technology, that means it will increase our capacity utilization, thereby absorbing some of the fixed costs.
Second, it will also help us hugely on our working capital because we will produce the product.
Third, also, it will provide quite a bit of a margin improvement as well because we will be able to produce it in India, which has a lower cost versus what we get from either from Europe or other locations.
So that's the unlocked value that we will have. The upside maybe is there because we can probably sell it to more customers. But as Parmodji mentioned, it's at a very early stage, and we don't give product -wise details because I mean these products have qu ite a bit of competitive movement as well.
Coming specifically to Green bricks also, I'm talking specifically about the green technology, what you mentioned. we have the products and it's up to the appetite of our customers if they want to do it because, as you know, the green product has quite a b it of cost attached to it. So it's the appetite of the customer. So we are ready to provide a green product. And if they are able to take it in the portfolio, we will welcome it and we'll see accretive growth, but we are ready for the future.
Vaibhav Gupta: Okay. Okay. And my last question is, like how has the demand trended across the steel and cement sector post monsoon? And what is your outlook for the second half of this year?

Parmod Sagar: Demand, after talking to many big players of steel and cement, should be hovering around 4% to 6%. And outlook is almost similar to first half. There will not be any substantial change in the outlook. I don't see it. We ourselves believe that we are better placed than first half.
Moderator: The next question comes from the line of Rajesh Majumdar.
Rajesh Majumdar: Yes, one last question I had was, since we have seen alumina prices so low now, does it make

sense for us to kind of build up our RM inventory? Because 3 years ago, we did that before the Beijing Olympics, I remember, we had built up a huge magnesite inven tory. Does that same kind of tell you make any sense now for us to build up some kind of alumina inventory, RM inventory?

Azim Syed: So a very good question. We deliberate this question quite importantly because the raw material costs are such a huge component of it. As you know that - we leverage the scale of the group . I'll give an example of FM. For FM, we are the 80% consumer in the entire world, Rajeshji. similar ly, I don't want to give the percentage for alumina because there are a lot of different numbers that will pop up. But if we start buying in a bulk thing, we will actually either favorably or unfavorably impact our global alumina price. So it causes a catfis h impact -- or sorry, trying to catch it sale impact, and we don't like to gamble. We say that we will hedge and we will be more protective of our -- how we deploy our capital in a more judicial manner.

So that is why we don't bulk up because

the question is this is the lowest and further can it go lower. So it becomes a very tough game for us. But what we do is that we use market insights because we buy it at large scale, we understand China, we understa nd Africa, we understand India, what are the prevailing prices.

I'm talking specifically about alumina. We select the right strategy for us, right quantity for us, we did it. Beijing, we did it. I remember because I was there on the other side of the table at that time. It was purely a supply risk that we would like to avoid, especially coming from post pandemic when there was quite a bit of supply constraint that we had.

Hence, we wouldn't -- at the moment, we don't see a supply constraint in any of the products.

Hence, we would like to deploy our capital in the most efficient manner.

Rajesh Majumdar: And just given your inventory policy, we would see like the high -cost alumina prevails for at least 3 quarters, the current low prices should prevail for at least 2 or 3 quarters?

Parmod Sagar: I tend to agree with you, but we cannot predict authentically. Yes, it looks like it will remain like this. And moreover, now in the last few months, 2 - 3 players have come up in India also with this alumina raw material. So that will give some stability to this product, not only for us, but for everybody.

Azim Syed: I think that was the last question, right operator?

Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to Mr. Parmod Sagar for closing comments.

Parmod Sagar: Thank you very much, dear shareholders, analysts for participating in this call, for your support. As usual, we will keep on striving to improve our margin, improve our market share and unlock the value for you, shareholders. Thank you very much once again .

Moderator: On behalf of RHI Magnesita India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

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20 February 2026

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai-400001.

STOCK CODE: 534076

National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra (East), Mumbai

STOCK CODE: RHIM

Dear Sir/ Madam,

Sub: Transcript of Conference Call – third quarter and nine months ended 31 December 2025

Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Di sclosure Requirements), Regulations, 2015, and further to ou r earlier intimation dated 11 February 2026, the tr anscript of the conference call held on 16 February 2026, for discu ssing the earning performance of third quarter and nine months ended 31 December 2025, is annexed herewith.

The same will also be uploaded on the Company's web site at the below link:
https://www.rhimagnesitaindia.com/investors/investo r-meet

Kindly take the same on record.

Thanking you,

Yours faithfully
For RHI Magnesita India Limited

Sanjay Kumar
Company Secretary
ICSI Membership No. -A17021

Encl.
a/a.

"RHI Magnesita India Limited
Q3 FY '26 Earnings Conference Call"
February 16, 2026

MANAGEMENT : M R. PARMOD SAGAR – CHAIRMAN , MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – RHI MAGNESITA INDIA LIMITED

M R. AZIM SYED – CHIEF FINANCIAL OFFICER AND CHIEF INVESTOR RELATIONS OFFICER – RHI MAGNESITA INDIA LIMITED

MODERATOR : M R. RAJESH MAJUMDAR – B&K SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to RHI Magnesita India Limited Q3 FY '26 Conference Call hosted by B&K Securities. As a reminder, all participants' line will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation con cludes. Should you need assistance during this conference call, please sign al an operator by pressing star then zero on your touch-tone phone. Please note tha t this conference is being recorded.

I now hand the conference over to Mr. Rajesh Majumd ar from B&K Securities. Thank you, and over to you, sir.

Rajesh Majumdar: Yes. Good morning, everyone, and welcome to the Q3 a nd 9 Months FY '26 Conference Call of RHI Magnesita India. We have wit h us today Mr. Parmod Sagar, Chairman, MD and CEO; and Mr. Azim Syed, CFO of the company, joining us in this call. Before we get started, I would lik e to point out that some statements made or discussed on today's call will b e forward-looking in nature and must be viewed in conjunction with the risks an d uncertainties that we face. The company does not undertake to update these forw ard-looking statements publicly.

I now hand the conference over to Mr. Parmod Sagar , Chairman, Managing Director and CEO from RHI Magnesita India Limited. T hank you, and over to you, sir.

Parmod Sagar: Thank you, Rajeshji. Good morning, everyone, and th ank you for joining us today. The quarter gone by has been defined by resilience and the ability to sustain momentum in the face of macroeconomic headwinds. We have maintained our market leadership on the back of our diversified pr oduct portfolio, long-standing customer relationships and agile production capabil ities.

At the outset, let me start by highlighting that sa fety remains our highest priority at RHI Magnesita. I'm pleased to share that we have been formally recognized by the World Refractory Association for exemplary safe ty performance across 9 refractory service locations. By enabling safer, mo re efficient steel and cement production, we are strengthening India's industrial backbone and supporting the 5 trillion economy vision with self-reliant supply chains.

This quarter, we maintained our strong market posit ion and achieved record revenue again to the tune of INR 1,092 crores despi te macro headwinds impacting the overall market.

We once again surpassed our INR 1,000 crores reven ue benchmark, a testament to our strong business fundamentals. EBITDA was 13. 7% this quarter, which is the highest in this fiscal year. Strong iron making project orders were delivered through OEM orders, coupled with good momentum in Fl ow Control and 4PRO delivered expected and tangible returns. Even thoug h the external environment remains demanding, our performance reflects the ste ady outcome of strategic decisions made consistently over a long period of t ime.

From an industry perspective, refractories continu ed to face structural pressure as domestic overcapacity additions outpaced demand and oversupply of imported commoditized refractory products further i ntensified market challenges. A similar situation exists in our core end market of steel and cement as well. And steel producers faced Chinese steel du mping, but safeguard tariff of 11%-12% in Q3 and production-linked incentives were introduced by government helped to curb low-price imports. Hence, India returned to a net steel exporter position in Q3 'FY'26 after 6 consecu tive quarters. However, it must be noted that the safeguard tariffs are only applic able for specific grades of flat steel products. Despite Indo European and Indo-U.S. trade deals, no further increase of imports -- exports in steel are to be e xpected.
Cement sector delivered strong shipment volume duri ng this year. However, margins wer

e under strain with capacity utilization between 55% and 60% only.
With a 10% year-on-year increase in government cape x, along with real estate focused policies in the recent budget, it is expect ed to improve utilization levels further.
The recent budget sustains strong infrastructure s pending across roads, railways, housing, supporting steel and cement dema nd. The construction and infrastructure equipment scheme will promote heavy equipment manufacturing, further boosting steel consumption. While the INR 2 0,000 crores carbon capture utilization and storage fund advanced decarbonizati on in steel and cement.
Together, 10% capex growth, the CIE Scheme and dec arbonization initiatives have created a structural opportunity for refractor y suppliers aligned to steel cement value chain. However, the industry continued to await targeted interventions such as duty relief on key raw materi als to enhance cost competitiveness.
The above initiatives are positive from a growth p erspective for our customers. However, we are cautiously optimistic due to the in dustry challenges. Our

strategic initiatives are gaining traction across b oth solution-led and product-led businesses. Our future focus for this and next year would be on strengthening the core while delivering sustainable long-term growth. Our focus areas for this year include expanding our 4PRO footprint across cement, steel, iron making sector. As you know, 4PRO means total refractory management with sustainability inclusive in that.
Focussing on our customer relationships and strengt hening our iron-making business by enhancing our presence in coke oven and blast furnace area by launching new DRI products.
Increasing our share in blast furnace runner manage ment and taphole clay supported by the commissioning of the semi-automati c taphole clay line in Jamshedpur.
Solidifying the HPI, Hydrocarbon Processing Indust ry business of legacy RESCO from U.S. in India and establishing a clear growth road map.
Continue with our cost optimization program to rema in competitive and control the spend with the right trade-offs.
Advancing our R&D agenda by optimizing recipe with recycling to support circular economy initiatives while escalating new product tr ansfer, development and portfolio harmonization.
Maintaining strict margin discipline to ensure sus tainable and profitable growth.
India remains a key market for global refractory su ppliers with competitive intensity high across products and customer segment s. Despite this, we remain confident in our ability to respond to challenging market needs. While remaining mindful of short-term challenges, we are cautiously optimistic about the path ahead.
Financial year '25-'26 till now demonstrated a res ilience, and we are now focusing on converting this into tangible gains thr ough disciplined execution and sustainable market share expansion. We are honored to have received recognition from both Steel Authority of India and Tata Steel Group, affirming the strength of our product quality and execution. SAIL 's Award for social governance excellence underscores our dedication to responsibl e business practices, While Tata Steel named us Agile Partner of the Year, high lighting our capability to deliver

in complex steelmaking environment, also, we have r eceived Safety Award from Tata Steel.
In summary, while challenges remain, we are confide nt that our strong fundamentals, disciplined execution and customer fo cus will sustain our growth momentum.
I will now hand it over to Azim to take you throug h the financial performance in detail. Thanks a lot.
Azim Syed: Thank you, Parmodji, and good morning to all. Let m e now walk you through the financial results for the third quarter of FY '26. Despite market headwinds, we achieved

our highest ever quarterly revenue of INR 1,092 crores. This reflects a sequential growth of approximately 5.5% over Q2 FY ' 26 and a year-on-year increase of 8% versus Q3 FY '25. This growth underp ins our strategy in action. This growth was driven by 4PRO wins across steel pl ants and project deliveries in iron making.
Average realization improved sequentially, rising to INR 80,410 per MT in Q3 FY '26 from INR 73,237 per MT in Q2 FY '26, reflecting an improved product mix, onetime performance bonuses and pricing discipline. The same is reflected in adjusted EBITDA at INR 150 crores, which marks a 36 % improvement over the previous quarter and 14% year-on-year. EBITDA margi ns improved to 13.7% compared to 10.7% in Q2, driven by the same reasons which we mentioned for realization.
Profit after tax for the quarter stood at INR 62 c rores, up by 61% quarter-on-quarter and 29% year-on-year. Additional employee c osts arising from the new wage code implementation and higher costs due to ru pee depreciation pressured margins, which was offset through operati onal excellence program, which focuses on better manpower planning, machine level loading and tighter control over discretionary spends.
I am pleased to share that we recorded highest eve r operating cash flow at INR 289 crores in current quarter, representing a 627% quarter-on-quarter increase. This improvement was driven by strong EBITDA growth , disciplined working capital management, particularly tighter inventory control and improved collections.

Turning to the balance sheet. We continue to opera te with strong capital discipline. Between Q2 and Q3 FY '26, the net debt re duced from INR 200 crores to a net cash position of INR 35 crores. Hence, net debt to EBITDA ratio improved from 0.5x to minus 0.1x, which is the first time ne gative leverage post-acquisition. This reflects disciplined capital allocation, robus t cash generation and tighter working capital management.
We now have ample capacity to fund working capital requirements and pursue any growth investment without over-leveraging the c ompany.
Looking ahead, we remain confident and realistic qu arters driven by a robust order book and pricing initiatives, input cost opti mization through our productivity initiatives and normalizing raw materi al costs.
In closing, RHM Magnesita India delivered solid to p line growth with strong margins in Q3 despite industry headwinds. Business fundamentals have positioned RHI Magnesita India for success through strong industrial demand, solid execution and strategy and a healthy balance sheet.
Thank you to all our stakeholders for your continu ed trust and support. We will now open the line for questions.
Moderator: The first question is from the line of Garvita Jain from Seven Islands PMS.
Garvita Jain: I have one question. As mentioned that there was on etime bonus received. Can you quantify what was the amount of the bonus recei ved during the quarter? Plus, what are the other factors which are driving the ma rgins for us and the sustainable margins?
Parmod Sagar: When Azim said one-time bonus, it doesn't mean it i s one time. During the last

quarter, we did some ladle and converter lining. An d over a period of time, it starts to realize as bonus because there's a guarantee cla use and when you are overachieving that guarantee, then you are getting bonus. So that we got in this quarter, and we assume that it will continue in nex t quarter as well. Because whatever we supply to the steel industry on guarant ee basis, it is yielding results in terms of bonus.
Garvita Jain: You are clear about the process, but I am asking wh at is the amount that we have received this quarter? And how much are we expectin g for the next quarter also?

Azim Syed: We don't give those outlooks for th

e current perfor mance. We don't separate out that performance purely because it's very difficult even for us also to model this because it has multiple factors. One, how many contr acts we have. Second is also the performance of the products and when it wi ll be realized based upon the steel production or consumption of our material. So we don't give out this information. We have never done that historically, we will not start to do that now also. Thank you.
Garvita Jain: The amount of bonus cannot be disclosed?
Azim Syed: No. We don't do that because of the variability, as I mentioned earlier.
Garvita Jain: Okay And the margins this quarter despite this bonus has increased because of what are the reasons, sir?
Azim Syed: Yes, absolutely. Sorry, the question was not clear.
Garvita Jain: It was because of the product mix majorly, right?
Azim Syed: Absolutely. In the previous quarter, we had high ce ment orders as well that had a lower realization rate. This time, we have low ceme nt orders. We also have some high-margin OEM orders that also contribute to the i ncrease in the margins as well along with the performance bonus.
Garvita Jain: Okay. Thankyou sir
Moderator: The next question is from the line of Amit Agicha f rom HG Hawa.
Amit Agicha: Congratulations for a good set of numbers. So what is the total installed capacity across plants and the utilization rate? And what wi ll be the peak revenue if the plant is 100% utilized?
Azim Syed: So the current quarter capacity utilization on a co nsolidated basis is 64%. Again, the installed revenue on overall capacity utilizati on cannot be directly derived because of multiple reasons. One is the pricing abil ity, in Chairman's remarks, you have clearly heard that we have quite a bit of a market headwind, So the realization rate is subject to (especially for the commodity products), it is subject to the market conditions. So you cannot directly co nsolidate it.
Second reason is that our lines are sometimes flex ible, which means sometimes we can do different product portfolio on the same l ine. So it is very difficult for us to say that if fully produced, you're going to get this because in some months, we

have project orders, , especially for the industria l, let's say, like NFM, glass, which has higher realization rate versus a cement brick, which has probably a lower realization rate, it will completely change up the number.
Having said that, the line process is completely d ifferent, the raw materials and the recipes that we use are completely different. S o unlike cement or steel industry, it's very difficult to directly give an e stimate here.
Amit Agicha: And sir, the next question is about the recycling p ercent target. Like, currently, I think so in the presentation, it is mentioned 19%?
Parmod Sagar: Yes. So our target is to take it beyond 20% in comi ng year. It will be a gradual process. You cannot jump from 19% to 25% or so. You need to see the products where you can increase without impacting any qualit y or performance. We are not compromising. We are using recycled material af ter thorough processing as raw material, not just taking out a used material a nd crushing and putting it in some place. It will be gradual, but still we are do ing reasonably well.
Amit Agicha: Thank you for answering question.
Moderator: The next question is from the line of Rajesh Majumd ar from B&K Securities.

Rajesh Majumdar: Yes, sir. So I had a question on the realization. W hile it has jumped from INR73,000 to INR 80,000-odd sequentially, this capt ures some part of the performance bonus. Is that correct? So what is the realistic realization growth that has happened this quarter? And what is the sus tainable realization per ton? I just want to get a hang of the price increase tha t you have got, that's all.
Parmod Sagar: Rajeshji, yes, it has an impact of

bonus in realiza tion, but it is not substantial that it cannot underline that it is because of bonus, ri ght? And it will keep on changing also depending upon the product mix, like this quar ter, Jan, Feb, March is a lean period for cement industry. So it will have a diffe rent impact on volumes and profitability in that particular segment. But at th e same time, if you have a high end, like Azim was saying, glass order or coke oven order, then it also rectify it, neutralize it also. So I think anything between 76 to 80 should be the numbers are healthy, numbers without any performance bonuses, e tc.
Azim Syed: Also, just to clarify for everybody on the call, wh at do we mean by performance bonus? This also has an impact on the realization r ate in the previous quarter, for these contracts, we have installed the material, th at means we have taken a cost in our P&L and we have not realized any revenue or profitability because you earn

after the product performs. So, there is a lag in t he way we earn the money for the cost that we have incurred in the previous quarter.
So this also has an impact on the realization rate s as well. We call it bonus because it comes a bit late and also it depends upo n how much performance it gives. So although it's called a bonus, it's just a lag effect of the materials that we install and the performance of the product. These b oth determine our performance bonuses.
Rajesh Majumdar: Yes, sir. That's useful. Just a follow-up question on the margins. So we had guided 14% to 15% margin that we are going to see in terms of our normal business coming through in fourth quarter. This is without t he project order.
Parmod Sagar: Rajeshji, there's a saying, Ye Dil Mange More. The heart also asks for more, but we have too much headwind. I still say we wanted to have a sustainable margin between 14%- 15%. This is our wishful thinking and not only thinking, we are working towards that with various processes and lev ers, actions in place. That's why you see upside in this quarter. And I cannot pr e-empt for the next quarter, but I think we should be now in this line in coming days as well. Whatever the action taken, it will keep on yielding results in c oming days as well.
Rajesh Majumdar: Thank you, sir.
Moderator: The next question is from the line of Mayank Bhanda ri from Asian Market Securities.
Mayank Bhandari: Thank you for the opportunity. Sir, what would be the export contribution in the 9 - month...
Parmod Sagar: It is flat as of now like last year, 9%-10%, the in ternational market is so docile. We did a lot of trial, but I think in last quarter als o, I mentioned this, maybe in '26 April onwards, we will have some upside in exports becaus e whatever trial we did in these 9 months and are doing in this current quarte r, probably it will start converting into orders. So there will be some uptic k.
But at the same time, it will not be exponential be cause the export is only isostatic and slide gate refractory, which we call flow control. So flow control, tonnage-wise or revenue-wise is about 25% of your t otal revenue. So if it is 25% and if it increases, maybe from 9%, 10%, it will go to 11% or 11.5% or 12%. It will not be from 9%-10% to 20%,

Mayank Bhandari: So flow Control contribution also is, I mean, flat Y-o-Y means the overall, as part of the overall revenue?
Parmod Sagar: There is a bit of increase, but not substantial.
Mayank Bhandari: Okay. And just on the margin, if you could just give a flavor on the Q4, what we are expecting in terms of margin?
Parmod Sagar: That's what I said to the Rajesh Ji also. We expect , it should be on similar lines, if

not better.
Azim Syed: Slightly better.
Parmod Sagar: We have to be a bit cautious because of market cond itions.
Moderator: The next question

is from the line of Abinash Swame nathan from NAFA Capital.
Abinash Swamenathan: Congrats on a good set of numbers. Just a couple of questions. So earlier, say, 5-6 years back, we were completely focused on the ste el segment, and now we have progressed into the cement and iron. Is it bec ause of the stagnation in time, the time growth in the steel segment that resulted in us exploring this lower-margin opportunities? That's number one. Number two , can you also quantify our current market share in steel, cement and iron.
Azim Syed: So I will take this. I think our strategy always h as been to grow in refractory business. And if you're covering steel market, you will very well know that the Indian GDP consumption for cement is the lowest in the entire world, especially for the middle class market. So because of this, we are, very clearly seeing that the infrastructure spend would be also going higher from a government perspective.
So these two factors point to a very clear realiza tion that the cement market is going to boom in the upcoming years. I'm talking 2 years back. And today, it's a reality. Even in the current union budget, you can see the amount of infrastructure spend was allocated. So with this in mind, we wanted to also grow in the cement market. And hence, we did a couple of acquisitions that supported our cement growth market.
To clarify the second question. Although it is lowe r realization, there's going to be a good growth opportunity. And our strategy from th e beginning was that we want to be having the highest market share and grow with the market where possible

or in some cases, outgrow the market as well. And t o outgrowth of the market, we are focusing more on the iron making DRI, coke o ven and pellet business. Now coming to the market share, we have about 32% market share in the steel side. And on the cement side, we have close to abou t 40%- 41% of market share in the business to answer your question.
Abinash Swamenathan: Just a follow-up. In the cement segment, last quart er, we said that the margins have improved to 11.4%. So how is the margin for th is quarter?
Azim Syed: Sorry, can you repeat the question? The margin was how much you said in the last quarter?
Abinash Swamenathan: So in the last quarter, we were told that the margi n in the Cement segment specifically was 11.4%. It improved from 8% to 11.4 %. So what could be the margin from this quarter?
Azim Syed: We normally don't give out the margin separately by steel and cement. I'm just -- I cannot recognize that number, but...
Parmod Sagar: Probably, you are saying from Dalmia plant.
Abinash Swamenathan: That's right.
Parmod Sagar: Right? It is not cement, but yes, primarily it is t he industrial business. So that is almost at same level, 10.5% to 11% or so.
Azim Syed: Exactly right.
Abinash Swamenathan: Perfect. Congrats on a great set of numbers.
Moderator: The next question is from the line of Pathanjali Sr inivasan from Sundaram Mutual Fund.
Pathanjali Srinivasan: I have a couple of questions. So firstly, can you t ell me what is the revenue mix for the quarter between cement and steel? And did w e get any benefits of new plant commissioning in this quarter?
Azim Syed: So let me give you the number for the ratio between cement and steel. So steel was at about 80%. Industrial was 20%, of which ceme nt in particular, was close to about 10%. And for the greenfield, yes, we have signed some new contracts

with some of the greenfield project with one of the biggest industrials, integrated steel plants somewhere in Punjab.

Azim Syed: We just signed a 4PRO contract with Tata Steel Ludhi ana in the month of January, which will get commissioned somewhere in the middle of the year, we'll start taking the benefit.
Parmod Sagar: Middle of March

, probably they have a target to com mission. So next fiscal, it will be upside. The business should be on the tune of, s ay, INR 50 crores to INR 60 crores additional business from that 4PRO business.
Azim Syed: Exactly.
Parmod Sagar: And it is end-to-end furnace, ladle, ISO and flow c ontrol, everything. The first time in Tata Group strategy, they have given from the co mmissioning stage 4PRO contract to any refractory industry in the world. S o that is a big achievement, I'd say.
Pathanjali Srinivasan: Great, sir. And next question I have is, with respe ct to the quarter, we saw a fair bit of improvement in margins. So can you explain h ow this margin switch has happened? Is it because of improvement in pricing w ith respect to product mix? Or is it because of a general reduction in input cos ts? What is the lever that's helping us to generate this higher margin?
Parmod Sagar: We cannot pinpoint one lever. We are working on man y things. Raw material softened a little bit, yes, but we are seeing input cost. At the same time, we did operational excellence in our plants to control the cost. We started working on optimization of recipes, product specification to t he, exactly to the requirement of the customer, we started increasing our recyclin g rate in our plants.
We are working on reducing our scrap rate or rejec tions. So there are multiple things. At the same time, we are very cautious abou t pricing with our customer wherever we need a price increase, we are pushing f or that. And at the same time, if the pricing is bad, we are not into rat race.
Pathanjali Srinivasan: Yes, sir.
Azim Syed: We are not into rat race for getting the order at a ny cost. We have our internal strategy up to what level we will go for an order o r if it is below that, we will not go.
We will leave it. So these are yielding results.

Pathanjali Srinivasan: Okay. So if you had to bifurcate like we had a 200 b ps improvement in gross margin. How much would you say came from internal e fficiencies and how much is from RM softening?
Azim Syed: Your question was not clear. Bifurcation of what yo u were speaking, can you please repeat?
Pathanjali Srinivasan: Yes. So the 200 bps improvement that we have in gro ss margins, could you tell me like how much of it came in from internal effici encies and how much of it is from softening of raw materials?
Azim Syed: You cannot see the direct bifurcation, but if you h ave to make an assumption, you can look into the other expenses. Maybe that will g ive you a very good idea in terms of how we have improved our operational cost as such. From a per ton perspective, that's one of the ways to look at that . But again, it's a super high level, just from assumption purposes, you can use t hat.
On the material cost, you can say that although we h ad a softening in the alumina prices, this was further negated by FM, graphite an d bauxite price increases as well. so you need to take this number with a pinch of salt here...
Pathanjali Srinivasan: I do get the broad reduction in other expenses, tha t is second. Only thing is the improvement in gross margin. Is it a pricing functi on where we went for a better quality of product mix? Or is it because we had bene fit from input cost margin? So I'm just trying to figure out the mix...
Azim Syed: As Parmodji mentioned, see, in the previous quarter , we had low-margin cement order. So you had a realization impact. This time, you don't have the low-margin cement order. Second, we had more converters, RH de gassers that we sold in the current quarter. So you had a product mix impro vement as well. Now as Parmodji mentioned on top of this, we had some oper ational excellence programs, which we do normally.
Every quarter, we do this as a part of our continu ous effort where we are focused on operational excellence program, which focuses on two things. O

ne is
productivity. Second is on the safety measures. So this also aided our benefit

because as you saw that our volumes are lower, whic h means that on the cement side, we had lower volumes.

The question is how do you effectively plan your m anpower, raw materials and finished goods and these kind of operational excell ence program have further improved our results. I hope that gave a clarity.

Pathanjali Srinivasan: Yes. That explains it very well. I just have one la st question. Can you tell me like what is our target with respect to this traded good s volume that we have with our parent? And are we trying to substitute that with a bit of domestic production going forward? Do we have any strategy there in pla ce?

Azim Syed: Absolutely. So your voice was not clear, but let me repeat the question. Your question was what is the target that we are looking forward in the trading percentage. The answer is that we don't have any sp ecific target there. But if you ask me differently, do we want to localize it? Yes, you can see in our investor deck on the R&D page in terms of the amount of new produ ct transfers and development we are doing.

Again, the focus is more to get some highly specia lized product, especially in the area of cement and some of the high-end technically advanced solution. We are in the process of transferring now. Once we have tra nsferred the technology, we need to localize it to the local market demand.

So yes, our domestic production on this product po rtfolio will increase quarter-by-quarter. It will be a slow and steady increase b ecause we need to have the product acceptability. We need to demonstrate throu gh various trials. And once there's an acceptance, we will see the production v olume increase. I think you are seeing this in the trading percentage also goin g low as well. So over the course of years, yes, it will increase.

Pathanjali Srinivasan: Yes. Just to continue on that, I get that you are, directionally, you're moving towards a higher mix. I'm just trying to figure out what would be our long-term or say, a 3-year target in terms of how much of our vo lumes would we want to keep entirely from our domestic production? Because I th ink today, 40% roughly in terms of volumes is from the traded parent. So what would be a number that we would look at to achieve a couple of years down the line?

Azim Syed: So these volumes are not only the parent company, t hese volume also includes the toll manufacturing as well. So please bear that in mind that it's not like 40 percentage of the volumes we are completely trading , we're getting from the group. That's the first assumption I want to clarif y.

The second, is that if you think about the product transfer, we look at it from how much of added benefit it will have. Again, based on multiple factors, one is the closeness of raw material. Some of the products are very closer to our parent company's raw material production, So you get quite a bit of unique geological benefit. Of course, these products we will not trans fer. The products we will transfer is that where we have availability of raw material, our ability to produce the technology. And third, of course, is a solid bu siness case. We only entertain if the business case’s ROIC is in double digit. Once these three things gets qualified, that's where we make the investment and ensure that it's moving.

At the moment, if you look at it, we are more focu sing on our industrial business, which is cement, nonferrous metal and glass. So thi s is where we are focusing apart from some of the acquisitions that we have do ne recently. So this is where we think about how we can localize the product port folio.

We'll not give the percentage because it will tip off the market in terms of what are the product

s we are bringing in here as well. B ut we will keep on updating whatever products get transferred. On Page number 17 , we can see in the investor deck something similar, we will start to p ublicize this.

Moderator: The next question is from the line of Ashish Kejriw al from Nuvama.

Ashish Kejriwal: Many congratulations for a good set of numbers. Sir , my question is again on the margins. As you rightly pointed out in the beginnin g of the conversation that

situation in the market is not so great in terms of oversupply situation. But at the same time, if you look at the profitability of stee l businesses, that has improved significantly in last 2 quarters or last 1 quarter.
So do you think that from here on, if any margin in crease could happen, will it be possible for us to take price hikes to improve the margins? Or its margin improvement can only depend on our product mix or i nternal efficiencies? That's my first question.
Parmod Sagar: We always try to get price increases from our custo mer wherever is possible. At the same time, market is so overcapacity. And with due respect to our competition, most of the competition try to grab or der at any price. So when they are so aggressive to get the order then getting pri ce increase becomes very, very difficult.

In one of the cases, I just gave you an example in one project, cement project, we were at 8% margin and then the counter came to us w ith 13% lower margin, 13% negative margin. And one of our competitors took th at, and it is not a B or C grade competition. It was A grade, our level of competiti on.
So some people try to just grab the order to fill their additional capacities, which they have created. So it became very, very difficul t to go and say, I need a premium, I need a different pricing than the compet ition. So best way is how you can control your cost, how can you increase your ef ficiency, productivity, reduce your scrap rates, increase your recycling -- so we are working on that.
At the same time, we will keep on striving for pri ce increases. As you said, steel industry, if they will have a comfortable situation with their margins, definitely they will not be so rigid about price. But at the s ame time, industry as a whole has to behave responsibly.
Ashish Kejriwal: Understood. And secondly, whatever cost benefit we could have taken on account of raw material cost lower that we have alr eady factored in. And from here on, we are not expecting at least for a quarte r or two, any raw material cost advantage to kick in the P&L?
Parmod Sagar: Yes, I fully agree with you. We don't see now becau se alumina prices are at its bottom. So it can go up, it will not go down furthe r. Magnesia, if we talk about, it has a bit of upside, and I don't see it will go fur ther up. So I can say it can be a status quo for the next 2- 3 months to maybe 4- 6 m onths. There will not be a substantial delta, upside or downside.
Ashish Kejriwal: And lastly, sir, because now we are into net cash s tatus. So two things, either will promoters will be willing to buy stake if Dalmia tr ies to reduce their stake from 13%? Are the companies willing to increase our stak e? Or are the promoters willing to increase the stake in the company? Or wit h this cash status, are we more inclined to go for any inorganic expansion?
Parmod Sagar: As of now, nothing is on the table. We have not dis cussed anything at length whether we want to buy back those shares or not. Ma ybe if Dalmia has to come forward, whether they want to sell it off or not, a nd then we will take a call whether we want to or not. And about the second part, what we are saying is inorganic that also we don't see in '26.

I wanted to consolidate whatever we acquired but a gain, if the Group company will push us, this is great opport

unity, we should do that, we will definitely try to do that. But as of now, my idea is just to consolid ate, bring the margin level to a respectable level, sustainable margin and then thin k of further expansion or acquiring the company.
Ashish Kejriwal: Very clear. So at least promoters are not averse to buying Dalmia stake if it comes in the market?
Parmod Sagar: I'm not saying they are not averse. We have not eve n discussed because Dalmia's has not reached out to us whether they want to sell off their shares or not. When they will reach out, then we will talk to the paren t company, Stefan Borgas, our Global CEO. And then we will come to know whether th ey are averse or not

averse.
Moderator: The next question is from the line of Sahil Sanghvi from Monarch Networth Capital.
Sahil Sanghvi: Congratulations again for a record revenue number. My first question is, if you can help me understand what is the percentage of im ports that is posing a big competition to our Indian market. I mean, what is t he percentage to our total demand, if you can give some number? And also, what kind of products are these? Are these largely brakes or just a bit of co lour on that? What kind of products are these?
Azim Syed: So our export revenue percentage for the Q3 number i s 11.
Parmod Sagar: He is asking import.
Azim Syed: Import. Okay. My apologies. I misunderstood it. Yes. So we group this number with the set of the trading percentage numbers. We don't give out this specifically because it gives us a little bit of a competitive e dge in terms of the product profile that we import, Sahil.
Sahil Sanghvi: I think, sorry, I'll just rephrase my question. I m eant as a country, the kind of imports that we are having, which is posing a threa t to the overall -- how it's getting an oversupplied market. So just that, on th at colour, I mean, Parmod, sir, did allude to a lot of imports coming. So yes…
Parmod Sagar: So Sahilji, mostly, there are two buckets. One is w here we have a technological advantage like our product like ANKRAL. Everyone, o ur competition over the

ages, years after year try to copy that, they could not because of some inherent raw material available with us, and this is a very niche product. So we cannot make it in India, So we will keep on importing beca use for electric arc furnace, this is the heart of that performance, and that giv es us a lot of advantage over our competition.
So same way, there are a few products. I'll just g ive you one example. There are a few products where we have real technological advan tage and we have a raw material over there, so we don't want to shift it t o India. There are some products which we are still importing and we are doing the a ccreditation in Indian plants. We are doing the trials in Indian plants. And gradu ally, we will shift those products to our Indian plant to take this capacity level fro m 64% to 75% and beyond. So it is a time-consuming process.
We are doing that gradually. We understand the mar ket dynamics. If we go local for local, we have advantage with the same product because we will be doing technology transfer to Indian plants. So these are 2 buckets. One, we will not touch. The other, we gradually will shift to India.
Sahil Sanghvi: Right. Right, sir. And, so second question is that in FY '25, the total revenue contribution from total refractory management was r oughly 41%, as I can see in the annual report. Any sense you can give what that number could be this year? I mean, maybe ending this year or currently where we are on that number?
Parmod Sagar: Ending this year, probably will remain same. Next y ear, we should have an advantage of 4% to 5% upside, Arora and this Tata a nd all those things. So it will be up 4%-5%.
Moderator: The next question is from the line of Swaraj Mehta from Perpetual Capital Advisors.
Swaraj Mehta: Congra

tulations on a good set of numbers. I wanted to understand from the induction furnace point of view, could you provide a breakdown of the revenue contribution from induction furnace and ramming mas s within your portfolio? And how do you see the market of ramming mass devel oping? Like how is it going from unorganized to organized? And what matters for induction furnaces? Like is it the cost proximity or price for ramming mass?
Parmod Sagar: When you talk about ramming mass, it is a very gene ric term, ramming mass. There are silica ramming mass, which people are usi ng. We don't make silica

ramming mass. So one product which you are talking about is not under our radar. There are some other ramming masses like neu tral ramming mass that we want to pursue. We did some trials, we will definit ely be more aggressive in that market. If you talk about induction furnace, I don' t know why you're so much interested only in the induction furnace, but I don 't have any hesitation to say it is about INR 500 crores business or so.

Moderator: The next question is from the line of Praveen Jayar am from Avendus Spark.

Praveen Jayaram: Sir, my question is also in the line of localizatio n. So we understood that we won't be giving a specific number unclear, but directiona lly, how have we been in this localization trend when we compare to our last year 's when we were giving out the trading numbers?

Azim Syed: Sorry, your voice was not -- we could hear you, but your voice was not clear, so we couldn't understand your question.

Praveen Jayaram: So I understood that we won't be giving our trading numbers, which you were giving during like last year con call. So direction ally, how have we been in this localization journey when we compare it to last yea r, even if it is not a specific number?

Azim Syed: Absolutely. We have introduced quite a bit of new p roducts, especially on the iron making side, wherever we wanted to make -- which al igns with our strategic initiatives, we were able to make quite a bit of a significant progress. Hence, in the last 3 quarters of our investor deck, we are ma king it absolutely clear what are the kind of products that we are doing. Our foc us will increase rather than stable, hence this will increase.

As I said, it has multiple factors. One is our abi lity to get the raw material. Second is our ability to localize these recipes for our In dian customer needs. Third is trial stage and fourth is acceptability. So if you think about in this whole process, we have introduced quite a bit of new products on the iron making side. We'll continue to do so. We have done something on the ce ment side. We will continue to do so. And now we are also importing quite a bit of advanced technical specialized refractory for the upcoming quarters as well.

Praveen Jayaram: Sir, my second question is again a follow-up to an earlier participant. So we were discussing about our margin levers where we discuss ed about price increase, internal efficiency or volume growth. In that, whil e we were discussing about

price increase, with the competition scenario right now, price increase will not be something which we can go aggressive on. But the realization which we are at right now, is that sustainable? Like I heard the nu mber to be INR 78,000 to INR 80,000 range. Is that trend sustainable with the co mpetition intensity right now?

Parmod Sagar: As of now, yes, we think it is a sustainable number , in the short term. But market is so volatile, I cannot predict after 6 months or so what will happen. But as of now, yes, it is sustainable.

Azim Syed: At least for 3 months

Praveen Jayaram: Sir, in the Total Refractory Management contracts, which we enter, we would be willing to rate upfront for a certain period?

Parmod Sagar: Yes. Yes. We have to

fix rate for a certain period, and then there's a rate negotiation or price negotiation periodically. In s ome cases, we are 6 months, in some cases, it's 1 year.

Praveen Jayaram: Right. Right. And this contributes to 40% to 43% of our business?

Parmod Sagar: As of now, yes, 40%-41%, I think.

Azim Syed: It's 33 percentage is for the previous quarter. I t hink 45% is not the right number. I think one of the analysts mentioned that for FY ' 24, it was 31.3%. In the current quarter, it is 33.1%.

Praveen Jayaram: Right, sir. So this includes both 4PRO and TRM?

Azim Syed: Yes. See, we stopped doing TRM because as Parmodji mentioned earlier that we wanted to include 2 piece here. One is the planet pi ece, which is the sustainability part in terms of how we can effectiv ely get the recycled material from our customers. Second is also the usage of rob otics and robotics using artificial intelligence to ensure a safe and highly productive operations for our customers. So that's why it's slightly different th an the previous TRM, but TRM is a subset of 4PRO. Let's put it like that.

Parmod Sagar: Yes. So your question and whatever you asked is rig ht, it is a combination of TRM and 4PRO. In some cases, it's still TRM. We did not succeed to get the material back or putting a robotic or artificial intelligenc e. It is very, very conventional TRM in most of the cases. In some cases, it is 4PRO. But now we start using

terminology of 4PRO, just to emphasize on our custom er, on our team itself, that this is the way forward.

Moderator: The next question is from the line of Neha Jain, an Individual Investor.

Neha Jain: Sir, I just wanted to understand for these new prod ucts that are in pipeline, how can we expect the contribution in the coming year f or '27? Like what percentage can be expected in the next 1 to 2 years?

Azim Syed: So if you refer to Page number 18 in our investor d eck, you can see that Magnesia spinel bricks for our cement customers. So we are a lready selling these products to our customer today. Now what will happen is that we will localize this production rather than getting it as an imported pr oduct. So you will get a working capital benefit here.

And you have the Mag-Chrome bricks for RH Degassers . We will be localizing the production because, again, you pay lesser productio n cost maybe comparing to the place where we are importing this from today. P lus on top of it, we save on the transit time. So there are various advantages, some will be additional revenue, some will be you get a working capital ben efit, So this is the way we see this improvement per se. Again, it depends on the p roduct portfolio and other things, but yes, definitely, it will overall improv e our margin by very, very lesser percentage. But on the overall net cash performance , you will see quite a huge benefit, Neha, if that helps.

Neha Jain: And coming to the working capital part, do we have a lot of stress due to the PSU receivables?

Azim Syed: can you please repeat question? Again, it was not c lear.

Neha Jain: Stress due to PSU receivables on the working capita l front.

Azim Syed: Yes, we do have healthy receivables from the PSU fr ont. We don't see any big challenges today as probably we had once -- last ye ar, it's improved quite significantly. Again, that was only with RINL. And I think there, due to the cash infusion on the RINL side, it has improved. It is g etting better and better. Still, we have some collectibles. But overall, we are in a ve ry healthy position with our PSU.

Moderator: We'll take the last question from the line of Rajes h Majumdar from B&K Securities.

Rajesh Majumdar: Sir, one question on the sector, IFGL Refractories. We've seen a lot of CEO exits, and what is happening in that company? Is the compa ny up for sale? O

r what is happening there? Are they competing also actively i n the market? Or what do you see happening there?

Parmod Sagar: Look, we love IFGL. I don't want to give any commen ts on that. But I'm really surprised to see their results. I don't know what w ent wrong. Only thing is that they are trying to be everywhere. Their core streng th was flow control, etcetera, but now they are trying to be everywhere. Their emp loyee costs have gone up exceptionally. I don't know why. Rajeshji, you are sitting in Calcutta. I thought you will give us some feedback...

Rajesh Majumdar: Yes. I think that industry structure can change qui te a bit if IFGL scales down or whatever is what I was thinking.

Azim Syed: I think you need to ask them, not us because you ca n ask us about 4PRO, about our margins, we will be able to explain this better . hopefully.

Parmod Sagar: that's why I started with we love IFGL. So as the m anagement, we are all friends.

Azim Syed: Great.

Rajesh Majumdar: No, sure sir. Congratulations once again on your nu mbers.

Moderator: Ladies and gentlemen, that was the last question fo r today. I would now like to hand the conference over to Mr. Parmod Sagar for cl osing comments.

Parmod Sagar: Thank you very much, dear investors, shareholders, analysts for your continuous support. Keep guiding us, keep asking us sometimes not so comfortable questions so that we are more agile, we are more pr epared and keep on pushing us. We love to be under a bit of pressure to delive r good results.

So I can assure you, at RHI Magnesita India Limite d, we are trying our best to further improve the results, further improve the pe rformance and the investors should get their due benefits -- by investing in th is company, which is having a very strong fundamental. And in coming days, it wil l further improve. So thank you very much for this call and your trust on us. Have a good day.

Moderator: On behalf of RHI Magnesita India Limited, that concl udes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2026

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3 June 2026

To,

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001, India
BSE Scrip Code: 534076 National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block, Bandra
Kurla Complex, Bandra (East)
Mumbai – 400 051, India
NSE Symbol: RHIM

Dear Sir/ Ma 'am,

Sub: Transcript of Conference Call – fourth quarter and financia l year ended 3 1 March 2026

Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements), Regulations, 2015, and further to our earlier intimation dated 26 M ay 2026 , the transcript of the conference call held on 30 M ay 2026 , for discussing the earning performance of fourth quarte r and financial year ended 3 1 March 2 026 , is annexed herewith.

The same will also be uploaded on the Company's website at the below link:

https://www.rhimagnesitaindia.com/investors/investor -meet

Kindly take the same on record.

Thanking you,

Yours faithfully

For RHI Magnesita India Limited

Sanjay Kumar
Company Secretary
ICSI Membership No. -17021

RHI Magnesita India Limited
"Q4 FY '26 Earnings Conference Call"
May 30, 2026

M

ANAGEMENT :

MR. PARMOD SAGAR C HAIRMAN , MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER ,
RHI MAGNESITA INDIA LIMITED

MR. AZIM SYED W HOLE TIME DIRECTOR & CHIEF FINANCIAL OFFICER ,
RHI MAGNESITA INDIA LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the RHI Magnesita India Limited Earnings Conference Call Q4 FY '26. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch-tone phone. Please note that this conference is being recorded.
Before we get started, I would like to point out that some statements made or discussed on today's call ma y be forward-looking in nature and must be viewed in conjunction with risks and uncertainties that we face. The company does not undertake to update these forward-looking statements publicly.
I now hand the conference over to Mr. Parmod Sagar, Chairman, Managing Director and Chief Executive Officer from RHI Magnesita India Limited. Thank you, and over to you, sir.
Parmod Sagar: Good morning, everyone, and thank you for joining us today. Financial year '26 was a resilient year for RHI Magnesita India, a year that demonstrated the strength of our strategy, our business model and the discipline of our execution. Despite operating in a challenging environment characterized by pricing pressure, inflationary cost trends, industry overcapacity and intense co mpetition, we delivered our highest ever annual revenue surpassing INR 4,000 crores for the first time in the Company’s history as well as in Indian refractory industry.
More importantly, we achieved this while strengthening our customer relationships, enhancing operational reliability, generating robust cash flow and maintaining disciplined ca pital allocation. Our performance reflects more than resilience. It demonstrates our ability to consistently create value while advancing our vision of driving progress in an ever-changing world.

The industry landscape in India continues to undergo a structural transformation. Government-led infrastructure investment, manufacturing expansion, supply ch ain localization and increasing industrialization are creating signif icant long-term opportunity across steel, cement, nonferrous metals and energy infrastructure. As these industries expand and modernize, the importance of high-performance refractory solutions continues to increase.
Against this backdrop, RHI Magnesit a India Limited remained a trusted partner to customers, ensuring un interrupted supply and operational reliability even during periods of ge opolitical disruption, including the Middle East conflict.
Let me briefly touch upon the industrie s that continue to drive our growth.
India further strengthened its position as the world's second largest crude steel producer during financial year '26, supported by the robust infrastructure spending, rapid urbanization and sustained government capital expenditure.
Steelmaking capacity has increased to approximately 165 million tons and is inching towards 300 million tons, in line with government policy. Steel remains our largest business segment, and we continue to strengthen our leadership position across integrated steel producers, secondary steel manufacturers and pu blic sector customers through our comprehensive refractory management capabilities and customer-centric operating model.

During the financial year '26, we furt her expanded our presence in the iron making and flow control segment through specialized products, enhanced localization, strong projec t execution capability and deeper strategic partnerships with customers.
One of our most important strategic differentiators is our growing focus on integrated solutions through our 4PRO platform by combining refractory products with automati on, robotics, digital monitoring, scanning technologies, process optimization, recycling an

d CO2

reduction initiatives. We are helpin g customers to improve productivity, reliability, sustainability across their operations.
Importantly, customers are increasingly recognizing the value of this integrated approach. During the year, we secured long-term agreements under the 4PRO framework and received highly encouraging customer feedback, validating both the relevance and effectiveness of our solution. Our objective is clear: to become the partner of choice rather than simply another supplier.
Technology leadership continued to b e a k e y g r o w t h d r i v e r o f o u r business. During financia l year '26, we successfully implemented India's first fully integrated robotic solution in caster operations, an important milestone for both our company and the industry. We currently operate two robotic systems successfully an d remain confident about expanding our automation footprint through additional deployment in the coming years.
Turning to the cement sector. Industry growth remained resilient during '26, supported by infrastructure inve stment, recovery in housing demand, GST rationalization and continued government focus on economic development. This sector continued to provide meaningful diversification to our portfolio while strengthening our industrial business franchise.
At RHI Magnesita, we firmly believe that the future of refractory industry expands well beyond product pricing. Historically, refractories have often been viewed as a commodity business. However, we are witnessing a fundamental shift towards de-commodi tization, driven by technology,
integrated solutions, performance-based partnerships and increasing customer reliance on specialized expe rtise. This transformation lies at the heart of our growth strategy.
Financial discipline remains a corn erstone of our operating philosophy. Despite market volatility, we generate d strong cash flow during the year through prudent capital allocation, di sciplined investment and continued focus on working capital efficiency. Our ambition extends beyond growth alone.

I'm also proud to share that during the year, RHI Magnesita was recognized with the prestigious CSR award from the Government of Andhra Pradesh and from Government of Tamil Nadu's Pollution Control Board for Environmental Excellence. These recognitions reflect our unwavering commitment to responsible and sustainable growth.
As we move forward, our priorities remain clear: driving profitable growth, expanding our technology lead ership, strengthening customer partnerships, accelerating sustainability initiatives and maintaining disciplined execution. The foundati on of our business has never been stronger, and we remain confident in our ability to create long-term value for all our stakeholders.
With that, I would now like to hand over to Mr. Azim, who will take you through our financial performance in detail. Thank you very much.
Azim Syed: Thank you, Parmod ji, and good morning, everyone. Let me take you through our financial performance for the fourth quarter and full year FY '26. FY '26 was a year of strong to p line growth, continued market share gains, disciplined cash generation and strategic investments despite one of the most challenging operating environments the industry has faced in recent years.
Revenue from operations increased 9% year-on-year to INR 4,000 crores, while shipments grew 5% to 523 kilotons. Our growth was broadly driven

by 3 key factors: strong growth in ladle solutions and electronic arc
furnace projects, continued expansio n in tundish and ladle slide gate
solutions, increased demand in the iron making segment, supported by
new coke oven and DRI projects. These gains enabled us to further
strengthen our market position despite a highly competitive environment.
FY '26 was characterized

by significant industry headwinds. The refractory
market continued to face excess capa city, aggressive pricing behaviour,
rising raw material costs, elevated freight and energy expenses with
increased commoditization. Against this backdrop, our focus remains
firmly on protecting market share, strengthening customer relationships
and building long-term value through differentiated solutions.

For this quarter, revenue stood at IN R 932 crores, reflecting the impact of
geopolitical disruption and a softer cement demand cycle, broadly in line
with the guidance we had provided earlier. Adjusted EBITDA for the
quarter was INR 113 crores with EBITDA margins of 12.1%. Adjusted profit after tax before exceptional items stood at INR 39 crores.
During the quarter, we recognized an impairment of goodwill relating to
RHIM IR. This was driven by a reassessment of medium- to long-term growth expectations, considering a combination of factors, including
weaker export demand amid geopolitical uncertainties, persistent
currency depreciation impacting raw ma terial costs, increasing industry
capacity additions, heig htened competition from imports and continued
inflationary pressures across key cost categories.
While these factors impacted profitabil ity during the year, it is important
to note that they do not alter our long-term strategic direction or our
confidence in the underlying growth opportunities available to the
business. For the full year, adjusted EBITDA stood at INR 477 crores with
EBITDA margins of 11.9%, compared to 13.7% in FY '25. Adjusted profit after tax for FY '26 was INR 180 crores.
Although margins moderated during the year, our profitability remained
resilient, considering the magnitude of industry-wide cost inflation and pricing pressure. For FY '26, we have earmarked approximately INR 135
crores of capital expenditure focused on operational excellence, product
innovation, selective capacity enhancement, automation and
sustainability initiatives. These inve stments are aligned with our strategy
of driving long-term profitable growth while enhancing returns on capital,
strengthening our competitive position a n d s u p p o r t i n g f u t u r e e a r n i n g s
potential.
Turning to cash flow and the balance sheet. One of the most encouraging
aspects of our FY '26 performance wa s our strong cash generation. Cash
flow from operations increased 9% year-on-year to INR 409 crores,
supported by disciplined working capital management and improved cash conversion across the business. As a result, we further strengthened

our balance sheet and ended the year in a net cash position, with net
debt-to-EBITDA entering to net cash positive at 0.1x.
This achievement underscores the qual ity of our earnings, the strength of
our operating discipline and our ability to generate cash even during periods of market volatility. Our ba lance sheet remains robust, highly
liquid and well-positioned to support future growth initiatives while maintaining financial flexibility.
L o o k i n g a h e a d t o F Y ' 2 7 , w e r e m a i n c o n s t r u c t i v e o n b o t h g r o w t h a n d
profitability. We see multiple driv ers supporting margin improvements
and earnings growth in the coming ye ar. First, improved demand across
core end industries; second, progressive implementation of price increases across selected products and customer segments; third, continued cost optimization through recipes, recycling and strategic sourcing programs.
Fourth, expansion into new industrial segments, including
petrochemicals following the RESC O acquisition; fifth, greater

penetration of our 4PRO platform, enabling high value-added solutions, improved realizations and stronger cost pass-through mechanisms. The last one would be improved fixed cost absorption supported

by stronger coke oven projects order book an d increased operational leverage.
In closing, while FY '26 presented si gnificant industry challenges, it also demonstrated the resilience of our business model, the strength of our customer relationships and the effectiveness of our strategic priorities vis-a-vis the competition. With a str onger balance sheet, growing market share, robust cash generation and impr oved growth visibility, we enter FY '27 with confidence and remain commi tted to creating sustainable long-term value for all of our stakeholders.
Thank you for your continued trust and support. We'll now be happy to take your questions.
Moderator: Thank you very much. The first question is from the line of Gaurav Khanna from Cap Grow Capital. Please go ahead.

Gaurav Khanna: My first question is that is it all the restructuring done? And what is the impairment of goodwill? And what is the road map going for FY '27 and FY '28?
Azim Syed: So, thank you so much for the question . So, you asked 3 questions, so let me try to do this in sequence. So, first thing is our outlook is that we still believe that from a growth perspective, we will outperform the market by 2%. And we say this with a lot of confidence now because our growth area is coming in iron making, DRI and pellet business.
I'm happy to report out that we have a strong order book for the next 18 months. We have secured one of the largest coke oven projects with one of the largest industry -- integrated steel players. So, this will ensure that o u r f i x e d c o s t g e t s a b s o r b e d , p l u s w e a r e a b l e t o k i n d o f g r o w i n t h e significant area. So, we are confident about the growth for next year with a firm order book in hand. Second, as you know that we have long-term contracts called 4PRO contracts. This means that most of the organic growth is also secured.
Second, on the margin side, at the moment, we are actively seeking price increases because of the recent input cost increases with our customers.
We are also happy to report out that we were quite successful in receiving most of the price increases where we were targeting in the particular product and customer segments. So, we should see all these tailwinds coming through in Q1 and also in Q2 as well.
So, to summarize this, we will have a better growth percentage that is plus 1 % t o 2 % t h a n w h a t t h e m a r k e t i s s a y i n g i n t e r m s o f s t e e l o r c e m e n t production. Second, our margins will be significantly better than what we have achieved in the last quarter, whic h is Q4 with the price increases and with the iron making fixed cost absorption that we were mentioning.
On the goodwill impairment, we took an assessment of the recent market changes that have happened. We saw that our export volumes were reducing quite significantly. Second, on the FX side, there is quite a bit of a deterioration and unpredictabili ty because of the geopolitical conditions, we have to consider th at, because most of the raw material

purchases, not only for RHI Magnesita, but globally, the business is done in USD. And as you know that INR and USD have the highest amount of volatility. We consider this factor.
And the third factor also is that th e number of new capacities that have been announced by the competition. Now we believe that these 3 factors along with the inflationary pressure, which also will be felt by our customers, we took a very prudent and conservative view. We said how much of this would commoditize the business in some specific areas and some specific segments. With this in mind, we prudently went for the impairment of the goodwill on the Da lmia assets only. Hope we answered the questions.
Gaurav Khanna: Okay. My last question is that going forward, any mo

re restructuring is
pending, or it is done now?
Azim Syed: Yes, it is done. It is all done. No more -- no further restru cturing is required.
Gaurav Khanna: Yes. Sir, I was asking any more restru cturing is pending or everything is
done right now?
Azim Syed: It is complete. No further restructuring is required, and we say this with
utmost confidence. Hope you are able to hear our answer.
Moderator: The next question is from the line of Praveen Jayaraman from Avendus
Spark Institutional Equities.
Praveen Jayaraman: Sir, my first question is related to the coke oven project. So, you
mentioned that that is one of the main projects which we see an order
book for the next 18 months. My que stion comes like whether this is a
project capex on client side or it is an operational one where we get order even after those 18 months. It's a continuous operational supply for them
or it's a one-time supply where they use it as a project capex?
Parmod Sagar: Coke oven is always a project, but there is not any capex required. This is
a normal production process, and we received a 30,000 plus tonne order,
it's a huge tonnage. And with the mines now transferred into our name and

earlier, we were buying from the mark et at almost double the price of our
mining cost.
So, with this order in place, mining in our name, we will not only absorb
our fixed cost, we will have better margins also because of our own
mining. And after 18 months, we believe there are 4 or 5 more coke ovens coming up, and we are very sure we will continue getting those projects, and this will at least continue for the next 3- 4 years' time when it comes to coke oven.
Praveen Jayaraman: Sir, sorry to -- like, I could not get it. So, if 4 or 5 more projects come, that
means like for us to increase our supply, we should have more coke ovens under us or will one coke oven give us continuous supply order?
Parmod Sagar: This order is for 2 coke oven batteries. And 5 more coke oven batteries are
coming up in next 2, 3 years' time. So, we believe that we will get at least
2 more out of the 5, very conservative approach. So, after the next 18 months, we will be able to continue at this high level of production with
the fixed cost absorption and with our own mining providing better
margins.
Praveen Jayaraman: So, post those 18 months, which you're saying, we can assume the 30,000
tons will be with us, and it can increase with more coke oven coming in?
Parmod Sagar: Absolutely.
Praveen Jayaraman: Got it, sir. Sir, my second question is on inventory side. So last time, we
had a commentary that higher cost inventory has been absorbed by Q3, and this can support going forward in terms of margins. But like, has this
been the case in Q4, sir? Did we see some inventory benefit coming in?
Parmod Sagar: It's offset by high-cost inventory, which is coming up for our basic
refractory, primarily fused magnesia and DBM. The high-cost alumina
inventory has already been consumed, and we are at a market level
pricing. But these magnesia-based pr oducts have gone up because of
energy cost increase in China, freight increase, etcetera, which impacted
Feb and March shipments.

And I believe it will continue with this inflationary environment. But at the
same time, we reached out to our customers, as Azim said, and
customers realized that this was necessary. If we want to continue the
supply, we need to agree to price increases. And we, in some cases, even got double-digit price increases. So, this will offset our inventory high-
cost values. Rather, it will prov ide a margin advantage as well.
Praveen Jayaraman: Okay. Sir, my last question comes on growth aspect. So, I heard the
commentary right now that we would be doing 2% higher compared to the
market. So, this 2% outperformance would be on the volume terms? Or
how do we co

mpare this?
Parmod Sagar: We should always consider volume because pricing is dynamic. It keeps
on changing depending on raw material pricing, forex, freight, etcetera. So, we should consider only volume. So, if the market is growing by 6%-7%, we will be growing at 9%.
Praveen Jayaraman: Sir, with the inventory which we have right now and the order book which
you have projected or which we have right now and the price increases
which we are taking in the market, what is our outlook on the EBITDA going
ahead, sir, margins?
Parmod Sagar: We are projecting for next year 13% EBITDA.
Azim Syed: For full year, it's 13%. Our business is cyclical. So, there will be some
strong quarters and Q4 is not usually our strongest quarter. You can see
this historically as well. So yes, fo r full year, please take the number as
13%.
Parmod Sagar: But Q1, we believe it should be a strong quarter.
Azim Syed: Agreed, Parmod ji.
Praveen Jayaraman: Understood, sir. Understood. Sir, wh en we say that we are going to
outgrow the market by 2% so, what do we consider the volume of market
in terms of refractory? Would it be like a steel market growth that into
consumption plus 2%? Or -- how do we generally say this
outperformance? Or how do we benchmark this comparison, sir? Or I can

a l s o p u t i t i n t h i s w a y . I f y o u t a k e F Y ' 2 6 a s a n e x a m p l e , w h a t w a s t h e
growth which the market had and how did we perform against that in
terms of volume?
Parmod Sagar: It was almost at par. I believe the ma rket grew by 6%. Our volume growth
was about 5%, a little bit below mark et. Why so in Q4? Q3 was okay. Q4,
there was some cyclic as Azim said, the cement industry is in a lean
period from October to December, even January. So that was the reason
volume-wise, we were a bit low. But Q1, we should be back with 1,000+
volumes again.
Praveen Jayaraman: Sir, where do we refer to 6% industry growth, sir?
Parmod Sagar: It is a combination. I'm not saying only steel, it is steel, cement,
nonferrous, glass, put together everything, the average growth is about
6%. Steel maybe grew by 8%, right? And nonferrous is 4%. So, it's the
combination of all the pieces where we are supplying various segments.
Moderator: The next question is from the line of Sahil Sanghvi from Monarch Networth
Capital.
Sahil Sanghvi: My first question is if you can help me understand what is the total
revenue that we have achieved in th e Dalmia assets and the margins for
FY '26, just to get a broad understanding of how we have grown on that
asset? Yes.
And the second question would be to understand, as we've mentioned in
the presentation that there is huge competition in the cement side also, and we've lost some bit of business. So, what's exactly happening over there? How are we trying to regain some of the business? And what will be our focus points when it comes to the cement side?
Parmod Sagar: So, we grew in Dalmia asset by 14%. Revenue was INR 1,153 crores as
against INR 1,013 crores of FY '25, so it is a 14% growth in that particular
segment and revenue has gone up to 10 .8% against 11.5%. So, in revenue,
we gr ew by 14% a nd EBITDA is a lm ost at t he same leve l a nd not much
difference. What about cement you are saying, I would be very specific

that competition has put up a lot of ca pacity in the last 1.5 years or so. So,
it is under production now.
For example, our competition, Calderys, IFGL, smaller players, they try to
fill up their plant at any cost. So that put a lot of pressure on us also. And it will continue. I would say the over capacity will definitely put pressure
on commodity business. So, we are tryi ng to get out of commodity type of
a business to more solution-oriented business where we can add value to
the customer.

We are talking to our

large cement customers, how we can add value to
them instead of just supplier-buyer re lationship, can we be their solution
partner. And the response is very good, and we are trying to de-commoditize this segment also to get back to the desired level.
Azim Syed: Our cement as a percentage of revenue from FY '25 to '26 also dropped
because of this over competition. So, in FY '25, we had about 13%. Now it's at about 11%, just to give you a full year flavour because we choose to
do only the business that makes sense for us.
Sahil Sanghvi: Got it. Got it. So just to get the margin number right, if you can reiterate
what was the margin number in FY '26 at Dalmia?
Azim Syed: At 10.8%. Yes.
Parmod Sagar: Sahil, you must appreciate that from last 4 quarters or so, we are
consistently delivering double-digit EBITDA. We started with almost 4%
when we acquired.
Sahil Sanghvi: Agreed, sir. Agreed, sir. Great efforts on that side. Sir, we were planning
some refurbishment in the Dalmia asse ts. So, what plans on that front?
And with respect to the capex number , absolute number for FY '27, how
much we'll spend across the complete...
Parmod Sagar: We continue restructuring or modernizing our Dalmia assets, which were
earlier in a pathetic situation. At the same time, we are very prudent, very
thoughtful about how much we have to spend, how much will be the
payback period for that particular asset. We spent about INR 100 crores

in FY'26 and the capex for FY'27 is around INR 150 crores or so. But it is
not limited to only Dalmia plant over all, INR 150 crores. That's what we
are assuming. It will also have some capex for Bhiwadi, Jamshedpur also,
not only limited to Dalmia plant.
Moderator: The next question is from the line of Kunal Kothari from Nuvama Wealth
Management.
Kunal Kothari: Sir, my first question is in regard to the other expenses that we have seen
rise in the quarter 4 of this FY '26. Just wanted to understand much more
in detail that is the West Asia conflict has led to any one-off increase in
the overall expenses? And do you see to continue for next couple of quarters?
Azim Syed: I will say that, yes, West Asia conflict has increased our input cost, but it's
mostly reflecting in raw material or material costs. We also saw some
elevated increases in our freight, especially whatever we're getting oversight, there was an immediate surge, which we had to take on our
books.
so, these are cost increases for which we are seeking price increase now.
We believe that the price increases we have secured will be effective as
of May onwards, okay? So that's the first thing.
On top of it, we have some -- one more continuous cost. As you know that
we are starting with the 4PRO contracts. As Parmod ji was mentioning that
we signed three 4PRO contracts. So, in 4PRO contracts, you always have
a start-up cost as well, example, in terms of people deployment, machine
deployment and so on and so forth. So, this is something that will happen for which we will get the margins and revenue in the upcoming quarter.
So, these are your continuous costs, which you are seeing in the other
expenses. On top of it, we had one one-off cost, which was some of the legal costs that we had, which allowe d us to help us to get the mines
transferred into our name. And we had some of our transactions with the acquired entity that we had to close. So, these were some of the one-off costs also that were featured in the other expenses.

Kunal Kothari: Okay, sir. Sir, secondly, about the capex in FY '27, '28, can you give some
colour on that and also about the leverage management that you see over
the next 2 years?
Azim Syed: So, on the capex side, we are looking at INR 150 crores of capex of which,

maintenance capex would be around INR 40 crores-50 crores of it. The rest all, we are dividing in

to 2 parts. One is that with the new 4PRO robotics kind of a machinery, so we 'll have some sales capex, which will have an immediate benefit for us and some structural growth capex that we will be deploying.

So that's how we are thinking about our capex for the upcoming year. On the leverage, as you can see that we are absolutely cash positive. So, everything will be funded from our balance sheet. We have some growth plan. So that's where we'll be deploying capex, not on any big transactions at the moment.

Moderator: T h e n e x t q u e s t i o n i s f r o m t h e l i n e o f R a j e s h M a j u m d a r f r o m 3 6 0 O N E Capital.

Rajesh Majumdar: I was just wondering, could you explain a little bit on the fixed cost increase because your gross margins seem to be decent, but the employee costs and other expenses ha ve gone up. You did highlight about some legal expenses. But what is the quantum of fixed cost increase we've seen on account of the iron making that you highlighted? That was my first question.

Azim Syed: What was -- the question was not clear, but we heard the first part that you are asking about this thing. Can you repeat the question part because that's part was...

Rajesh Majumdar: The question is what is the -- I want you to quantify the impact of the iron making fixed cost that you highlighted at the beginning of the call. How much was the impact of that on the quarterly numbers?

Azim Syed: So, what do I mean by that is that -- okay, so we are not going to give that separate carved out number on our fixed cost absorption. So that I think we'll not do that, Rajesh ji. But the message we want to give on the coke

oven to be very precise on the projects is that a, as you know that this is project in nature. So, we have a secured order book, which will keep our line continuously running rather than running only for maintenance-related projects. So, this will ensure that our fixed cost is always managed well.

As you know, in the refractory industry, wherever we operate kilns, fixed costs tend to be relatively higher. By securing this order for the next 15-18 months, we gain several advantages:

A. we will have a revenue upside.

B. coke oven projects typically generate better margins compared to our other iron-making businesses.

C. we will also get a better fixed cost absorption.

D. With the mines now transferred into our name, we expect to realize further cost benefits and margin improvements

These were the key highlights we want ed to share regarding the project.

Rajesh Majumdar: Okay. And you have been talking ab out your margin guidance coming down gradually over the last few quarters. At one point of time, it was 15% to 16%. Now it is -- it was 14% last quarter, now it is 13%. So where do we see the end of this? Is it going to 10% in the industry because it is a fiercely competitive industry. So, are we like looking at a worsening scenario or improving scenario? Because, I mean, we've been gradually coming down on the EBITDA guidance over the last few quarters.

Parmod Sagar: Rajesh ji, the market is so dynamic. The geographical situation is drastically changing. So, we have to adapt to that. So, this 13% to me is a number where we believe we can deliver because of our various initiatives which we have taken. If we could not have worked on this, what you are saying, it might have gone to 11%/10% also.

So, we are taking a lot of initiatives to maintain our margins from 13.7% to n o w i t i s 1 2 . 1 % , a n d t h e n w e a r e s a y i n g w e w i l l g o b a c k t o 1 3 % , i t ' s challenging, but we know we have order book. We have mines with us now. It will improve our margin. We have strong order book. We have three

4PRO contracts we signed in Jan only in this year, which will increase later part of the year

, the margins also. So, there are some levers based on that.
We are sure we will be able to deliver a 13% or so.

Azim Syed: Yes. And also, we are also seeking price increases as well. There is a good amount of understanding from our custo mers that this is coming because of the input cost increases. So, we believe that this will, improve our margin. I am guessing that because there's a realization on the customer side, you are talking about the broader market also, maybe there is a little bit of a short-term breather there.
Again, we can't talk about all the competition because they are operating in specific segments. We have a broa d diversity, which means that we are able to absorb the shocks better, which you can see in our cash flow statement and the overall resilience of going in continuously in double digit vis-a-vis some of the niche players who are further deteriorating even though they command a stronger market position in some specific segments.

Rajesh Majumdar: And this 13% you are talking, does it include any project orders like glass, aluminium? Or is it without that?

Azim Syed: Y e s . W e h a v e s o m e - - a p a r t f r o m t h e c o k e o v e n p r o j e c t , a s w e h a d informed earlier, last financial was th e worst in the non-cement industrial area. We had not secured any major projects, but now we see some order book on this as well. We have also converted a few of them. So yes, this 13% includes the industrial non-cement projects as well.

Rajesh Majumdar: Okay. And Parmod sir said that the first quarter could be even better compared to the average of 13% earlier. What is the reason for that? Any project order kind of spillover has happ ened from fourth quarter into first quarter?

Parmod Sagar: There are some pending price increases, which we believe we will get in May, June, and that is one reason. And second is what Azim was saying, the price increases which we are asking for is starting from May. So, if we get those price increases, it will de finitely help us, plus the cement

season starts during this time, May, June, July, August, September. This is cement season also.

Rajesh Majumdar: Is it possible to give some colour on the price increase? Is it 5%, 7%?

Azim Syed: So, let's put it like this that vis-a-vi s our cost increases, we are asking for 1% - 3% of price increases depending on the categories or the segments that we are operating. So, let's say that our cost increase is 0, then we are asking 1% - 3%. Again, it depends on the segment.

Rajesh Majumdar: And if I could sneak in a last question. So, alumina prices have been low, but magnesite has been rising. So, is that a positive cycle for us given the fact that if we mine a large part of the global magnesite in RHIM globally?

Parmod Sagar: Actually, the raw material price increase is good for the industry, then refractory industry will grow much fa ster. Revenue will go up; margin will be improved. For sure, these are good development as long as we pass on these cost increases to our customers. And when it is magnesia, it is mostly steel related or even cement where the bigger kilns are there where they are using hard magnesia bric ks. So, this is a good sign for us, I think.

Moderator: As there are no further questions from the participants, I would now hand the conference over to Mr. Parmod Sagar for closing comments. Over to you, sir.

Parmod Sagar: Thank you very much, dear investors, an alysts for your kind support till now, and we hope you will continue supporting us. We assure you we will do our utmost to increase our revenue, our margins. That is our core, and we are working on that. Various initiatives have been taken by the regional leadership team, how we can absorb co st, reduce our input costs, reduce rejections, increase our circular economy and deliver good results to all of you. Thank you very much. Sta

y blessed. Have a nice weekend.

Moderator: Thank you. On behalf of RHI Magnes ita Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.